

TAB 15



Board of Education Report

File #: Rep-369-24/25, **Version:** 1
In Control: Business & Finance Division

Agenda Date: 6/3/2025

Authorization of a Resolution of the Board of Education Approving the Sale and Issuance of Not-to-Exceed \$1,000,000,000 of General Obligation Bonds and the Forms of the Documents Necessary for the Issuance of such Bonds

Business and Finance Division

Brief Description:

(Authorization of a Resolution of the Board of Education Approving the Sale and Issuance of Not-to- Exceed \$1,000,000,000 of General Obligation Bonds and the Forms of the Documents Necessary for the Issuance of such Bonds) Recommends approval for the issuance of up to \$1 billion in General Obligation Bonds under the Measure Q, Measure RR, Measure US, or any combination of the foregoing to fund projects authorized under the respective measure. The bonds are expected to be sold in Fall 2025 via a negotiated method and repaid through ad valorem property taxes, not district funds. This issuance aims to enhance facilities, IT infrastructure, and equity in project funding.

Action Proposed:

Approve the attached Resolution for General Obligation Bonds (Attachment A) in connection with the issuance of the General Obligation Bonds (the “General Obligation Bonds Resolution”) which will:

- a. Authorize the issuance of not to exceed \$1,000,000,000 of General Obligation Bonds (the “GO Bonds”) under the Measure Q, Measure RR, Measure US or any combination of the foregoing;
- b. Approve the forms of documents necessary for the issuance of the General Obligation Bonds, including a Bond Purchase Agreement, a Continuing Disclosure Certificate, and an Official Statement (Attachments C - E);
- c. Authorize the sale of the GO Bonds by the negotiated method of sale in light of current market conditions, the District’s declining enrollment and budget uncertainty, the debt structuring flexibility afforded by this method, and the ability to include a retail order period and meaningful roles for underwriting firms of various sizes; and
- d. Approve and direct certain actions to be taken in connection with the issuance of the General Obligation Bonds.

Background:

This Board Report seeks Board approval of the General Obligation Bonds Resolution, which is a resolution that authorizes the issuance of up to \$1,000,000,000 of GO Bonds under Measure Q, Measure RR, Measure US or any combination of the foregoing to finance projects authorized under the respective measure and the form of documents necessary to issue the GO Bonds. The General Obligation Bonds Resolution authorizes the Chief Financial Officer, Deputy Chief Financial Officer, Controller, and Deputy Controller to affect the issuance of the GO Bonds and carry out all necessary acts related to the transaction or transactions. In addition, consistent with the District’s practice for prior GO Bonds, the General Obligation Bonds Resolution provides for a request

to the Board of Supervisors of the County to adopt a corresponding resolution providing for the issuance of the GO Bonds pursuant to the Education Code. The GO Bonds are currently expected to be sold in Fall 2025.

Based on the District's Debt Management Policy, as determined by the Office of the Chief Financial Officer, the General Obligation Bonds Resolution also authorizes the sale of the GO bonds through the negotiated method of sale in light of current market conditions, the District's declining enrollment and budget uncertainty, the debt structuring flexibility provided, and the ability to include a retail order period and provide meaningful roles for underwriting firms of various sizes. Finance, in accordance with the procedures established in the Debt Management Policy, has completed the process of selecting certain members of the financing team from the respective legal counsel and municipal advisor benches. The financing team for the upcoming transaction will include Dannis Woliver Kelley as Bond Counsel and Disclosure Counsel and Public Resources Advisory Group, as Municipal Advisor. In addition, U.S. Bank Trust Company, National Association will serve as Paying Agent. The Chief Financial Officer shall designate the underwriters and their roles as senior manager(s), co-senior manager(s), and co-managers, in accordance with the Debt Management Policy.

In compliance with Government Code Section 5852.1 and Education Code Section 15146, the Board of Education has obtained from Public Resources Advisory Group, as the District's Municipal Advisor, the required costs of issuance estimates, and such estimates are disclosed in Exhibit A of the General Obligation Bonds Resolution.

The GO Bonds are general obligation bonds of the District secured by and payable from *ad valorem* property taxes to be levied within the jurisdiction of the District pursuant to the California Constitution and State law and as authorized by voters within the District pursuant to Measure Q, Measure RR, and Measure US.

Expected Outcomes:

Approval of the issuance of the General Obligation Bonds will enable the District to enter the market to finance approved capital projects.

Board Options and Consequences:

Should the Board not approve this item, staff will not be authorized to proceed with the issuance of GO Bonds to finance approved capital projects.

Policy Implications:

This action is in compliance with the relevant criteria set forth in Article 1, Article 3 Section 3.02, and Article 4 Section 4.12 of the Debt Management Policy.

Budget Impact:

There will be no material impact on the District's General Fund. The identified projects will be funded with bond proceeds, and debt service will be repaid by *ad valorem* property tax revenues, not the District's general fund revenues.

Student Impact:

The issuance of the General Obligation Bonds will improve the District's capital facilities and information technology resources for the benefit of the students.

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Equity Impact:

Component	Score	Score Rationale
Recognition	4	The proceeds from the GO Bond transaction will be used to fund identified capital projects within the District, which include areas that have had historical inequities.
Resource Prioritization	4	GO Bond proceeds will be allocated to fund identified capital projects that specifically address student needs.
Results	4	Since proceeds from the GO Bond issuance will be used for capital projects designed to modernize and elevate student experience within communities that have experienced historical inequities, it should result in closing opportunity and achievement gaps.
TOTAL	12	

Issues and Analysis:

Based on current market conditions, the District expects to sell the General Obligation Bonds in Fall 2025 to finance the identified projects.

Attachments:

Attachment A - District Resolution for General Obligation Bonds
Attachment B - County Resolution for General Obligation Bonds
Attachment C - Bond Purchase Agreement
Attachment D - Continuing Disclosure Certificate
Attachment E - Preliminary Official Statement
Attachment F - Appendix A

Submitted:

05/05/25

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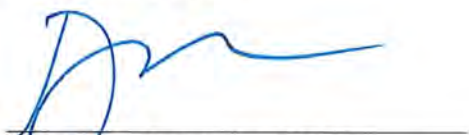
RESPECTFULLY SUBMITTED,


 ALBERTO M. CARVALHO
 Superintendent

APPROVED & PRESENTED BY:

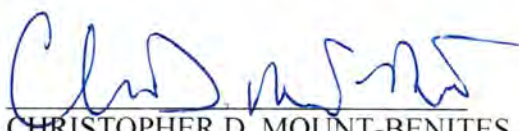

 PEDRO SALCIDO
 Deputy Superintendent
 Office of the Deputy Superintendent

REVIEWED BY:


 DEVORA NAVERA REED
 General Counsel

☒ Approved as to form.

APPROVED & PRESENTED BY:


 CHRISTOPHER D. MOUNT-BENITES
 Chief Financial Officer
 Business and Finance Division

REVIEWED BY:


 NOLBERTO DELGADILLO
 Deputy Chief Financial Officer

☒ Approved as to budget impact statement.

RESOLUTION OF THE BOARD OF EDUCATION OF THE LOS ANGELES UNIFIED SCHOOL DISTRICT PRESCRIBING THE TERMS OF SALE OF NOT TO EXCEED \$1,000,000,000 AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS OF LOS ANGELES UNIFIED SCHOOL **DISTRICT UNDER THE DISTRICT'S MEASURE Q** AND/OR MEASURE RR AND/OR MEASURE US BOND AUTHORIZATIONS, OR ANY COMBINATION THEREOF, IN ONE OR MORE SERIES OR SUBSERIES AND IN THE FORM OF TAX-EXEMPT OR FEDERALLY TAXABLE BONDS, REQUESTING THE BOARD OF SUPERVISORS OF THE COUNTY OF LOS ANGELES TO ISSUE AND SELL THE BONDS BY NEGOTIATED SALE PURSUANT TO ONE OR MORE BOND PURCHASE AGREEMENTS DURING FISCAL YEAR 2025-26, APPROVING THE FORM OF AND AUTHORIZING THE EXECUTION AND DELIVERY OF ONE OR MORE BOND PURCHASE AGREEMENTS AND CONTINUING DISCLOSURE CERTIFICATE, APPROVING THE FORM AND AUTHORIZING THE DISTRIBUTION OF AN OFFICIAL STATEMENT FOR THE BONDS, AND AUTHORIZING THE EXECUTION OF OTHER NECESSARY DOCUMENTS AND CERTIFICATES AND RELATED ACTIONS IN CONNECTION THEREWITH

WHEREAS, an election was duly called and regularly held in the Los Angeles Unified School District, County of Los Angeles, California (the "District") on November 4, 2008, pursuant to Section 1(b)(3) of Article XIII A of the Constitution of the State of California (the "State") and Chapter 1.5 of Title 1, Division 1, Part 10 of the California Education Code (the "Act"), and thereafter canvassed pursuant to law ("Measure Q"); and

WHEREAS, at such election there was submitted to and approved by the requisite approval of at least 55% of the qualified electors of the District voting on the measure in the election a question as to the issuance and sale of general obligation bonds of the District for various purposes set forth in the ballot submitted to the voters, in the maximum amount of \$7.00 billion, payable from the levy of an *ad valorem* tax against taxable property in the District (the "Measure Q Authorization"); and

WHEREAS, an election was duly called and regularly held in the District on November 3, 2020, pursuant to Section 1(b)(3) of Article XIII A of the Constitution of the State and the Act, and thereafter canvassed pursuant to law ("Measure RR"); and

WHEREAS, at such election there was submitted to and approved by the requisite approval of at least 55% of the qualified electors of the District voting on the measure in the election a question as to the issuance and sale of general obligation bonds of the District for various purposes set forth in the ballot submitted to the voters, in the maximum amount of \$7.00 billion, payable from the levy of an *ad valorem* tax against taxable property in the District (the "Measure RR Authorization"); and

WHEREAS, an election was duly called and regularly held in the District on November 5, 2024, pursuant to Section 1(b)(3) of Article XIII A of the Constitution of the State and the Act, and thereafter canvassed pursuant to law ("Measure US" and together with Measure Q and Measure RR, the "Measures"); and

WHEREAS, at such election there was submitted to and approved by the requisite approval of at least 55% of the qualified electors of the District voting on the measure in the election a question as to the issuance and sale of general obligation bonds of the District for various purposes set forth in the ballot submitted to the voters, in the maximum amount of \$9.00 billion, payable from the levy of an *ad valorem* tax against taxable property in the District (the "Measure US Authorization"); and

WHEREAS, this Board of Education of the District (the "Board of Education") deems it necessary and desirable that the Board of Supervisors (the "Board of Supervisors") for the County of Los Angeles (the "County") authorize and consummate the sale of bonds in one or more series or subseries, by individual Measure or combined series or subseries of multiple Measures pursuant to Section 15231 of the Education Code, and in the form of tax-exempt or federally taxable bonds, or any combination thereof, in an aggregate principal amount not exceeding \$1,000,000,000 (bonds issued as a separate series or subseries individually under the Measure Q Authorization and/or in combination with bonds authorized under the Measure RR Authorization and/or the Measure US Authorization, the "Measure Q Bonds," bonds issued as a separate series or subseries individually under the Measure RR Authorization and/or in combination with bonds authorized under the Measure Q Authorization and/or the Measure US Authorization, the "Measure RR Bonds" and bonds issued as a separate series or subseries individually under the Measure US Authorization and/or in combination with bonds authorized under the Measure RR Authorization and/or the Measure Q Authorization, the "Measure US Bonds", and together with the Measure Q Bonds and the Measure RR Bonds, the "Bonds"); and

WHEREAS, this Board of Education deems it necessary and desirable that the Measure Q Bonds, Measure RR Bonds and/or Measure US Bonds be issued for the purpose of financing projects authorized to be financed under the Measure Q Authorization, the Measure RR Authorization and the Measure US Authorization, or any combination of the foregoing; and

WHEREAS, this Board of Education deems it necessary and desirable to authorize the sale of the Bonds by negotiated sale pursuant to a Bond Purchase Agreement, the form of which is presented to this Board of Education at this meeting, with such changes, insertions and omissions as are made pursuant to this Resolution; and

WHEREAS, Rule 15c2-12 promulgated under the Securities Exchange Act of 1934 (as amended, "Rule 15c2-12") requires that, in order to be able to purchase or sell the Bonds, the underwriter thereof must have reasonably determined that the District has undertaken in a written agreement or contract for the benefit of the holders of the Bonds to provide disclosure of certain financial and operating information and certain enumerated events on an ongoing basis; and

WHEREAS, in order to cause such requirement to be satisfied, the District desires to execute and deliver a Continuing Disclosure Certificate in the form presented to this Board of Education at this meeting, with such changes, insertions and omissions as are made pursuant to this Resolution (the "Continuing Disclosure Certificate"); and

WHEREAS, a form of the Preliminary Official Statement to be distributed in connection with a public offering of the initial series of Bonds has been prepared in the form presented to this Board of Education at this meeting, with such changes, insertions and omissions as are made pursuant to this Resolution (the "Preliminary Official Statement"); and

WHEREAS, Section 5852.1 of the California Government Code (the "Government Code") requires that the Board of Education obtain from an underwriter, financial advisor, or private lender and disclose, prior to authorization of the issuance of the Bonds, good faith

estimates of the following information in a meeting open to the public: (a) the true interest cost of the Bonds, (b) the sum of all fees and charges paid to third parties with respect to the Bonds, (c) the amount of proceeds of the Bonds expected to be received net of the fees and charges paid to third parties and any reserves or capitalized interest paid or funded with proceeds of the Bonds, and (d) the sum total of all debt service payments on the Bonds calculated to the final maturity of the Bonds plus the fees and charges paid to third parties not paid with the proceeds of the Bonds; and

WHEREAS, Section 15146 of the California Education Code (the "Education Code") requires that the Board of Education include in this Resolution an estimate of the costs associated with the issuance of the Bonds and requires that after the sale of the Bonds present the actual cost information for the sale at its next scheduled public meeting; and

WHEREAS, in compliance with Section 5852.1 of the Government Code and Section 15146(b)(1)(D) of the Education Code, the Board of Education has obtained from Public Resources Advisory Group, as the District's municipal advisor (the "Municipal Advisor"), the information set forth in Exhibit A attached hereto; and

WHEREAS, there have been prepared and submitted to this meeting the forms of:

- (a) the Bond Purchase Agreement;
- (b) the Continuing Disclosure Certificate; and
- (c) the Preliminary Official Statement,

and this Board of Education has examined each such document and desires to approve, authorize and direct the execution of such documents and the consummation of such financing; and

WHEREAS, the District desires that the County levy and collect a tax on all taxable property within the District sufficient to provide for payment of the Bonds, and intends by the adoption of this Resolution to notify the Board of Supervisors of the County, the Auditor-Controller of the County, the Treasurer and Tax Collector of the County and other officials of the County that they should take such actions as shall be necessary to provide for the levy and collection of such a tax and payment of principal of and interest on the Bonds, all pursuant to Sections 15250 and 15251 of the Education Code; and

WHEREAS, this Board of Education desires to make certain determinations and to authorize the issuance and sale of the Bonds at a negotiated sale pursuant to the terms of this Resolution; and

WHEREAS, all acts, conditions and things required by the Constitution and laws of the State to exist, to have happened and to have been performed precedent to and in connection with the consummation of the actions authorized hereby do exist, have happened and have been performed in regular and due time, form and manner as required by law, and the District is now duly authorized and empowered, pursuant to each and every requirement of law, to consummate such actions for the purpose, in the manner and upon the terms herein provided.

NOW, THEREFORE, THE BOARD OF EDUCATION OF THE LOS ANGELES UNIFIED SCHOOL DISTRICT DOES HEREBY RESOLVE, FIND, DETERMINE AND ORDER, AS FOLLOWS:

Section 1. Recitals. All of the above recitals are true and correct.

Section 2. Definitions; Interpretation. For the purposes of this Resolution, unless the context otherwise requires, the terms defined in this Section shall, for all purposes of this Resolution, have the meanings specified herein. Unless the context otherwise indicates, words importing the singular number shall include the plural number and vice versa. Headings of sections herein are solely for convenience of reference, do not constitute a part hereof, and do not affect the meaning, construction or effect hereof.

"Authorized Officer" shall mean any of the District's Chief Financial Officer, the Deputy Chief Financial Officer, the Controller and the Deputy Controller.

"Board of Education" shall mean the Board of Education of the District.

"Board of Supervisors" shall mean the Board of Supervisors of the County.

"Bond Purchase Agreement" shall mean the Bond Purchase Agreement relating to the sale of a series or subseries of the Bonds by and among the County, the District and the underwriters in accordance with the provisions hereof.

"Chief Financial Officer" shall mean the Chief Financial Officer of the District or any designee of the Chief Financial Officer of the District.

"Code" shall mean the Internal Revenue Code of 1986.

"Continuing Disclosure Certificate" shall mean the applicable Continuing Disclosure Certificate executed and delivered by the District relating to any series or subseries of the Bonds.

"Controller" shall mean the Controller of the District or any designee of the Controller of the District.

"County" shall mean the County of Los Angeles.

"County Auditor-Controller" shall mean the Auditor-Controller of the County or any authorized deputy thereof.

"County Resolution" shall mean the resolution of the Board of Supervisors authorizing the issuance of the Bonds approved in this Resolution.

"County Treasurer" shall mean the Treasurer and Tax Collector of the County or any authorized deputy thereof.

"Deputy Chief Financial Officer" shall mean the Deputy Chief Financial Officer of the District or any designee of the Deputy Chief Financial Officer of the District.

"Deputy Controller" shall mean the Deputy Controller or any designee of the Deputy Controller of the District.

"District" shall mean the Los Angeles Unified School District.

"DTC" shall mean The Depository Trust Company, New York, New York, and its successors and assigns.

"Interest Payment Date" shall mean each January 1 and July 1 of each year, commencing on the date set forth in the related Bond Purchase Agreement, until the final maturity of the Bonds and the final maturity date of the Bonds or such dates as shall be set forth in the related Bond Purchase Agreement.

"Interest and Sinking Fund" shall mean each interest and sinking fund of the District, designated to correspond to the applicable general obligation bonds or general obligation refunding bonds of the District and related voter-approved bond measure of the District established for such bonds and used only for payment of principal of and interest on such bonds.

"Investment Agreement(s)" shall mean, collectively, investment agreements, guaranteed investment contracts, float contracts or other investment products subject to the requirements set forth in Section 14 hereof.

"Letter of Representations" shall mean the blanket letter of representations from the District to DTC with respect to the Bonds, as such blanket letter of representations may be amended, supplemented or otherwise modified and in effect from time to time.

"Opinion of Tax Counsel" shall mean an opinion of counsel of nationally recognized standing in the field of law relating to municipal bonds qualified to conclude whether an action or proposed action or the failure to act or the proposed failure to act for which the opinion is required will affect the exclusion of interest on the Tax-Exempt Bonds from gross income for federal income tax purposes.

"Owner" shall mean with respect to any Bond, the Person in whose name such Bond is registered on the Registration Books.

"Paying Agent" shall mean the County Treasurer or any bank, trust company, national banking association or other financial institution appointed as authenticating agent, bond registrar, transfer agent and paying agent for the Bonds in the manner provided in the County Resolution.

"Person" shall mean an individual, corporation, limited liability company, firm, association, partnership, trust, or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

"Registration Books" shall mean the records maintained by the Paying Agent for the registration of ownership and registration of transfer of the Bonds, as defined in the County Resolution.

"Record Date" shall mean, with respect to any Interest Payment Date for Bonds, the close of business on the 15th day of the month preceding an Interest Payment Date for such Bonds or such other date or dates as shall be set forth in the Bond Purchase Agreement.

"Resolution" shall mean this resolution of the Board of Education of the District adopted on June 3, 2025.

"Rule 15c2-12" shall mean Rule 15c2-12 promulgated under the Securities Exchange Act of 1934, as amended.

"State" shall mean the State of California.

"Tax Certificate" shall mean the applicable Tax Certificate with respect to the Bonds issued as Tax-Exempt Bonds, executed by the District, dated the date of issuance of such Bonds.

"Tax-Exempt Bonds" shall mean any series or subseries of the Bonds bearing interest that is excluded from the gross income of the holders thereof for federal income tax purposes, whether or not such interest is includable as an item of tax preference or otherwise includable directly or indirectly for purposes of calculating other tax liabilities, including any alternative minimum tax or environmental tax under the Code.

"Taxable Bonds" shall mean any series or subseries of the Bonds bearing interest that is included in gross income for federal income tax purposes under Section 103 of the Code.

Section 3. Request for Sale of Bonds; Purpose of Bonds. (a) *Request for Sale.* The Board of Supervisors, pursuant to Education Code Section 15140 *et seq.*, is hereby requested to sell, by negotiated sale, Bonds pursuant to the Measures, in one or more series or subseries, by individual measure or combined series or subseries of multiples Measures pursuant to Section 15231 of the Education Code, or any combination thereof, in an aggregate principal amount not exceeding \$1,000,000,000, and to designate each series or subseries of the Bonds as the "Los Angeles Unified School District (County of Los Angeles, California) General Obligation Bonds," with appropriate election, series, subseries and other designations, all as may be set forth in the Preliminary Official Statement and the related Bond Purchase Agreement.

Pursuant to this Resolution, the Board of Supervisors of the County is requested to adopt a resolution providing for the issuance of the bonds and the terms of the sale of the Bonds in accordance with the particular terms and manner set forth herein and, with respect to such necessary or desirable terms as are not specified herein, as the Board of Supervisors shall otherwise see fit to determine. With respect to such necessary or desirable terms as are not finally determined by the County Resolution, the Board of Supervisors is hereby requested to provide for such terms to be finally determined and set forth in each Bond Purchase Agreement.

(a) *Purpose of Bonds.* The proceeds of the Bonds, exclusive of any premium and accrued interest received as required, shall be applied to finance projects authorized to be financed under the Measure Q Authorization, the Measure RR Authorization and the Measure US Authorization, respectively, or any combination of the foregoing, and to pay all necessary legal, financial, engineering and contingent costs in connection therewith.

Section 4. Terms of Bonds.

(a) *Date of Bonds.* The Bonds shall be issued as set forth in the County Resolution. Each Bond of a series or subseries shall be dated its date of delivery, or such other date as shall be set forth in the Bond Purchase Agreement relating to such series of Bonds.

(b) *Denominations.* The Bonds shall be issued in denominations of \$5,000 principal amount or any integral multiple thereof or such other denominations as shall be designated in the related Bond Purchase Agreement.

(c) *Maturity.* Each series or subseries of Bonds shall mature on the dates, in each of the years, in the principal amounts and in the aggregate principal amount as shall be set forth in the Bond Purchase Agreement. No Bond shall mature later than the date which is 25 years from the date of such Bond, to be determined as provided in subsection (a) of this Section.

(d) *Interest.* The Bonds shall bear interest at an interest rate or rates not to exceed 8.00% per annum, payable on the Interest Payment Dates in each year computed on the basis of a 360-day year of twelve 30-day months (or on such other basis as shall be set forth in the Bond Purchase Agreement). Each Bond shall bear interest from the Interest Payment Date for such Bond next preceding the date of authentication thereof, unless it is authenticated as of a date during the period from the Record Date next preceding an Interest Payment Date for such Bond to such Interest Payment Date, inclusive, in which event it shall bear interest from such Interest Payment Date, or unless it is authenticated on or before the Record Date preceding the first Interest Payment Date for such Bond, in which event it shall bear interest from its dated date; provided, however, that if, at the time of authentication of any Bond, interest is in default on any outstanding Bonds of such series or subseries, such Bond shall bear interest from the Interest Payment Date to which interest has previously been paid or made available for payment on the outstanding Bonds of such series or subseries. If provided in the Bond Purchase Agreement, Bonds may have different interest rates for separately defined periods of the term thereof as set forth in the Bond Purchase Agreement.

(e) *Tax-Exempt or Taxable Bonds.* The Bonds may be issued as Tax-Exempt Bonds or Taxable Bonds, or any combination thereof. The Board of Education hereby finds and determines that, pursuant to Section 5903 of the Government Code, the interest payable on any portion of the Bonds issued as Taxable Bonds will be subject to federal income taxation under the Code in existence on the date of issuance of any such Bonds.

Section 5. Payment of Bonds. (a) *Request for Tax Levy.* The money for the payment of principal, redemption premium, if any, and interest on the Bonds shall be raised by taxation upon all taxable property in the District and provision shall be made for the levy and collection of such taxes in the manner provided by law and for such payment out of the related Interest and Sinking Fund of the District. The Board of Supervisors and officers of the County are obligated by statute to provide for the levy and collection of property taxes in each year sufficient to pay all principal and interest coming due on the Bonds in such year, and to pay from such taxes all amounts due on the Bonds. The District hereby requests the Board of Supervisors to annually levy a tax upon all taxable property in the District sufficient to redeem the Bonds, and to pay the principal, redemption premium, if any, and interest thereon as and when the same become due.

(b) *Interest and Sinking Fund.* Principal, redemption premium, if any, and interest due on Bonds shall be paid from the Interest and Sinking Fund of the District established for such Bonds as provided in Section 15146 of the Education Code. The tax levied is levied specifically for the purpose of paying Bonds of such Measure issued to finance the projects specified in such Measure and for no other purpose.

(c) *Obligation of the District.* No part of any fund or account of the County is pledged or obligated to the payment of the Bonds. The obligation for repayment of the Bonds is the sole obligation of the District.

(d) *Pledge of Taxes.* The District hereby pledges, and grants a lien on and security interest in, all revenues from the property taxes collected from the levy by the Board of Supervisors with respect to each Measure for payment of Bonds issued under such Measures and all amounts on deposit in any Interest and Sinking Fund of the District for the payment of the principal or redemption price of and interest on such Bonds. This pledge and grant shall be valid and binding from the date hereof for the benefit of the owners of such Bonds and successors thereto. The property taxes and amounts held in each Interest and Sinking Fund of the District shall be immediately subject to this pledge and grant, and this pledge and grant shall constitute a lien and security interest which shall immediately attach to the property taxes and amounts held in such Interest and Sinking Fund of the District to secure the payment of such Bonds and shall be effective, binding, and enforceable against the District, its successors, creditors and all others irrespective of whether those parties have notice of the pledge or grant, and without the need of any physical delivery, recordation, filing, or further act.

This pledge and grant is an agreement between the District and the owners of each series of Bonds and of each issue of outstanding general obligation bonds and general obligation refunding bonds to provide security for each series of Bonds and all such other general obligation bonds and general obligation refunding bonds of the District in addition to any statutory lien that may exist, and each such issue of general obligation bonds and general obligation refunding bonds of the District are or were issued to finance one or more of the projects specified in the Measure under which such general obligation bonds were issued and not to finance the general purposes of the District. For the avoidance of doubt, in accordance with Section 15251 of the Education Code, such Bonds are also automatically secured by a statutory lien on all revenues received pursuant to the levy and collection of the tax for the applicable Measure.

(e) *Insurance.* The payment of principal of and interest on all or a portion of any series of Bonds may be secured by a municipal bond insurance policy as shall be described in the applicable Bond Purchase Agreement. The Bond Purchase Agreement may provide that no municipal bond insurance policy shall be obtained. The Authorized Officers are each hereby authorized to apply for, or cause to be applied for, municipal bond insurance for each series of Bonds and to execute and deliver a contract or contracts in order to obtain such insurance if doing so puts such series of Bonds (or portion thereof) and the marketing thereof on an economically advantageous basis, and is deemed to be in the best interests of the District, such determination to be conclusively evidenced by such Authorized Officer's execution and delivery of such contract.

(f) *Designation of Paying Agent.* The County Treasurer is designated to act as the initial Paying Agent. The County Treasurer is authorized to enter into a contract with a bank or trust company doing business in and having a corporate trust office in Los Angeles, California, with at least \$100,000,000 in net assets, to perform the services of the Paying Agent. If at any time the County Treasurer shall resign or be removed as the Paying Agent, the Authorized Officers are authorized, with the prior consent of the County Treasurer, to appoint any successor Paying Agent. If no successor Paying Agent is appointed by an Authorized Officer in a timely manner, the County Treasurer shall appoint a successor Paying Agent without further action by any Authorized Officer. The successor Paying Agent shall be a bank or trust company doing business in and having a corporate trust office in the County, with at least \$100,000,000 in net assets.

Section 6. Redemption. (a) *Optional Redemption.* The Bonds of each series or subseries may be subject to redemption, at the option of the District, on the dates and terms as shall be designated in the Bond Purchase Agreement. The Bond Purchase Agreement may provide that the Bonds of a series or subseries shall not be subject to optional redemption.

(b) *Selection.* If less than all of the Bonds of a series or subseries, if any, are subject to such redemption and are called for redemption, such Bonds shall be redeemed as directed by the District (or as otherwise set forth in the Bond Purchase Agreement), and if less than all of the Bonds of any given maturity of a series or subseries are called for redemption, the portions of such Bonds of a given maturity to be redeemed shall be determined by lot in any manner deemed fair by the Paying Agent (or as otherwise set forth in the Bond Purchase Agreement).

(c) *Mandatory Sinking Fund Redemption.* The Bonds of a series or subseries, if any, which are designated in the related Bond Purchase Agreement as term bonds shall also be subject to redemption prior to their stated maturity dates, without a redemption premium, in part by lot or as otherwise directed by the District (or as otherwise set forth in the related Bond Purchase Agreement), from mandatory sinking fund payments in the amounts and in accordance with the terms to be specified in the related Bond Purchase Agreement. Unless otherwise provided in the related Bond Purchase Agreement, the principal amount of each mandatory sinking fund payment of any maturity of a series or subseries shall be reduced proportionately or as otherwise directed by the District by the amount of any Bonds of that maturity and series or subseries redeemed in accordance with subsection (a) of this Section prior to the mandatory sinking fund payment date (or as otherwise set forth in the Bond Purchase Agreement). The related Bond Purchase Agreement may provide that the Bonds of a series or subseries shall not be subject to mandatory sinking fund redemption. The Board of Supervisors is hereby requested to authorize the County Auditor-Controller to create such sinking funds or accounts for the term Bonds as shall be necessary to accomplish the purposes of this Section.

(d) *Notice of Redemption.* Notice of any redemption of the Bonds of a series or subseries shall be sent electronically through the facilities of DTC by the Paying Agent, not less than 20 nor more than 60 days prior to the redemption date (i) to the County and the respective Owners thereof at the addresses appearing on the Registration Books, and (ii) as may be further required in accordance with the Continuing Disclosure Certificate.

Each notice of redemption shall state (i) the date of such notice; (ii) the name of the series or subseries of Bonds and the date of issue of such series or subseries of Bonds; (iii) the redemption date; (iv) the redemption price; (v) the dates of maturity or maturities of Bonds to be redeemed; (vi) if less than all of the Bonds of any maturity of a series or subseries are to be redeemed, the distinctive numbers of the Bonds of each maturity of such series or subseries to be redeemed; (vii) in the case of Bonds of a series or subseries redeemed in part only, the respective portions of the principal amount of the Bonds of each maturity of such series or subseries to be redeemed; (viii) the CUSIP number, if any, of each maturity of Bonds to be redeemed; (ix) a statement that such Bonds must be surrendered by the Owners at the principal corporate trust office of the Paying Agent, or at such other place or places designated by the Paying Agent; (x) notice that further interest on such Bonds will not accrue after the designated redemption date; and (xi) in the case of a conditional notice, that such notice is conditioned upon certain circumstances and the manner of rescinding such conditional notice.

(e) *Effect of Notice.* A certificate of the Paying Agent that notice of redemption has been given to Owners as herein provided shall be conclusive as against all parties. Neither the failure to receive the notice of redemption as provided in this Section, nor any defect in such notice shall affect the sufficiency of the proceedings for the redemption of the Bonds called for redemption or the cessation of interest on the date fixed for redemption.

When notice of redemption has been given substantially as provided for herein, and when the redemption price of the Bonds called for redemption is set aside, the Bonds

designated for redemption shall become due and payable on the specified redemption date and interest shall cease to accrue thereon as of the redemption date, and upon presentation and surrender of such Bonds at the place specified in the notice of redemption, such Bonds shall be redeemed and paid at the redemption price thereof out of the money provided therefor. The Owners of such Bonds so called for redemption after such redemption date shall be entitled to payment thereof only from the related interest and sinking fund or the trust fund established for such purpose. All Bonds redeemed shall be cancelled forthwith by the Paying Agent and shall not be reissued.

(f) *Right to Rescind Notice.* The District may rescind any optional redemption and notice thereof for any reason on any date prior to the date fixed for redemption by causing written notice of the rescission to be given to the owners of the Bonds so called for redemption. Any optional redemption and notice thereof shall be rescinded if for any reason on the date fixed for redemption moneys are not available in the related interest and sinking fund or otherwise held in trust for such purpose in an amount sufficient to pay in full on said date the principal of and premium, if any, and interest due on the Bonds called for redemption. Notice of rescission of redemption shall be given in the same manner in which notice of redemption was originally given. The actual receipt by the owner of any Bond of notice of such rescission shall not be a condition precedent to rescission, and failure to receive such notice or any defect in such notice shall not affect the validity of the rescission.

(g) *Funds for Redemption.* Prior to or on the redemption date of any Bonds there shall be available in the related interest and sinking fund of the District, or held in trust for such purpose as provided by law, monies for the purpose and sufficient to redeem, at the redemption prices as in this Resolution provided, the Bonds designated in the notice of redemption. Such monies shall be applied on or after the redemption date solely for payment of principal of and premium, if any, and interest due on the Bonds to be redeemed upon presentation and surrender of such Bonds, provided that all monies in the related interest and sinking fund of the District shall be used for the purposes established and permitted by law. Any interest due on or prior to the redemption date shall be paid from the related interest and sinking fund of the District, unless otherwise provided to be paid from such monies held in trust. If, after all of the Bonds have been redeemed and cancelled or paid and cancelled, there are monies remaining in the related interest and sinking fund of the District or otherwise held in trust for the payment of redemption price of the Bonds, the monies shall be held in or returned or transferred to any interest and sinking fund of the District for payment of any outstanding bonds of the District payable from such fund; provided, however, that if the monies are part of the proceeds of bonds of the District, the monies shall be transferred to the fund created for the payment of principal of and interest on such bonds. If no such bonds of the District are at such time outstanding, the monies shall be transferred to the general fund of the District as provided and permitted by law.

(h) *Defeasance of Bonds.* If at any time the District shall pay or cause to be paid or there shall otherwise be paid to the Owners of any or all of the outstanding Bonds of a Series all or any part of the principal of and premium, if any, and interest on such Bonds at the times and in the manner provided herein and in such Bonds, or as provided in the following paragraph, or as otherwise provided by law consistent herewith, then such Owners of such Bonds shall cease to be entitled to the obligation of the District as provided in Section 10 hereof, and such obligation and all agreements and covenants of the District and of the County to such Owners hereunder and under such Bonds shall thereupon be satisfied and discharged and shall terminate, except only that the District shall remain liable for payment of all principal of and premium, if any, and interest on such Bonds, but only out of monies on deposit in the related interest and sinking fund of the District or otherwise held in trust for such payment;

and provided further, however, that the provisions of subsection (i) of this Section shall apply in all events.

For purposes of this Section, the District may pay and discharge any or all of the Bonds of a Series by depositing in trust with the Paying Agent or an escrow agent, selected by the District, at or before maturity, money and/or Defeasance Securities, in an amount which will, together with the interest to accrue thereon and available monies then on deposit in the related interest and sinking fund of the District, be fully sufficient to pay and discharge the indebtedness on such Bonds (including all principal, interest and redemption premium, if any) at or before their respective maturity dates.

The term "Defeasance Securities" means (a) non-callable direct and general obligations of the United States of America (including state and local government series), or obligations that are unconditionally guaranteed as to principal and interest by the United States of America, including (in the case of direct and general obligations of the United States of America) evidences of direct ownership of proportionate interests in future interest or principal payments of such obligations; provided that investments in such proportionate interests must be limited to circumstances wherein (i) a bank or trust company acts as custodian and holds the underlying United States obligations; (ii) the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor of the underlying United States obligations; and (iii) the underlying United States obligations are held in a special account, segregated from the custodian's general assets, and are not available to satisfy any claim of the custodian, any person claiming through the custodian, or any person to whom the custodian may be obligated; (b) non-callable obligations of government sponsored agencies that are rated in one of the two highest rating categories assigned by S&P (defined herein) or Moody's (defined herein) but are not guaranteed by a pledge of the full faith and credit of the United States of America; and (c) Advance Refunded Municipal Securities.

The term "Advance Refunded Municipal Securities" means any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local government unit of any such state (a) which are not callable prior to maturity or as to which irrevocable instructions have been given to the trustee, fiscal agent or other fiduciary for such bonds or other obligations by the obligor to give due notice of redemption and to call such bonds or other obligations for redemption on the date or dates specified in such instructions, (b) which are secured as to principal, premium, if any, and interest by a fund consisting only of cash, direct U.S. or U.S. guaranteed obligations, or any combination thereof, which fund may be applied only to the payment of such principal, premium, if any, and interest on such bonds or other obligations on the maturity date or dates thereof or the redemption date or dates specified in the irrevocable instructions referred to in clause (a) above, as appropriate, and (c) as to which the principal of and premium, if any, and interest on the bonds and obligations of the character described in clause (a) above which have been deposited in such fund, along with any cash on deposit in such fund, have been verified by an independent certified public accountant as being sufficient to pay principal of and premium, if any, and interest on such bonds or other obligations on the maturity date or dates thereof or on the redemption date or dates specified in the irrevocable instructions referred to in clause (a) above, as applicable.

The term "Moody's" means Moody's Investors Service, Inc., a corporation duly organized and existing under the laws of the State of Delaware, and its successors and assigns, except that if such entity shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, then the term "Moody's" shall be deemed to refer to any other nationally recognized securities rating agency selected by the District.

The term "S&P" means Standard & Poor's Ratings Services, a Standard & Poor's Financial Services LLC business duly organized and existing under the laws of the State of New York, and its successors and assigns, except that if such entity shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, then the term "S&P" shall be deemed to refer to any other nationally recognized securities rating agency selected by the District.

(i) *Unclaimed Monies.* Any money held in any fund created pursuant to this Resolution, or by the Paying Agent or an escrow agent in trust, for the payment of the principal of and premium, if any, and interest on a Series of Bonds and remaining unclaimed for two years after the principal of all of such Series of Bonds has become due and payable (whether by maturity or upon prior redemption) shall be transferred to the interest and sinking fund of the District for payment of any outstanding bonds of the District payable from the fund; or, if no such bonds of the District are at such time outstanding, the monies shall be transferred to the general fund of the District as provided and permitted by law.

Section 7. Sale of the Bonds.

(a) *Method of Sale.* This Board of Education deems it necessary and desirable considering among other factors, current volatile market conditions, debt structuring flexibility, the District's declining enrollment and budget uncertainty, the ability to include a retail order period to garner additional investor interest, and the ability to provide meaningful roles for underwriting firms of various sizes, and requests the County to authorize and provide for the sale of each series or subseries of Bonds by negotiated sale pursuant to one or more Bond Purchase Agreements to be entered into with the underwriters selected as herein provided; provided, however, that, in each case, (i) the interest rate on any Bond shall not be in excess of 8.00% per annum, (ii) the true interest cost for each applicable series of Bonds shall not be in excess of 6.00%, (iii) the ratio of total debt service to principal of each series of Bonds shall not exceed four to one, (iv) each underwriter's discount shall not exceed 1.00% of the principal amount of the corresponding Bonds and (v) the Bonds shall otherwise conform to the limitations specified herein. The Chief Financial Officer shall designate which underwriters shall act as senior manager(s), co-senior manager(s) and co-manager(s) in accordance with the District's Debt Management Policy.

(b) *Costs of Issuance and Good Faith Estimates.* In accordance with Section 5852.1 of the Government Code and Section 15146(b)(1)(D) of the Education Code, estimates of the costs of issuance and good faith estimates of the following have been obtained from the Municipal Advisor and are set forth on Exhibit A attached hereto: (i) the true interest cost of the Bonds, (ii) the sum of all fees and charges paid to third parties with respect to the Bonds, (iii) the amount of proceeds of the Bonds expected to be received net of the fees and charges paid to third parties and any reserves or capitalized interest paid or funded with proceeds of the Bonds, and (iv) the sum total of all debt service payments on the Bonds calculated to the final maturity of the Bonds plus the fees and charges paid to third parties not paid with the proceeds of the Bonds. In accordance with Section 15146(d) of the Education Code, the actual costs associated with each issuance of a series of Bonds shall be presented to this Board of Education at its next scheduled public meeting following the sale of a series of Bonds.

(c) *Cost of Issuance.* In accordance with Section 15146(h) of the Education Code, the Authorized Officers are each hereby authorized to cause to be deposited in a costs of issuance account, which may be held by a bank, national banking association or trust company meeting the qualifications necessary to be a paying agent set forth in Section 5 hereof, as cost of issuance administrator, proceeds of sale of the Bonds (exclusive of any premium or accrued interest received) in an amount not exceeding 2.00% of the principal amount of the

Bonds sold, as shall be set forth in the Bond Purchase Agreement for the purposes of paying the costs associated with the issuance of the Bonds.

Section 8. **Bond Purchase Agreement.** The form of Bond Purchase Agreement, submitted to and on file with the Executive Officer of this Board of Education, is hereby approved. The Authorized Officers are, and each of them is, hereby authorized, and any one of the Authorized Officers is hereby directed, for and in the name of the District, to execute and deliver one or more Bond Purchase Agreements in the form presented to this meeting, with such changes, insertions and omissions as the Authorized Officer executing the same may require or approve, such requirement or approval to be conclusively evidenced by the execution of the Bond Purchase Agreement by such Authorized Officer; provided that the terms of the applicable series or subseries of Bonds and the sale thereof shall conform in all respects with the limitations contained in this Resolution. The Board of Supervisors of the County is hereby requested to cause each Bond Purchase Agreement to be executed and delivered by the County, as is determined by the District and the County Treasurer to be in the best interest of the District, subject to such changes, insertions and omissions as may be acceptable to the District and to the Board of Supervisors or the County officer to whom execution of the Bond Purchase Agreement is delegated.

Section 9. **Continuing Disclosure Certificate.** The form of Continuing Disclosure Certificate, submitted to and on file with the Executive Officer of this Board of Education, is hereby approved. Any Authorized Officer is hereby authorized on behalf of the District to execute one or more Continuing Disclosure Certificates with respect to the Bonds in substantially the form on file with the Board of Education, with such changes, insertions and omissions as the Authorized Officer executing the same may require or approve, such requirement or approval to be conclusively evidenced by the execution of the Continuing Disclosure Certificate by such Authorized Officer. The District hereby covenants and agrees that it will comply with and carry out all of the provisions of the Continuing Disclosure Certificate.

Section 10. **Section 10. Authorization of Preliminary Official Statement and Official Statement.** (a) *Preliminary Official Statement.* The form of the Preliminary Official Statement relating to the initial issue of Bonds to be publicly offered submitted to and on file with the Executive Officer of this Board of Education, with any such changes as any Authorized Officer acting singly may approve, is hereby approved, and the use of such Preliminary Official Statement in connection with the offering and sale of such Bonds is hereby authorized and approved. The Authorized Officers are each hereby authorized to certify on behalf of the District that such Preliminary Official Statement is deemed final as of its date, within the meaning of Rule 15c2-12 (except for the omission of certain final pricing, rating and related information as permitted by Rule 15c2-12). If it is necessary to make substantial changes to the Preliminary Official Statement hereby approved, this Board of Education shall review a revised draft of such Preliminary Official Statement with accompanying directions and instructions to members of this Board of Education to review such revised Preliminary Official Statement. For subsequent series of Bonds publicly offered, the preparation of a Preliminary Official Statement with respect to each such subsequent series of Bonds, similar in form and content to the Preliminary Official Statement relating to the first series of Bonds with such changes as shall be deemed necessary, is hereby authorized and approved, and the

certification of its finality within the meaning of Rule 15c2-12 by an Authorized Officer and its use in connection with the offering and sale of each such subsequent series of Bonds, are also hereby authorized, following the distribution to this Board of Education of a substantially complete draft of a Preliminary Official Statement relating to such series of Bonds with accompanying directions and instructions to members of this Board of Education to review such Preliminary Official Statement.

(b) *Official Statement.* The preparation and delivery of an Official Statement with respect to the Bonds to be publicly offered (the "Official Statement"), and its use by the underwriters in connection with the offering and sale of such Bonds, is hereby authorized and approved. Such Official Statement shall be in substantially the form of the Preliminary Official Statement distributed in connection with the public offering of such Bonds with such changes, insertions and omissions as may be approved by an Authorized Officer, such approval to be conclusively evidenced by the execution and delivery thereof. The Authorized Officers are each hereby authorized and directed, for and in the name of and on behalf of the District, to execute each final Official Statement, and any amendment or supplement thereto, for and in the name of the District.

Section 11. Deposit and Investment of Proceeds. (a) *Deposit of Proceeds.* Except as permitted by Section 7 hereof, a portion of the proceeds of the sale of the Bonds, exclusive of any premium and accrued interest received, shall be deposited in the County treasury and credited to the building fund of the District (the "Building Fund"). The District shall have sole responsibility that such proceeds be used for the purposes authorized by the Measure for which the Bonds are being issued. Any premium and accrued interest received shall be deposited in the related Interest and Sinking Fund within the County treasury. Additionally, a portion of the proceeds of the Bonds shall be transferred to the Paying Agent, as costs of issuance custodian, for the payment of the costs of issuance relating to the Bonds, as directed by the District.

(b) *Investment of Proceeds.* All funds held by the County Treasurer hereunder on behalf of the District shall be invested by the County Treasurer or its agent in the County Investment Pool, any investment authorized pursuant to Sections 53601 and 53635 of the Government Code, or in any Investment Agreement; provided that such agreements comply with the requirements of Section 148 of the Code, to the extent applicable to the related series or subseries of Bonds, and with the requirements of each rating agency then rating the Bonds necessary in order to maintain the then-current rating on the Bonds.

Subject to a determination by the Chief Financial Officer, any Authorized Officer may request the County Treasurer to invest funds held in an Interest and Sinking Fund of the District and in the Building Fund of the District in specific Investment Agreements. Pursuant to Section 5922 of the California Government Code, this Board of Education hereby finds and determines that the Investment Agreements will reduce the amount and duration of interest rate risk with respect to amounts invested pursuant to the Investment Agreements and are designed to reduce the amount or duration of payment, rate, spread or similar risk or result in a lower cost of borrowing when used in combination with the Bonds or enhance the relationship between risk and return with respect to investments of proceeds of the Bonds and funds held to pay the Bonds.

(c) *Excess Proceeds.* Any excess proceeds of Bonds on deposit in the Building Fund not needed for the authorized purposes set forth herein for which such Bonds are being issued shall be transferred to the applicable Interest and Sinking Fund and applied to the payment of principal of, premium, if any, and interest on the related Bonds.

Section 12. Tax Covenants. (a) *General.* The District shall not take any action, or fail to take any action, if such action or failure to take such action would adversely affect the exclusion from gross income of the interest payable on any Tax-Exempt Bonds under Section 103 of the Code. Without limiting the generality of the foregoing, the District hereby covenants that it will comply with the requirements of the Tax Certificate to be executed by the District on the date of issuance of any Tax-Exempt Bonds (each, a "Tax Certificate"). The provisions of this subsection (a) shall survive payment in full or defeasance of the Tax-Exempt Bonds.

(b) *Yield Restriction.* In the event that at any time the District is of the opinion that for purposes of this Section it is necessary or helpful to restrict or limit the yield on the investment of any monies held by the County Treasurer on behalf of the District, in accordance with this Resolution or pursuant to law, the District shall so request of the County Treasurer in writing, and the District shall make its best efforts to ensure that the County Treasurer shall take such action as may be necessary in accordance with such instructions so that the Tax-Exempt Bonds will not constitute arbitrage bonds under Section 148 of the Code and the applicable Treasury Regulations promulgated under that section.

(c) *Private Activity.* The District will not take or omit to take any action or make any use of the proceeds of the Tax-Exempt Bonds or of any other moneys or property which would cause the Tax-Exempt Bonds to be "private activity" bonds within the meaning of Section 141 of the Code.

(d) *Arbitrage.* The District will make no use of the proceeds of the Tax-Exempt Bonds or of any other amounts or property, regardless of the source, or take or omit to take any action which would cause the Tax-Exempt Bonds to be "arbitrage bonds" within the meaning of Section 148 of the Code.

(e) *Federal Guarantee.* The District will make no use of the proceeds of the Tax-Exempt Bonds or take or omit to take any action that would cause the Tax-Exempt Bonds to be "federally guaranteed" within the meaning of Section 149(b) of the Code.

(f) *Hedge Bonds.* The District will make no use of the proceeds of the Tax-Exempt Bonds or any other amounts or property, regardless of the source, or take any action or refrain from taking any action that would cause either the Tax-Exempt Bonds to be considered "hedge bonds" within the meaning of Section 149(g) of the Code unless the District takes all necessary action to assure compliance with the requirements of Section 149(g) of the Code to maintain the exclusion from gross income of interest on the Tax-Exempt Bonds for federal income tax purposes.

(g) *Information Reporting.* The District will take or cause to be taken all necessary action to comply with the informational reporting requirement of Section 149(e) of the Code.

(h) *Reliance on Opinion of Tax Counsel.* Notwithstanding any provision of this Section, if the District shall provide to the County Treasurer an Opinion of Tax Counsel that any specified action required under this Section is no longer required or that some further or different action is required to maintain the exclusion from federal income tax of interest on Bonds not issued as Taxable Bonds under Section 103 of the Code, the County Treasurer may conclusively rely on such Opinion of Tax Counsel in complying with the requirements of

this Section and of each Tax Certificate with respect to the Bonds not issued as Taxable Bonds, and the covenants hereunder shall be deemed to be modified to that extent.

Section 14. Professional Services. In connection with the issuance of the Bonds, Public Resources Advisory Group is hereby appointed to serve as Municipal Advisor (the "Municipal Advisor") to the District, and Dannis Woliver Kelley is hereby appointed to serve as Bond Counsel and Disclosure Counsel to the District.

Section 15. Delegation of Authority. Each Authorized Officer is hereby authorized and directed to, or to authorize in writing any officer or employee of the District to, execute and deliver, for and on behalf of the District, any and all documents and instruments and to do and cause to be done any and all acts and things necessary or advisable in order to consummate the transactions contemplated by this Resolution and otherwise to carry out, give effect to and comply with the terms and intent of this Resolution, the Bond Purchase Agreement, and the Continuing Disclosure Certificate. Without limiting the generality of the foregoing, the President of this Board of Education, the Executive Officer of this Board of Education, and any Authorized Officer are hereby authorized and directed to execute and deliver any and all agreements, certificates and representations, including but not limited to (i) signature certificates, no litigation certificates, and certificates concerning the contents of the Preliminary Official Statement and the Official Statement, (ii) representation letters to The Depository Trust Company, (iii) the Tax Certificate, (iv) a costs administrator agreement, (v) any other certificates proposed to be delivered in connection with the sale or issuance of the Bonds, (vi) any Investment Agreements entered into pursuant to the authority granted hereunder, and (vii) and any other agreements, letters, documents, certificates or representations, which any of them deem necessary and desirable to accomplish the transactions authorized herein.

(a) Section 16. Approval of Actions. All actions heretofore taken by the officers and agents of this Board of Education with respect to the Bonds are hereby approved, confirmed, and ratified.

(b) Section 17. Filing with the County. Pursuant to Section 15140 of the Education Code of the State, the Executive Officer of this Board of Education is hereby authorized and directed to file a certified copy of this Resolution with the Executive Officer-Clerk of the Board of Supervisors of the County, the County Auditor-Controller, and the County Treasurer.

(c) Section 18. Severability. In the event any provision of this Resolution shall be held invalid or unenforceable by any court of competent jurisdiction, such holding shall not invalidate or render unenforceable any other provision hereof.

(d) Section 19. Contract with Bondholders. The provisions of this Resolution shall be a contract with each and every owner of Bonds and the duties of the District and of the Board of Education and the officers of the District shall be enforceable by any owner of Bonds by mandamus or other appropriate suit, action or proceeding in any court of competent jurisdiction.

(e) Section 20. Amendments. This Resolution may be modified or amended without the consent of the Owners in order to cure ambiguities or provide clarification, provided that such modification or amendment does not materially adversely affect the rights of Owners of Bonds. For any other purpose, this Resolution may be modified or amended only with the consent of the Owners of a majority of the aggregate principal amount of all

Bonds then outstanding. No such modification or amendment shall extend the maturity of, reduce the interest rate or redemption premium on or principal amount of Bonds or reduce the percentage of consent required for amendment hereof without the express consent of all the Owners so affected.

Section 21. Effective Date. This Resolution shall take effect from and after its adoption.

PASSED AND ADOPTED this 3rd day of June, 2025, by the Board of Education of the Los Angeles Unified School District.

By: _____
Executive Officer, Board of Education

EXHIBIT AGOVERNMENT CODE SECTION 5852.1 DISCLOSURE AND
COSTS OF ISSUANCE ESTIMATES

In accordance with Section 5852.1(a)(1) of the California Government Code and Section 15146(b)(1)(D) of the California Education Code, the following information was obtained from Public Resources Advisory Group, as the District's Municipal Advisor, with respect to the Bonds approved in the attached Resolution (the "Bonds") assuming the principal amount of the Bonds is \$700,000,000:

1. True Interest Cost of the Bonds. Based on market interest rates prevailing at the time of preparation of this information, a good faith estimate of the true interest cost of the New Money Bonds, which means the rate necessary to discount the amounts payable on the respective principal and interest payment dates to the purchase price received for the Bonds, is 4.39%.

2. Finance Charge of the Bonds. Based on market interest rates prevailing at the time of preparation of this information, a good faith estimate of the finance charge of the Bonds, which means the sum of all fees and charges paid to third parties (or costs associated with the Bonds), is \$2,339,167.

3. Amount of Proceeds to be received. Based on market interest rates prevailing at the time of preparation of this information, a good faith estimate of the amount of proceeds expected to be received by the District for sale of the Bonds less the finance charge of the Bonds described in paragraph 2 above and any reserves or capitalized interest paid or funded with proceeds of the Bonds, is \$697,660,833.

4. Total Payment Amount. Based on market interest rates prevailing at the time of preparation of this information, a good faith estimate of the total payment amount, which means the sum total of all payments the District will make to pay debt service on the Bonds plus the finance charge of the Bonds described in paragraph 2 above not paid with the proceeds of the Bonds, calculated to the final maturity of the Bonds, is \$1,155,283,628.

Attention is directed to the fact that the foregoing information constitutes good faith estimates only. The actual interest cost, finance charges, amount of proceeds and total payment amount may vary from the estimates above due to variations from these estimates in the timing of Bond sales, the amount of Bonds sold, the amortization of the Bonds sold and market interest rates at the time of each sale. The date or dates of sale and the amount of Bonds sold will be determined by the District based on need for project funds and other factors. The actual interest rates at which the Bonds will be sold will depend on the bond market at the time of each sale. The actual amortization of the Bonds will also depend, in part, on market interest rates at the time of each sale. Market interest rates are affected by economic and other factors beyond the District's control. The Board of Education has approved the issuance of each series of Bonds with a maximum true interest cost of 6.00%.

EXECUTIVE OFFICER'S CERTIFICATE

I, _____, Executive Officer of the Board of Education of the Los Angeles Unified School District, County of Los Angeles, California, hereby certify as follows:

The attached is a full, true and correct copy of a resolution duly adopted at a regular meeting of said Board of Education of said District duly and regularly held at the regular meeting place thereof on June 3, 2025, at which meeting all of the members of said Board of Education had due notice and at which a quorum thereof was present; and at said meeting said resolution was adopted by the following vote:

AYES:

NOES:

ABSTAIN:

ABSENT:

An agenda of said meeting was posted at least 72 hours before said meeting at 333 South Beaudry Avenue, Los Angeles, California, a location freely accessible to members of the public, and a brief description of said resolution appeared on said agenda. A copy of said agenda is attached hereto.

I have carefully compared the same with the adopted resolution on file and of record in my office. Said resolution has not been amended, modified or rescinded since the date of its adoption, and the same is now in full force and effect.

WITNESS my hand this ____ day of _____, 2025.

By: _____

Executive Officer of the Board of
Education of Los Angeles
Unified School District

RESOLUTION OF THE BOARD OF SUPERVISORS OF THE COUNTY OF LOS ANGELES AUTHORIZING THE ISSUANCE AND SALE OF NOT TO EXCEED \$1,000,000,000 AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS OF LOS ANGELES UNIFIED SCHOOL DISTRICT **UNDER THE DISTRICT'S MEASURE Q**, MEASURE RR AND MEASURE US BOND AUTHORIZATIONS, OR ANY COMBINATION THEREOF, IN ONE OR MORE SERIES OR SUBSERIES AND IN THE FORM OF TAX-EXEMPT OR FEDERALLY TAXABLE BONDS, BY NEGOTIATED SALE PURSUANT TO ONE OR MORE BOND PURCHASE AGREEMENTS, PRESCRIBING THE TERMS OF SALE OF THE BONDS, APPROVING THE FORMS OF AND AUTHORIZING THE EXECUTION AND DELIVERY OF ONE OR MORE BOND PURCHASE AGREEMENTS, AND AUTHORIZING THE EXECUTION OF NECESSARY DOCUMENTS AND CERTIFICATES AND RELATED ACTIONS

WHEREAS, an election was duly called and regularly held in the Los Angeles Unified School District, County of Los Angeles, California (the "District") on November 4, 2008, pursuant to Section 1(b)(3) of Article XIII A of the Constitution of the State of California (the "State") and Chapter 1.5 of Title 1, Division 1, Part 10 of the California Education Code (the "Act"), and thereafter canvassed pursuant to law (Measure Q"); and

WHEREAS, at such election there was submitted to and approved by the requisite approval of at least 55% of the qualified electors of the District voting on the measure in the election a question as to the issuance and sale of general obligation bonds of the District for various purposes set forth in the ballot submitted to the voters, in the maximum amount of \$7.00 billion, payable from the levy of an *ad valorem* tax against taxable property in the District (the "Measure Q Authorization"); and

WHEREAS, an election was duly called and regularly held in the District on November 3, 2020, pursuant to Section 1(b)(3) of Article XIII A of the Constitution of the State and the Act, and thereafter canvassed pursuant to law ("Measure RR"); and

WHEREAS, at such election there was submitted to and approved by the requisite approval of at least 55% of the qualified electors of the District voting on the measure in the election a question as to the issuance and sale of general obligation bonds of the District for various purposes set forth in the ballot submitted to the voters, in the maximum amount of \$7.00 billion, payable from the levy of an *ad valorem* tax against taxable property in the District (the "Measure RR Authorization"); and

WHEREAS, an election was duly called and regularly held in the District on November 5, 2024, pursuant to Section 1(b)(3) of Article XIII A of the Constitution of the State and the Act, and thereafter canvassed pursuant to law ("Measure US" and together with Measure Q and Measure RR, the "Measures"); and

WHEREAS, at such election there was submitted to and approved by the requisite approval of at least 55% of the qualified electors of the District voting on the measure in the election a question as to the issuance and sale of general obligation bonds of the District for

various purposes set forth in the ballot submitted to the voters, in the maximum amount of \$9.00 billion, payable from the levy of an *ad valorem* tax against taxable property in the District (the "Measure US Authorization"); and

WHEREAS, the Board of Education of the District (the "Board of Education") has requested this Board of Supervisors (the "Board of Supervisors") of the County of Los Angeles (the "County") to authorize and consummate the sale of bonds in one or more series or subseries, by individual Measure or combined series or subseries of multiple Measures pursuant to Section 15231 of the Education Code, and in the form of tax-exempt or federally taxable bonds, or any combination thereof, in an aggregate principal amount not exceeding \$1,000,000,000, according to the terms and in the manner hereinafter set forth (bonds issued as a separate series or subseries individually under the Measure Q Authorization and/or in combination with bonds authorized under the Measure RR Authorization and/or the Measure US Authorization, the "Measure Q Bonds," bonds issued as a separate series or subseries individually under the Measure RR Authorization and/or in combination with bonds authorized under the Measure Q Authorization and/or the Measure US Authorization, the "Measure RR Bonds" and bonds issued as a separate series or subseries individually under the Measure US Authorization and/or in combination with bonds authorized under the Measure RR Authorization and/or the Measure Q Authorization, the "Measure US Bonds", and together with the Measure Q Bonds and the Measure RR Bonds, the "Bonds"); and

WHEREAS, the Board of Education deemed it necessary and desirable that the Bonds be issued for the purpose of financing projects authorized to be financed under the Measure Q Authorization the Measure RR Authorization and the Measure US Authorization, or any combination of the foregoing; and

WHEREAS, the Board of Education has requested the Board of Supervisors to authorize the sale of the Bonds in light of current market conditions, the District's declining enrollment and budget uncertainties, the debt structuring flexibility provided and the ability to include a retail order period and to provide meaningful roles for underwriter firms of various sizes, by negotiated sale pursuant to the Bond Purchase Agreement (the "Bond Purchase Agreement"), in the form presented to this meeting to be entered into with one or more of the underwriters from the District's underwriter bench (each, an "Underwriter" and, collectively, the "Underwriters"), in accordance to the terms and in the manner set forth in a resolution duly adopted by the Board of Education on [May 13, 2025], a certified copy of which has been filed with the Executive Officer-Clerk of this Board of Supervisors (the "District Resolution"); and

WHEREAS, in the District Resolution, the Board of Education of the District found, and informed this Board of Supervisors, that all acts, conditions and things required by the Constitution and laws of the State to exist, to have happened and to have been performed precedent to and in connection with the consummation of the actions authorized by the District Resolution do exist, have happened and have been performed in regular and due time, form and manner as required by law, and that the District is now duly authorized and empowered, pursuant to each and every requirement of law, to consummate such actions for the purpose, in the manner and upon the terms provided in the District Resolution; and

WHEREAS, there have been prepared and submitted to this meeting the form of the Bond Purchase Agreement; and

WHEREAS, this Board of Supervisors accepts the representations of the Board of Education in the District Resolution that it is desirable for the Board of Supervisors to issue the Bonds on behalf of the District and to sell the Bonds by negotiated sale for the purposes for which the Bonds have been authorized on the terms and conditions set forth in the District Resolution; and

WHEREAS, applicable law mandates that the Bonds shall be offered for sale by the Board of Supervisors of the County, the County Superintendent of which has jurisdiction over the District, as soon as possible following receipt of a resolution duly adopted by the Board of Education of the District; and

WHEREAS, the Bonds will be issued by this Board of Supervisors in the name of and on behalf of the District, payable from *ad valorem* taxes to be levied on all taxable property in the District, as herein provided.

NOW, THEREFORE, BE IT RESOLVED BY THE BOARD OF SUPERVISORS OF THE COUNTY OF LOS ANGELES AS FOLLOWS:

Section 1. Recitals. All of the above recitals are true and correct.

Section 2. Definitions. For the purposes of this Resolution, unless the context otherwise requires, the terms defined in this Section shall, for all purposes of this Resolution, have the meanings specified herein. Terms used and not defined herein shall have the meanings set forth in the District Resolution. Unless the context otherwise indicates, words importing the singular number shall include the plural number and vice versa.

"Advance Refunded Municipal Securities" shall mean any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local government unit of any such state (i) which are not callable prior to maturity or as to which irrevocable instructions have been given to the trustee, fiscal agent or other fiduciary for such bonds or other obligations by the obligor to give due notice of redemption and to call such bonds or other obligations for redemption on the date or dates specified in such instructions, (ii) which are secured as to principal of, premium, if any, and interest by a fund consisting only of cash, direct United States or United States guaranteed obligations, or any combination thereof, which fund may be applied only to the payment of such principal of, premium, if any, and interest on such bonds or other obligations on the maturity date or dates thereof or the redemption date or dates specified in the irrevocable instructions referred to in clause (i) above, as appropriate, and (iii) as to which the principal of, premium, if any, and interest on the bonds and obligations of the character described in clause (i) above which have been deposited in such fund, along with any cash on deposit in such fund, have been verified by an independent certified public accountant as being sufficient to pay principal of, premium, if any, and interest on such bonds or other obligations on the maturity date or dates thereof or on the redemption date or dates specified in the irrevocable instructions referred to in clause (i) above, as applicable.

"Authorized Officer" means the officers of the County, including the County Treasurer, the Deputy Treasurer and their authorized representatives, authorized to act with regard to general obligation bond matters.

"Authorized District Officer" shall mean any of the Chief Financial Officer, the Deputy Chief Financial Officer, the Controller and the Deputy Controller.

"Board of Education" shall mean the Board of Education of the District.

"Board of Supervisors" shall mean the Board of Supervisors of the County.

"Bonds" shall mean the bonds authorized and issued pursuant to this Resolution, at the request of the District pursuant to the District Resolution.

"Building Fund" means the Building Fund established pursuant to Section 13 of this Resolution.

"Business Day" shall mean a day which is not a Saturday, Sunday or a day on which banking institutions in the State or the State of New York and the New York Stock Exchange are authorized or required to be closed.

"Cede & Co." shall mean Cede & Co., the nominee of DTC, and any successor nominee of DTC with respect to the Bonds.

"Chair of this Board of Supervisors" shall mean the Chair, Chairman or Mayor of the Board of Supervisors of the County of Los Angeles, California.

"Chief Financial Officer" shall mean the Chief Financial Officer of the District or any designee of the Chief Financial Officer of the District.

"Clerk" shall mean the Executive Officer-Clerk of the Board of Supervisors of the County or an authorized deputy of such officer.

"Code" shall mean the Internal Revenue Code of 1986.

"Controller" shall mean the Controller of the District or any designee of the Controller of the District.

"Costs of Issuance" means all of the authorized costs of issuing the Bonds as described in Section 15145(a) of the Education Code, including but not limited to, all printing and document preparation expenses in connection with this Resolution, the Bonds and the preliminary Official Statement and Official Statement pertaining to the Bonds and any and all other agreements, instruments, certificates or other documents prepared in connection therewith; rating agency fees; auditor's fees; CUSIP service bureau charges; legal fees and expenses of counsel with respect to the financing, including the fees and expenses of Bond Counsel and Disclosure Counsel; the fees and expenses of the Municipal Advisor; the fees and

expenses of the Paying Agent; fees for credit enhancement (if any) relating to the Bonds; and other fees and expenses incurred in connection with the issuance of the Bonds, to the extent such fees and expenses are approved by the District.

"County" shall mean the County of Los Angeles.

"County Auditor-Controller" shall mean the Auditor-Controller of the County or any authorized deputy thereof.

"County Treasurer" shall mean the Treasurer and Tax Collector of the County or any authorized deputy thereof.

"Defeasance Securities" shall mean (i) non-callable direct and general obligations of the United States of America (including state and local government series), or obligations that are unconditionally guaranteed as to principal and interest by the United States of America, including (in the case of direct and general obligations of the United States of America), evidences of direct ownership of proportionate interests in future interest or principal payments of such obligations; provided that investments in such proportionate interests must be limited to circumstances wherein

(a) a bank or trust company acts as custodian and holds the underlying United States obligations;

(b) the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor of the underlying United States obligations; and (c) the underlying United States obligations are held in a special account, segregated from the custodian's general assets, and are not available to satisfy any claim of the custodian, any person claiming through the custodian, or any person to whom the custodian may be obligated;

(ii) non-callable obligations of government sponsored agencies that are rated in one of the two highest rating categories assigned by S&P or Moody's but are not guaranteed by a pledge of the full faith and credit of the United States of America; and (iii) Advance Refunded Municipal Securities.

"Deputy Chief Financial Officer" shall mean the Deputy Chief Financial Officer of the District or any designee of the Deputy Chief Financial Officer of the District.

"Deputy Controller" shall mean the Deputy Controller of the District or any designee of the Deputy Controller of the District.

"District" shall mean the Los Angeles Unified School District.

"District Resolution" means the Resolution of the District adopted on June 3, 2025 requesting the Board of Supervisors to sell the Bonds.

"DTC" shall mean The Depository Trust Company, New York, New York, and its successors and assigns.

"Interest Payment Date" shall mean each January 1 and July 1 of each year, commencing on the date set forth in the Bond Purchase Agreement, as applicable, until the

final maturity of the Bonds and the final maturity date of the Bonds or such other dates as shall be set forth in the Bond Purchase Agreement, as applicable.

"Interest and Sinking Fund" shall mean the interest and sinking fund of the District designated to correspond to the applicable general obligation bonds or general obligation refunding bonds of the District and related voter-approved bond measure of the District established for such bonds and used only for payment of principal of and interest on such bonds.

"Investment Agreements" shall mean, collectively, investment agreements, guaranteed investment contracts, float contracts or other investment products subject to the requirements set forth in Section 13 hereof.

"Letter of Representations" shall mean the blanket letter of representations from the District to DTC with respect to the Bonds, as such blanket letter of representations may be amended, supplemented or otherwise modified and in effect from time to time.

"Moody's" means Moody's Investors Service, Inc., a corporation duly organized and existing under the laws of the State of Delaware, and its successors and assigns, except that if such entity shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, then the term "Moody's" shall be deemed to refer to any other nationally recognized securities rating agency selected by the District.

"Municipal Advisor" means, in accordance with the District Resolution, Public Resources Advisory Group.

"Official Statement" means the Official Statement of the District relating to a series of Bonds.

"Owner" shall mean with respect to any Bond, the Person in whose name such Bond is registered on the Registration Books.

"Paying Agent" shall mean the County Treasurer or any bank, trust company, national banking association or other financial institution appointed as authenticating agent, bond registrar, transfer agent and paying agent for the Bonds in the manner provided in this Resolution.

"Person" shall mean an individual, corporation, limited liability company, firm, association, partnership, trust, or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

"Record Date" shall mean, with respect to any Interest Payment Date for Bonds, the close of business on the 15th day of the month preceding an Interest Payment Date for such Bonds or such other date or dates as shall be set forth in the related Bond Purchase Agreement, as applicable.

"Registration Books" shall mean the records maintained by the Paying Agent for the registration of ownership and registration of transfer of the Bonds, as defined in this Resolution.

"Resolution" shall mean this Resolution of the Board of Supervisors.

"Resolutions" shall mean, collectively, this Resolution and the District Resolution.

"Securities Act" shall mean the Securities Act of 1933, as amended.

"State" shall mean the State of California.

"S&P" means Standard & Poor's Ratings Services, a Standard & Poor's Financial Services LLC business duly organized and existing under the laws of the State of New York, and its successors and assigns, except that if such entity shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, then the term "S&P" shall be deemed to refer to any other nationally recognized securities rating agency selected by the District.

"Tax Certificate" shall mean the Tax Certificate with respect to the Bonds issued as Tax-Exempt Bonds, executed by the District, dated the date of issuance of such Bonds.

"Tax-Exempt Bonds" shall mean the series or subseries of the Bonds bearing interest that is excluded from the gross income of the holders thereof for federal income tax purposes, whether or not such interest is includable as an item of tax preference or otherwise includable directly or indirectly for purposes of calculating other tax liabilities, including any alternative minimum tax or environmental tax under the Code.

"Taxable Bonds" shall mean the series or subseries of the Bonds bearing interest that is included in gross income for federal income tax purposes under Section 103 of the Code.

Section 3. District Resolution Incorporated. The Board of Supervisors hereby acknowledges receipt of the District Resolution. The District Resolution is incorporated herein by reference and all of the provisions thereof are made a part hereof and shall be applicable to the bonds herein provided for, except as herein otherwise expressly provided.

Section 4. Authorization and Designation of the Bonds; Purpose of Bonds.

(a) *Authorization and Designation.* This Board of Supervisors hereby authorizes, in the name of and on behalf of the District, the issuance and sale, by a negotiated sale of Bonds pursuant to the Measures, in one or more series or subseries, in an aggregate principal amount not exceeding \$1,000,000,000, and designates each series or subseries of the Bonds as the "Los Angeles Unified School District (County of Los Angeles, California) General Obligation Bonds," with appropriate election, series, subseries and other designations as may be set forth in the Bond Purchase Agreement.

(b) *Purpose of Bonds.* The proceeds of the Bonds, exclusive of any premium and accrued interest received, shall be applied to finance projects authorized to be financed under

the Measures, and to pay all necessary legal, financial, engineering and contingent costs in connection therewith.

Section 5. Form of Bonds; Execution. (a) *Form of Bonds.* The Bonds shall be issued in fully registered form without coupons. The Bonds, and the paying agent's certificate of authentication and registration and the form of assignment to appear on each of them, shall be in substantially the form attached hereto as Exhibit A, with necessary or appropriate variations, omissions and insertions as permitted or required by this Resolution, including such variations, omissions and insertions as are necessary to reflect the terms, conditions and limitations contained in this Resolution.

(b) *Execution of Bonds.* The Bonds shall be signed by the manual or facsimile signatures of the Chair of the Board of Supervisors and the County Treasurer, and countersigned by the manual or facsimile signature of the Clerk of the Board of Supervisors. The Bonds shall be authenticated by a manual signature of a duly authorized officer of the Paying Agent.

(c) *Valid Authentication.* Only such of the Bonds as shall bear thereon a certificate of authentication and registration in the form set forth in Exhibit A executed by the Paying Agent shall be valid or obligatory for any purpose or entitled to the benefits of this Resolution, and such certificate of the Paying Agent shall be conclusive evidence that the Bonds so authenticated have been duly authenticated and delivered hereunder and are entitled to the benefits of this Resolution.

(d) *Identifying Number.* The Paying Agent shall assign each Bond authenticated and registered by it a distinctive letter, or number, or letter and number, and shall maintain a record thereof at its principal corporate trust office, which record shall be available to the District and the County for inspection.

Section 6. Terms of Bonds. (a) *Date of Bonds.* Each Bond shall be dated the date of delivery or such other date as shall be set forth in the Bond Purchase Agreement.

(b) *Denominations.* The Bonds shall be issued in denominations of \$5,000 principal amount or any integral multiple thereof.

(c) *Maturity.* The Bonds shall mature on the dates, in each of the years, in the principal amounts and in the aggregate principal amount as shall be set forth in the Bond Purchase Agreement. No Bond shall mature later than the date which is 25 years from the date of such Bond.

(d) *Interest.* The Bonds shall bear interest at an interest rate or rates not to exceed 8.00% per annum, payable on the Interest Payment Dates in each year computed on the basis of a 360-day year of twelve 30-day months (or on such other basis as shall be set forth in the Bond Purchase Agreement). Each Bond shall bear interest from the Interest Payment Date for such Bond next preceding the date of authentication thereof, unless it is authenticated as of a date during the period from the Record Date next preceding an Interest Payment Date for such Bond to such Interest Payment Date, inclusive, in which event it shall bear interest from such Interest Payment Date, or unless it is authenticated on or before the Record Date

preceding the first Interest Payment Date for such Bond, in which event it shall bear interest from its dated date; provided, however, that if, at the time of authentication of any Bond, interest is in default on any outstanding Bonds of such series or subseries, such Bond shall bear interest from the Interest Payment Date to which interest has previously been paid or made available for payment on the outstanding Bonds of such series or subseries. If provided in the Bond Purchase Agreement, Bonds may have different interest rates for separately defined periods of the term thereof as set forth in the Bond Purchase Agreement.

(e) *Tax-Exempt or Taxable Bonds.* The Bonds may be issued as Tax-Exempt Bonds or Taxable Bonds, or any combination thereof. The Board of Supervisors hereby finds and determines that, pursuant to Section 5903 of the California Government Code, the interest payable on any portion of the Bonds issued as Taxable Bonds will be subject to federal income taxation under the Code in existence on the date of issuance of such Bonds.

Section 7. Payment of Bonds. (a) *Tax Levy.* The money for the payment of principal, redemption premium, if any, and interest with respect to the Bonds shall be raised by taxation upon all taxable property in the District and provision shall be made for the levy and collection of such taxes in the manner provided by law and for such payment out of the Interest and Sinking Fund of the District for the related series or subseries of Bonds as provided in Section 15146 of the Education Code, and the Board of Supervisors hereby covenants to annually levy *ad valorem* taxes for the payment of the Bonds on all property in the District subject to taxation by the District without limitation as to rate or amount (except certain personal property which is taxable at limited rates). The tax levied for each Measure is levied specifically for the purpose of paying each series or subseries of Bonds issued to finance the projects specified in such Measure and for no other purpose.

(b) *Principal.* The principal of the Bonds shall be payable in lawful money of the United States of America to the Owner thereof, upon the surrender thereof at the principal corporate trust office of the Paying Agent.

(c) *Interest; Record Date.* The interest on each series or subseries of Bonds shall be payable on each Interest Payment Date in lawful money of the United States of America to the Owner thereof as of the Record Date preceding such Interest Payment Date, such interest to be paid by check or draft mailed on such Interest Payment Date (if a business day, or on the next business day if the Interest Payment Date does not fall on a business day) to such Owner at such Owner's address as it appears on the Registration Books or at such address as the Owner may have filed with the Paying Agent for that purpose except that the payment shall be made by wire transfer of immediately available funds to any Owner of at least \$1,000,000 of outstanding Bonds of a Series who shall have requested in writing such method of payment of interest prior to the close of business on the Record Date immediately preceding any Interest Payment Date. So long as Cede & Co. or its registered assigns shall be the Owner of the Bonds, payment shall be made in immediately available funds as provided in Section 10(e) hereof.

(d) *Interest and Sinking Fund; Obligation of the District.* Principal, redemption premium, if any, and interest due on Bonds shall be paid from the Interest and Sinking Fund of the District established for such Bonds as provided in Section 15146 of the Education Code. No

part of any fund of the County is pledged or obligated to the payment of the Bonds. The obligation for repayment of the Bonds is the sole obligation of the District.

(e) *Pledge of Taxes.* Pursuant to the District Resolution, the District pledges, and grants a lien on and security interest in, all revenues from the property taxes collected from the levy by the Board of Supervisors with respect to each Measure for payment of Bonds issued under such Measures of the District and all amounts on deposit in any Interest and Sinking Fund of the District for the payment of the principal or redemption price of and interest on such Bonds. The District Resolution provides that this pledge and grant shall be valid and binding from the date of adoption of the District Resolution for the benefit of the owners of such Bonds and successors thereto. The District Resolution further provides that the property taxes and amounts held in each Interest and Sinking Fund of the District shall be immediately subject to this pledge and grant, and this pledge and grant shall constitute a lien and security interest which shall immediately attach to the property taxes and amounts held in such Interest and Sinking Fund of the District to secure the payment of such Bonds and shall be effective, binding, and enforceable against the District, its successors, creditors and all others irrespective of whether those parties have notice of the pledge or grant, and without the need of any physical delivery, recordation, filing, or further act.

The District Resolution provides that this pledge and grant is an agreement between the District and the owners of each series of Bonds and of each issue of outstanding general obligation bonds and general obligation refunding bonds to provide security for each series of Bonds and all such other general obligation bonds and general obligation refunding bonds of the District in addition to any statutory lien that may exist, and each such issue of general obligation bonds and general obligation refunding bonds of the District are or were issued to finance or refinance, as applicable, one or more of the projects specified in such Measure and not to finance the general purposes of the District. For the avoidance of doubt, in accordance with Section 15251 of the Education Code, such Bonds are also automatically secured by a statutory lien on all revenues received pursuant to the levy and collection of the tax for each Measure.

(f) *Insurance.* The payment of principal of and interest on all or a portion of the Bonds may be secured by a municipal bond insurance policy as shall be described in the Bond Purchase Agreement. The Bond Purchase Agreement may provide that no municipal bond insurance policy shall be obtained. The District Resolution provides that certain officers of the District are authorized to apply for, or cause to be applied for, municipal bond insurance for the Bonds, and to execute and deliver a contract or contracts in order to obtain such insurance if doing so puts such Bonds (or portion thereof) and the marketing thereof on an economically advantageous basis, and is deemed to be in the best interests of the District, such determination to be conclusively evidenced by the execution and delivery of such contract.

Section 8. Redemption Provisions. (a) *Optional Redemption.* The Bonds of each series or subseries may be subject to redemption, at the option of the District, on the dates and terms as shall be designated in the related Bond Purchase Agreement. The related Bond Purchase Agreement may provide that the Bonds of a series or subseries shall not be subject to optional redemption.

(b) *Selection.* If less than all of the Bonds of a series or subseries, if any, are subject to such redemption and are called for redemption, such Bonds shall be redeemed as directed by the District (or as otherwise set forth in the related Bond Purchase Agreement), and if less than all of the Bonds of any given maturity of a series or subseries are called for redemption, the portions of such Bonds of a given maturity to be redeemed shall be determined by lot (or as otherwise set forth in the related Bond Purchase Agreement).

(c) *Mandatory Sinking Fund Redemption.* The Bonds, if any, which are designated in the related Bond Purchase Agreement as term bonds shall also be subject to redemption prior to their stated maturity dates, without a redemption premium, in part by lot or as otherwise directed by the District (or as otherwise set forth in the related Bond Purchase Agreement), from mandatory sinking fund payments in the amounts and in accordance with the terms to be specified in the Bond Purchase Agreement. Unless otherwise provided in the related Bond Purchase Agreement, the principal amount of each mandatory sinking fund payment of any maturity shall be reduced proportionately or as otherwise directed by the District by the amount of any Bonds of that maturity redeemed in accordance with subsection (a) of this Section prior to the mandatory sinking fund payment date. The related Bond Purchase Agreement may provide that the Bonds shall not be subject to mandatory sinking fund redemption. The County Auditor-Controller is hereby authorized to create such sinking funds or accounts for the term Bonds as shall be necessary to accomplish the purposes of this Section.

(d) *Notice of Redemption.* Notice of any redemption of the Bonds of a series or subseries shall be mailed by the Paying Agent, postage prepaid, not less than 20 nor more than 60 days prior to the redemption date (i) by first class mail to the County and the respective Owners thereof at the addresses appearing on the Registration Books, and (ii) as may be further required in accordance with the Continuing Disclosure Certificate.

Each notice of redemption shall state (i) the date of such notice; (ii) the name of the series or subseries of Bonds and the date of issue of such series or subseries of Bonds; (iii) the redemption date; (iv) the redemption price; (v) the dates of maturity or maturities of Bonds to be redeemed; (vi) if less than all of the Bonds of any maturity of a series or subseries are to be redeemed, the distinctive numbers of the Bonds of each maturity of such series or subseries to be redeemed; (vii) in the case of Bonds of a series or subseries redeemed in part only, the respective portions of the principal amount of the Bonds of each maturity of such series or subseries to be redeemed; (viii) the CUSIP number, if any, of each maturity of Bonds to be redeemed; (ix) a statement that such Bonds must be surrendered by the Owners at the principal corporate trust office of the Paying Agent, or at such other place or places designated by the Paying Agent; (x) notice that further interest on such Bonds will not accrue after the designated redemption date; and (xi) in the case of a conditional notice, that such notice is conditioned upon certain circumstances and the manner of rescinding such conditional notice.

(e) *Effect of Notice.* A certificate of the Paying Agent that the notice of redemption that has been given to Owners as herein provided shall be conclusive as against all parties. Neither the failure to receive the notice of redemption as provided in this Section, nor any defect in such notice shall affect the sufficiency of the proceedings for the redemption of the Bonds called for redemption or the cessation of interest on the date fixed for redemption.

When notice of redemption has been given substantially as provided for herein, and when the redemption price of the Bonds called for redemption is set aside for the purpose as described in subsection (g) of this Section, the Bonds designated for redemption shall become due and payable on the specified redemption date and interest shall cease to accrue thereon as of the redemption date, and upon presentation and surrender of such Bonds at the place specified in the notice of redemption, such Bonds shall be redeemed and paid at the redemption price thereof out of the money provided therefor. The Owners of such Bonds so called for redemption after such redemption date shall be entitled to payment thereof only from the related Interest and Sinking Fund or the trust fund established for such purpose. All Bonds redeemed shall be cancelled forthwith by the Paying Agent and shall not be reissued.

(f) *Right to Rescind Notice.* The District may rescind any optional redemption and notice thereof for any reason on any date prior to the date fixed for redemption by causing written notice of the rescission to be given to the owners of the Bonds so called for redemption. Any optional redemption and notice thereof shall be rescinded if for any reason on the date fixed for redemption moneys are not available in the related Interest and Sinking Fund or otherwise held in trust for such purpose in an amount sufficient to pay in full on said date the principal of and premium, if any, and interest due on the Bonds called for redemption. Notice of rescission of redemption shall be given in the same manner in which notice of redemption was originally given. The actual receipt by the owner of any Bond of notice of such rescission shall not be a condition precedent to rescission, and failure to receive such notice or any defect in such notice shall not affect the validity of the rescission.

(g) *Funds for Redemption.* Prior to or on the redemption date of any Bonds there shall be available in the related Interest and Sinking Fund of the District, or held in trust for such purpose as provided by law, monies for the purpose and sufficient to redeem, at the redemption prices as in this Resolution provided, the Bonds designated in the notice of redemption. Such monies shall be applied on or after the redemption date solely for payment of principal of and premium, if any, and interest due on the Bonds to be redeemed upon presentation and surrender of such Bonds, provided that all monies in the related Interest and Sinking Fund of the District shall be used for the purposes established and permitted by law. Any interest due on or prior to the redemption date shall be paid from the related Interest and Sinking Fund of the District, unless otherwise provided to be paid from such monies held in trust. If, after all of the Bonds have been redeemed and cancelled or paid and cancelled, there are monies remaining in the related Interest and Sinking Fund of the District or otherwise held in trust for the payment of redemption price of the Bonds, the monies shall be held in or returned or transferred to any Interest and Sinking Fund of the District for payment of any outstanding bonds of the District payable from such fund; provided, however, that if the monies are part of the proceeds of bonds of the District, the monies shall be transferred to the fund created for the payment of principal of and interest on such bonds. If no such bonds of the District are at such time outstanding, the monies shall be transferred to the general fund of the District as provided and permitted by law.

(h) *Defeasance of Bonds.* If at any time the District shall pay or cause to be paid or there shall otherwise be paid to the Owners of any or all of the outstanding Bonds of a series or subseries all or any part of the principal of and premium, if any, and interest on

such Bonds at the times and in the manner provided herein and in such Bonds, or as provided in the following paragraph, or as otherwise provided by law consistent herewith, then such Owners of such Bonds shall cease to be entitled to the obligation of the District as provided in Section 7 hereof, and such obligation and all agreements and covenants of the District and of the County to such Owners hereunder and under such Bonds shall thereupon be satisfied and discharged and shall terminate, except only that the District shall remain liable for payment of all principal of and premium, if any, and interest on such Bonds, but only out of monies on deposit in the related Interest and Sinking Fund or otherwise held in trust for such payment; and provided further, however, that the provisions of subsection (i) of this Section shall apply in all events.

For purposes of this Section, the District may pay and discharge any or all of the Bonds of a series or subseries by depositing in trust with the Paying Agent or an escrow agent, selected by the District, at or before maturity, money and/or Defeasance Securities, in an amount which will, together with the interest to accrue thereon and available monies then on deposit in the related Interest and Sinking Fund of the District, be fully sufficient to pay and discharge the indebtedness on such Bonds (including all principal, interest and redemption premiums) at or before their respective maturity dates.

(i) *Unclaimed Monies.* Any money held in any fund created pursuant to this Resolution, or by the Paying Agent or an escrow agent in trust, for the payment of the principal of, premium, if any, or interest on a Series of Bonds and remaining unclaimed for two years after the principal of all of such Series of Bonds has become due and payable (whether by maturity or upon prior redemption) shall be transferred to any Interest and Sinking Fund of the District for payment of any outstanding bonds of the District payable from that fund; or, if no such bonds of the District are at such time outstanding, the monies shall be transferred to the general fund of the District as provided and permitted by law.

Section 9. Paying Agent and Disbursement Agent. (a) *Appointment; Payment of Fees and Expenses.* This Board of Supervisors hereby consents to and confirms the appointment of the County Treasurer or the County Treasurer's third-party designee to act as initial Paying Agent for the Bonds under this Resolution. The County Treasurer is authorized to contract with a third party to perform the services of Paying Agent hereunder. All fees and expenses of the Paying Agent shall be the sole responsibility of the District, and to the extent not paid from the proceeds of sale of the Bonds, or from the related Interest and Sinking Fund, insofar as permitted by law, including specifically by Section 15232 of the Education Code, such fees and expenses shall be paid by the District.

(b) *Resignation, Removal and Replacement of Paying Agent.* The Paying Agent initially appointed or any successor Paying Agent may resign from service as Paying Agent and may be removed at any time by the County Treasurer. If at any time the Paying Agent shall resign or be removed, the County Treasurer shall appoint a successor Paying Agent, which shall be any bank, trust company, national banking association or other financial institution doing business in and having a corporate trust office in California, with at least \$100,000,000 in net assets.

(c) *Principal Corporate Trust Office.* Unless otherwise specifically noted, any reference herein to the Paying Agent shall initially mean the County Treasurer and the designated agents thereof or the successors or assigns thereof, acting in the capacity of Paying Agent, and any reference herein to the "principal corporate trust office" of the Paying Agent for purposes of transfer, registration, exchange, payment, and surrender of the Bonds shall initially mean the office of the County Treasurer or the principal corporate trust office of his designated agent bank or other office of his designated agent bank designated thereby for a particular purpose; provided, however, that in the event that "Paying Agent" shall refer to any successor paying agent, bond registrar, authenticating agent or transfer agent for the Bonds, "principal corporate trust office" shall include the principal corporate trust office or other office of such successor Paying Agent designated thereby for a particular purpose.

(d) *Registration Books.* The Paying Agent shall keep or cause to be kept at its principal corporate trust office sufficient books for the registration and transfer of the Bonds, which shall at all times be open to inspection by the District and the County, and, upon presentation for such purpose, the Paying Agent shall, under such reasonable regulations as it may prescribe, register or transfer or cause to be registered or transferred on the Registration Books, Bonds as provided in Sections 10 and 11 hereof. The Paying Agent shall keep accurate records of all funds administered by it and of all Bonds paid and discharged by it. Such records shall be provided, upon reasonable request, to the District or the County in a format mutually agreeable to the Paying Agent and the District and/or the County.

Section 10. Transfer Under Book-Entry System; Discontinuation of Book-Entry System. (a) Unless otherwise specified in the Bond Purchase Agreement, DTC is hereby appointed depository for each series and subseries of Bonds and each series and subseries of Bonds shall be issued in book-entry form only, and shall be initially registered in the name of "Cede & Co.," as nominee of DTC ("Cede & Co."). One bond certificate shall be issued for each maturity of each series or subseries of Bonds; provided, however, that if different CUSIP numbers are assigned to Bonds of a series or subseries maturing in a single year or, if Bonds of a series or subseries maturing in a single year are issued with different interest rates, additional bond certificates shall be prepared for each such maturity. Registered ownership of such Bonds of each such maturity, or any portion thereof, may not thereafter be transferred except as provided in this Section or Section 11 hereof:

(i) To any successor of DTC, or its nominee, or to any substitute depository designated pursuant to clause (ii) of this Section (a "substitute depository"); provided, however that any successor of DTC, as nominee of DTC or substitute depository, shall be qualified under any applicable laws to provide the services proposed to be provided by it;

(ii) To any substitute depository not objected to by the District, upon (1) the resignation of DTC or its successor (or any substitute depository or its successor) from its functions as depository, or (2) a determination by the District to substitute another depository for DTC (or its successor) because DTC or its successor (or any substitute depository or its successor) is no longer able to carry out its functions as depository; provided, that any such substitute depository shall be qualified under any applicable laws to provide the services proposed to be provided by it; or

(iii) To any person as provided below, upon (1) the resignation of DTC or its successor (or substitute depository or its successor) from its functions as depository; provided that no substitute depository which is not objected to by the District can be obtained, or (2) a determination by the District that it is in the best interests of the District to remove DTC or its successor (or any substitute depository or its successor) from its functions as depository.

(b) In the case of any transfer pursuant to clause (i) or clause (ii) of subsection (a) of this Section, upon receipt of the outstanding Bonds by the Paying Agent, together with a written request of the District to the Paying Agent, a new Bond for each maturity of each series and subseries shall be executed and delivered (in the aggregate principal amount of such Bonds then outstanding), registered in the name of such successor or such substitute depository, or their nominees, as the case may be, all as specified in such written request of the District. In the case of any transfer pursuant to clause (iii) of subsection (a) of this Section, upon receipt of the outstanding Bonds by the Paying Agent together with a written request of the District to the Paying Agent, new Bonds shall be executed and delivered in such denominations, numbered in the manner determined by the Paying Agent, and registered in the names of such persons, as are requested in such written request of the District, and thereafter, the Bonds shall be transferred pursuant to the provisions set forth in Section 11 hereof; provided, however, that the Paying Agent shall not be required to deliver such new Bonds within a period of less than 60 days after the receipt of any such written request of the District.

(c) In the case of partial redemption or an advance refunding of a series or subseries of Bonds evidencing all or a portion of the principal amount then outstanding, DTC shall make an appropriate notation on the Bonds of such series or subseries indicating the date and amounts of such reduction in principal.

(d) The District and the Paying Agent shall be entitled to treat the person in whose name any Bond is registered as the owner thereof, notwithstanding any notice to the contrary received by the District or the Paying Agent; and the District and the Paying Agent shall have no responsibility for transmitting payments to, communicating with, notifying, or otherwise dealing with any beneficial owners of the Bonds, and neither the District nor the Paying Agent shall have any responsibility or obligation, legal or otherwise, to the beneficial owners or to any other party, including DTC or its successor (or substitute depository or its successor), except for the Owner of any Bonds.

(e) So long as the outstanding Bonds are registered in the name of Cede & Co. or its registered assigns, the District and the Paying Agent shall cooperate with Cede & Co., as sole registered Owner, or its registered assigns in effecting payment of the principal of and interest on the Bonds by arranging for payment in such manner that funds for such payments are properly identified and are made immediately available on the date they are due.

Section 11. Transfer and Exchange. (a) *Transfer.* Following the termination or removal of DTC or successor depository pursuant to Section 10 hereof, any Bond may, in accordance with its terms, be transferred, upon the books required to be kept pursuant to the provisions of Section 9(d) hereof, by the Owner thereof, in person or by the duly authorized attorney of such Owner, upon surrender of such Bond to the Paying Agent for

cancellation, accompanied by delivery of a duly executed written instrument of transfer in a form approved by the Paying Agent.

Whenever any Bond or Bonds shall be surrendered for transfer, the designated County officials shall execute and the Paying Agent shall authenticate and deliver, as provided in Section 5, a new Bond or Bonds of the same series, subseries, maturity, interest payment dates and interest rates for a like aggregate principal amount. The Paying Agent may require the payment by any Owner of Bonds requesting any such transfer of any tax or other governmental charge required to be paid with respect to such transfer.

No transfer of any Bond shall be required to be made by the Paying Agent (i) during the period established by the Paying Agent for selection of the applicable series or subseries of Bonds for redemption, and (ii) after any Bond has been selected for redemption.

(b) *Exchange.* The Bonds may be exchanged for Bonds of other authorized denominations of the same series, subseries, term, maturity and interest payment dates and interest rates, by the Owner thereof, in person or by the duly authorized attorney of such Owner, upon surrender of such Bond to the Paying Agent for cancellation, accompanied by delivery of a duly executed request for exchange in a form approved by the Paying Agent.

Whenever any Bond or Bonds shall be surrendered for exchange, the designated County officials shall execute and the Paying Agent shall authenticate and deliver, as provided in Section 5, a new Bond or Bonds of the same series, subseries, term, maturity, interest payment date and interest rates for a like aggregate principal amount. The Paying Agent may require the payment by the Owner requesting such exchange of any tax or other governmental charge required to be paid with respect to such exchange.

No exchange of any Bonds shall be required to be made by the Paying Agent (i) during the period established by the Paying Agent for selection of the Bonds for redemption, and (ii) after any Bond has been selected for redemption.

Section 12. Sale of Bonds: Bond Purchase Agreement. (a) *Sale of Bonds.* As requested and directed by the District, the County hereby authorizes the sale of any series of Bonds by negotiated sale pursuant to one or more Bond Purchase Agreements to be entered into with the underwriters designated by the Chief Financial Officer of the District as provided in the District Resolution; provided, however, that, in each case, (i) the interest rate or rates on any Bond shall not be in excess of 8.00% per annum, (ii) the true interest cost for each applicable series of Bonds shall not be in excess of 6.00%, (iii) the ratio of total debt service to principal of each series of Bonds shall not exceed four to one, (iv) each underwriter's discount shall not exceed 1.00% of the principal amount of the corresponding Bonds, and (v) the Bonds shall otherwise conform to the limitations specified herein.

(b) *Bond Purchase Agreement.* The form of Bond Purchase Agreement, attached hereto as Exhibit B, is hereby approved. The County Treasurer is hereby authorized, for and in the name of the County, to execute and deliver one or more Bond Purchase Agreements, as applicable, in the form presented to this meeting, with such changes, insertions and omissions as the County Treasurer executing the same may require or approve, such requirement or

approval to be conclusively evidenced by the execution of the Bond Purchase Agreement, as applicable, by the County Treasurer; provided that the terms of the applicable series of Bonds and the sale thereof shall conform in all respects with the limitations contained in this Resolution. The Bond Purchase Agreement shall recite the aggregate principal amount of each series or subseries of Bonds, the date or dates thereof, the maturity dates, principal amounts and annual rates of interest of each maturity thereof, the initial and semiannual Interest Payment Dates thereof, and the terms of optional and mandatory sinking fund redemption thereof, if any.

Section 13. Deposit and Investment of Proceeds. (a) *Deposit of Proceeds.* The proceeds of sale of the Bonds, exclusive of any premium and accrued interest received, shall be deposited in the County treasury and credited to the building fund of the District (the "Building Fund"). The District shall have sole responsibility that such proceeds be used for the purposes of the Measure Q Authorization, the Measure RR Authorization or the Measure US Authorization under which the Bonds are being issued. Any premium and accrued interest received shall be deposited upon receipt by the District in the applicable Interest and Sinking Fund of the District within the County treasury.

(b) *Investment of Proceeds.* All funds held by the County Treasurer hereunder on behalf of the District shall be invested by the County Treasurer or its agent in the County Investment Pool, any investment authorized pursuant to Sections 53601 and 53635 of the California Government Code, or in any Investment Agreement; provided that such agreements comply with the requirements of Section 148 of the Code, to the extent applicable to the related series or subseries of Bonds, and with the requirements of each rating agency then rating the Bonds necessary in order to maintain the then-current rating on the Bonds.

Subject to a determination by the Chief Financial Officer, any Authorized District Officer may request the County Treasurer to invest funds held in an Interest and Sinking Fund of the District and in the Building Fund of the District in specific Investment Agreements. Pursuant to Section 5922 of the Government Code, the Board of Education has found and determined that the Investment Agreements will reduce the amount and duration of interest rate risk with respect to amounts invested pursuant to the Investment Agreements and are designed to reduce the amount or duration of payment, rate, spread or similar risk or result in a lower cost of borrowing when used in combination with the Bonds or enhance the relationship between risk and return with respect to investments of proceeds of the Bonds and funds held to pay the Bonds.

(c) *Excess Proceeds.* Any excess proceeds of the Bonds on deposit in the Building Fund not needed for the authorized purposes set forth herein for which the Bonds are being issued shall be transferred to the applicable Interest and Sinking Fund and applied to the payment of principal of, premium, if any, and interest on the Bonds; provided, however, that when all of the principal and interest on all of the Bonds have been paid, any balance then remaining in said fund shall be transferred to the general fund of the District as permitted and provided for in Section 15234 of the Education Code.

Section 14. Tax Covenant. The County acknowledges and relies upon the fact that the District has represented and covenanted that it shall not take any action, or fail to take any action, if such action or failure to take such action would adversely affect the exclusion from gross income of the interest payable on Tax-Exempt Bonds under Section 103 of the Code, and that it will comply with the requirements of each Tax Certificate of the District with respect to a series of the Bonds comprising Tax-Exempt Bonds, and further that such representation and covenant shall survive payment in full or defeasance of the Tax-Exempt Bonds.

Section 15. Limited Responsibility for Official Statement. Neither the Board of Supervisors nor any officer of the County has prepared or reviewed or will prepare or review the Official Statement of the District describing the Bonds, and this Board of Supervisors and the various officers of the County take no responsibility for the contents or distribution thereof provided, however, that solely with respect to a section contained or to be contained therein describing the County's current portfolio holdings, and valuation procedures, as they may relate to funds of the District, the County Treasurer is hereby authorized and directed to prepare and review such information for inclusion in the Official Statement and in the preliminary Official Statement, and to certify to the District prior to or upon the issuance of each series of the Bonds that the information contained in such section does not contain any untrue statement of a material fact or omit to state any material fact necessary in order to make the statements made therein, in the light of the circumstances under which they are made, not misleading.

Section 16. Approval of Actions. The Chair, the Clerk, the County Auditor-Controller, the County Counsel, and the County Treasurer and the deputies and designees of any of them, are hereby authorized and directed to execute and deliver any and all certificates, representations and agreements, as may be acceptable to County Counsel, including signature certificates, no-litigation certificates, a costs administrator agreement, a paying agent agreement, and other certificates proposed to be distributed in connection with each sale of Bonds, necessary and desirable to accomplish the transactions authorized herein.

Section 17. Severability. In the event any provision of this Resolution shall be held invalid or unenforceable by any court of competent jurisdiction, such holding shall not invalidate or render unenforceable any other provision hereof.

Section 18. Effective Date. This Resolution shall take effect from and after its adoption.

The foregoing resolution was adopted on the __ day of _____, 2025, by the Board of Supervisors of the County of Los Angeles and *ex officio* the governing body of all other special assessment and taxing districts, agencies and authorities for which the Board so acts.

EDWARD YEN, Executive
Officer-Clerk of the Board of Supervisors
of the County of Los Angeles

By: _____
Deputy

APPROVED AS TO FORM:

DAWYN R. HARRISON, County Counsel

By: _____
Senior Deputy County Counsel

EXHIBIT A

FORM OF BOND

Number: UNITED STATES OF AMERICA
 R-__ STATE OF CALIFORNIA
 COUNTY OF LOS ANGELES

LOS ANGELES UNIFIED SCHOOL DISTRICT
 (COUNTY OF LOS ANGELES, CALIFORNIA)
 GENERAL OBLIGATION BONDS, SERIES QRR (2025)
 (DEDICATED UNLIMITED AD VALOREM PROPERTY TAX BONDS)

<u>Maturity Date</u>	<u>Interest Rate</u>	<u>Dated</u>	<u>CUSIP No.</u>
	%		
_____		_____	_____

Registered Owner: CEDE & CO.

Principal Amount: \$ _____

On behalf of the Los Angeles Unified School District, County of Los Angeles, State of California (herein called the "District"), the County of Los Angeles (the "County") hereby acknowledges itself obligated to and promises to pay, but only from taxes collected by the County for such purpose pursuant to Section 15250 of the California Education Code, to the Registered Owner identified above or registered assigns (the "Registered Owner"), on the Maturity Date set forth above or upon prior redemption hereof, the Principal Amount specified above in lawful money of the United States of America, and to pay interest thereon in like lawful money from the interest payment date next preceding the date of authentication of this Bond (unless this bond is authenticated as of a date during the period from the Record Date (as defined herein) next preceding any interest payment date to such interest payment date, inclusive, in which event it shall bear interest from such interest payment date, or unless this Bond is authenticated on or before _____, 2025, in which event it shall bear interest from the date hereof); provided, that if, at the time of authentication of any Bond, interest is in default on any outstanding Bonds, this Bond shall bear interest from the interest payment date to which interest has previously been paid or made available for payment on the outstanding Bonds at the interest rate per annum stated above, payable commencing on [_____ 1, 20__], and thereafter on January 1 and July 1 in each year, until payment of the principal amount hereof.

The principal hereof is payable to the Registered Owner hereof upon the surrender hereof at the principal corporate trust office of the paying agent/registrars and transfer agent of the District (the "Paying Agent"), initially U.S. Bank Trust Company, National Association, as the agent of the Treasurer and Tax Collector of the County of Los Angeles. The interest hereon is payable to the person whose name appears on the bond registration books of the Paying Agent as the Registered Owner hereof as of the close of business on the 15th day of the month preceding an interest payment date (the "Record Date"), whether or not such day is a business

day, such interest to be paid by check or draft mailed to such Registered Owner at the owner's address as it appears on such registration books, or at such other address filed with the Paying Agent for that purpose. Upon written request, given no later than the Record Date immediately preceding an interest payment date, of the owner of Bonds aggregating at least \$1,000,000 in principal amount, interest will be paid by wire transfer in immediately available funds to an account maintained in the United States as specified by the Registered Owner in such request. So long as Cede & Co. or its registered assigns shall be the Registered Owner of this Bond, payment shall be made in immediately available funds as provided in the Resolution hereinafter described.

This Bond is one of a duly authorized issue of bonds of like tenor (except for such variations, if any, as may be required to designate varying series, numbers, denominations, interest rates, maturities and redemption provisions), in the aggregate principal amount of \$ [_____, and designated as "Los Angeles Unified School District (County of Los Angeles, California), General Obligation Bonds, Series QRR (2025) (Dedicated Unlimited *Ad Valorem* Property Tax Bonds)" (the "Bonds"). The Bonds were authorized by a vote of the voters voting at an election duly and legally called, held and conducted in the District on November 4, 2008 (Measure Q) or a vote of the voters voting at an election duly and legally called, held and conducted in the District on November 3, 2020 (Measure RR). The Bonds are issued and sold by the Board of Supervisors of the County of Los Angeles, State of California (the "Board of Supervisors") pursuant to and in conformity with the provisions of the Constitution and laws of the State of California and of a Resolution adopted by the Board of Supervisors on _____, 2025 (the "Resolution"). Capitalized undefined terms used herein have the meanings ascribed thereto in the Resolution.

The Bonds are issuable as fully registered bonds without coupons in the denomination of \$5,000 principal amount or any integral multiple thereof, provided that no Bond shall have principal maturing on more than one principal maturity date. Subject to the limitations and conditions and upon payment of the charges, if any, as provided in the Resolution, Bonds may be exchanged for a like aggregate principal amount of Bonds of the same tenor and maturity of other authorized denominations.

This Bond is transferable by the Registered Owner hereof, in person or by attorney duly authorized in writing, at the principal corporate trust office of the Paying Agent, but only in the manner, subject to the limitations and upon payment of the charges provided in the Resolution, and upon surrender and cancellation of this Bond. Upon such transfer, a new Bond or Bonds of authorized denomination or denominations of the same tenor, interest payments, and same aggregate principal amount will be issued to the transferee in exchange herefor.

The District and the Paying Agent may treat the Registered Owner hereof as the absolute owner hereof for all purposes, and the District and the Paying Agent shall not be affected by any notice to the contrary.

The Bonds are subject to redemption as set forth in the Bond Purchase Agreement.

If this Bond is called for redemption and payment is duly provided therefor, interest shall cease to accrue hereon from and after the date fixed for redemption.

All acts, conditions and things required by law to be done or performed precedent to and in the issuance of this Bond have been done and performed in conformity with the laws authorizing the issuance of this Bond; and that this Bond is in substantially the form prescribed by order of the Board of Supervisors duly made and entered on its minutes. The Bonds represent an obligation of the District payable out of the related Interest and Sinking Fund of the District, and the money for the payment of principal hereof and premium, if any, and interest hereon, shall be raised by taxation upon the taxable property of the District.

Unless this Bond is presented by an authorized representative of The Depository Trust Company, a New York corporation ("DTC"), to the Paying Agent for registration of transfer, exchange, or payment, and any Bond issued is registered in the name of Cede & Co. or in such other name as is requested by an authorized representative of DTC (and any payment is made to Cede & Co. or to such other entity as is requested by an authorized representative of DTC), ANY TRANSFER, PLEDGE, OR OTHER USE HEREOF FOR VALUE OR OTHERWISE BY OR TO ANY PERSON IS WRONGFUL inasmuch as the Registered Owner hereof, Cede & Co., has an interest herein.

This Bond shall not be entitled to any benefit under the Resolution, or become valid or obligatory for any purpose, until the certificate of authentication and registration hereon endorsed shall have been signed by the Paying Agent.

IN WITNESS WHEREOF, the County of Los Angeles has caused this Bond to be executed on behalf of the District and in their official capacities by manual or facsimile signatures of the Chair of the Board of Supervisors of the County and the Treasurer and Tax Collector of the County, and to be countersigned by the manual or facsimile signature of the Executive Officer-Clerk of the Board of Supervisors of the County, all as of the date set forth above.

COUNTY OF LOS ANGELES

Chair of the Board of Supervisors

Treasurer and Tax Collector

Countersigned:

Executive Officer-Clerk
of the Board of Supervisors

CERTIFICATE OF AUTHENTICATION AND REGISTRATION

This is one of the Bonds described in the within-mentioned Resolution and authenticated and registered on _____ .

Treasurer and Tax Collector of the County
of Los Angeles, California,
as Paying Agent/Registrar and Transfer
Agent

By: U.S. BANK TRUST COMPANY,
NATIONAL ASSOCIATION, as
agent

By: _____
Authorized Officer

ASSIGNMENT

For value received the undersigned do(es) hereby sell, assign and transfer unto _____ the within-mentioned Bond and hereby irrevocably constitute(s) and appoint(s) _____ attorney, to transfer the same on the books of the Paying Agent with full power of substitution in the premises.

 _ I.D.
 Number

 ___ Note: The signature(s) on this Assignment must correspond with the name(s) as written on the face of the within Bond in every particular, without alteration or enlargement or any change whatsoever.

Dated:

Signature Guarantee: _____
 Note: Signature must be guaranteed by an eligible guarantor institution.

\$[PRINCIPAL AMOUNT]
LOS ANGELES UNIFIED SCHOOL DISTRICT
 (County of Los Angeles, California)
General Obligation Bonds, Series QRR (2025)
 (Dedicated Unlimited *Ad Valorem* Property Tax Bonds)

BOND PURCHASE AGREEMENT

[DATE]

County of Los Angeles
 437 Kenneth Hahn Hall of Administration
 Treasurer and Tax Collector
 500 West Temple Street
 Los Angeles, California 90012

Los Angeles Unified School District
 c/o Office of the Chief Financial Officer
 333 S. Beaudry Avenue, 26th Floor
 Los Angeles, CA 90017

Ladies and Gentlemen:

The undersigned, [REPRESENTATIVES], acting on its own behalf and as representatives (the “Representatives”) of the Underwriters identified on the signature page hereof (collectively, the “Underwriters”), hereby offers to enter into this Bond Purchase Agreement (the “Bond Purchase Agreement”) with the County of Los Angeles, California (the “County”) and the Los Angeles Unified School District (the “District”), which, upon your acceptance hereof, will be binding upon the County, District and the Underwriters. By execution of this Bond Purchase Agreement, the County acknowledges the terms hereof and recognizes that it will be bound by certain of the provisions hereof, and to the extent binding on the County, acknowledges and agrees to such terms. This offer is made subject to the written acceptance of this Bond Purchase Agreement by the County and the District and delivery of such acceptance to us at or prior to 11:59 p.m., California time, on the date hereof.

Section 1. Purchase and Sale of the Bonds. Upon the terms and conditions and in reliance upon the representations, warranties, and agreements herein set forth, the Underwriters hereby agree to purchase from the County for reoffering to the public, and the County hereby agrees to sell in the name and on behalf of the District to the Underwriters for such purpose, all (but not less than all) of \$[AMOUNT] aggregate principal amount of the District’s General Obligation Bonds, Series QRR (2025) (Dedicated Unlimited *Ad Valorem* Property Tax Bonds) (the “Bonds”). The Bonds shall be dated the date of delivery thereof (the “Date of Delivery”) and shall be payable as to interest on each January 1 and July 1, commencing ____ 1, 202__]. The Underwriters shall purchase the Bonds at a price of \$[PURCHASE PRICE] (the “Purchase Price”) (which is equal to the principal amount of the Bonds of \$[AMOUNT], [plus] [net] original issue premium of \$[PREMIUM], and less Underwriter’s discount of \$[UNDERWRITER’S DISCOUNT]). From the Purchase Price for the Bonds, the Underwriters shall withhold and hereby

agree to wire on the Close Date (as defined below) \$[AMOUNT] to U.S. Bank Trust Company, National Association, as costs administrator, to pay the costs of issuance of the Bonds as provided herein. Any authority, discretion, or other power conferred upon the Underwriters by this Bond Purchase Agreement shall be exercised by the Representatives alone.

The County and District acknowledge and agree that (a) the purchase and sale of the Bonds under this Bond Purchase Agreement is an arm's-length commercial transaction between the County and District and the Underwriters; (b) in connection therewith and with the discussions, undertakings and procedures leading up to the consummation of such transaction, the Underwriters are and have been acting solely as principal and not as the agent or fiduciary of the County or District; (c) the Underwriters have not assumed a fiduciary responsibility in favor of the County or District with respect to (i) the offering of the Bonds or the process leading thereto (whether or not the Underwriters, or any affiliate of the Underwriters, has advised or is currently advising the County or District on other matters); or (ii) any other obligation to the County and District except the obligations expressly set forth in this Bond Purchase Agreement; and (d) the County and District have consulted their own legal, financial and other advisors to the extent they have deemed appropriate in connection with this transaction. The County and District acknowledge that it has previously provided the Underwriters with an acknowledgement of receipt of the required Underwriters disclosure under Rule G-17 of the Municipal Securities Rulemaking Board ("MSRB").

Section 2. The Bonds. The Bonds shall be dated their date of delivery, bear interest at the rates, and shall mature in the years and amounts as shown on Appendix A hereto, which is incorporated herein by this reference. The Bonds shall otherwise be as described in the Official Statement related to the Bonds (the "Official Statement"), and shall be issued and secured pursuant to the provisions of (i) Section 1(b)(3) of Article XIII A of the California Constitution and Chapters 1 and 1.5 of Part 10 of Division 1 of Title 1 of the California Education Code, commencing with Section 15100 *et seq.* (collectively, the "Bond Law"), (ii) a Resolution of the Board of Education of the District (the "Board of Education") adopted on [May 13, 2025] (the "District Resolution"), and (iii) a resolution of the Board of Supervisors of the County (the "Board of Supervisors"), adopted on [June 10, 2025], authorizing the issuance of the Bonds on behalf of the District and certain related documents and actions (the "County Resolution" and together with the District Resolution, the "Resolutions").

A portion of the proceeds of the Bonds attributable to the Measure Q Authorization (defined below) will, after payment of costs of issuance thereto, fund certain school projects (collectively, the "Measure Q Projects") approved by voters in the November 4, 2008 election approving Measure Q (the "Measure Q Authorization"). A portion of the proceeds of the Bonds attributable to the Measure RR Authorization (defined below) will, after payment of costs of issuance thereto, fund certain school projects (collectively, the "Measure RR Projects") approved by voters in the November 3, 2020 election approving Measure RR (the "Measure RR Authorization"). Certain provisions for the redemption of the Bonds, not otherwise specified in the Resolutions, are shown in Appendix A hereto and incorporated herein by reference, all as provided in the Resolutions. Capitalized terms used and not otherwise defined herein shall have the meanings ascribed to such terms in the Official Statement or, if not defined in the Official Statement, in the Resolutions.

Upon the written acceptance of this Bond Purchase Agreement by the County and the District, the Representatives, on behalf of the Underwriters, shall deliver, within twenty-four (24) hours of such acceptance, by federal funds wire transfer (to the County's account at a bank having an office located in the State of California (the "State") and having a demand account relationship with the County and payable in immediately available funds), for the account of the County, the amount of \$[Good Faith Deposit], as a good-faith deposit ("Good Faith Deposit") for the performance by the Underwriters of their obligations to accept and pay for the Bonds at Closing (as defined herein) in accordance with the provisions of this Bond Purchase Agreement. Upon receipt, such amount shall be held by the County pending Closing (except as provided below), although the proceeds thereof may be invested by the County pending the Closing. At the Closing, the Underwriters shall pay or cause to be paid the Purchase Price of the Bonds, less the amount of such Good Faith Deposit, without accrued interest, and thereupon the County shall apply the amount of the Good Faith Deposit, to the payment of the balance of such Purchase Price. In the event of the County's inability to deliver the Bonds at the Closing, or if the County or the District is unable to satisfy the conditions to the Underwriters' obligations contained herein (unless such conditions are waived by the Underwriters), or if the Underwriters' obligations shall be terminated for any reason permitted hereby, the County shall forthwith return the amount of the Good Faith Deposit, without accrued interest, to the Representatives immediately and, subject to Section 15 of this Bond Purchase Agreement, such return shall constitute a full release and discharge of all claims by the Underwriters against the County and the District arising out of the transactions contemplated by this Bond Purchase Agreement. In the event that the Underwriters fail (other than for a reason permitted hereby) to accept and pay for the Bonds at the Closing as herein provided, the proceeds of the Good Faith Deposit, shall be retained and applied by the County and the District in full and complete liquidated damages (and not as a penalty) for such failure and as a discharge of all damages suffered on the part of the County and the District as a result of such failure.

The Bonds shall be executed and delivered under and in accordance with the provisions of this Bond Purchase Agreement, the Bond Law and the Resolutions. The Bonds shall be in book-entry form, shall bear CUSIP numbers, shall be in fully registered form, registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York; the Bonds shall initially be in authorized denominations of \$5,000 principal amount or any integral multiple thereof.

Section 3. Use of Documents. The District and the County hereby authorize the Underwriters to use, in connection with the offer and sale of the Bonds, this Bond Purchase Agreement, the Preliminary Official Statement and the Official Statement, the Resolutions, the Continuing Disclosure Agreement (defined herein), and all information contained herein and therein and all of the documents, certificates or statements furnished by the District or the County to the Underwriters in connection with the transactions contemplated by this Bond Purchase Agreement.

Section 4. Public Offering of the Bonds; Establishment of Issue Price.

(a) The Representatives, on behalf of the Underwriters, agree to make a bona fide initial public offering of all the Bonds at prices no higher than, or yields not lower than, those set forth on Exhibit A hereto. Subsequent to such initial public offering but subject to the provisions set forth below, the Underwriters reserve the right to lower such initial offering prices as the

Underwriters deems necessary in connection with the marketing of the Bonds; provided, however, that the Underwriters shall not change the interest rates set forth in Exhibit A. Subject to the provisions set forth below, the Underwriters may offer and sell the Bonds to certain dealers (including dealers depositing the Bonds into investment trusts) and others at prices lower than the initial public offering price or prices set forth on Exhibit A hereto. Subject to the provisions set forth below, the Underwriters also reserve the right to (i) over-allot or effect transactions which stabilize or maintain the market price of the Bonds at levels above those that might otherwise prevail in the open market and (ii) discontinue such stabilizing, if commenced, at any time without prior notice. The Representatives, on behalf of the Underwriters, agree to assist the District in establishing the issue price of the Bonds and shall execute and deliver to the District at Closing an “issue price” or similar certificate, together with the supporting pricing wires or equivalent communications, substantially in the form attached hereto as Exhibit B, with such modifications as may be appropriate or necessary, in the reasonable judgment of the Representatives, the District and Bond Counsel (as defined herein), to accurately reflect, as applicable, the sales price or prices or the initial offering price or prices to the public of the Bonds. All actions to be taken by the District under this section to establish the issue price of the Bonds may be taken on behalf of the District by the District’s municipal advisor, Public Resources Advisory Group (the “Municipal Advisor”), and any notice or report to be provided to the District may be provided to the District’s Municipal Advisor.

(b) Except as otherwise set forth in Appendix A attached hereto, the District will treat the first price (meaning single) at which 10% of each maturity of the Bonds (the “10% test”) is sold to the public as the issue price of that maturity. At or promptly after the execution of this Bond Purchase Agreement, the Representatives shall report to the District the price or prices at which the Underwriters have sold to the public each maturity of the Bonds. If at that time the 10% test has not been satisfied, but is applicable, as to any maturity of the Bonds, the Representatives agree to promptly report to the District the prices at which it sells the unsold Bonds of that maturity to the public. Unless the hold-the-offering-price rule (described below) applies, that reporting obligation shall continue, whether or not the Closing Date (as defined herein) has occurred, until either (i) the Underwriters have sold all Bonds of that maturity or (ii) the 10% test has been satisfied as to the Bonds of that maturity, provided that, the Representatives’ reporting obligation after the Closing Date may be at reasonable periodic intervals or otherwise upon request of the District or Bond Counsel. For purposes of this Section, if Bonds mature on the same date but have different interest rates, each separate CUSIP number within that maturity will be treated as a separate maturity of the Bonds.

(c) The Representatives confirm that it has offered the Bonds to the public on or before the date of this Bond Purchase Agreement at the offering price or prices (the “initial offering price”), or at the corresponding yield or yields, set forth in Appendix A attached hereto, except as otherwise set forth therein. Appendix A also sets forth, as of the date of this Bond Purchase Agreement, the maturities, if any, of the Bonds for which the Representatives represent that (A) the 10% test has been satisfied (assuming orders are confirmed by the end of the day immediately following the day of execution of this Bond Purchase Agreement) and (B) the 10% test has not been satisfied and for which the District and the Representatives agree that the restrictions set forth in the next sentence shall apply, which will allow the District to treat the initial offering price to the public of each such maturity as of the sale date as the issue price of that maturity (the “hold-the-offering-price rule”). So long as the hold-the-offering-price rule remains

applicable to any maturity of the Bonds, the Underwriters will neither offer nor sell unsold Bonds of that maturity to any person at a price that is higher than the initial offering price to the public during the period starting on the sale date and ending on the earlier of the following:

- (i) the close of the fifth (5th) business day after the sale date; or
- (ii) the date on which the Underwriters have sold at least 10% of that maturity of the Bonds to the public at a price that is no higher than the initial offering price to the public.

The Underwriters will advise the District promptly after the close of the fifth (5th) business day after the sale date whether it has sold 10% of that maturity of the Bonds to the public at a price that is no higher than the initial offering price to the public. [The District acknowledges that, in making the representation set forth in this subsection, the Representatives will rely on (i) the agreement of each Underwriter to comply with the hold-the-offering-price rule, as set forth in an agreement among underwriters and the related pricing wires, (ii) in the event a selling group has been created in connection with the initial sale of the Bonds to the public, the agreement of each dealer who is a member of the selling group to comply with the hold-the-offering-price rule, if applicable, as set forth in a selling group agreement and the related pricing wires, and (iii) in the event that an Underwriter is a party to a retail distribution agreement that was employed in connection with the initial sale of the Bonds to the public, the agreement of each broker-dealer that is a party to such agreement to comply with the hold-the-offering-price rule, if applicable, as set forth in the retail distribution agreement and the related pricing wires. The District further acknowledges that each Underwriter shall be solely liable for its failure to comply with its agreement regarding the hold-the-offering-price rule and that no Underwriter shall be liable for the failure of any other Underwriter, or of any dealer who is a member of a selling group, or of any broker-dealer that is a party to a retail distribution agreement, to comply with its corresponding agreement regarding the hold-the-offering-price rule as applicable to the Bonds.]

- (d) The Representatives confirm that:
 - (i) Any agreement among underwriters, selling group agreement and any third-party distribution agreement (to which the Representatives are a party) relating to the initial sale of the Bonds to the public, together with the related pricing wires, contains or will contain language obligating each dealer who is a member of the selling group and each broker-dealer that is a party to such third-party distribution agreement, as applicable:
 - (A) (1) to report the prices at which it sells to the public the unsold Bonds of each maturity allocated to it, whether or not the Closing Date has occurred, until either all Bonds of that maturity allocated to it have been sold or it is notified by the Representatives that the 10% test has been satisfied as to the Bonds of that maturity, provided that, the reporting obligation after the Closing Date may be at reasonable periodic intervals or otherwise upon request of the Representatives, and (2) to comply with the hold-the-offering-price rule, if applicable, if and for so long as directed by the Representatives,

(B) to promptly notify the Representatives of any sales of Bonds that, to its knowledge, are made to a purchaser who is a related party to an underwriter participating in the initial sale of the Bonds to the public (each such term being used as defined below), and

(C) to acknowledge that, unless otherwise advised by the Underwriters, dealer or broker-dealer, the Representatives shall assume that each order submitted by the dealer or broker-dealer is a sale to the public.

(ii) Any agreement among underwriters or selling group agreement relating to the initial sale of the Bonds to the public, together with the related pricing wires, contains or will contain language obligating each Underwriter that is a party to a third-party distribution agreement to be employed in connection with the initial sale of the Bonds to the public to require each broker-dealer that is a party to such third-party distribution agreement to (A) report the prices at which it sells to the public the unsold Bonds of each maturity allocated to it, whether or not the Closing Date has occurred, until either all Bonds of that maturity allocated to it have been sold or it is notified by the Representatives or Underwriters that the 10% test has been satisfied as to the Bonds of that maturity, provided that, the reporting obligation after the Closing Date may be at reasonable periodic intervals or otherwise upon request of the Representatives or Underwriters, and (B) comply with the hold-the-offering-price rule, if applicable, if and for so long as directed by the Representatives or the Underwriters and as set forth in the related pricing wires.

(e) The Underwriters acknowledge that sales of any Bonds to any person that is a related party to an underwriter participating in the initial sale of the Bonds to the public (each such term being used as defined below) shall not constitute sales to the public for purposes of this section. Further, for purposes of this section:

(i) “public” means any person other than an underwriter or a related party;

(ii) “underwriter” means (A) any person that agrees pursuant to a written contract with the District (or with the lead underwriter to form an underwriting syndicate) to participate in the initial sale of the Bonds to the public and (B) any person that agrees pursuant to a written contract directly or indirectly with a person described in clause (A) to participate in the initial sale of the Bonds to the public (including a member of a selling group or a party to a retail distribution agreement participating in the initial sale of the Bonds to the public);

(iii) a purchaser of any of the Bonds is a “related party” to an underwriter if the underwriter and the purchaser are subject, directly or indirectly, to (A) more than 50% common ownership of the voting power or the total value of their stock, if both entities are corporations (including direct ownership by one corporation of another), (B) more than 50% common ownership of their capital interests or profits interests, if both entities are partnerships (including direct ownership by one partnership of another), or (C) more than 50% common ownership of the value of the outstanding stock of the corporation or the capital interests or profit interests of the partnership, as applicable, if one entity is a

corporation and the other entity is a partnership (including direct ownership of the applicable stock or interests by one entity of the other); and

(iv) “sale date” means the date of execution of this Bond Purchase Agreement by all parties.

Section 5. Review of Official Statement. The Underwriters hereby represent that they have received and reviewed the Preliminary Official Statement with respect to the Bonds, dated [DATE] (the “Preliminary Official Statement”). The District represents that it has duly authorized and prepared the Preliminary Official Statement for use by the Underwriters in connection with the sale of the Bonds, and that it has deemed the Preliminary Official Statement to be final, except for either revision or addition of the offering price(s), interest rate(s), yield(s), selling compensation, aggregate principal amount, principal amount per maturity, delivery date, rating, redemption provisions and other terms of the Bonds which depend upon the foregoing as provided in and pursuant to Rule 15c2-12 of the Securities and Exchange Commission under the Securities Exchange Act of 1934, as amended (the “Rule”).

The Underwriters agree that prior to the time the final Official Statement relating to the Bonds is available, the Underwriters will send to any potential purchaser of the Bonds, upon the request of such potential purchaser, a copy of the most recent Preliminary Official Statement. Such Preliminary Official Statement shall be sent by first-class mail (or other equally prompt means) not later than the first business day following the date upon which each such request is received.

The Underwriters hereby represents that it will provide, consistent with the requirements of MSRB Rule G-32, for the delivery of a copy of the Official Statement to each customer who purchases any Bonds during the underwriting period (as such term is defined in MSRB Rule G-11), and deliver a copy of the Official Statement to the MSRB in electronic format as prescribed by the MSRB on or before the Closing Date, and that it will otherwise comply with all applicable statutes and regulations in connection with the offering and sale of the Bonds, including, without limitation, MSRB Rule G-32 and G-36 and the Rule.

Section 6. Closing. At 8:30 a.m., California time, on [CLOSING DATE] or at such other time or on such other date as shall have been mutually agreed upon by the parties hereto (the “Closing”), the District will direct U.S. Bank Trust Company, National Association, as agent to the Treasurer and Tax Collector of the County (the “Treasurer”), as paying agent for the Bonds (the “Paying Agent”) to deliver to the Underwriters, through the facilities of The Depository Trust Company (“DTC”), or at such other place as the District and the Underwriters may mutually agree upon, the Bonds duly executed and in fully registered, book-entry form, and will cause the other documents hereinafter mentioned to be delivered at the offices of Dannis Woliver Kelley (“Bond Counsel”), in Long Beach, California.

Upon fulfillment of all conditions to Closing herein, the Underwriters will accept such delivery and pay the Purchase Price thereof in immediately available funds by wire transfer to the order of the County and U.S. Bank Trust Company, National Association, as cost administrator, as provided by Section 1 hereof, less the Good Faith Deposit, as provided by Section 2 hereof.

Section 7. Representations, Warranties and Agreements of the District. The District hereby represents, warrants and agrees with the Underwriters that:

(a) ***Due Organization.*** The District is a unified school district duly organized and validly existing under the laws of the State of California (the “State”), with full legal power to issue the Bonds pursuant to the Bond Law.

(b) ***Due Authorization.*** At or prior to the Closing, the District will have taken all action required to be taken by it to authorize the issuance and delivery of the Bonds; (ii) the District has full legal right, power and authority to execute and deliver this Bond Purchase Agreement and the Continuing Disclosure Certificate, to adopt the District Resolution, to issue and to deliver the Bonds, and to perform its obligations under each such document or instrument (collectively, the “District Documents”), and to carry out and effectuate the transactions contemplated by the District Documents; (iii) the execution and delivery or adoption of, and the performance by the District of its obligations contained in, the Bonds and the other District Documents have been duly authorized and such authorization shall be in full force and effect at the time of the Closing; (iv) this Bond Purchase Agreement constitutes, and each of the Bonds, when issued, authenticated, delivered and sold to the Underwriters as provided herein, and each of the other District Documents, when duly executed and delivered, will constitute, a valid and legally binding obligation of the District, enforceable against the District in accordance with its terms; and (v) the District has duly authorized the consummation by it of all transactions contemplated by the District Documents.

(c) ***Consents.*** No consent, approval, authorization, order, filing, registration, qualification, election or referendum, of or by any court or governmental agency or public body whatsoever is required in connection with the issuance, delivery or sale of the Bonds or the consummation of the other transactions effected or contemplated herein or hereby, except for such actions as may be necessary to qualify the Bonds for offer and sale under the Blue Sky or other securities laws and regulations of such states and jurisdictions of the United States as the Underwriters may reasonably request, or which have not been taken or obtained; provided, however, that the District shall not be required to subject itself to service of process in any jurisdiction in which it is not so subject as of the date hereof.

(d) ***Internal Revenue Code.*** The District has complied with the Internal Revenue Code of 1986, as amended, with respect to the Bonds.

(e) ***No Conflicts.*** To the best knowledge of the District, the issuance of the Bonds, and the execution, delivery and performance of the District Documents and the Bonds, and the compliance with the provisions hereof and thereof do not conflict with or constitute on the part of the District a violation of or default under, the Constitution of the State or any existing law, charter, ordinance, regulation, decree, order or resolution and do not conflict with or result in a violation or breach of, or constitute a default under, any agreement, indenture, mortgage, lease or other instrument to which the District is a party or by which it is bound or to which it is subject.

(f) ***Litigation.*** As of the time of acceptance hereof, to the best knowledge of the District, no action, suit, proceeding, hearing or investigation is pending for which the District has been served or threatened in writing against the District: (i) in any way affecting the existence of the District or in any way challenging the respective powers of the several offices or of the titles of the officials of the District to such offices; or (ii) seeking to prohibit, restrain or enjoin the sale, issuance or delivery of any of the Bonds, or the application of the proceeds of the sale of the Bonds, or the collection or levy of taxes contemplated by the Resolutions and available to pay the principal of and interest on the Bonds, or in any way contesting or affecting the validity or enforceability of the Bonds or the District Documents or contesting the powers of the District or its authority with respect to the Bonds or the District Documents or contesting in any way the completeness or accuracy of the Preliminary Official Statement or the Official Statement; or (iii) in which a final adverse decision could (A) materially adversely affect the operations or financial condition of the District or the consummation of the transactions contemplated by the District Documents, (B) declare this Bond Purchase Agreement to be invalid or unenforceable in whole or in material part, or (C) adversely affect the exclusion of the interest paid on the Bonds from gross income for federal income tax purposes and the exemption of such interest from California personal income taxation.

(g) ***No Other Debt.*** Between the date hereof and the Closing, without the prior written consent of the Representatives, neither the District directly nor any other governmental agency or other body on behalf of the District will have issued in the name and on behalf of the District any bonds, notes or other obligations for borrowed money except for such borrowings as may be described in or contemplated by the Official Statement.

(h) ***Interim Financial Report.*** The District has not received a qualified or negative certification in its most recent interim report pursuant to Section 42130 *et seq.* of the California Education Code.

(i) ***Certificates.*** Any certificates signed by any officer of the District and delivered to the Underwriters shall be deemed a representation and warranty by the District to the Underwriters, but not by the person signing the same, as to the statements made therein.

(j) ***Continuing Disclosure.*** At or prior to the Closing, the District shall have duly authorized, executed and delivered a continuing disclosure agreement (the “Continuing Disclosure Agreement”). The Continuing Disclosure Agreement shall comply with the provisions of the Rule and be substantially in the form attached to the Preliminary Official Statement and Official Statement in Appendix [E]. Except as otherwise described in the Official Statement, the District has not failed during the previous five years to comply in all material respects with any previous undertakings in a written continuing disclosure certificate or agreement under the Rule.

(k) ***Official Statement Accurate and Complete.*** The Preliminary Official Statement, at the date thereof, did not contain any untrue statement of a material fact or omit to state any material fact required to be stated therein or necessary to make the

statements therein, in the light of the circumstances under which they were made, not misleading. At the date hereof and on the date of Closing (the “Closing Date”), the Official Statement did not and will not contain any untrue statement of a material fact or omit to state any material fact necessary to make the statements therein, in the light of the circumstances under which they were made, not misleading. If the Official Statement is supplemented or amended pursuant to paragraph (f) of Section 9 of this Bond Purchase Agreement, at the time of each supplement or amendment thereto and (unless subsequently again supplemented or amended pursuant to such paragraph) at all times subsequent thereto during the period up to and including the Closing Date of the Official Statement as so supplemented or amended will not contain any untrue statement of a material fact or omit to state any material fact required to be stated therein or necessary to make the statements therein, in light of the circumstances under which made, not misleading.

(l) ***Financial Statements of District.*** The audited financial statements of, and other financial information regarding, the District contained in the Preliminary Official Statement and final Official Statement fairly present the financial position and results of operations of the District as of the dates and for the periods therein set forth.

(m) ***Levy of Tax.*** The District has taken or will take any and all actions as may be required by the County of Los Angeles (the “County”) or otherwise necessary in order to arrange for the levy and collection of taxes, payment of the Bonds, and the deposit and investment of taxes so collected. In particular, the District hereby agrees to provide to the County Auditor and County Treasurer-Tax Collector a copy of the District Resolution, a copy of Appendix A hereto, and the full debt service schedule for the Bonds.

Section 8. Representations, Warranties and Agreements of the County. The County hereby represents, warrants and agrees with the Underwriters that:

(a) The County has the power under the laws of the State to issue the Bonds pursuant to the Bond Law.

(b) (i) At or prior to the Closing, the County will have taken all action required to be taken by it to authorize the issuance and delivery of the Bonds; (ii) the County has full legal right, power and authority to execute and deliver this Bond Purchase Agreement, to adopt the County Resolution, to issue and deliver the Bonds to the Underwriters on behalf of the District and to perform its obligations under each such document or instrument (collectively, the “County Documents”), and to carry out and effectuate the transactions contemplated by the County Documents; (iii) the execution and delivery or adoption of, and the performance by the County of its obligations contained in, the Bonds and the other County Documents have been duly authorized and such authorization shall be in full force and effect at the time of the Closing; (iv) this Bond Purchase Agreement constitutes, and each of the other County Documents, when duly executed and delivered in accordance with the County Resolution, will constitute, a valid and legally binding obligation of the County, enforceable against the County in accordance with its terms; and (v) the County has duly authorized the consummation by it of all transactions contemplated by the County Documents.

(c) No consent, approval, authorization, order, filing, registration, qualification, election or referendum, of or by any court or governmental agency or public body whatsoever is required in connection with the issuance, delivery or sale of the Bonds or the consummation of the other transactions effected or contemplated herein or hereby, except for such actions as may be necessary to qualify the Bonds for offer and sale under the Blue Sky or other securities laws and regulations of such states and jurisdictions of the United States as the Underwriters may reasonably request, or which have not been taken or obtained; provided, however, that the County shall not be required to subject itself to service of process in any jurisdiction in which it is not so subject as of the date hereof.

(d) To the best knowledge of the County, the County is not in breach of or default under any applicable constitutional provision, law or administrative regulation of the State or the United States or any applicable judgment or decree or any trust agreement, loan agreement, bond, note, resolution, ordinance, agreement or other instrument to which the County is a party or to which the County or any of its property or assets is otherwise subject, which breach or default would materially adversely affect the County's ability to enter into or perform its obligations under this Bond Purchase Agreement.

(e) To the best knowledge of the County, the issuance of the Bonds, the adoption, execution, delivery and performance of the County Documents, and the compliance with the provisions of the County Documents do not conflict with or result in on the part of the County a violation or breach of, or default under, any applicable constitutional provision, law or administrative rule or regulation of the State or the United States, or any applicable judgment or decree or any trust agreement, loan agreement, bond, note, resolution, ordinance, agreement or other instrument to which the County is a party or to which the County or any of its property or assets is otherwise subject, where such conflict, violation, breach or default, individually or in the aggregate, shall result in a material adverse change to the County that materially and adversely affects the ability of the Underwriters to market the Bonds or enforce contracts of sale on the Bonds.

(f) As of the time of acceptance hereof, except as will be provided in the Official Statement, to the best knowledge of the County, no action, suit, proceeding, hearing or investigation is pending (in which service of process has been completed against the County) or threatened against the County: (i) in any way affecting the existence of the County or in any way challenging the respective powers of the several offices or the titles of the officials of the County to such offices; (ii) seeking to restrain or enjoin the sale, issuance or delivery of any of the Bonds, the application of the proceeds of the sale of the Bonds, or the levy of any taxes contemplated by the County Resolution, or in any way contesting or affecting the validity or enforceability of the Bonds or the County Documents or contesting the powers of the County or its authority with respect to the Bonds or the County Documents; or (iii) in which a final adverse decision could (a) materially adversely affect the operations of the County or the consummation of the transactions contemplated by the County Documents or the Bonds or (b) declare the County Documents or the Bonds to be invalid or unenforceable in whole or in material part.

(g) Between the date hereof and the Closing, without the prior written consent of the Underwriters, the County will not have issued in the name and on behalf of the District any bonds,

notes or other obligations for borrowed money except for such borrowing as may be described in or contemplated by the Official Statement.

(h) Any certificates signed by any officer of the County and delivered to the Underwriters shall be deemed a representation and warranty by the County to the Underwriters, but not by the person signing the same in such person's individual capacity, as to the statements made therein.

Section 9. Covenants of the County and the District. The County and District respectively covenant and agree with the Underwriters that:

(a) **Securities Laws.** The County and District will furnish such information, execute such instruments, and take such other action in cooperation with the Underwriters if and as the Underwriters may reasonably request in order to qualify the Bonds for offer and sale under the Blue Sky or other securities laws and regulations or such states and jurisdictions; provided, however, that the County and the District shall not be required to consent to service of process in any jurisdiction in which they are not so subject as of the date hereof.

(b) **Official Statement.** The District hereby agrees to deliver or cause to be delivered to the Underwriters not later than the seventh business day following the date this Bond Purchase Agreement is signed, copies of a final Official Statement substantially in the form of the Preliminary Official Statement, with only such changes therein as shall have been accepted by the Underwriters, the County and the District (such Official Statement with such changes, if any, and including the cover page and all appendices, exhibits, maps, reports and statements included therein or attached thereto being herein called the "Official Statement") in such quantities as may be requested by the Underwriters, in order to permit the Underwriter to comply with paragraph (b)(4) of the Rule and with the rules of the MSRB. The District hereby authorizes the Underwriters to use and distribute the Official Statement in connection with the offering and sale of the Bonds.

(c) **Subsequent Events.** The District hereby agrees to notify the Underwriters of any event or occurrence that may affect the accuracy or completeness of any information set forth in the Official Statement relating to the District, respectively, until the date which is 25 days following the Closing.

(d) **Filings.** The District authorizes the Underwriter to file, to the extent required by the applicable rules promulgated by the Securities and Exchange Commission or the MSRB, and the Underwriter agrees to file or cause to be filed, the Official Statement with (i) the MSRB or its designee (including the MSRB's Electronic Municipal Market Access system); or (ii) other repositories approved from time to time by the Securities and Exchange Commission (either in addition to or in lieu of the filing referred to above). If an amended Official Statement is prepared in accordance with Section 9(f) of this Bond Purchase Agreement during the "Primary Offering Disclosure Period" (as defined herein), and if required by an applicable Securities and Exchange Commission Rule or MSRB rule, the Underwriter also shall make the required filings of the amended Official Statement.

(e) **References.** References herein to the Preliminary Official Statement and the final Official Statement include the cover page and all appendices, exhibits, maps, reports and statements included therein or attached thereto.

(f) **Amendments to the Official Statement.** During the period ending on the twenty-fifth day after the End of the Underwriting Period (or such other period as may be agreed to by the District and the Underwriters), the District (i) shall not supplement or amend the Official Statement or cause the Official Statement to be supplemented or amended without the prior written consent of the Underwriters; and (ii) shall notify the Underwriters promptly if any event shall occur, or information comes to the attention of the District, that is reasonably likely to cause the Official Statement (whether or not previously supplemented or amended) to contain any untrue statement of a material fact or to omit to state a material fact necessary to make the statements therein, in the light of the circumstances under which they were made, not misleading. If, in the opinion of the Underwriters, such event requires the preparation and distribution of a supplement or amendment to the Official Statement, the District shall prepare and furnish to the Underwriters, at the District's expense, such number of copies of the supplement or amendment to the Official Statement, in form and substance mutually agreed upon by the District and the Underwriters, as the Underwriters may reasonably request. If such notification shall be given subsequent to the Closing, the District also shall furnish, or cause to be furnished, such additional legal opinions, certificates, instruments and other documents as the Underwriters may reasonably deem necessary to evidence the truth and accuracy of any such supplement or amendment to the Official Statement.

For purposes of this Agreement:

(i) the "End of the Underwriting Period" is used as defined in the Rule and shall occur on the later of (A) the Closing Date; or (B) when the Underwriters no longer retain an unsold balance of the Bonds; unless otherwise advised in writing by the Underwriters to the District on or prior to the Closing Date, or otherwise agreed to by the District and the Underwriters, the District may assume that the End of the Underwriting Period is the Closing Date.

(ii) The "Primary Offering Disclosure Period" is used as defined in MSRB Rule G-32 and shall end on the twenty-fifth day after the Closing Date.

Section 10. Representations and Agreements of the Underwriters. The Underwriters represents to and agrees with the District and County that, as of the date hereof and as of the date of the Closing, which representations and warranties shall survive the Closing:

(a) The Representatives are duly authorized and has been duly authorized by the Underwriters, pursuant to an agreement among the Underwriters (the "AAU"), to execute this Bond Purchase Agreement, to act hereunder on behalf of the Underwriters and to take all actions, and waive any condition or requirement, required or permitted to be taken or waived hereunder by the Representatives or the Underwriters. The Underwriters are in compliance with MSRB Rule G-37 with respect to the District, and is not prohibited thereby from acting as underwriter with respect to securities of the District.

(b) The Underwriters have not paid or agreed to pay, nor will they pay or agree to pay, any entity, company, firm, or person (including, but not limited to any officer, agent or employee of the District), other than a bona fide officer, agent or employee working for the Underwriters, any compensation, fee, gift or other consideration contingent upon or resulting from the award of or entering into this Bond Purchase Agreement

(c) Based on representations in the AAU, the Underwriters have, and have had, no financial advisory relationship (as such term is defined in California Government Code Section 53590) with the District or the County with respect to the Bonds, and no investment firm controlling, controlled by or under common control with any of the Underwriters has or has had any such financial advisory relationship (as such term is defined in California Government Code Section 53590).

(d) The Underwriters are licensed by and registered with the Financial Industry Regulatory Authority as a broker-dealer and the MSRB as a municipal securities dealer. The Underwriters shall comply with all statutes, rules and regulations of all governmental entities in connection with the offering and sale of the Bonds.

(e) The Underwriters have reasonably determined that the District's undertaking to provide continuing disclosure with respect to the Bonds pursuant to Section 10(e)(viii) hereof is sufficient to effect compliance with the Rule.

Section 11. Division of Responsibility Between District and County. It is specifically acknowledged and agreed by and between the District and the County that the County shall have no responsibility or liability to ensure or provide compliance with those provisions of this Bond Purchase Agreement which are to be performed solely by the District and the District shall have no responsibility or liability to ensure or provide compliance with those provisions of this Bond Purchase Agreement which are to be performed solely by the County.

Section 12. Conditions to Closing. The Underwriters have entered into this Bond Purchase Agreement in reliance upon the representations and warranties of the County and District contained herein and the performance by the County and District of their respective obligations hereunder, both as of the date hereof and as of the date of Closing. The Underwriters' obligations under this Bond Purchase Agreement are, and shall be subject at the option of the Underwriters, to the following further conditions at the Closing:

(a) **Representations True.** The representations and warranties of the County and District contained herein shall be true, complete and correct in all material respects at the date hereof and at and as of the Closing, as if made at and as of the Closing, and the statements made in all certificates and other documents delivered to the Underwriters at the Closing pursuant hereto shall be true, complete and correct in all material respects on the date of the Closing; and the County and District shall be in compliance with each of the agreements made by it in this Bond Purchase Agreement.

(b) **Obligations Performed.** At the time of the Closing, (i) the District Documents and the County Documents shall be in full force and effect and the Resolutions and the Official Statement shall not have been amended, modified or supplemented except

as may have been agreed to in writing by the Underwriters; (ii) all actions under the Bond Law which, in the opinion of Bond Counsel, shall be necessary in connection with the transactions contemplated hereby, shall have been duly taken and shall be in full force and effect; (iii) the County and the District shall have adopted, and there shall be in full force and effect such additional resolutions, agreements, opinions and certificates (including with respect to the Bonds such certificates as may be required by regulations of the Internal Revenue Service in order to establish the tax-exempt character of the interest on the Bonds), as shall be satisfactory in form and substance to Bond Counsel and to the Underwriters, and there shall have been taken in connection therewith and in connection with the execution and delivery of the Bonds all such actions as shall, in the reasonable opinion of each, be necessary in connection with the transactions contemplated hereby; (iv) all actions under the Resolutions which, in the opinion of Bond Counsel to the District, shall be necessary in connection with the transactions contemplated hereby, shall have been duly taken and shall be in full force and effect; (v) the Bonds shall have been duly authorized, executed and delivered; and (vi) the District and the County shall perform or have performed all of their respective obligations required under or specified in the District Documents and the County Documents to be performed at or prior to the Closing.

(c) ***Adverse Rulings.*** No decision, ruling or finding shall have been entered by any court or governmental authority since the date of this Bond Purchase Agreement (and not reversed on appeal or otherwise set aside), or to the best knowledge of the District and County, pending for which it has been served or threatened in writing which has any of the effects described in Section 7(f) hereof or contesting in any way the completeness or accuracy of the Official Statement.

(d) ***Marketability.*** Between the date hereof and the Closing, the market price or marketability or the ability of the Underwriters to enforce contracts for the sale of the Bonds, at the initial offering prices set forth in the Official Statement, shall not have been materially adversely affected in the sole and reasonable judgment of the Underwriters by reason of any of the following:

(ii) legislation enacted or introduced in the Congress or recommended for passage by the President of the United States, or a decision rendered by a court established under Article III of the Constitution of the United States or by the United States Tax Court, or an order, ruling, regulation (final, temporary or proposed) or official statement issued or made or proposed to be made:

(A) by or on behalf of the United States Treasury Department, or by or on behalf of the Internal Revenue Service, with the purpose or effect, directly or indirectly, of causing the inclusion in gross income for purposes of federal income taxation of the interest received by the owners of the Bonds; or

(B) by or on behalf of the Securities and Exchange Commission, or any other governmental agency having jurisdiction over the subject matter thereof, to the effect that the Bonds, or obligations of the general character of the Bonds, including any and all underlying arrangements, are

not exempt from registration under the Securities Act of 1933, as amended, or would be in violation of any provision of the federal securities laws;

(iii) legislation enacted by the legislature of the State, or a decision rendered by a court of the State, or a ruling, order or regulation (final or temporary) made by State authority, which would have the effect of changing, directly or indirectly, the State tax consequences of interest on obligations of the general character of the Bonds in the hands of the holders thereof;

(iv) there shall have occurred (1) an outbreak or escalation of hostilities or the declaration by the United States of a national emergency or war or (2) any other calamity or crisis in the financial markets of the United States or elsewhere or the escalation of such calamity or crisis;

(v) a general suspension of trading on the New York Stock Exchange or other major exchange shall be in force, or minimum or maximum prices for trading shall have been fixed and be in force, or maximum ranges for prices for securities shall have been required and be in force on any such exchange, whether by virtue of determination by that exchange or by order of the Securities and Exchange Commission or any other governmental authority having jurisdiction;

(vi) the declaration of a general banking moratorium by federal, New York or California authorities;

(vii) the imposition by the New York Stock Exchange, other national securities exchange, or any governmental authority, of any material restrictions not now in force with respect to the Bonds, or obligations of the general character of the Bonds, or securities generally, or the material increase of any such restrictions now in force, including those relating to the extension of credit by, or the charge to the net capital requirements of, the Underwriters;

(viii) except as disclosed in or contemplated by the Official Statement, any material adverse change in the affairs of the District shall have occurred;

(ix) any underlying rating of the District's outstanding indebtedness is withdrawn or downgraded or placed on credit watch by a national rating agency;

(x) any event occurring, or information becoming known which, in the reasonable judgment of the Underwriters, makes untrue in any material adverse respect any statement or information contained in the Official Statement, or has the effect that the Official Statement contains any untrue statement of a material fact or omits to state a material fact required to be stated therein or necessary to make the statements made therein, in light of the circumstances under which they were made, not misleading and, in either such event, the District refuses to permit the Official Statement to be supplemented to supply such statement or information, or the effect of the Official Statement as so supplemented is to materially adversely affect the market price or marketability of the Bonds or the ability of the Underwriter to enforce contracts for the sale of the Bonds;

(xi) a material disruption in securities settlement, payment or clearance services affecting the Bonds shall have occurred;

(xii) any amendment shall have been made to the federal or State Constitution or action by any federal or State court, legislative body, regulatory body, or other authority materially adversely affecting the tax status of the District, its property, income, securities (or interest thereon) or the validity or enforceability of the levy of taxes to pay principal of and interest on the Bonds; or

(xiii) the purchase of and payment for the Bonds by the Underwriters, or the resale of the Bonds by the Underwriters, on the terms and conditions herein provided shall be prohibited by any applicable law, governmental authority, board, agency or commission.

(e) ***Delivery of Documents.*** At or prior to the Closing Date, the Underwriters shall receive sufficient copies of the following documents in each case dated as of the Closing Date and satisfactory in form and substance to the Underwriters:

(1) the approving opinion of Bond Counsel with respect to the Bonds, dated the Closing Date and addressed to the District, substantially in the form attached as APPENDIX D to the Preliminary Official Statement;

(2) a reliance letter from Bond Counsel to the effect that the Underwriters may rely upon the approving opinion of Bond Counsel described in subsection (e)(1) above;

(3) a supplemental opinion of Bond Counsel in a form acceptable to the Underwriters, dated the Closing Date and addressed to the Underwriters, to the effect that:

(i) assuming due authorization, execution and delivery by all the parties thereto, the District Resolution, this Bond Purchase Agreement and the Continuing Disclosure Certificate have each been duly authorized, executed and delivered by the respective parties thereto and constitute legal, valid and binding obligations of the District and are enforceable in accordance with their respective terms, except as enforcement thereof may be limited by bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium or other laws affecting generally the enforcement of creditors' rights and except as their enforcement may be subject to the application of equitable principles and the exercise of judicial discretion in appropriate cases if equitable remedies are sought (provided that no opinion need be rendered regarding the adequacy of the Continuing Disclosure Certificate for purposes of the Rule) and by limitations on the enforcement of legal remedies against public agencies in the State;

(ii) the statements contained in the Official Statement under the captions "The Bonds" (excluding any and all information relating to The Depository Trust Company and its book-entry system and the County

Treasury Pool set forth in Appendix F), “Security and Sources of Payment for the Bonds – General Description” and “Tax Matters,” excluding any material that may be treated as included under such captions by cross reference, to the extent they purport to summarize certain provisions of the Bonds, the Resolutions and the exclusion from gross income of interest on the Bonds for federal income tax purposes or the exemption of interest on the Bonds for State income tax purposes, fairly and accurately summarize the matters purported to be summarized thereto; and

(iii) the Bonds are not subject to the registration requirements of the Securities Act of 1933, as amended, and the County Resolution is exempt from qualification pursuant to the Trust Indenture Act of 1939, as amended;

(4) the Continuing Disclosure Certificate signed by an appropriate official of the District and in form and substance reasonably satisfactory to the Underwriters;

(5) a certificate signed by an appropriate official of the District to the effect that (i) such official is authorized to execute this Bond Purchase Agreement, the Official Statement and the Continuing Disclosure Certificate; (ii) the representations, agreements and warranties of the District herein are true and correct as of the date of Closing; (iii) the District has complied with all the terms of the District Documents to be complied with by the District prior to or concurrently with the Closing and the District Documents are in full force and effect; (iv) no litigation is pending (with service of process having been accomplished) or, to the best of the District’s knowledge, threatened (either in State or federal courts): (A) seeking to restrain or enjoin the execution, sale or delivery of any of the Bonds, (B) in any way contesting or affecting the authority for the execution, sale or delivery of the Bonds, the Official Statement, the Continuing Disclosure Certificate or this Bond Purchase Agreement, or (C) in any way contesting the existence or powers of the District; (v) such official has reviewed the Official Statement and on such basis certifies that the Official Statement does not contain any untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made therein, in the light of the circumstances under which they were made, not misleading; (vi) each of the conditions listed in Section 13 of this Bond Purchase Agreement required to be satisfied by the District has been satisfied on the date thereof and the District is not aware of any other condition of this Bond Purchase Agreement that has not been satisfied on the date thereof; and (vii) the Bonds being delivered on the date of the Closing to the Underwriters under this Bond Purchase Agreement substantially conform to the descriptions thereof contained in the Resolutions, the Official Statement and this Bond Purchase Agreement;

(6) a certificate signed by an appropriate official of the County to the effect that (i) such official is authorized to execute and to approve this Bond Purchase Agreement; (ii) the representations, agreements and warranties of the County herein are true and correct as of the date of Closing; (iii) the County has complied

with all the terms of the County Documents to be complied with by the County prior to or concurrently with the Closing; (iv) to the best of the County's knowledge, no litigation is pending (with service of process having been accomplished) or threatened (either in State or federal courts): (A) seeking to restrain or enjoin the execution, sale or delivery of any of the Bonds, (B) in any way contesting or affecting the authority for the execution, sale or delivery of the Bonds or this Bond Purchase Agreement, or (C) in any way contesting the existence or powers of the County with respect to the Bonds; (v) each of the conditions listed in Section 13 of this Bond Purchase Agreement required to be satisfied by the County has been satisfied on the date thereof and the County is not aware of any other condition of this Bond Purchase Agreement that has not been satisfied on the date thereof; and (vii) the Bonds being delivered on the date of the Closing to the Underwriters under this Bond Purchase Agreement substantially conform to the descriptions thereof contained in the County Resolution and this Bond Purchase Agreement;

(7) a certificate of the Paying Agent, or its agent, as applicable, dated the date of the Closing, signed by a duly authorized officer of the Paying Agent, or its agent, as applicable, and in form and substance satisfactory to the Underwriters, to the effect that: (i) to the best of such officer's knowledge, the representations and agreements of the Paying Agent in the Master Paying Agent Services Contract, dated as of [July 1, 2019] (the "Paying Agent Agreement"), between the County and the Paying Agent, are true and correct as of the date of the Closing; (ii) the Paying Agent Agreement has been duly authorized, executed and delivered and, assuming due execution by the other parties thereto, is enforceable against the Paying Agent in accordance with its terms; and (iii) to the best of such officer's knowledge, no litigation is pending or threatened (either in State or federal courts) (A) seeking to restrain or enjoin the delivery by the Paying Agent of any of the Bonds, or (B) in any way contesting or affecting any authority of the Paying Agent for the delivery of the Bonds or the validity or enforceability of the Bonds or the Paying Agent Agreement;

(8) a tax certificate of the District in form satisfactory to Bond Counsel with respect to the Bonds;

(9) evidence satisfactory to the Underwriters that any ratings described in the Official Statement are in full force and effect as of the Closing Date;

(10) the opinion of General Counsel to the District, addressed to the District, the County and the Underwriters, dated the Closing Date, to the effect that: (i) the District is a unified school district validly existing under the Constitution and the laws of the State; (ii) the District has the full right and lawful authority to enter into and perform its duties and obligations under the District Documents and to authorize the issuance and sale of the Bonds; (iii) to the best knowledge of General Counsel to the District, there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court or public body, pending, or to such counsel's knowledge, threatened against the District contesting in any way the

completeness or accuracy of the Official Statement or the due adoption of the District Resolution, and there is no breach or default by the District under any other instruments which is caused by the issuance of the Bonds or the execution and delivery of this Bond Purchase Agreement or the Continuing Disclosure Certificate; (iv) General Counsel to the District is not representing the District in connection with any litigation of any nature to restrain or enjoin the execution, delivery or performance of the District Documents, the Bonds or any of the proceedings taken with respect to the issuance of the Bonds, the application of monies to the payment of the Bonds or in any manner questioning the proceedings and authority under which the Bonds were authorized or challenging the validity of the Bonds, the existence or boundaries of the District or the title of the officials of the District who have acted with respect to the proceedings for the issuance of the Bonds on behalf of the District to their respective offices; and (v) the Official Statement has been duly approved by the District.

(11) the opinion of County Counsel for the County (“County Counsel”), as counsel to the Board of Supervisors, addressed to the County, the District and the Underwriters, dated the Closing Date, to the effect that: (i) the County is a political subdivision of the State, duly organized and validly existing under the Constitution and the laws of the State; (ii) the County Resolution approving and authorizing the execution and delivery of this Bond Purchase Agreement and the sale and issuance of the Bonds was duly adopted at a meeting of the Board of Supervisors, which was called and held pursuant to law and with all public notice required by law and at which a quorum was present and acting at the time of adoption of the County Resolution, and the County Resolution has not been modified, amended, rescinded or revoked and is in full force and effect on the date thereof; (iii) to the best knowledge of County Counsel, there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court, governmental agency, public authority or body, pending or threatened against the County in which service of process has been completed (a) affecting the existence of the County or the titles of its officers who have acted with respect to the proceedings for issuance and sale of the Bonds to their respective offices; (b) seeking to prohibit, restrain or enjoin the execution, delivery or performance of this Bond Purchase Agreement or the issuance of the Bonds or in any way contesting or affecting the validity or enforceability of the Bonds or the County Documents; (c) contesting the powers of the County or its authority to enter into, adopt or perform its obligations under the County Documents; or (d) seeking to restrain or enjoin the levy or collection of tax revenues pledged for payment of the Bonds, or the application thereof to such payment; and (iv) this Bond Purchase Agreement has been duly authorized, executed and delivered by the County and the Bonds have been duly authorized by the County, executed by the County on behalf of the District and delivered by the County and, assuming due authorization, execution and delivery by the other parties thereto, this Bond Purchase Agreement constitutes a legal, valid and binding obligation of the County enforceable against the County in accordance with its terms; provided that any County Counsel opinions regarding the enforcement of the County Documents and the Bonds may be expressly limited by the effect of bankruptcy, insolvency or other laws affecting the enforcement of creditors’ rights

generally and by the application of equitable principles if equitable remedies are sought and by the limitations on legal remedies imposed on actions against counties in the State.

(12) the opinion of [UW Counsel], counsel for the Underwriters (“Underwriters’ Counsel”), dated the date of Closing and addressed to the Underwriters, satisfactory in form and substance to the Underwriters;

(13) the letters of Disclosure Counsel in a form subject to the satisfaction of the Underwriters, dated the date of Closing and addressed separately to the District and the Underwriters;

(14) a certificate, together with a fully executed copy of each of the District Resolution, of the Executive Officer of the Board of Education to the effect that: (i) such copy is a true and correct copy of the District Resolution; and (ii) that the District Resolution was duly adopted, has not been modified, amended, rescinded or revoked and is in full force and effect on the date of the Closing;

(15) an original or copy of the County Resolution, certified by the Executive Officer - Clerk of the Board of Supervisors;

(16) a certificate of the appropriate official of the District evidencing the District’s determination respecting the Preliminary Official Statement in accordance with Rule 15c2-12;

(17) a transcript of all proceedings relating to the authorization, issuance and delivery of the Bonds; and

(18) such additional legal opinions, certificates, proceedings, instruments and other documents as the Underwriters may reasonably request to evidence compliance (i) by the County, the District and the Paying Agent (and its agent, if applicable) with legal requirements, (ii) the truth and accuracy, as of the time of Closing, of the representations of the County and the District herein contained, and (iii) the due performance or satisfaction by the County, the District and the Paying Agent (and its agent, if applicable) at or prior to such time of all agreements then to be performed and all conditions then to be satisfied by them.

(f) **Termination.** Notwithstanding anything to the contrary herein contained, if for any reason whatsoever the Bonds shall not have been delivered by the District to the Underwriters as provided in Section 6 hereof, then the obligation to purchase Bonds hereunder shall terminate and be of no further force or effect except with respect to the obligations of the District and the Underwriter that survive termination hereof.

If the County and/or the District shall be unable to satisfy the conditions to the Underwriters’ obligations contained in this Bond Purchase Agreement or if the Underwriters’ obligations shall be terminated for any reason permitted by this Bond Purchase Agreement, this Bond Purchase Agreement may be canceled by the Underwriters at, or at any time prior to, the time of Closing. Notice of such cancellation shall be given to the County and the District in writing,

or by telephone or electronic communication, confirmed in writing. Notwithstanding any provision herein to the contrary, the performance of any and all obligations of the County and the District hereunder and the performance of any and all conditions contained herein for the benefit of the Underwriters may be waived by the Representatives in writing at their sole discretion.

Section 13. Conditions to Obligations of the District. The performance by the County and District of their obligations is conditioned upon (a) the performance by the Underwriters of their obligations hereunder, and (b) receipt by the District and the Underwriters of opinions and certificates being delivered at the Closing by persons and entities other than the County and District.

Section 14. Expenses. On the Closing Date, the Underwriters will wire \$[] from the proceeds of the Bonds, as provided in Section 1 hereof, to U.S. Bank Trust Company, National Association, as costs administrator, to be used to pay costs of issuance of the Bonds, including, but not limited to the following at the direction of the District: (i) the costs of the preparation and reproduction of the Resolutions; (ii) the fees and disbursements of Bond Counsel, Disclosure Counsel and the Municipal Advisor; (iii) the cost of the preparation, printing and delivery of the Bonds; (iv) the fees for Bond ratings, including all necessary expenses for travel; (v) the cost of the printing and distribution of the Preliminary Official Statement and the Official Statement, and any supplement or amendment thereto; (vi) costs, fees and expenses related to the presentation to investors; (vii) the initial fees of the Paying Agent; and (viii) all other fees and expenses incident to the issuance and sale of the Bonds or the performance of its obligations hereunder. All out-of-pocket expenses of the Underwriters, including California Debt and Investment Advisory Commission fees, CUSIP Service Bureau registration fees, Underwriters' Counsel fees, expenses for travel and other expenses of the Underwriters, shall be paid by the Underwriters out of Underwriters' discount.

Section 15. Notices. Any notice or other communication to be given under this Bond Purchase Agreement (other than the acceptance hereof as specified in the first paragraph hereof) may be given by delivering the same in writing if to the County, to the Treasurer and Tax Collector of the County of Los Angeles at 437 Kenneth Hahn Hall of Administration, 500 West Temple Street, Los Angeles, California 90012; if to the District, to the Chief Financial Officer of the Los Angeles Unified School District, 333 S. Beaudry Avenue, 26th Floor, Los Angeles, California 90017, or if to the Representatives, to [Underwriter], [Address] Attention: [].

Section 16. Parties in Interest; Survival of Representations and Warranties. This Bond Purchase Agreement when accepted by the District in writing as heretofore specified shall constitute the entire agreement between the District and the Underwriter. This Bond Purchase Agreement is made solely for the benefit of the District and the Underwriter (including the successors or assigns of the Underwriter). No other person shall acquire or have any rights hereunder or by virtue hereof. All representations, warranties and agreements of the District in this Bond Purchase Agreement shall survive regardless of (a) any investigation or any statement in respect thereof made by or on behalf of the Underwriter, (b) delivery of and payment by the Underwriter for the Bonds hereunder, and (c) any termination of this Bond Purchase Agreement.

Section 17. Severability. If any provision of this Bond Purchase Agreement is, or is held or deemed to be, invalid, illegal or unenforceable for any reason by any court of competent

jurisdiction or otherwise, the validity, legality and enforceability of the remaining provisions hereof shall not in any way be affected or impaired thereby.

Section 18. Entire Agreement. This Bond Purchase Agreement when accepted by the County and District in writing as heretofore specified shall constitute the entire agreement between the County, District and the Underwriters, including their permitted successors and assigns, respectively.

Section 19. Execution in Counterparts. This Bond Purchase Agreement may be executed in several counterparts each of which shall be regarded as an original and all of which shall constitute but one and the same document.

(Signature page follows)

Section 20. Applicable Law. This Bond Purchase Agreement shall be interpreted, governed and enforced in accordance with the laws of the State applicable to contracts made and performed in such State.

Very truly yours,

[REPRESENTATIVES, on their own behalf and
as representatives of [UWs]

By: [REPRESENTATIVE], as Representative

By: _____
Authorized Officer

The foregoing is hereby agreed to and
accepted as of the date first above
written:

COUNTY OF LOS ANGELES

By: _____
Chief Deputy Treasurer
and Tax Collector

Approved as to form:

DAWYN R. HARRISON
County Counsel

By: _____
Senior Deputy County Counsel

LOS ANGELES UNIFIED SCHOOL
DISTRICT

By: _____

_____ p.m. Pacific time

APPENDIX A

MATURITIES SCHEDULES AND
REDEMPTION PROVISIONS

\$[AMOUNT]
LOS ANGELES UNIFIED SCHOOL DISTRICT
 (County of Los Angeles, California)
 General Obligation Bonds Series QRR (2025)

<u>Maturity (July 1)</u>	<u>Principal Amount</u>	<u>Interest Rate</u>	<u>Yield</u>	<u>Price</u>	<u>10% Test Satisfied</u>	<u>10% Tet Not Satisfied</u>	<u>Subject to Hold-the- Offering- Price</u>
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Redemption

[TO COME].

APPENDIX B

ISSUE PRICE CERTIFICATE OF THE REPRESENTATIVE

\$[AMOUNT]
LOS ANGELES UNIFIED SCHOOL DISTRICT
(County of Los Angeles, California)
General Obligation Bonds, Series QRR (2025)

[REPRESENTATIVES] have acted as the representative of the Underwriters listed in the Bond Purchase Agreement (collectively, the “Representative”) entered into in connection with the sale and issuance by the Los Angeles Unified School District (the “District”) of the Los Angeles Unified School District (County of Los Angeles, California) General Obligation Bonds, Series QRR (2025) (Dedicated Unlimited *Ad Valorem* Property Tax Bonds) maturing on the dates set forth on Schedule 1 hereto in the principal amount of \$_____ (the “Bonds”) being issued on the date hereof, and the Representatives hereby certify and represent on behalf of itself and such other Underwriters the following:

1. As of [Sale Date] (the “Sale Date”), all of the Bonds were the subject of a bona fide offering to the Public at the respective prices or yields set forth on the inside cover page of the District’s Official Statement in respect of the Bonds dated [Sale Date] (each, an “Initial Offering Price”), which are the same prices or yields shown on the final pricing wire for the offering of the Bonds attached hereto as Schedule 1.

2. As of the Sale Date, [except for the Maturities [IDENTIFY UN/UNDERSOLD MATURITIES] (the “Unsold Maturities”), shown on Schedule 2 attached hereto,] the first price at which 10% of each Maturity of the Bonds was sold by the Underwriters to the Public is set forth on Schedule 1.

3. [HOLD THE PRICE - REPRESENTATIVES ALLOTTED UNSOLD MATURITIES] On and following the Sale Date, with respect to the initial sales of the Unsold Maturities, the Representatives: (i) have retained the unsold principal amounts of the bonds of the Unsold Maturities as shown in Schedule 2 attached hereto and not allocated any such Unsold Maturities to any other Underwriter, and (ii) has neither offered nor sold any such Unsold Maturities to any person at a price that is higher or yield lower than the Initial Offering Price during the period starting on the Sale Date and ending on the earlier of the following: (a) the close of the fifth business day after the Sale Date, or (b) the date on which at least 10% of the bonds of the Unsold Maturity has been sold to the Public at a price that is at or below the Initial Offering Price. OR:

4. [HOLD THE PRICE - SYNDICATE RETAINS BONDS] On and following the Sale Date, with respect to the initial sales of the Unsold Maturities, the Underwriters have neither offered nor sold any Unsold Maturities to any person at a price higher than or a yield lower than the respective Initial Offering Price for a period of time starting on the Sale Date and ending on the earlier of the following: (a) the close of the fifth business day

after the Sale Date, or (b) the date on which at least 10% of the bonds of the Unsold Maturity has been sold to the Public at a price that is at or below the Initial Offering Price.

5. The agreement among Underwriters, each selling group agreement and each retail distribution agreement (to which the Representatives are parties) relating to the initial sale of the Bonds to the Public, together with the related pricing wires, contains language obligating each Underwriter, each dealer who is a member of the selling group, and each broker-dealer that is a party to such retail distribution agreement, as applicable, to (A) report the prices at which it sells to the Public the unsold Bonds of each Maturity allotted to it until it is notified by the Representative that at least 10% of such Maturity of the Bonds was sold by the Underwriters to the Public at a single price, and (B) with respect to the Unsold Maturities, if any, comply with the hold-the-offering-price rule, as described above, if and for so long as directed by the Representatives and as set forth in the related pricing wires.

6. The agreement among Underwriters relating to the initial sale of the Bonds to the Public, together with the related pricing wires, contains language obligating each Underwriter that is a party to a retail distribution agreement to be employed in connection with the initial sale of the Bonds to the Public to require each broker-dealer that is a party to such retail distribution agreement to (A) report the prices at which it sells to the Public the unsold Bonds of each Maturity allotted to it until it is notified by the Underwriter that at least 10% of such Maturity of the Bonds was sold by the Underwriters to the Public at a single price, and (B) with respect to the Unsold Maturities, if any, comply with the hold-the-offering-price rule, as described above, if and for so long as directed by the Representative and as set forth in the related pricing wires.

For purposes of this Certificate, the following definitions apply:

(a) Maturity means Bonds with the same credit and payment terms. Bonds with different maturity dates, or Bonds with the same maturity date but different stated interest rates, are treated as separate Maturities.

(b) Public means any person (including an individual, trust, estate, partnership, association, company, or corporation) other than an Underwriter or a Related Party to an Underwriter.

(c) Related Party means any entity if an Underwriter and such entity are subject, directly or indirectly, to (i) more than 50% common ownership of the voting power or the total value of their stock, if both entities are corporations (including direct ownership by one corporation of another), (ii) more than 50% common ownership of their capital interests or profit interests, if both entities are partnerships (including direct ownership by one partnership of another), or (iii) more than 50% common ownership of the value of the outstanding stock of the corporation or the capital interests or profit interests of the partnership, as applicable, if one entity is a corporation and the other entity is a partnership (including direct ownership of the applicable stock or interests by one entity of the other).

(d) Underwriter means (i) any person that agrees pursuant to a written contract with the District (or with the lead underwriter to form an underwriting syndicate) to participate in the initial sale of the Bonds to the Public, and (ii) any person that agrees pursuant to a written contract directly or indirectly with a person described in clause (i) of this paragraph to participate in the initial sale of the Bonds to the Public (including a member of a selling group or a party to a retail distribution agreement participating in the initial sale of the Bonds to the Public).

The Representatives understand that the foregoing information will be relied upon by the District with respect to certain of the representations set forth in the District's Tax Certificate and Agreement to which this certificate is included as an exhibit and with respect to compliance with the federal income tax rules affecting the Bonds, and by Dannis Woliver Kelly, as bond counsel to the District, in connection with providing an opinion as to the exclusion from gross income of interest on the Bonds pursuant to Section 103 of the Internal Revenue Code of 1986, as amended (the "Code"), the preparation of the Internal Revenue Service Form 8038-G, and other federal income tax advice that it may give to the District from time to time relating to the Bonds. The Representatives are certifying only as to facts in existence on the date hereof. Nothing herein represents the Representatives' interpretation of any laws; in particular the Treasury Regulations under the Code, or the application of any laws to these facts. The certifications contained herein are not necessarily based on personal knowledge, but may instead be based on either inquiry deemed adequate by the undersigned or institutional knowledge (or both) regarding the matters set forth herein. Although certain information furnished in this Certificate has been derived from other Underwriters and cannot be independently verified by us, we have no reason to believe it to be untrue in any material respect.

Dated: [CLOSING DATE]

[REPRESENTATIVES]

By: _____
Authorized Signatory

**Schedule I
to Certificate of Underwriter**

**\$(AMOUNT)
LOS ANGELES UNIFIED SCHOOL DISTRICT
(County of Los Angeles, California)
General Obligation Bonds, Series QRR (2025)**

<u>Maturity (July 1)</u>	<u>Principal Amount</u>	<u>Interest Rate</u>	<u>Yield</u>	<u>Price</u>	<u>10% Test Satisfied</u>	<u>10% Tet Not Satisfied</u>	<u>Subject to Hold-the- Offering- Price</u>
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CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the “Disclosure Certificate”), dated [DATE], is executed and delivered by the Los Angeles Unified School District (the “District”) in connection with the issuance of its Bonds (defined herein), which are being issued pursuant to the laws of the State of California and the Resolution (defined herein). The District covenants and agrees as follows:

Section 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District and the Dissemination Agent for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Participating Underwriters in complying with Securities and Exchange Commission Rule 15c2-12(b)(5).

Section 2. Definitions. In addition to the definitions set forth in the Resolution, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 4 and 5 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person who (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

“Bonds” shall mean the Los Angeles Unified School District’s General Obligation Bonds, Series QRR (2025) (Dedicated Unlimited *Ad Valorem* Property Tax Bonds).

“County” shall mean the County of Los Angeles, California.

“CUSIP Numbers” shall mean the Committee on Uniform Security Identification Procedure’s unique identification number for each public issue of a security.

“Dissemination Agent” shall mean Digital Assurance Certification, L.L.C., or any successor Dissemination Agent designated in writing by the District and which has filed with the District a written acceptance of such designation.

“Disclosure Counsel” shall mean an attorney-at-law, or a firm of such attorneys, of nationally recognized standing in matters pertaining to the disclosure obligations under the Rule, duly admitted to the practice of law before the highest court of any state of the United States of America.

“EMMA System” shall mean the MSRB’s Electronic Municipal Market Access system, the current internet address of which is <http://emma.msrb.org>.

“Financial Obligation” shall mean, for purposes of the Listed Events set out in Section 6(b)(xv) and Section 6(b)(xvi), a (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt

obligation; or (iii) guarantee of (i) or (ii). The term “Financial Obligation” shall not include municipal securities (as defined in the Securities Exchange Act of 1934, as amended) as to which a final official statement (as defined in the Rule) has been provided to the MSRB consistent with the Rule.

“Holder” shall mean either the registered owners of the Bonds, or if the Bonds are registered in the name of The Depository Trust Company or another recognized depository, any applicable participant in such depository system.

“Listed Events” shall mean any of the events listed in Section 6(b) of this Disclosure Certificate.

“MSRB” shall mean the Municipal Securities Rulemaking Board established pursuant to Section 15B(b)(1) of the Securities Exchange Act of 1934, or any successor thereto or to the functions of the MSRB contemplated by this Disclosure Certificate.

“Official Statement” shall mean the Official Statement dated [_____], 2025, with respect to the Bonds.

“Participating Underwriters” shall mean the original underwriters of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Resolution” shall mean collectively, the resolution adopted by the Board of Education of the District on [May 13, 2025], and a resolution adopted by the Board of Supervisors of the County on [June 10, 2025].

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

Section 3. Transmission of Notices, Documents and Information.

(a) Unless otherwise required by the MSRB, all notices, documents and information provided to the MSRB shall be provided to the EMMA System.

(b) All notices, documents and information provided to the MSRB shall be provided in an electronic format as prescribed by the MSRB.

Section 4. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than 240 days following the end of the District’s fiscal year (currently ending June 30), commencing with the report for the 2024-25 fiscal year (which is due not later than February 25, 2026), provide to the MSRB through its EMMA System an Annual Report which is consistent with the requirements of Section 5 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 5 of this Disclosure Certificate. If the District’s fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 6(c).

(b) Not later than thirty (30) days (not more than sixty (60) days) prior to the date on which the Annual Report is to be provided pursuant to subsection (a), the Dissemination Agent shall give notice to the District that the Annual Report is so required to be filed in accordance with the terms of this Disclosure Certificate. Not later than fifteen (15) days prior to said date, the District shall provide the Annual Report to the Dissemination Agent (if other than the District). If the District is unable to provide to the MSRB through its EMMA System an Annual Report by the date required in subsection (a), the Dissemination Agent shall send a timely notice of such fact to the MSRB through its EMMA System.

(c) The Dissemination Agent shall: (i) determine each year prior to the date for providing the Annual Report to the EMMA System the date on which such Annual Report shall be due and notify the District of such date; and (ii) (if the Dissemination Agent is other than the District) file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, stating the date it was provided and that it was provided to the MSRB through the EMMA System.

Section 5. Content of Annual Reports. The District's Annual Report shall contain or include by reference the following:

(a) Audited financial statements of the District for the preceding fiscal year, prepared in accordance with the laws of the State of California and including all statements and information prescribed for inclusion therein by the Controller of the State of California. If the District's audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 4 hereof, the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

(b) To the extent not included in the audited financial statements of the District, the Annual Report shall also include the following:

(i) Table [3] – “Historical Gross Assessed Valuation of Taxable Property” if and to the extent provided to the District by the County;

(ii) Table [5] – “Assessed Valuation and Parcels by Land Use;”

(iii) Table [6] – “Assessed Valuations of Single Family Homes per Parcel;”

(iv) Table [7] – “Largest Local Secured Taxpayers;”

(v) Table [9A] – “Secured Tax Charges and Delinquencies,” if and to the extent provided to the District by the County;

(vi) Table [A-1] – “Average Daily Attendance;”

(vii) Table [A-4] – “District General Fund Budget” for the current fiscal year;

(viii) Table [A-18] – “Proposition BB (Election of 1997) Bonds,” if and only to the extent that bonds issued pursuant to Proposition BB or bonds that have refunded such bonds are outstanding;

(ix) Table [A-19] – “Measure K (Election of 2002) Bonds,” if and only to the extent that bonds issued pursuant to Measure K or bonds that have refunded such bonds are outstanding;

(x) Table [A-20] – “Measure R (Election of 2004) Bonds,” if and only to the extent that bonds issued pursuant to Measure R or bonds that have refunded such bonds are outstanding;

(xi) Table [A-21] – “Measure Y (Election of 2005) Bonds,” if and only to the extent that bonds issued pursuant to Measure Y or bonds that have refunded such bonds are outstanding;

(xii) Table [A-22] – “Measure Q (Election of 2008) Bonds,” if and only to the extent that bonds issued pursuant to Measure Q or bonds that have refunded such bonds are outstanding; and

(xiii) Table [A-23] – “Measure RR (Election of 2020) Bonds,” if and only to the extent that bonds issued pursuant to Measure RR or bonds that have refunded such bonds are outstanding.

(c) It shall be sufficient for purposes of Section 4 hereof if the District provides annual financial information by specific reference to documents (i) available to the public on the MSRB Internet Web site (currently, www.emma.msrb.org) or (ii) filed with the Securities and Exchange Commission. The District shall clearly identify each such other document so included by reference. The provisions of this Section 5(c) shall not apply to notices of Listed Events pursuant to Section 6 hereof.

(d) The descriptions contained in clause (b) above of financial information and operating data constituting to be included in the Annual Report are of general categories or types of financial information and operating data. When such descriptions include information that no longer can be generated because the operations to which it related have been materially changed or discontinued, or due to changes in accounting practices, legislative or organizational changes, a statement to that effect shall be provided in lieu of such information. Comparable information shall be provided if available.

Section 6. Reporting of Listed Events.

(a) If a Listed Event occurs, the District shall provide or cause to be provided, in a timely manner not in excess of ten (10) Business Days of the District having notice of such Listed Event, notice of such Listed Event to (i) the EMMA System of the MSRB and (ii) the Dissemination Agent.

(b) Pursuant to the provisions of this Section 6, the District shall give, or cause to be given, notice of the occurrence of any of the following events (each, a “Listed Event”) with respect to the Bonds;

(i) principal and interest payment delinquencies;

(ii) non-payment related defaults, if material;

(iii) modifications to rights of Holders, if material;

(iv) bond calls, if material and tender offers;

(v) defeasances;

(vi) rating changes;

(vii) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (Internal Revenue Service Form 5701-TEB) or other material notices of determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;

(viii) unscheduled draws on the debt service reserves reflecting financial difficulties;

(ix) unscheduled draws on the credit enhancements reflecting financial difficulties;

(x) release, substitution or sale of property securing repayment of the Bonds, if material;

(xi) bankruptcy, insolvency, receivership or similar event of the District (such event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under State or federal law in which a court or government authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District);

(xii) substitution of credit or liquidity providers, or their failure to perform;

(xiii) the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

(xiv) appointment of a successor or additional Paying Agent or the change of name of a Paying Agent, if material;

(xv) incurrence of a Financial Obligation of the District, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the District, any of which affect security holders, if material;

(xvi) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the District, any of which reflect financial difficulties; and

(xvii) any amendment or waiver of a provision of this Disclosure Certificate.

The District intends to comply with the Listed Events described in Section 6(b)(xv) and Section 6(b)(xvi), and the definition of “Financial Obligation” in Section 1, with reference to the Rule, any other applicable federal securities laws and the guidance provided by the Securities and Exchange Commission in Release No. 34-83885, dated August 20, 2018 (the “2018 Release”), and any further amendments or written guidance provided by the Securities and Exchange Commission or its staff with respect to the amendments to the Rule effected by the 2018 Release. The District notes that items (viii), (ix), (x) and (xii) are not applicable to the Bonds.

(c) If the District determines that a Listed Event has occurred, the District shall promptly notify the Dissemination Agent in writing. Such notice shall instruct the Dissemination Agent to report the occurrence pursuant to Section 3 hereof.

(d) If the Dissemination Agent has been instructed by the District to report the occurrence of a Listed Event, the Dissemination Agent shall file a notice of such occurrence with the MSRB through its EMMA System.

(e) Notwithstanding the foregoing, notice of Listed Events described in subsections (b)(iv) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected Bonds pursuant to the Resolution.

Section 7. CUSIP Numbers. Whenever providing information to the Dissemination Agent, including but not limited to Annual Reports, documents incorporated by reference to the Annual Reports, Audited Financial Statements and notices of Listed Events, the District shall indicate the full name of the Bonds and the 9-digit CUSIP numbers for the Bonds as to which the provided information relates.

Section 8. Termination of Reporting Obligation.

(a) The District’s obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 6(c).

(b) This Disclosure Certificate, or any provision hereof, shall cease to be effective in the event that the District (1) delivers to the Dissemination Agent an opinion of Disclosure Counsel,

addressed to the District and the Dissemination Agent, to the effect that those portions of the Rule which require this Disclosure Certificate, or such provision, as the case may be, do not or no longer apply to the Bonds, whether because such portions of the Rule are invalid, have been repealed, or otherwise, as shall be specified in such opinion, and (2) delivers copies of such opinion to the MSRB.

Section 9. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall be Digital Assurance Certification, L.L.C. If at any time there is no designated Dissemination Agent appointed by the District, or if the Dissemination Agent so appointed is unwilling or unable to perform the duties of the Dissemination Agent hereunder, the District shall be the Dissemination Agent and undertake or assume its obligations hereunder. The Dissemination Agent (other than the District) shall not be responsible in any manner for the content of any notice or report required to be delivered by the District pursuant to this Disclosure Certificate.

Section 10. Amendment; Waiver.

(a) This Disclosure Certificate may be amended by the District without the consent of the holders of the Bonds (except to the extent required under clause (a)(iv)(2) below), if all of the following conditions are satisfied:

(i) such amendment is made in connection with a change in circumstances that arises from a change in legal (including regulatory) requirements, a change in law (including rules or regulations) or in interpretations thereof, or a change in the identity, nature or status of the District or the type of business conducted thereby;

(ii) this Disclosure Certificate as so amended would have complied with the requirements of the Rule as of the date of this Disclosure Certificate, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances;

(iii) the District shall have received an opinion of a nationally recognized bond counsel or counsel expert in federal securities laws, addressed to the District, to the same effect as set forth in (a)(ii) above;

(iv) either (1) the District shall have received an opinion of a nationally recognized bond counsel or counsel expert in federal securities laws, addressed to the District, to the effect that the amendment does not materially impair the interests of the holders of the Bonds or (2) is approved by the Holders of the Bonds in the same manner as provided in the Resolution for amendments to the Resolution with the consent of Holders; and

(v) the District shall have delivered copies of such opinion and amendment to the MSRB through its EMMA system within ten (10) Business Days from the execution thereof.

(b) In addition to subsection 10(a) above, this Disclosure Certificate may be amended and any provision of this Disclosure Certificate may be waived, by written certificate of the District, without the consent of the holders of the Bonds, if all of the following conditions are satisfied:

(i) an amendment to the Rule is adopted, or a new or modified official interpretation of the Rule is issued, after the effective date of this Disclosure Certificate which is applicable to this Disclosure Certificate;

(ii) the District shall have received an opinion of a nationally recognized bond counsel or counsel expert in federal securities laws, addressed to the District, to the effect that performance by the District under this Disclosure Certificate as so amended or giving effect to such waiver, as the case may be, will not result in a violation of the Rule; and

(iii) the District shall have delivered copies of such opinion and amendment to the MSRB through its EMMA system.

(c) In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 6 hereof, and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

Section 11. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

Section 12. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate, the Dissemination Agent may (and, at the request of any Participating Underwriters or the Holders or Beneficial Owners of at least 25% of aggregate principal amount of the Bonds then outstanding, shall) or any Holders or Beneficial Owners of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate; provided that any such action may be instituted only in the Superior Court of the State of California in and for the County of Los Angeles or in the U.S. District Court in the County of Los Angeles. A default under this Disclosure Certificate shall not be deemed an Event

of Default under the Resolution, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

Section 13. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's gross negligence or willful misconduct. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

Section 14. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriters and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Section 15. Execution in Counterparts. This Disclosure Certificate may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same certificate.

(Signature page follows)

Dated: _____, 2025

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Chief Financial Officer

ACKNOWLEDGED AND AGREED TO BY:

DIGITAL ASSURANCE CERTIFICATION, L.L.C.,
as Dissemination Agent

By: _____
Dissemination Agent

*-Signature Page-
Continuing Disclosure Certificate*

NEW ISSUE – BOOK-ENTRY ONLY

[DAC Logo]

RATINGS: Fitch: “[]”
KBRA: “[]”
Moody’s: “[]”

See “MISCELLANEOUS – Ratings” herein.

In the opinion of Dannis Woliver Kelley, Bond Counsel to the District, under existing law, interest on the Bonds is exempt from personal income taxes of the State of California, and, assuming continuing compliance after the date of initial delivery of the Bonds with certain covenants contained in the Resolution authorizing the Bonds and subject to the matters set forth under “TAX MATTERS” herein, interest on the Bonds for federal income tax purposes under existing statutes, regulations, published rulings, and court decisions will be excludable from the gross income of the owners thereof pursuant to section 103 of the Internal Revenue Code of 1986, as amended to the date of initial delivery of the Bonds, and will not be included in computing the alternative minimum taxable income of the owners thereof; however, interest on the Bonds is taken into account in determining annual adjusted financial statement income for the purpose of computing alternative minimum tax imposed on certain corporations. See “TAX MATTERS” herein.

\$[]*
LOS ANGELES UNIFIED SCHOOL DISTRICT
(County of Los Angeles, California)
General Obligation Bonds, Series QRR (2025)
(Dedicated Unlimited *Ad Valorem* Property Tax Bonds)

[District
Logo]

Dated: Date of Delivery

Due: As shown herein

The Los Angeles Unified School District (County of Los Angeles, California) Election of 2024, General Obligation Bonds, Series QRR (2025) (Dedicated Unlimited *Ad Valorem* Property Tax Bonds) (the “Bonds”) are issued by the County of Los Angeles, California (the “County”), on behalf of the Los Angeles Unified School District (the “District”) to (i) finance certain school facilities projects, (ii) fund capitalized interest on the Bonds through ____ 1, 20[]*, and (iii) to pay the costs of issuance of the Bonds, as more fully described herein. See “PLAN OF FINANCE” herein. The Bonds are being issued under the laws of the State of California (the “State”), the applicable authorizations received at elections held by the District as described herein, and pursuant to resolutions of the Board of Education of the District and the Board of Supervisors of the County.

The Bonds are general obligation bonds of the District secured by and payable from *ad valorem* property taxes to be levied within the District pursuant to the California Constitution and other State law. The Board of Supervisors of the County is empowered and is obligated to levy *ad valorem* property taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Bonds, all as more fully described herein. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.”

Interest on the Bonds is payable on each January 1 and July 1 to maturity, commencing [January 1, 2026]. Principal of the Bonds is payable in each of the years and in the amounts set forth on the inside front cover page hereof.

The Bonds will be issued in book-entry form only, in denominations of \$5,000 principal amount, or integral multiples thereof, and will be initially issued and registered in the name of Cede & Co., as nominee for The Depository Trust Company (“DTC”). DTC will act as securities depository for the Bonds. Owners will not receive certificates representing their interests in the Bonds. Payments of principal of, premium, if any, and interest on the Bonds will be made by U.S. Bank Trust Company, National Association, as agent to the Treasurer and Tax Collector of the County, as the initial paying agent, to DTC, which is obligated to remit such payments to its DTC Participants for subsequent disbursement to the beneficial owners of the Bonds. See APPENDIX C – “BOOK-ENTRY ONLY SYSTEM.”

The Bonds are subject to redemption prior to their respective stated maturity dates as described herein. See “THE BONDS – Redemption.”

THIS COVER PAGE CONTAINS CERTAIN INFORMATION FOR GENERAL REFERENCE ONLY. IT IS NOT INTENDED TO BE A SUMMARY OF THE SECURITY FOR OR TERMS OF THIS ISSUE. INVESTORS ARE ADVISED TO READ THE ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION.

The Bonds will be offered when, as and if issued by the County on behalf of the District, and received by the Underwriters, subject to the approval as to their legality by Dannis Woliver Kelley, Long Beach, California, Bond Counsel to the District, and certain other conditions. Certain legal matters will be passed upon for the District by the General Counsel to the District and by Dannis Woliver Kelley, Long Beach, California, Disclosure Counsel to the District, and for the Underwriters by [UW Counsel], [CITY, STATE]. The Bonds, in book-entry form, will be available for delivery through the facilities of DTC on or about _____, 2025.

Jefferies

Barclays

[Underwriting syndicate]

Dated: _____, 2025

* Preliminary; subject to change.

**MATURITY DATES, PRINCIPAL AMOUNTS, INTEREST RATES, INITIAL PUBLIC OFFERING
YIELDS, PRICES AND CUSIP NUMBERS**

\$ _____^{*}
LOS ANGELES UNIFIED SCHOOL DISTRICT
 (County of Los Angeles, California)
General Obligation Bonds, Series QRR (2025)
 (Dedicated Unlimited *Ad Valorem* Property Tax Bonds)

Base CUSIP[†] Number: _____

\$[_____] Serial Series A Bonds

Maturity	Principal Amount	Interest Rate	Initial Public Offering Yield	Price	CUSIP [†] Suffix
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\$[_____] [_____] % Term Series A Bonds due July 1, 20__; Yield [_____] %; Price: [_____] %; CUSIP[†] ____

^{*} Preliminary; subject to change.

[†] CUSIP® is a registered trademark of The American Bankers Association. CUSIP Global Services (CGS) is managed on behalf of The American Bankers Association by FactSet Research Systems Inc. Copyright© 2025 CUSIP Global Services. All rights reserved. CUSIP® data herein is provided by CUSIP Global Services. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP® numbers are provided for convenience of reference only. None of the District, the Underwriters or their respective agents or counsel assume responsibility for the accuracy of such numbers.

No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations, other than those contained in this Official Statement, and if given or made, such other information or representation must not be relied upon as having been authorized by any of the foregoing.

The information contained herein has been obtained from sources that are believed to be reliable. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, give rise to any implication that there has been no change in the affairs of the District since the date hereof.

The Underwriters have provided the following sentence for inclusion in this Official Statement. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

THE BONDS HAVE NOT BEEN REGISTERED WITH THE U.S. SECURITIES AND EXCHANGE COMMISSION UNDER THE SECURITIES ACT OF 1933, AS AMENDED, NOR HAVE THE RESOLUTIONS BEEN QUALIFIED UNDER THE TRUST INDENTURE ACT OF 1939, AS AMENDED, IN RELIANCE UPON EXEMPTIONS CONTAINED IN SUCH ACTS.

When used in this Official Statement or in any continuing disclosure by the District, in any press release by the District or in any oral statement made with the approval of an authorized officer of the District, the words or phrases “will likely result,” “are expected to,” “will continue,” “is anticipated,” “estimate,” “project,” “forecast,” “expect,” “intend” and similar expressions identify “forward-looking statements.” Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material.

The District maintains a website at **www.lausd.org**. Reference to such website address, however, is for informational purposes only. Unless specified otherwise, such website and the information or links contained therein are not incorporated by reference herein, should not be relied upon in making an investment decision with respect to the Bonds, and are not part of this Official Statement for purposes of and as that term is defined in Rule 15c2-12 adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934.

CUSIP® is a registered trademark of The American Bankers Association. CUSIP Global Services (CGS) is managed on behalf of The American Bankers Association by FactSet Research Systems Inc. CUSIP data herein is set forth for convenience of reference only. The District and the Underwriters assume no responsibility for the selection or uses of the CUSIP data or for the accuracy or correctness of such data. The CUSIP numbers for the Bonds are subject to being changed after the delivery of the Bonds as a result of various subsequent actions.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
BOARD OF EDUCATION**

<u>District</u>	<u>Member</u>	<u>Term Ending</u>
3	Scott Schmerelson, President	December 10, 2028
2	Dr. Rocio Rivas, Vice President	December 13, 2026
1	Sherlett Hendy Newbill	December 10, 2028
4	Nick Melvoin	December 13, 2026
5	Karla Griego	December 10, 2028
6	Kelly Gonez	December 13, 2026
7	Tanya Ortiz Franklin	December 10, 2028

DISTRICT OFFICIALS

Alberto M. Carvalho, Superintendent
Jaime G. Torrens, Senior Advisor to the Superintendent
Pedro Salcido, Deputy Superintendent of Business Services and Operations
Devora Navera-Reed, General Counsel
Christopher D. Mount-Benites, Chief Financial Officer
Nolberto Delgadillo, Deputy Chief Financial Officer – Finance
Ernie Thomas, Controller
Timothy S. Rosnick, Deputy Controller

BOND AND DISCLOSURE COUNSEL

Dannis Woliver Kelley
Long Beach, California

MUNICIPAL ADVISOR

Public Resources Advisory Group
Los Angeles, California

PAYING AGENT

U.S. Bank Trust Company, National Association, as agent for the
Treasurer and Tax Collector of the County of Los Angeles
Los Angeles, California

TABLE OF CONTENTS

Page

INTRODUCTION	1
General I	
The District.....	1
The District's General Obligation Bond Program.....	2
Authority and Purpose for Issuance of the Bonds.....	5
Security and Source of Payment for the Bonds.....	5
Cybersecurity.....	6
Federal Funding.....	6
Other Information.....	7
PLAN OF FINANCE.....	7
ESTIMATED SOURCES AND USES OF FUNDS	8
THE BONDS	8
General Provisions	8
Redemption	9
Defeasance and Unclaimed Moneys	10
SECURITY AND SOURCE OF PAYMENT FOR THE BONDS	12
General Description.....	12
Pledge of Tax Revenues	12
Statutory Lien on Taxes (Senate Bill 222)	13
California Constitutional and Statutory Provisions Relating to <i>Ad Valorem</i> Property Taxes.....	13
Assessed Valuation of Property Within the District.....	15
Tax Rates, Levies and Collections	22
Debt Service	27
Aggregate Fiscal Year Debt Service	28
The District's General Obligation Bond Program and Bonding Capacity	30
Overlapping Debt Obligations.....	30
TAX MATTERS.....	31
LEGAL MATTERS.....	33
Possible Limitations on Remedies; Bankruptcy.....	33
Amounts Held in County Treasury Pool	35
Legality for Investment in the State	35
Continuing Disclosure.....	36
Certain Legal Matters.....	36
FINANCIAL STATEMENTS	36
LITIGATION.....	37
MISCELLANEOUS	37
Ratings 37	
Municipal Advisor.....	37
Underwriting	38
Additional Information.....	38
Execution and Delivery	39
APPENDIX A DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION.....	1
APPENDIX B AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.....	1
APPENDIX C BOOK-ENTRY ONLY SYSTEM	1

TABLE OF CONTENTS
(continued)

	Page
APPENDIX D PROPOSED FORMS OF OPINION OF BOND COUNSEL.....	1
APPENDIX E FORM OF CONTINUING DISCLOSURE CERTIFICATE.....	1
APPENDIX F THE LOS ANGELES COUNTY TREASURY POOL	1

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LOS ANGELES UNIFIED SCHOOL DISTRICT
(County of Los Angeles, California)
General Obligation Bonds, Series QRR (2025)
Federally Tax-Exempt
(Dedicated Unlimited *Ad Valorem* Property Tax Bonds)

INTRODUCTION

This Introduction is not a summary of this Official Statement. It is only a brief description of, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page and inside cover page, through the appendices hereto, and the documents summarized or described herein. The offering of the Bonds to potential investors is made only by means of the entire Official Statement. A full review should be made of the entire Official Statement.

General

This Official Statement, which includes the cover page through the appendices hereto, is provided to furnish information in connection with the sale of the Los Angeles Unified School District (County of Los Angeles, California) General Obligation Bonds, Series QRR (2025) (Dedicated Unlimited *Ad Valorem* Property Tax Bonds) (the “Bonds”).

The Bonds are issued by the County of Los Angeles, California (the “County”), on behalf of the District, pursuant to certain provisions of the California Education Code and other applicable law, the authorization received at certain elections held by the District as described herein, a resolution adopted by the Board of Education of the District (the “District Board”) on [May 13, 2025] (the “District Resolution”), and a resolution adopted by the Board of Supervisors of the County on [June 10, 2025] (the “County Resolution” and, together with the District Resolution, the “Resolutions”). The Bonds are being issued to (i) finance certain school facilities projects, [(ii) fund capitalized interest on a portion of the Bonds], and (iii) to pay the costs of issuance of the Bonds as more fully described herein. See “INTRODUCTION – Authority and Purpose for Issuance of the Bonds” and “PLAN OF FINANCE.”

THE BONDS ARE GENERAL OBLIGATION BONDS OF THE DISTRICT SECURED BY AND PAYABLE FROM *AD VALOREM* PROPERTY TAXES TO BE LEVIED UPON ALL PROPERTY SUBJECT TO TAXATION BY THE DISTRICT, WITHOUT LIMITATION AS TO RATE OR AMOUNT (EXCEPT AS TO CERTAIN PERSONAL PROPERTY WHICH IS TAXABLE AT LIMITED RATES). THE BONDS ARE NOT AN OBLIGATION OF THE COUNTY, THE STATE OF CALIFORNIA OR OF THE GENERAL FUND OF THE DISTRICT. SEE “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.”

The District

The District, encompassing approximately 710 square miles, is located in the western section of the County in the State of California (the “State”). The District’s boundaries include virtually all of the City of Los Angeles (the “City”), all of the Cities of Cudahy, Gardena, Huntington Park, Lomita, Maywood, San Fernando, Vernon and West Hollywood, and portions of the Cities of Bell, Bell Gardens, Beverly Hills, Calabasas, Carson, Commerce, Culver City, Downey, Hawthorne, Inglewood, Long Beach, Lynwood, Montebello, Monterey Park, Rancho Palos Verdes, Rolling Hills Estates, Santa Clarita, Santa Monica, South Gate, and Torrance. In addition, the District provides services to several unincorporated areas of the

* Preliminary; subject to change.

County which include residential and industrial areas. The boundaries for the District are approximately 80% coterminous with the City, with the remaining 20% included in the smaller neighboring cities and unincorporated County areas described above. The District was formed in 1854 as the Common Schools for the City and became a unified school district in 1960.

The District is the largest public school district in the State and the largest self-governing public school district in the United States. At the time of preparation of the District's second interim report for fiscal year 2024-25 (the "2024-25 Second Interim Report"), the transitional kindergarten ("TK") through 12th grade enrollment in the District for fiscal year 2024-25 was projected to be approximately 402,561 students, including those attending magnet, opportunity, and continuation schools and centers, Affiliated Charter Schools, and schools for people with disabilities. Such enrollment represents a projected decrease of 892 students or a decrease of approximately (0.22)% from the budgeted TK-12 enrollment in the District at the time of preparation of the District's original adopted budget for fiscal year 2024-25 (the "Fiscal Year 2024-25 Budget"). Such enrollment does not include students attending Fiscally Independent Charter Schools that was budgeted at 108,520 students at the time of preparation of the Fiscal Year 2024-25 Budget. Based on enrollment projections at the time of preparation of the 2024-25 Second Interim Report, the District projected enrollment to decline by (1.99)% on average through fiscal year 2025-26. For more information regarding District enrollment and average daily attendance, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance." See also APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – District Budget – *LACOE's Responses to Fiscal Year 2024-25 Budget*," for information regarding District declining enrollment.

As reflected in the District's Audited Annual Financial Report for fiscal year 2023-24, the District operated 1,232 schools and centers in fiscal year 2023-24, which consisted of 435 elementary schools, 78 middle/junior high schools, 87 senior high schools, 59 options schools, 29 multi-level schools, 12 special education schools, 264 magnet centers, 67 magnet schools, 18 primary school centers, 2 community adult schools, 7 regional occupational centers, 2 skills centers, 87 early education centers, 4 infant centers, and 81 California State preschools. As reflected in the District's Audited Annual Financial Report for fiscal year 2023-24, 51 of the District's schools were operated as Affiliated Charter Schools in fiscal year 2023-24. In addition, as reflected in the District's Audited Annual Financial Report for fiscal year 2023-24, the District oversaw 221 Fiscally Independent Charter Schools within the District's boundaries in fiscal year 2023-24. See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Charter School Funding."

Additional information on the District is set forth in Appendices A and B. See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION" and APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024."

For information regarding potential additional financings the District may undertake, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Future Financings."

The District's General Obligation Bond Program

Voters within the District have approved a total of \$36.605 billion of general obligation bonds in seven separate bond elections since 1997, as delineated in Table 1 below, a portion of which are currently

outstanding. Following the issuance of the Bonds, a total of approximately \$_____ billion of the approved general obligation bonds will have been issued, with approximately \$_____ billion remaining to be issued under the bond authorizations listed below (collectively, the “Authorizations”). See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – The District’s General Obligation Bond Program and Bonding Capacity.”

TABLE 1
LOS ANGELES UNIFIED SCHOOL DISTRICT
General Obligation Bond Authorizations

Bond Authorization	Date Authorized by Voters	Percentage Approval⁽¹⁾	Amount Authorized (\$ Billions)	Amount Issued⁽²⁾ (\$ Billions)	Amount Unissued⁽²⁾ (\$ Billions)	Purposes
Proposition BB	April 8, 1997	71%	\$ 2.400	\$ 2.400	\$0.000	Health and safety improvements, computer technology and science labs, air conditioning and new construction
Measure K	November 5, 2002	68	3.350	3.350	0.000	New construction, acquisition, rehabilitation and upgrading of specifically identified school facilities
Measure R	March 2, 2004	63	3.870	3.870	0.000	New construction, acquisition, rehabilitation and upgrading of specifically identified school facilities, and installation and upgrading of information-technology infrastructure
Measure Y	November 8, 2005	66	3.985	3.985	0.000	New construction, acquisition, rehabilitation and upgrading of specifically identified school facilities, and installation and upgrading of information-technology infrastructure
Measure Q	November 4, 2008	69	7.000	4.801 ⁽³⁾	2.199 ⁽³⁾	New construction, acquisition, rehabilitation and upgrading of specifically identified school facilities, and installation and upgrading of information-technology infrastructure
Measure RR	November 3, 2020	71	7.000	1.600 ⁽³⁾	5.400 ⁽³⁾	New construction, acquisition, rehabilitation and upgrading of specifically identified school facilities, and implementing Coronavirus Disease 2019 (“COVID-19”) pandemic facility safety standards
Measure US	November 5, 2024	68	9.000	—	—	New construction, acquisition, rehabilitation and upgrading of specifically identified school facilities, and installation and upgrading of information-technology infrastructure
Total			<u>\$36.605</u>	<u>\$20.536</u>	<u>\$16.069</u>	

* Preliminary; subject to change. Amounts are rounded.

⁽¹⁾ Measure K, Measure R, Measure Y, Measure Q, Measure RR, and Measure US were approved pursuant to the provisions of Proposition 39, which requires approval of at least 55% of voters voting on the proposition. Proposition BB was approved pursuant to the provisions of Proposition 46, which requires approval of at least two-thirds of voters voting on the proposition.

⁽²⁾ Totals may not add due to rounding. See also APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – District Debt – *General Obligation Bonds*” for the amounts of outstanding general obligation bonds under the referenced Authorizations. Excludes general obligation refunding bonds.

⁽³⁾ Prior to issuance of the Bonds.

Source: Los Angeles Unified School District.

In addition to the bond proceeds from the seven Authorizations referred to above, the District has received State-matching funds and other revenue sources to fund the general obligation bond program's various projects. The District may continue to receive other revenue sources, including State-matching funds; however, additional funding is not guaranteed. The District's general obligation bond program completed all projects that enabled the District to operate all schools on a traditional two-semester calendar in the 2018-19 school year. In addition, approximately 24,475 new school construction, rehabilitation, modernization and replacement projects, which are intended to upgrade facilities and improve the learning environment for students, have been completed. The program includes, among other things, various school facilities improvements for campus safety and security, computer technology, sustainability, information technology systems and school buses.

Authority and Purpose for Issuance of the Bonds

The Bonds are issued pursuant to provisions of Section 1(b)(3) of Article XIII A of the State Constitution, Chapters 1 and 1.5 of Part 10 of Division 1 of Title 1 of the California Education Code and other applicable law, the Measure Q Authorization (defined below), the Measure RR Authorization (defined below) and the Resolutions.

A portion of the proceeds of the Bonds attributable to the Measure Q Authorization (defined below) will, after payment of costs of issuance thereto, fund certain school projects (collectively, the "Measure Q Projects") approved by voters in the November 4, 2008 election approving Measure Q (the "Measure Q Authorization"). A portion of the proceeds of the Bonds attributable to the Measure RR Authorization (defined below) will, after payment of costs of issuance thereto, fund certain school projects (collectively, the "Measure RR Projects") approved by voters in the November 3, 2020 election approving Measure RR (the "Measure RR Authorization"). A portion of the proceeds of the Bonds is also expected to fund capitalized interest on a portion of the Bonds through [July 1, 20__]*. See "PLAN OF FINANCE AND REFINANCE" and "ESTIMATED SOURCES AND USES OF FUNDS."

Security and Source of Payment for the Bonds

The Bonds are payable from *ad valorem* property taxes to be levied within the District pursuant to the California Constitution, other State law, Measure Q and Measure RR. The Board of Supervisors of the County is empowered and is obligated to levy *ad valorem* property taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Bonds, all as more fully described herein. Such *ad valorem* property taxes are deposited in the related Interest and Sinking Fund of the District, which is established for the Bonds and held by the County and may only be applied to pay the principal of, redemption premium, if any, and interest on the Bonds. Pursuant to the Resolutions, the term "Interest and Sinking Fund" means each interest and sinking fund of the District, designated to correspond to the applicable general obligation bonds or general obligation refunding bonds of the District and related voter-approved bond measure of the District established for such bonds and used only for payment of principal of and interest on such bonds.

Pursuant to the District Resolution, the District pledges and grants a lien on and security interest in, all revenues from the property taxes collected from the levy by the Board of Supervisors with respect to each voter-approved bond measure of the District for payment of bonds issued under such measure of the District and all amounts on deposit in any Interest and Sinking Fund of the District for the payment of the principal or redemption price of and interest on such bonds. The District Resolution provides that this pledge and grant is valid and binding from the date of adoption of the District Resolution for the benefit of the owners of such bonds and successors thereto. The District Resolution further provides that the property taxes and amounts held in each Interest and Sinking Fund of the District are immediately subject to this

pledge and grant, and that this pledge and grant constitutes a lien and security interest which immediately attaches to the property taxes and amounts held in such Interest and Sinking Fund of the District to secure the payment of such bonds and is effective, binding, and enforceable against the District, its successors, creditors and all others irrespective of whether those parties have notice of the pledge or grant, and without the need of any physical delivery, recordation, filing, or further act.

The District Resolution provides that this pledge and grant is an agreement between the District and the owners of each series of Bonds and of each issue of outstanding general obligation bonds to provide security for each series of Bonds and all such other general obligation bonds and general obligation refunding bonds of the District in addition to any statutory lien that may exist, and each such issue of general obligation bonds and general obligation refunding bonds of the District are or were issued to finance or refinance, as applicable, one or more of the projects specified in the applicable voter-approved measure and not to finance the general purposes of the District. In accordance with Section 15251 of the Education Code, such bonds are also automatically secured by a statutory lien on all revenues received pursuant to the levy and collection of the tax for the applicable Measure. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.”

Cybersecurity

School districts, like other governmental and business entities, face significant risks relating to the use and application of computer software and hardware for educational, operational and management purposes. The District also collects, processes, and distributes an enormous amount of private, protected and personal information on students, staff, parents, visitors, vendors and contractors. As the custodian of such information, the District has faced and may face in the future cybersecurity threats, attacks or incidents from time to time, including the cybersecurity attacks and incident in 2019, 2022 and 2024, as more fully described in Appendix A hereto. Moreover, the District relies on other entities and service providers in the course of operating the District, including the County with respect to the levy and collection of *ad valorem* property taxes and its servers and systems for accounting and other matters, as well as other trustees, fiscal agents, dissemination agents and project management firms. No assurance can be given that future cyber threats and attacks against the District or third-party entities or service providers will not directly or indirectly impact the District or the owners of the Bonds, including the possibility of impacting the timely payments of debt service on the Bonds or timely filings pursuant to the District’s continuing disclosure undertakings. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT GENERAL INFORMATION – Cybersecurity,” for a discussion of prior cyberattacks and incidents, cybersecurity litigation, and the District’s responses to prior cyberattacks and incidents.

Federal Funding

The federal government provides funding for several District programs. On January 20, 2025, President Trump issued a series of executive orders, which include ensuring that federal funds are used in a manner approved by the current administration. In response to and in an effort to carry out such orders, on January 27, 2025, the White House Office of Management and Budget (“OMB”) released its memorandum M-25-13, Temporary Pause of Agency Grant, Loan, and Other Financial Assistance Programs (the “OMB Memorandum”). The OMB Memorandum directed federal agencies to temporarily pause all activities related to obligation or disbursement of all federal financial assistance in order to review spending for consistency with the Trump Administration’s policies, stating that the temporary pause was to become effective at 5:00 p.m. on January 28, 2025. The OMB Memorandum caused uncertainty as to whether certain Federal funding and grants would be paused.

Before the OMB Memorandum became effective, two separate lawsuits were filed in federal district courts in Rhode Island and the District of Columbia challenging the OMB Memorandum and seeking injunctions. On January 28, 2025, shortly before the OMB Memorandum became effective, a District of Columbia federal judge issued an emergency administrative stay through February 3, 2025, at which time a preliminary injunction hearing was set. On January 29, 2025, OMB rescinded the OMB Memorandum. Although the OMB Memorandum was rescinded, the executive orders are in effect and the matter is ongoing as spending reviews are ongoing. On January 31, 2025, a Rhode Island federal judge issued a temporary restraining order on the pause. On February 3, 2025, the District of Columbia federal judge issued a temporary restraining order as well. On February 10, 2025, the Rhode Island federal judge granted a motion for a preliminary injunction and issued an Enforcement Order clarifying the scope of the temporary restraining order and ordering the Trump Administration to release federal funds and comply with the earlier order. The Trump Administration appealed the temporary restraining order to the U.S. Court of Appeals for the First Circuit. The Trump Administration's request to stay the temporary restraining order pending appeal was denied. The District cannot predict any action to be taken in carrying out the executive orders nor its effect on the District's federal funding or operations of the District. See also APPENDIX A "– District Debt."

Other Information

This Official Statement contains brief descriptions of, among other things, the District, the District's general obligation bond program, the Resolutions and certain matters relating to the security and source of payment for the Bonds. Such descriptions and information do not purport to be comprehensive or definitive. All references herein to documents are qualified in their entirety by reference to such documents. Copies of such documents are available for inspection at the District by request to the Office of the Chief Financial Officer at (213) 241-7888 and, following delivery of the Bonds will be on file, as applicable, at the principal office of U.S. Bank Trust Company, National Association, as agent to the Treasurer and Tax Collector of the County, as paying agent (the "Paying Agent"), in Los Angeles, California.

PLAN OF FINANCE

A portion of the proceeds of the Bonds attributable to the Measure Q Authorization will be applied to fund the costs of various components of the Measure Q Projects in accordance with the ballot measure for the Measure Q Authorization. The Measure Q Authorization includes a number of specifically identified projects that can be funded with the proceeds of the Bonds attributable to the Measure Q Authorization, which was summarized to the District's voters to include the following: repair/upgrade of aging/deteriorating classrooms, restrooms; upgrade fire/earthquake safety; reduce asbestos, lead paint, air pollution, water quality hazards; build upgrade specialized classrooms students need to meet job/college requirements; and improve classroom internet access.

A portion of the proceeds of the Bonds attributable to the Measure RR Authorization will be applied to fund the costs of various components of the Measure RR Projects in accordance with the ballot measure for the Measure RR Authorization. The Measure RR Authorization includes a number of specifically identified projects that can be funded with the proceeds of the Bonds attributable to the Measure RR Authorization, which was summarized to the District's voters to include the following: upgrade classrooms/labs/technology for 21st century learning; implement COVID-19 facilities safety standards; address school facility inequities; reduce asbestos, earthquake and water quality hazards; and replace/renovate aging school classrooms.

A portion of the proceeds of the Bonds will also be used to pay the costs of issuance of the Bonds, including the underwriters' discount. Premium received from the Bonds will be used to pay capitalized interest on a portion of the Bonds.

ESTIMATED SOURCES AND USES OF FUNDS

The estimated sources and uses of funds with respect to the Bonds are as follows:

TABLE 2
ESTIMATED SOURCES AND USES OF FUNDS

Estimated Sources of Funds	
Principal Amount	\$
[Original Issue Premium]	
Total Sources	<u>\$</u>
Estimated Uses of Funds	
Deposit to Building Fund	\$
Deposit to Interest and Sinking Fund ⁽¹⁾	
Underwriters' Discount	
Costs of Issuance ⁽²⁾	
Total Uses	<u>\$</u>

⁽¹⁾ Expected to fund capitalized interest on a portion of the Bonds through []*.

⁽²⁾ Includes fees of Bond Counsel, Disclosure Counsel, Paying Agent, Municipal Advisor, rating agencies, and printer, and other miscellaneous expenses.

THE BONDS

General Provisions

The Bonds will be dated their date of delivery, will be issued in book-entry form only, without coupons, in denominations of \$5,000 principal amount or any integral multiple thereof, and, when issued, will be initially registered in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC"). DTC will act as securities depository for the Bonds. Owners will not receive physical certificates representing their interest in the Bonds purchased, except in the event that use of the book-entry system for the Bonds is discontinued. Payments of principal of, premium, if any, and interest on the Bonds will be made by the Paying Agent to DTC, which is obligated in turn to remit such payments to its DTC Participants for subsequent disbursement to the beneficial owners of the Bonds. For information about the securities depository and DTC's book-entry system, see APPENDIX C – "BOOK-ENTRY ONLY SYSTEM."

The Bonds mature in the years and on the dates set forth on the inside front cover page hereof. Interest on the Bonds is payable on each January 1 and July 1 to maturity, commencing on [January 1, 2026] (each, an "Interest Payment Date"). Interest on the Bonds will be computed based on a 360-day year of twelve 30-day months. Each Bond will bear interest from the Interest Payment Date next preceding the date of authentication thereof, unless it is authenticated as of a date during the period from the 15th day of the calendar month immediately preceding such Interest Payment Date, inclusive, whether or not such day is a business day (each, a "Record Date") to such Interest Payment Date, in which event it shall bear interest from such Interest Payment Date, or unless it is authenticated on or before the Record Date preceding the first Interest Payment Date, in which event it shall bear interest from the date of delivery of the Bonds.

conditional notice, that such notice is conditioned upon certain circumstances and the manner of rescinding such conditional notice.

Effect of Notice. A certificate of the Paying Agent that the notice of redemption that has been given to Owners as herein provided shall be conclusive as against all parties. Neither the failure to receive the notice of redemption nor any defect in such notice shall affect the sufficiency of the proceedings for the redemption of the Bonds called for redemption or the cessation of interest on the date fixed for redemption. When notice of redemption has been given substantially as provided for in the County Resolution or Refunding Resolution, as applicable, and when the redemption price of such Bonds called for redemption is set aside for the purpose as described in the County Resolution or Refunding Resolution, as applicable, the Bonds designated for redemption shall become due and payable on the specified redemption date and interest shall cease to accrue thereon as of the redemption date, and upon presentation and surrender of such Bonds at the place specified in the notice of redemption, such Bonds are required to be redeemed and paid at the redemption price thereof out of the money provided therefor. The Owners of such Bonds so called for redemption after such redemption date shall be entitled to payment thereof only from the related Interest and Sinking Fund of the District or the trust fund established for such purpose. All Bonds redeemed will be cancelled forthwith by the Paying Agent and will not be reissued.

Right to Rescind Notice. The District may rescind any optional redemption and notice thereof for any reason on any date prior to the date fixed for redemption by causing written notice of the rescission to be given to the owners of the Bonds so called for redemption. Any optional redemption and notice thereof shall be rescinded if for any reason on the date fixed for redemption moneys are not available in the related Interest and Sinking Fund of the District or otherwise held in trust for such purpose in an amount sufficient to pay in full on said date the principal of and premium, if any, and interest due on the Bonds called for redemption. Notice of rescission of redemption shall be given in the same manner in which notice of redemption was originally given. The actual receipt by the owner of any Bond of notice of such rescission shall not be a condition precedent to rescission, and failure to receive such notice or any defect in such notice shall not affect the validity of the rescission.

Redemption Fund. Prior to or on the redemption date of any Bonds, there shall be available, in the related Interest and Sinking Fund of the District, or held in trust for such purpose as provided by law, moneys for the purpose and sufficient to redeem, at the redemption prices as provided therefor, the Bonds designated in the notice of redemption. Such monies set aside for the Bonds are required to be applied on or after the redemption date solely for payment of principal of and premium, if any, and interest due on the Bonds to be redeemed upon presentation and surrender of such Bonds provided that all monies in the related Interest and Sinking Fund of the District shall be used for the purposes established and permitted by law. Any interest due on or prior to the redemption date shall be paid from the related Interest and Sinking Fund of the District, unless otherwise provided to be paid from such monies held in trust. If, after all of the Bonds have been redeemed and cancelled or paid and cancelled, there are monies remaining in the related Interest and Sinking Fund of the District or otherwise held in trust for the payment of the redemption price of such Bonds, the moneys are required to be held in or returned or transferred to any Interest and Sinking Fund of the District for payment of any outstanding bonds of the District payable from such fund; provided, however, that if those monies are part of the proceeds of bonds of the District, the monies shall be transferred to the fund created for the payment of principal of and interest on such bonds. If no such bonds of the District are at such time outstanding, the moneys shall be transferred to the general fund of the District as provided and permitted by law.

Defeasance and Unclaimed Moneys

Defeasance. If at any time the District pays or causes to be paid or there shall otherwise be paid to the Owners of any or all of the outstanding Bonds all or any part of the principal of and premium, if any,

and interest on such Bonds at the times and in the manner provided in the County Resolution or Refunding Resolution, as applicable and in such Bonds, or as provided in the following paragraph, or as otherwise provided by law consistent herewith, then such Owners of such Bonds shall cease to be entitled to the obligation of the District as provided in the County Resolution or Refunding Resolution, as applicable, and such obligation and all agreements and covenants of the District and of the County to such Owners under the County Resolution or Refunding Resolution, as applicable, and such Bonds shall thereupon be satisfied and discharged and shall terminate, except only that the District shall remain liable for payment of all principal of and premium, if any, and interest on such Bonds, but only out of monies on deposit in the related Interest and Sinking Fund of the District or otherwise held in trust for such payment; and provided further, however, that the provisions of the County Resolution and Refunding Resolution, as applicable, shall apply in all events. See “– Unclaimed Moneys” below.

The District may pay and discharge any or all of the Bonds by depositing in trust with the Paying Agent or an escrow agent selected by the District, at or before maturity, money and/or Defeasance Securities (as defined herein), in an amount which will, together with the interest to accrue thereon and available monies then on deposit in the related Interest and Sinking Fund of the District, be fully sufficient to pay and discharge the indebtedness on such Bonds (including all principal, interest and redemption premiums) at or before their respective maturity dates.

The term “Defeasance Securities” means (i) non-callable direct and general obligations of the United States of America (including state and local government series), or obligations that are unconditionally guaranteed as to principal and interest by the United States of America, including, in the case of direct and general obligations of the United States of America, evidences of direct ownership of proportionate interests in future interest or principal payments of such obligations; provided that investments in such proportionate interests must be limited to circumstances wherein (a) a bank or trust company acts as custodian and holds the underlying United States obligations; (b) the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor of the underlying United States obligations; and (c) the underlying United States obligations are held in a special account, segregated from the custodian’s general assets, and are not available to satisfy any claim of the custodian, any person claiming through the custodian, or any person to whom the custodian may be obligated; (ii) non-callable obligations of government sponsored agencies that are rated in one of the two highest rating categories assigned by Standard & Poor’s Ratings Services, a Standard & Poor’s Financial Services LLC business (“S&P”) or Moody’s Investors Service (“Moody’s”), but in each case the obligations are not guaranteed by a pledge of the full faith and credit of the United States of America; and (iii) Advance Refunded Municipal Securities (defined herein).

The term “Advance Refunded Municipal Securities” means any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local government unit of any such state (i) which are not callable prior to maturity or as to which irrevocable instructions have been given to the trustee, fiscal agent, or other fiduciary for such bonds or other obligations by the obligor to give due notice of redemption and to call such bonds or other obligations for redemption on the date or dates specified in such instructions, (ii) which are secured as to principal of, premium, if any, and interest by a fund consisting only of cash, direct United States or United States guaranteed obligations, or any combination thereof, which fund may be applied only to the payment of such principal of, premium, if any, and interest on such bonds or other obligations on the maturity date or dates thereof or the redemption date or dates specified in the irrevocable instructions referred to in clause (i) above, as appropriate, and (iii) as to which the principal of, premium, if any, and interest on the bonds and obligations of the character described in clause (i) above which have been deposited in such fund, along with any cash on deposit in such fund, have been verified by an independent certified public accountant as being sufficient to pay principal of, premium, if any, and interest on such bonds or other obligations on the maturity date or dates thereof or on the

redemption date or dates specified in the irrevocable instructions referred to in clause (i) above, as applicable.

Unclaimed Moneys. Any money held in any fund created pursuant to the County Resolution or Refunding Resolution, as applicable, or by the Paying Agent or an escrow agent in trust, for the payment of the principal of, premium, if any, and interest on the Bonds, and remaining unclaimed for two years after the principal of all of the Bonds has become due and payable (whether by maturity or upon prior redemption) shall be transferred to any Interest and Sinking Fund of the District for payment of any outstanding bonds of the District payable from that fund; or, if no such bonds of the District are at such time outstanding, the monies shall be transferred to the general fund of the District as provided and permitted by law.

SECURITY AND SOURCE OF PAYMENT FOR THE BONDS

General Description

The Bonds are payable from *ad valorem* property taxes to be levied within the District pursuant to the California Constitution and other State law. In order to provide sufficient funds for repayment of principal and interest when due on the Bonds, the Board of Supervisors of the County is empowered and is obligated to levy *ad valorem* property taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates). When collected, such *ad valorem* property taxes are required by law to be deposited in the related Interest and Sinking Fund of the District, which is established for each series of the Bonds and held and maintained by the County and may only be applied to pay the principal of, redemption premium, if any, and interest on the applicable Bonds. Such taxes are in addition to but separate from other taxes levied upon property within the District that are deposited by the County in the General Fund of the District. The District does not receive such funds, nor are they available to pay any of the District's operating expenses.

Under California law, the District's funds are required to be held by the Treasurer and Tax Collector of the County (the "County Treasurer"). All funds held by the County Treasurer in each Interest and Sinking Fund of the District are expected to be invested at the discretion of the County Treasurer on behalf of the District in such investments as are authorized by Section 53601 and following of the California Government Code and the investment policy of the County, as either may be amended or supplemented from time to time. See APPENDIX F – "THE LOS ANGELES COUNTY TREASURY POOL."

Pledge of Tax Revenues

Pursuant to the District Resolution the District pledges and grants a lien on and security interest in, all revenues from the property taxes collected from the levy by the Board of Supervisors with respect to each voter-approved bond measure of the District and related refunding bonds for payment of bonds issued under such measure of the District or refunded and all amounts on deposit in any Interest and Sinking Fund of the District for the payment of the principal or redemption price of and interest on such bonds. The District Resolution provides that this pledge and grant is valid and binding from the date of adoption of such resolution for the benefit of the owners of such bonds and successors thereto. The District Resolution further provides that the property taxes and amounts held in each Interest and Sinking Fund of the District are immediately subject to this pledge and grant, and this pledge and grant constitutes a lien and security interest which immediately attaches to the property taxes and amounts held in such Interest and Sinking Fund of the District to secure the payment of such bonds and is effective, binding, and enforceable against the District, its successors, creditors and all others irrespective of whether those parties have notice of the pledge or grant, and without the need of any physical delivery, recordation, filing, or further act. The District Resolution provides that this pledge and grant is an agreement between the District and the owners of the

Bonds and of each issue of outstanding general obligation bonds and general obligation refunding bonds to provide security for the Bonds and all such other general obligation bonds and general obligation refunding bonds of the District in addition to any statutory lien that may exist, and each such issue of general obligation bonds and general obligation refunding bonds of the District are or were issued to finance or refinance, as applicable, one or more of the projects specified in the applicable voter-approved measure and not to finance the general purposes of the District. In accordance with Section 15251 of the Education Code, such bonds are also automatically secured by a statutory lien on all revenues received pursuant to the levy and collection of the tax for the applicable measure. See “ – Statutory Lien on Taxes (Senate Bill 222)” below.

The pledge of tax revenues provided for in the District Resolution specifies that said lien secures the applicable Bonds and other bonds that may be issued in the future. Further, previous general obligation bonds of the District have been issued under resolutions which pledge tax revenues to secure the general obligation bonds and the general obligation refunding bonds issued thereunder and the District may provide for a similar pledge of tax revenues in resolutions adopted in the future that authorize general obligation bonds and general obligation refunding bonds. The District Resolution does not specify the relative priority of obligations so secured or a method of allocation in the event that the revenues received pursuant to the levy and collection of the tax are insufficient to pay all amounts then due and owing that are secured by the lien of the pledges.

Statutory Lien on Taxes (Senate Bill 222)

Pursuant to Section 53515 of the California Government Code (which became effective on January 1, 2016, as part of Senate Bill 222), all general obligation bonds issued by local agencies, including refunding bonds, will be secured by a statutory lien on all revenues received pursuant to the levy and collection of the tax. California Education Code Section 15251 provides for a similar lien for bonds issued and sold by school districts (including the Bonds) pursuant to Chapter 1 of Part 10 of Division 1 of Title 1 of the California Education Code. Section 53515 of the California Government Code and Section 15251 of the California Education Code provide that the lien will automatically arise, without the need for any action or authorization by the local agency or its governing board, and will be valid and binding from the time the Bonds are executed and delivered. Section 53515 and Section 15251 further provide that the revenues received pursuant to the levy and collection of the tax will be immediately subject to the lien, and the lien will immediately attach to the revenues and be effective, binding and enforceable against the local agency or school district, as applicable, its successor, transferees and creditors, and all others asserting rights therein, irrespective of whether those parties have notice of the lien and without the need for physical delivery, recordation, filing or further act.

This statutory lien, by its terms, secures not only the Bonds, but also any other bonds of the District payable, as to both principal and interest, from the proceeds of *ad valorem* property taxes that may be levied pursuant to paragraphs (2) and (3) of subdivision (b) of Section 1 of Article XIII A of the California Constitution. The statutory lien provision does not specify the relative priority of obligations so secured or a method of allocation in the event that the revenues received pursuant to the levy and collection of the tax are insufficient to pay all amounts then due and owing that are secured by the statutory lien.

California Constitutional and Statutory Provisions Relating to *Ad Valorem* Property Taxes

Article XIII A of the California Constitution. On June 6, 1978, California voters approved Proposition 13, adding Article XIII A to the California Constitution. Article XIII A limits the amount of any *ad valorem* property tax on real property to 1% of the full cash value thereof, except that additional *ad valorem* property taxes may be levied to pay debt service (i) on indebtedness approved by the voters prior to July 1, 1978, (ii) (as a result of an amendment to Article XIII A approved by California voters on June 3,

1986) on bonded indebtedness for the acquisition or improvement of real property that has been approved on or after July 1, 1978 by two-thirds of the voters voting on such indebtedness, and (iii) (as a result of a constitutional amendment approved by California voters on November 7, 2000) on bonded indebtedness incurred for the construction, reconstruction, rehabilitation, or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities, approved by 55% of the voters voting on the bond measure. Article XIII A effectively prohibits the levying of any other *ad valorem* property tax above the 1% limit except for taxes to support indebtedness approved by the voters as described above.

Article XIII A defines full cash value to mean “the county assessor’s valuation of real property as shown on the 1975-1976 tax bill under full ‘cash value,’ or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership have occurred after the 1975 assessment.” Assessed value may be adjusted annually to reflect inflation at a rate not to exceed 2% per year, or to reflect a reduction in the consumer price index or comparable data for the area under taxing jurisdiction, or may be reduced in the event of declining property value caused by substantial damage, destruction or other factors. As a result, property that has been owned by the same taxpayer for many years can have an assessed value that is much lower than the market value of the property. Similar property that has recently been acquired may have a substantially higher assessed value reflecting the recent acquisition price. Increases in assessed value in a taxing area due to the change in ownership of property may occur even when the rate of inflation or consumer price index do not permit an increase in assessed valuation of property that does not change ownership. Proposition 13 has had the effect of stabilizing assessed valuation such that it does not fluctuate as significantly as the market value of property, but instead gradually changes as longer owned residential properties are transferred and reassessed upon such transfer. On June 18, 1992, the United States Supreme Court issued a decision upholding the constitutionality of Article XIII A (*Nordlinger v. Hahn*, 112 S. Ct. 2326, 120 L. Ed. 2d 1 (1992)).

Article XIII A has subsequently been amended to permit reduction of the full cash value base in the event of declining property values caused by damage, destruction, or other factors to provide that there would be no increase in the full cash value base in the event of reconstruction of property damaged or destroyed in a disaster and in other minor or technical ways. Proposition 8, approved by the voters in November of 1978, provides for the enrollment of the lesser of the base year value or the market value of real property, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property, or other factors causing a similar decline. In these instances, the market value is required to be reviewed annually until the market value exceeds the base year value. The assessed value increases to its pre-reduction level (escalated to the annual inflation rate of no more than 2%) following the year(s) for which the reduction is applied. Reductions in assessed value could result in a corresponding increase in the annual tax rate levied by the County to pay debt service on the Bonds. See also “-Assessed Valuation of Property Within the District - 2025 Wildfires” herein.

Legislation Implementing Article XIII A. Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the County and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the 2% annual adjustment are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years. All taxable property is shown at full assessed value on the tax rolls. Consequently, the 1% tax rate is expressed as \$1 per \$100 of taxable value.

Proposition 19. On November 3, 2020, State voters approved Proposition 19, a legislatively referred constitutional amendment (“Proposition 19”), which amends Article XIII A to (i) expand special rules that give property tax savings to homeowners that are over the age of 55, severely disabled, or whose property has been impacted by wildfire or natural disaster, when they buy a different home; (ii) narrow existing special rules for inherited properties; and (iii) dedicate most of the potential new State revenue generated from Proposition 19 toward fire protection. The District cannot make any representation regarding the effect Proposition 19 may have on District revenues or the assessed valuation of real property in the District. The District cannot provide make any representation regarding the effect Proposition 19 may have on District revenues or the assessed valuation of real property in the District. Any reduction of assessed valuation, however, would result in a corresponding increase in the annual tax rate levied by the County to pay the debt service on to the Bonds.

Prospective purchasers of the Bonds should be aware that, notwithstanding any decrease in assessed valuation for any fiscal year, the County is required to levy sufficient taxes to pay debt service on the Bonds. The consequence of any decrease in assessed valuation is a corresponding increase in the tax rate on taxable property so that sufficient tax revenues may be collected from taxpayers to pay debt service on the Bonds in full when due. Increases in tax rates, however, may impact the ability or willingness of taxpayers to pay their property taxes. See “– Tax Rates, Levies and Collections.”

Assessed Valuation of Property Within the District

General. As required by State law, the District uses the services of the County for the assessment and collection of taxes for District purposes. District taxes are collected at the same time and on the same tax rolls as are the County, the City of Los Angeles, and other local agency and special district taxes.

State law exempts \$7,000 of the full cash value of an owner-occupied dwelling from property tax, but this exemption does not result in any loss of revenue to local entities, including the District, because an amount equivalent to the taxes which would have been payable on such exempt values is paid by the State to the County for distribution to local agencies. The County levies property taxes on behalf of taxing agencies in the County for each fiscal year on taxable real and personal property which is situated in the County as of the preceding January 1. Upon a change in ownership of property or completion of new construction, however, State law permits the County to recognize changes in the assessed valuation of real property before the next regular assessment role is complete in order to levy taxes based on the new assessed value. In such instances, the property is reassessed and a supplemental tax bill is sent to the new owner based on the new value prorated for the balance of the tax year.

The fiscal year 2025-26 Assessment Roll for property within the District’s boundaries reflects an increase of approximately ____% in assessed value from the prior year. Under State law, in addition to reassessments requested by property owners pursuant to Proposition 8 when the current market value of property is less than assessed value as of January 1, the county assessor annually initiates reviews of property for reassessments due to decline-in-value. See “—*Appeals of Assessed Valuation; Blanket Reductions of Assessed Values*” below.

TABLE 3
LOS ANGELES UNIFIED SCHOOL DISTRICT
Historical Gross Assessed Valuation of Taxable Property⁽¹⁾
Fiscal Years 2010-11 through 2025-26
(\$ in thousands)

Fiscal Year	Secured⁽²⁾	Unsecured	Total⁽²⁾	Change From Prior Year	Percent Change
2010-11	\$442,092,473	\$21,753,078	\$463,845,551	\$(11,131,740)	--
2011-12	447,830,204	21,265,021	469,095,225	5,249,674	1.13%
2012-13	458,767,053	21,308,439	480,075,492	10,980,267	2.34
2013-14	482,043,584	21,634,336	503,677,920	23,602,428	4.92
2014-15	510,371,502	22,562,705	532,934,207	29,256,287	5.81
2015-16	546,807,059	23,362,404	570,169,464	37,235,257	6.99
2016-17	581,473,213	24,495,794	605,969,007	35,799,543	6.28
2017-18	619,162,082	25,342,665	644,504,747	38,535,740	6.36
2018-19	665,355,078	27,377,547	692,732,625	48,227,878	7.48
2019-20	710,954,606	28,442,486	739,397,092	46,664,467	6.73
2020-21	759,004,739	28,679,270	787,684,010	48,286,918	6.53
2021-22	790,822,215	27,581,051	818,403,266	30,719,256	3.90
2022-23	848,435,713	29,196,328	877,632,041	59,228,775	7.24
2023-24	898,345,149	31,634,928	929,980,077	52,348,036	5.96
2024-25	940,379,767	32,489,350	972,869,117	42,889,040	4.61
2025-26					

⁽¹⁾ Full cash value.

⁽²⁾ Includes utility valuations. For fiscal year 2025-26, the utility valuation is \$ ____.

Source: California Municipal Statistics, Inc.

Assessed Valuation Reductions. Assessments may be adjusted during the course of the year when real property changes ownership or new construction is completed. Assessments may also be appealed by taxpayers seeking a reduction as a result of economic and other factors beyond the District’s control, such as a general market decline in property values, including potential market declines caused by the effects of a reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by State and local agencies and property used for qualified educational, hospital, charitable or religious purposes), pandemic, or the complete or partial destruction of taxable property caused by natural or manmade disaster, such as earthquake, drought, flood, landslide, liquefaction, levee failure, fire, toxic dumping, etc. When necessitated by changes in assessed value in the course of a year, taxes are pro-rated for each portion of the tax year. See also “—*Appeals of Assessed Valuation; Blanket Reductions of Assessed Values*” below.

Property values could be reduced by factors beyond the District’s control, including a depressed real estate market due to general economic conditions or other events. A pandemic, like the outbreak of the respiratory disease caused by COVID-19 which was declared a pandemic by the World Health Organization, could result in an economic recession or depression that causes a general market decline in property values therefore affecting the assessed value of property in the District. Events resulting in changing economic conditions may also alter the willingness or the ability of local taxpayers to pay *ad*

valorem property taxes levied to repay the District's general obligation bonds. The District cannot predict whether events that may result in changing economic conditions will occur or the extent that a change in economic conditions will impact assessed value of property in the District or the willingness or ability of local taxpayers to pay *ad valorem* property taxes.

Aside from economic conditions, property values could be reduced by natural or manmade disasters. In recent years, portions of California, including the County and adjacent counties, have experienced wildfires that have burned thousands of acres and destroyed thousands of homes and structures. Moreover, the District is located in a seismically active region. Active earthquake faults include the San Andreas Fault that runs throughout the County, the Palos Verdes fault that runs along the coast and through a small portion of the County, and other smaller faults including the Lower Elysian Park thrust, the Upper Elysian Park fault and Puente Hills blind thrust system. Furthermore, California has experienced severe drought conditions in recent years, but has also recently experienced periods of extreme precipitation. These and other extreme weather events are all effects of climate change. As greenhouse gas emissions continue to accumulate, climate change may intensify and increase the frequency of such extreme weather events. The District cannot predict the timing, extent, or severity of any potential natural or manmade disaster and its impact on property values in the District.

2025 Wildfires. In January 2025, multiple fires broke out across areas of Los Angeles County burning thousands of acres and damaging or destroying thousands of structures. The three largest of said fires are the Hughes Fire, Eaton Fire, and Palisades Fires. The Hughes Fire burned approximately 10,400 acres, although no information is available on the number of structures that have been damaged or destroyed. The Eaton Fire has burned approximately 14,000 acres and has damaged or destroyed at least 11,000 structures. The Palisades Fire has burned approximately 23,500 acres and has damaged or destroyed at least 7,000 structures. Properties damaged or destroyed in the Palisades Fire are included within the boundaries of the District and represent a small percentage of the assessed value in the District. As a result of the fires, schools in the District were closed for 3 days and approximately 2,400 students were displaced. Three school campuses within District boundaries, Marquez Elementary School, Palisades Elementary School, and Palisades High School/Palisades Charter High School (Palisades Charter High School is an independent charter school), were significantly damaged by the fires and remain closed. The District expects to rebuild its damaged campuses, however, no assurances can be given that the District will rebuild any or all of its damaged facilities.

The County Assessor's Office allows for the reassessment of properties that are damaged or destroyed as a result of misfortune or calamity, which includes wildfires. Property owners may submit an application for the reassessment of the property within 12 months of the damage or destruction. Any such reassessment is retroactive to the date of damage or destruction. The District is unable at this time to quantify the loss in assessed value as a result of any such reassessment. The California Legislative Analyst's Office currently estimates a reduction of assessed value in the County to be between \$10 and \$20 billion. Such estimation includes areas located within and outside of the boundaries of the District. The District does not yet know the total decrease in assessed value within the District. The assessed value of property within the District for Fiscal Year 2024-25 was \$972,869,117,538. Based on the California Legislative Analyst's Office estimates, the loss in assessed value from the reassessment of properties that were damaged or destroyed by the fires within the District is anticipated to be a small percentage of the assessed value of properties within the District for Fiscal Year 2024-25.

Additionally on January 16, 2025, the California Governor issued Executive Order 10-25 that (i) suspends until April 10, 2026, certain state tax laws that impose penalties, costs, and interest for late payment of property taxes due in calendar year 2025, and (ii) suspends certain additional state tax laws requiring the filing of various property tax statements. The orders apply to properties located in 9 zip codes that are included in the boundaries of the District. Additional executive orders have been issued to allow

for a quicker redevelopment in fire-damaged areas. The District cannot predict the effect any executive orders will have on the timely collection of property taxes.

Prospective purchasers of the Bonds should be aware that, notwithstanding any decrease in assessed valuation for any fiscal year, the County is required to levy taxes to pay debt service on the Bonds up to the maximum authorized pursuant to Measure Q and Measure RR. The consequence of any decrease in assessed valuation is a corresponding increase in the tax rate on taxable property so that sufficient tax revenues may be collected from taxpayers to pay debt service on the Bonds in full when due. Increases in tax rates, however, may impact the ability or willingness of taxpayers to pay their property taxes. See “– Tax Rates, Levies and Collections.”

Appeals of Assessed Valuation; Blanket Reductions of Assessed Values. There are two basic types of property tax assessment appeals provided for under State law. The first type of appeal, commonly referred to as a base year assessment appeal, involves a dispute on the valuation assigned by the assessor immediately subsequent to an instance of a change in ownership or completion of new construction. If the base year value assigned by the assessor is reduced, the valuation of the property cannot increase in subsequent years more than 2% annually unless and until another change in ownership and/or additional new construction or reconstruction activity occurs. Any base year appeal must be made within four years of the change of ownership or new construction date.

The second type of appeal, commonly referred to as a Proposition 8 appeal, can result if factors occur causing a decline in the market value of the property to a level below the property's then current taxable value (escalated base year value). Pursuant to State law, a property owner may apply for a Proposition 8 reduction of the property tax assessment for such owner's property by filing a written application with the appropriate county board of equalization or assessment appeals board. A property owner desiring a Proposition 8 reduction of the assessed value of such owner's property in any one year must submit an application to the county assessment appeals board (the “Appeals Board”). Following a review of the application by the county assessor's office, the county assessor may offer to the property owner the opportunity to stipulate to a reduced assessment, or may confirm the assessment. If no stipulation is agreed to, and the applicant elects to pursue the appeal, the matter is brought before the Appeals Board (or, in some cases, a hearing examiner) for a hearing and decision. The Appeals Board generally is required to determine the outcome of appeals within two years of each appeal's filing date. Any reduction in the assessment ultimately granted applies only to the year for which application is made and during which the written application is filed. The assessed value increases to its pre-reduction level (such pre-reduction level escalated by the annual inflation rate of no more than 2%) following the year for which the reduction application is filed. The county assessor, however, has the power to grant a reduction not only for the year for which application was originally made, but also for the then current year and any intervening years as well. In practice, such a reduced assessment may and often does remain in effect beyond the year in which it is granted.

In addition, Article XIII A of the State Constitution provides that the full cash value base of real property used in determining taxable value may be adjusted from year to year to reflect the inflationary rate, not to exceed a 2% increase for any given year, or may be reduced to reflect a reduction in the consumer price index or comparable local data. This measure is computed on a calendar year basis. According to representatives of the County Assessor's office, the County has in the past, pursuant to Article XIII A of the State Constitution, ordered blanket reductions of assessed property values and corresponding property tax bills on single family residential properties when the value of the property has declined below the current assessed value as calculated by the County.

No assurance can be given that property tax appeals and/or blanket reductions of assessed property values will not significantly reduce the assessed valuation of property within the District in the future.

Assessed Valuation by Jurisdiction. The following Table 4 describes the percentage and value of the total assessed value of the property within the District’s boundaries that resides in the various cities and unincorporated portions of the County, as well as the assessed value of property within the District relative to the County’s assessed value, for fiscal year 2025-26.

TABLE 4
LOS ANGELES UNIFIED SCHOOL DISTRICT
Fiscal Year 2025-26 Assessed Valuation by Jurisdiction

Jurisdiction	Assessed Valuation in District	% of District	Assessed Valuation of Jurisdiction	% of Jurisdiction in District
City of Bell				
City of Bell Gardens				
City of Beverly Hills				
City of Calabasas				
City of Carson				
City of Commerce				
City of Cudahy				
City of Culver City				
City of Downey				
City of Gardena				
City of Hawthorne				
City of Huntington Park				
City of Inglewood				
City of Lomita				
City of Long Beach				
City of Los Angeles				
City of Lynwood				
City of Maywood				
City of Montebello				
City of Monterey Park				
City of Rancho Palos Verdes				
City of Rolling Hills Estates				
City of San Fernando				
City of Santa Clarita				
City of Santa Monica				
City of South Gate				
City of Torrance				
City of Vernon				
City of West Hollywood				
Unincorporated Los Angeles County				
Total District				
Los Angeles County				

Source: California Municipal Statistics, Inc.

Assessed Valuation by Land Use. The following Table 5 sets forth the assessed valuation by land use of property within the District in fiscal year 2025-26.

TABLE 5
LOS ANGELES UNIFIED SCHOOL DISTRICT
Local Secured Assessed Valuation and Parcels by Land Use
Fiscal Year 2025-26

	2025-26 Assessed Valuation⁽¹⁾	% of Total	No. of Parcels	% of Total
<u>Non-Residential:</u>				
Commercial/Office Building				
Industrial				
Recreational				
Government/Social/Institutional				
Miscellaneous				
Subtotal Non-Residential				
<u>Residential:</u>				
Single Family Residence				
Condominium/Townhouse				
Mobile Home Related				
2-4 Residential Units				
5+ Residential Units/Apartments				
Miscellaneous Residential				
Subtotal Residential				
Vacant Parcels				
Total				

⁽¹⁾ Local Secured Assessed Valuation, excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

Assessed Valuation of Single-Family Homes. The following Table 6 sets forth the distribution of single-family homes within the District within various assessed valuation ranges in fiscal year 2025-26.

TABLE 6
LOS ANGELES UNIFIED SCHOOL DISTRICT
Assessed Valuations of Single Family Homes Per Parcel
Fiscal Year 2025-26

		No. of Parcels	2025-26 Assessed Valuation	Average Assessed Valuation	Median Assessed Valuation
Single-Family Residential					
2024-25 Assessed Valuation	No. of Parcels ⁽¹⁾	% of Total	Cumulative % of Total	Total Valuation	% of Total
\$0 - \$99,999					
\$100,000 - \$199,999					
\$200,000 - \$299,999					
\$300,000 - \$399,999					
\$400,000 - \$499,999					
\$500,000 - \$599,999					
\$600,000 - \$699,999					
\$700,000 - \$799,999					
\$800,000 - \$899,999					
\$900,000 - \$999,999					
\$1,000,000 - \$1,099,999					
\$1,100,000 - \$1,199,999					
\$1,200,000 - \$1,299,999					
\$1,300,000 - \$1,399,999					
\$1,400,000 - \$1,499,999					
\$1,500,000 - \$1,599,999					
\$1,600,000 - \$1,699,999					
\$1,700,000 - \$1,799,999					
\$1,800,000 - \$1,899,999					
\$1,900,000 - \$1,999,999					
\$2,000,000 - \$2,099,999					
\$2,100,000 - \$2,199,999					
\$2,200,000 - \$2,299,999					
\$2,300,000 - \$2,399,999					
\$2,400,000 - \$2,499,999					
\$2,500,000 - \$2,599,999					
\$2,600,000 - \$2,699,999					
\$2,700,000 - \$2,799,999					
\$2,800,000 - \$2,899,999					
\$2,900,000 - \$2,999,999					
\$3,000,000 and greater					
Total					

⁽¹⁾ Improved single-family residential parcels. Excludes condominiums and parcels with multiple family units.

Source: California Municipal Statistics, Inc.

Largest Secured Taxpayers in the District. The following Table 7 sets forth the twenty taxpayers with the greatest combined ownership of secured taxable property in the District on the fiscal year 2025-26 tax roll, and the secured assessed valuation of all property owned by those taxpayers in all taxing jurisdictions within the District.

TABLE 7
LOS ANGELES UNIFIED SCHOOL DISTRICT
Largest Local Secured Taxpayers⁽¹⁾
Fiscal Year 2025-26

Property Owner	Primary Land Use	2025-26 Assessed Valuation	% of Total ⁽²⁾

⁽¹⁾ Excludes taxpayers with values derived from mineral rights or a possessory interest. Historically, among the top 10 taxpayers within the District are landowners with primary land use of oil and gas production, including Marathon Petroleum Corporation, Phillips 66 Company and Valero Energy Corporation, which are not reflected in the table above.

⁽²⁾ 2025-26 Local Secured Assessed Valuation: \$_____ (which excludes utility property).

Source: California Municipal Statistics, Inc.

The more property (by assessed value) owned by a single taxpayer, the more tax collections are exposed to weakness, if any, in such taxpayer's financial situation and ability or willingness to pay property taxes in a timely manner. Furthermore, assessments may be appealed by taxpayers seeking a reduction as a result of economic and other factors beyond the District's control.

Tax Rates, Levies and Collections

General. Taxes are levied for each fiscal year on taxable real and personal property as of the preceding January 1. Real property that changes ownership or is newly constructed is revalued at the time the change occurs or the construction is completed. The current year property tax rate is applied to the reassessed value, and the taxes are then adjusted by a proration factor that reflects the portion of the remaining tax year for which taxes are due. The annual tax rate is based on the amount necessary to pay all obligations payable from *ad valorem* property taxes and the assessed value of taxable property in a given year. Economic and other factors beyond the District's control, such as a general market decline in land

values, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by State and local agencies and property used for qualified educational, hospital, charitable or religious purposes), pandemic, or the complete or partial destruction of taxable property caused by natural or manmade disaster such as earthquake, drought, flood, fire, toxic dumping, etc., could cause a reduction in the assessed value of taxable property within the District and necessitate a corresponding increase in the annual tax rate to be levied to pay the principal of and interest on the District's outstanding general obligation bonds.

For assessment and collection purposes, property is classified as either "secured" or "unsecured" and is listed accordingly on separate parts of the assessment roll. The "secured roll" is that part of the assessment roll containing property (real or personal) the taxes on which are a lien sufficient, in the opinion of the County Assessor, to secure payment of the taxes. Other property is listed on the "unsecured roll."

Property taxes on the secured roll are due in two installments, on November 1 and February 1 of each fiscal year, and become delinquent on December 10 and April 10, respectively. A penalty of 10% attaches immediately to all delinquent payments. Properties on the secured roll with respect to which taxes are delinquent become tax defaulted on or about June 30 of the fiscal year. Such property may thereafter be redeemed by payment of a penalty of 1.5% per month to the time of redemption, plus costs and a redemption fee. If taxes are unpaid for a period of five years or more, the property is deeded to the State and then may be sold at public auction by the County Treasurer.

Property taxes on the unsecured roll are due in one payment on the January 1 lien date and become delinquent after August 31. A 10% penalty attaches to delinquent unsecured taxes. If unsecured taxes are unpaid at 5 p.m. on October 31, an additional penalty of 1.5% attaches to them on the first day of each month until paid. The County has four ways of collecting delinquent unsecured personal property taxes: (i) a civil action against the taxpayer; (ii) filing a judgment in the office of the County Clerk specifying certain facts in order to obtain a lien on certain property of the taxpayer; (iii) filing a certificate of delinquency for record in the County Recorder's office in order to obtain a lien on certain property of the taxpayer; and (iv) seizure and sale of personal property, improvements or possessory interests belonging or assessed to the assessee.

Proposition 13 and its implementing legislation impose the function of property tax allocation on counties in the State and prescribe how levies on countywide property values are to be shared with local taxing entities within each county. The limitations in Proposition 13, however, do not apply to *ad valorem* property taxes or special assessments to pay the interest and redemption charges on indebtedness, like the District's general obligation bonds, approved by the voters.

The County levies a 1% *ad valorem* property tax on behalf of all taxing agencies in the County. The taxes collected are allocated on the basis of a formula established by State law enacted in 1979. Under this formula, the County and all other taxing entities receive a base year allocation plus an allocation on the basis of "situs" growth in assessed value (new construction, change of ownership, inflation) prorated among the jurisdictions that serve the tax rate areas within which the growth occurs. Tax rate areas are specifically defined geographic areas, which were developed to permit the levying of taxes for less than county-wide or less than city-wide special and school districts. In addition, the County levies and collects additional approved property taxes and assessments on behalf of any taxing agency within the County.

State Government Code Sections 29100 through 29107 provide the procedures that all counties must follow for calculating tax rates. The secured tax levy within the District consists of the District's share of the 1% general *ad valorem* property and unitary taxes assessed on a County-wide basis and amounts levied that are in excess of the 1% general *ad valorem* property taxes. These tax receipts are part of the District's operations. In addition, the secured tax levy also includes the amount for the District's share of

special voter-approved *ad valorem* property taxes assessed on a District-wide basis, such as the *ad valorem* property taxes assessed for the District's general obligation bonds issued pursuant to the Authorizations and any related general obligation refunding bonds. *Ad valorem* property taxes levied for general obligation bonds are deposited with the County and may only be applied to pay the principal of, redemption premium, if any, and interest on the District's general obligation bonds and general obligation refunding bonds. The District does not receive such funds nor are they available to pay any of the District's operating expenses. In addition, the total secured tax levy includes special assessments, improvement bonds, supplemental taxes or other charges which have been assessed on property within the District. Since State law allows homeowners' exemptions (described above) and certain business exemptions from *ad valorem* property taxation, such exemptions are not included in the total secured tax levy. See also "– California Constitutional and Statutory Provisions Relating to *Ad Valorem* Property Taxes" above.

Further, State Education Code Section 15251 provides that all taxes levied with respect to general obligation bonds when collected will be paid into the county treasury of the county whose superintendent of schools has jurisdiction over the school district on behalf of which the tax was levied, to the credit of the debt service fund (or interest and sinking fund) of the school district, and will be used for the payment of the principal of and interest on the general obligation bonds and general obligation refunding bonds of the school district and for no other purpose. Accordingly, the County may not borrow or spend such amounts nor can the District receive such funds and use them for operating purposes.

Typical Tax Rate Area. The following Table 8 shows *ad valorem* property tax rates for the last five fiscal years in a typical Tax Rate Area of the District (TRA 0067). TRA 0067 comprises approximately ____% of the total fiscal year 2025-26 assessed value of the District.

TABLE 8
LOS ANGELES UNIFIED SCHOOL DISTRICT
Typical Tax Rates per \$100 of Assessed Valuation (TRA 0067)
Fiscal Years 2020-21 through 2025-26

	2020-21	2021-22	2022-23	2023-24	2024-25 ⁽³⁾	2025-26
General	1.000000%	1.000000%	1.000000%	1.000000%	1.000000%	
Los Angeles Unified School District ⁽¹⁾	0.139929	0.113228	0.121072	0.124219	0.128018	
Los Angeles Community College District ⁽¹⁾	0.040162	0.043759	0.024882	0.060231	0.051361	
City of Los Angeles ⁽¹⁾	0.016538	0.014721	0.016066	0.011448	0.013312	
Metropolitan Water District of Southern California ⁽²⁾	0.003500	0.003500	0.003500	0.003500	0.007000	
Total	1.200129%	1.175208%	1.165520%	1.199398%	1.199691%	

⁽¹⁾ Tax rate relates to bonds authorized by voters subsequent to the approval of Proposition 13.

⁽²⁾ Tax rate relates to bonds authorized by voters pursuant to a special election held in 1966 (prior to the approval of Proposition 13) in the service area of the Metropolitan Water District of Southern California.

⁽³⁾ The 2025-26 assessed valuation of TRA 67 is \$ _____ which is ____% of the District's total assessed valuation.

Source: California Municipal Statistics, Inc.

Secured Tax Charges and Delinquencies. The following Table 9A sets forth the real property tax charges and corresponding delinquencies for the District's general obligation bond debt service levy, with respect to the property located in the District, for fiscal years 2014-15 through 2024-25. For reference and as an indication of comparative delinquency rates, Table 9B sets forth the real property tax charges and corresponding delinquencies for the portion of the County's 1% general fund levy that is allocated to the District, with respect to property located in the District for fiscal years 2014-15 through 2024-25. The portion of the County's 1% general fund levy that is allocated to the District is not pledged to and does not secure the repayment of the Bonds.

TABLE 9
LOS ANGELES UNIFIED SCHOOL DISTRICT
Secured Tax Charges and Delinquencies
Fiscal Years 2014-15 through 2024-25

9A. District General Obligation Bond Debt Service Levy

Fiscal Year	Secured Tax Charge⁽¹⁾	Amount Delinquent June 30	Percentage Delinquent June 30
2014-15	\$752,855,468.94	\$13,128,310.26	1.74%
2015-16	711,852,286.31	10,350,374.48	1.45
2016-17	762,676,169.42	10,152,397.66	1.33
2017-18	765,484,783.08	11,238,395.43	1.47
2018-19	826,147,438.29	13,737,180.29	1.66
2019-20	903,922,222.21	25,782,448.86	2.85
2020-21	1,072,754,468.10	22,715,092.01	2.12
2021-22	904,728,597.58	16,272,122.21	1.80
2022-23	1,033,041,998.26	20,269,504.57	1.96
2023-24	1,127,005,255.56	23,986,400.38	2.13
2024-25			

9B. 1% General Fund Apportionment Levy

Fiscal Year	Secured Tax Charge⁽²⁾	Amount Delinquent June 30	Percentage Delinquent June 30
2014-15	\$1,005,565,868.63	\$14,501,753.32	1.44%
2015-16	1,078,286,485.58	15,318,415.41	1.42
2016-17	1,142,718,955.32	13,595,654.87	1.19
2017-18	1,222,916,327.88	15,217,873.23	1.24
2018-19	1,311,715,583.78	17,950,532.81	1.37
2019-20	1,405,968,051.67	31,757,910.59	2.26
2020-21	1,499,191,370.12	25,590,654.61	1.71
2021-22	1,556,962,602.77	24,377,000.99	1.57
2022-23	1,665,617,645.15	26,045,738.38	1.56
2023-24	1,771,389,883.84	31,149,850.08	1.76
2024-25			

⁽¹⁾ District's general obligation bond debt service levy.

⁽²⁾ 1% General Fund apportionment. Excludes redevelopment agency impounds.

Source: California Municipal Statistics, Inc.

Property tax delinquencies may be impacted by economic and other factors beyond the District's control, including the ability or willingness of property owners to pay property taxes during an economic recession or depression. An economic recession or depression could be caused by many factors outside the control of the District, including reduced consumer confidence, reduced real wages or reduced economic activity as a result of a pandemic or natural or manmade disaster, such as earthquake, drought, flood, fire,

or toxic dumping. It is not possible for the District to make any representation regarding the extent to which an economic recession or depression could impact the ability or willingness of property owners within the District to pay property taxes in the future. If delinquencies increase substantially as a result of events outside the control of the District, the County does have the authority to increase allowances for annual reserves in the tax levy to avoid fluctuating tax levies.

The County Does Not Participate in a Teeter Plan. Certain counties in the State operate under a statutory program entitled Alternate Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the “Teeter Plan”). Under the Teeter Plan local taxing entities receive 100% of their tax levies net of delinquencies, but do not receive interest or penalties on delinquent taxes collected by the county. The County has not adopted the Teeter Plan, and consequently the Teeter Plan is not available to local taxing entities within the County, such as the District. The District’s receipt of property taxes is therefore subject to delinquencies.

The District Participates in CSDTFA. The District is a member of the California Statewide Delinquent Tax Finance Authority (“CSDTFA”). CSDTFA is a joint exercise of powers agency formed for the purpose of purchasing delinquent *ad valorem* property taxes of its members in accordance with Section 6516.6 of the Government Code of the State of California. Historically, CSDTFA has from time to time purchased delinquent *ad valorem* property tax receivables related to the District’s share of the 1% general *ad valorem* property tax levy (not the additional *ad valorem* property tax levy for debt service on the District’s general obligation bonds) from the District. The District, however, cannot predict whether CSDTFA will continue to make such purchases in the future. CSDTFA purchased the District’s delinquent *ad valorem* property tax receivables related to the 1% general *ad valorem* property tax levy attributable to fiscal year 2023-24 from the District at a purchase price equal to 108% of such receivables and is expected to purchase the District’s delinquent *ad valorem* property tax receivables related to the 1% general *ad valorem* property tax levy attributable to fiscal year 2024-25 from the District at a substantially similar purchase price. Any penalty charges collected with respect to such delinquencies will be retained by CSDTFA.

Debt Service

Debt service on the Bonds, assuming no early redemptions, is as shown in the following Table 10.

TABLE 10
LOS ANGELES UNIFIED SCHOOL DISTRICT
(County of Los Angeles, California)
General Obligation Bonds, Series QRR (2025)
(Dedicated Unlimited *Ad Valorem* Property Tax Bonds)

Combined Annual Debt Schedule

Year Ending July 1	Principal	Interest	Total Debt Service
2025			
2026			
2027			
2028			
2029			
2030			
2031			
2032			
2033			
2034			
2035			
2036			
2037			
2038			
2039			
2040			
2041			
2042			
2043			
2044			
2045			
2046			
2047			
2048			
2049			
2050			
Total			

Source: Los Angeles Unified School District.

Aggregate Fiscal Year Debt Service

The following Table 11 sets forth the semi-annual debt service obligations in each fiscal year for all of the District's outstanding general obligation bonds, including the Bonds. For more information on the District's outstanding general obligation bonds, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – District Debt."

TABLE 11
LOS ANGELES UNIFIED SCHOOL DISTRICT
General Obligation Bonds, Semi-Annual Debt Service Schedule

Semi-annual Period through	Outstanding General Obligation Bonds ⁽²⁾	The Bonds ⁽¹⁾			
		Principal	Interest	Semi Annual Debt Service	Total
January 1, 2026					
July 1, 2026					
January 1, 2027					
July 1, 2027					
January 1, 2028					
July 1, 2028					
January 1, 2029					
July 1, 2029					
January 1, 2030					
July 1, 2030					
January 1, 2031					
July 1, 2031					
January 1, 2032					
July 1, 2032					
January 1, 2033					
July 1, 2033					
January 1, 2034					
July 1, 2034					
January 1, 2035					
July 1, 2035					
January 1, 2036					
July 1, 2036					
January 1, 2037					
July 1, 2037					
January 1, 2038					
July 1, 2038					
January 1, 2039					
July 1, 2039					
January 1, 2040					
July 1, 2040					
January 1, 2041					
July 1, 2041					
January 1, 2042					
July 1, 2042					
January 1, 2043					
July 1, 2043					
January 1, 2044					
July 1, 2044					
January 1, 2045					
July 1, 2045					
January 1, 2046					
July 1, 2046					
January 1, 2047					
July 1, 2047					
January 1, 2048					
July 1, 2048					
January 1, 2049					
July 1, 2049					
January 1, 2050					
July 1, 2050					
Total ⁽³⁾					

⁽¹⁾ The Bonds have principal maturing on July 1 in each of the years and in the amounts set forth on the inside front cover page hereof.

⁽²⁾ Includes set-aside payments for Qualified School Construction Bonds. Excludes federal subsidies related to Qualified School Construction Bonds. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – District Debt – *Limitations on the Receipt of Federal Funds.*”

⁽³⁾ Totals may not equal the sum of the components due to rounding.

Source: Los Angeles Unified School District.

The District's General Obligation Bond Program and Bonding Capacity

Voters within the District have approved a total of \$36.605 billion of general obligation bonds in seven separate bond elections since 1997. See “INTRODUCTION – The District’s General Obligation Bond Program.” See also APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – District Debt” for additional information regarding the District’s outstanding general obligation bonds. Pursuant to Section 15106 of the Education Code, the District’s bonding capacity for general obligation bonds may not exceed 2.5% of taxable property value in the District as shown by the last equalized assessment of the County. The taxable property valuation in the District for fiscal year 2025-26 is \$ _____ billion, which results in a total current bonding capacity of approximately \$ _____ billion. The District’s available capacity for the issuance of new general obligation bonds is approximately \$ _____ billion (taking into account current outstanding debt before the issuance of the Bonds). The issuance of additional series of general obligation bonds, other than general obligation refunding bonds, in future fiscal years will depend upon, among other things, the assessed valuation of property within the District’s boundaries, as determined by the District’s analysis of information from, among other sources, the Office of the County Assessor. See “– California Constitutional and Statutory Provisions Relating to *Ad Valorem* Property Taxes” above and APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Future Financings – *General Obligation Bonds*.”

Overlapping Debt Obligations

Set forth in Table 12 on the following page is the report prepared by California Municipal Statistics Inc., which provides information with respect to direct and overlapping debt within the District as of _____ 1, 2025 (the “Overlapping Debt Report”). The Overlapping Debt Report is included for general information purposes only. The District has not reviewed the Overlapping Debt Report for completeness or accuracy and makes no representations in connection therewith. The Overlapping Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

The first column in Table 12 names each public agency which has outstanding debt as of the date of the report and whose territory overlaps the District in whole or in part. Column 2 shows the percentage of each overlapping agency's assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in Table 12) produces the amount shown in column 3, which is the apportionment of each overlapping agency's outstanding debt to taxable property in the District.

TABLE 12
LOS ANGELES UNIFIED SCHOOL DISTRICT
Schedule of Direct and Overlapping Bonded Debt
As of _____ 1, 2025

Source: California Municipal Statistics, Inc.

TAX MATTERS

The delivery of the Bonds is subject to delivery of the opinion of Bond Counsel, to the effect that interest on the Bonds for federal income tax purposes under existing statutes, regulations, published rulings, and court decisions (1) will be excludable from the gross income, as defined in section 61 of the Internal Revenue Code of 1986, as amended to the date of initial delivery of the Bonds (the "Code"), of the owners thereof pursuant to section 103 of the Code, (2) will not be included in computing alternative minimum taxable income for purposes of the federal alternative minimum tax imposed on individuals, and (3) will be taken into account in determining adjusted financial statement income for the alternative minimum tax imposed on certain corporations. The delivery of the Bonds is also subject to the delivery of the opinion of Bond Counsel, based upon existing provisions of the laws of the State of California, that interest on the Bonds is exempt from personal income taxes of the State of California. The statutes, regulations, rulings, and court decisions on which such opinions will be based are subject to change. The form of Bond Counsel's anticipated opinion respecting the Bonds is included in APPENDIX A.

In rendering the foregoing opinions, Bond Counsel will rely upon the representations and certifications of the District made in a certificate (the "Tax Certificate") of even date with the initial delivery of the Bonds pertaining to the use, expenditure, and investment of the proceeds of the Bonds and will assume continuing compliance with the provisions of the Resolution by the District subsequent to the issuance of the Bonds. The Tax Certificate contains covenants by the District with respect to, among other matters, the use of the proceeds of the Bonds and the facilities and equipment financed therewith by persons other than state or local governmental units, the manner in which the proceeds of the Bonds are to be invested, if required, the calculation and payment to the United States Treasury of any "arbitrage profits" and the reporting of certain information to the United States Treasury. Failure to comply with any of these covenants could cause interest on the Bonds to be includable in the gross income of the owners thereof from the date of the issuance of the Bonds.

Except as described above, Bond Counsel will express no other opinion with respect to any other federal, State or local tax consequences under present law, or proposed legislation, resulting from the receipt or accrual of interest on, or the acquisition or disposition of, the Bonds. Prospective purchasers of the Bonds should be aware that the ownership of tax-exempt obligations such as the Bonds may result in collateral federal tax consequences to, among others, financial institutions, life insurance companies,

property and casualty insurance companies, S corporations with subchapter C earnings and profits, certain foreign corporations doing business in the United States, individual recipients of Social Security or Railroad Retirement benefits, individuals otherwise qualifying for the earned income tax credit, owners of an interest in a financial asset securitization investment trust, and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry, or who have paid or incurred certain expenses allocable to, tax-exempt obligations. Prospective purchasers should consult their own tax advisors as to the applicability of these consequences to their particular circumstances.

Bond Counsel's opinion is not a guarantee of a result, but represents its legal judgment based upon its review of existing statutes, regulations, published rulings and court decisions and the representations and covenants of the District described above. No ruling has been sought from the Internal Revenue Service ("IRS" or the "Service") or the State of California with respect to the matters addressed in the opinion of Bond Counsel, and Bond Counsel's opinion is not binding on the Service or the State of California. The Service has an ongoing program of auditing the tax status of the interest on municipal obligations. If an audit of the Bonds is commenced, under current procedures, the Service is likely to treat the District as the "taxpayer," and the Owners of the Bonds would have no right to participate in the audit process. In responding to or defending an audit of the tax-exempt status of the interest on the Bonds, the District may have different or conflicting interests from the owners of the respective Bonds. Public awareness of any future audit of the Bonds could adversely affect the value and liquidity of the Bonds during the pendency of the audit, regardless of its ultimate outcome.

Tax Accounting Treatment of Discount and Premium on Certain of the Bonds

The initial public offering price of certain of the Bonds (the "Discount Bonds") may be less than the amount payable on such Bonds at maturity. An amount equal to the difference between the initial public offering price of a Discount Bond (assuming that a substantial amount of the Bonds of that maturity are sold to the public at such price) and the amount payable at maturity constitutes original issue discount to the initial purchaser of such Discount Bond. The tax rules requiring inclusion in income annually by the holder of a debt instrument having original issue discount of the daily portion of original issue discount for each day during a taxable year in which such holder held such debt instrument is inapplicable to the Bonds. A portion of such original issue discount, allocable to the holding period of such Discount Bond by the initial purchaser, will, upon the disposition of such Discount Bond (including by reason of its payment at maturity), be treated as interest excludable from gross income, rather than as taxable gain, and will be added to the holder's basis in the Discount Bond, for federal income tax purposes, on the same terms and conditions as those for other interest on the bonds described above under "TAX MATTERS." Such interest is considered to be accrued in accordance with the constant-yield-to-maturity method over the life of a Discount Bond taking into account the semiannual compounding of accrued interest at the yield to maturity on such Discount Bond, and generally will be allocated to an original purchaser in a different amount from the amount of the payment denominated as interest actually received by the original purchaser during the tax year.

However, such interest may be required to be taken into account in determining the amount of the branch profits tax applicable to certain foreign corporations doing business in the United States, even though there will not be a corresponding cash payment. In addition, the accrual of such interest may result in certain other collateral federal income tax consequences to, among others, financial institutions, life insurance companies, property and casualty insurance companies, S corporations with subchapter C earnings and profits, individual recipients of Social Security or Railroad Retirement benefits, individuals otherwise qualifying for the earned income tax credit, and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry, or who have paid or incurred certain expenses allocable to, tax-exempt obligations. Moreover, in the event of the redemption, sale or other taxable disposition of a Discount Bond by the initial Owner prior to maturity, the amount realized by such Owner in excess of the

basis of such Discount Bond in the hands of such Owner (adjusted upward by the portion of the original issue discount allocable to the period for which such Discount Bond was held) is includable in gross income.

Owners of Discount Bonds should consult with their own tax advisors with respect to the determination for federal income tax purposes of accrued interest upon disposition of Discount Bonds and with respect to the state and local tax consequences of owning Discount Bonds. It is possible that, under applicable provisions governing determination of state and local income taxes, accrued interest on Discount Bonds may be deemed to be received in the year of accrual even though there will not be a corresponding cash payment.

The initial offering price of certain Bonds (the “Premium Bonds”), may be greater than the amount payable on such bonds at maturity. An amount equal to the difference between the initial public offering price of a Premium Bond (assuming that a substantial amount of the Bonds of that maturity are sold to the public at such price) and the amount payable at maturity constitutes premium to the initial purchaser of such Premium Bonds. The basis for federal income tax purposes of a Premium Bond in the hands of such initial purchaser must be reduced each year by the amortizable bond premium, although no federal income tax deduction is allowed as a result of such reduction in basis for amortizable bond premium. Such reduction in basis will increase the amount of any gain (or decrease the amount of any loss) to be recognized for federal income tax purposes upon a sale or other taxable disposition of a Premium Bond. The amount of premium which is amortizable each year by an initial purchaser is determined by using such purchaser’s yield to maturity. Purchasers of the Premium Bonds should consult with their own tax advisors with respect to the determination of amortizable bond premium with respect to the Premium Bonds for federal income purposes and with respect to the state and local tax consequences of owning Premium Bonds.

Form of Bond Counsel Opinion. The form of the proposed opinion of Bond Counsel relating to the Bonds is attached to this Official Statement as APPENDIX A.

LEGAL MATTERS

Possible Limitations on Remedies; Bankruptcy

General. State law contains certain safeguards to protect the financial solvency of school districts. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS.” If the safeguards are not successful in preventing a school district from becoming insolvent, the State Superintendent of Public Instruction (the “State Superintendent”), operating through an administrator appointed by the State Superintendent, may be authorized under State law to file a petition under Chapter 9 of the United States Bankruptcy Code (the “Bankruptcy Code”) on behalf of the school district for the adjustment of its debts, assuming that the school district meets certain other requirements contained in the Bankruptcy Code necessary for filing a petition under Chapter 9 of the Bankruptcy Code. School districts are not themselves authorized to file a bankruptcy proceeding, and they are not subject to involuntary bankruptcy.

Bankruptcy courts are courts of equity and as such have broad discretionary powers. If the District were to become the debtor in a proceeding under Chapter 9 of the Bankruptcy Code, then the “automatic stay” provisions of the Bankruptcy Code would prohibit the parties from taking any action to collect any amount from the District or the County (including *ad valorem* property tax revenues) or to enforce any obligation of the District or the County, without the bankruptcy court’s permission. In such a proceeding, as part of its plan of adjustment in bankruptcy, the District may be able to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Bonds and other transaction documents related to the Bonds, as long as the bankruptcy court determines that the alterations are fair and equitable. In addition,

in such a proceeding, as part of such a plan, the District may be able to eliminate the obligation of the County to raise taxes if necessary to pay the Bonds.

As stated above, if a school district were to go into bankruptcy, the bankruptcy petition would be filed under Chapter 9 of the Bankruptcy Code. Chapter 9 provides that it does not limit or impair the power of a state to control, by legislation or otherwise, a municipality of or in such state in the exercise of the political or governmental powers of such municipality, including expenditures for such exercise. For purposes of Chapter 9, a school district is a municipality. State law provides that the *ad valorem* property taxes levied to pay the principal and interest on the Bonds shall be used for the payment of principal and interest of the District's general obligation bonds and for no other purpose. If this restriction on the expenditure of such *ad valorem* property taxes is respected in a bankruptcy case, then the *ad valorem* property tax revenue could not be used by the District for any purpose other than to make payments on the Bonds. It is possible, however, that a bankruptcy court could conclude that the restriction should not be respected.

Statutory Lien. Pursuant to the California Government Code, all general obligation bonds issued by local agencies, including the Bonds, are secured by a statutory lien on all revenues received pursuant to the levy and collection of the tax and the lien automatically arises, without the need for any action or authorization by the local agency or its governing board, and is valid and binding from the time the bonds are executed and delivered. See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Statutory Lien on Taxes (Senate Bill 222)." Although a statutory lien would not be automatically terminated by the filing of a Chapter 9 bankruptcy petition by the District, the automatic stay provisions of the Bankruptcy Code would apply, preventing bondholders from enforcing their rights to payment from such tax collections without permission of the bankruptcy court, and payments that become due and owing on the Bonds during the pendency of the Chapter 9 proceeding could be delayed.

Special Revenues. If the *ad valorem* property tax revenues that are pledged to the payment of the Bonds (see "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Pledge of Tax Revenues") are determined to be "special revenues" within the meaning of the Bankruptcy Code, then, subject to the following discussion, the application in a manner consistent with the Bankruptcy Code of the pledged *ad valorem* property tax revenues that are collected after the date of the bankruptcy filing should not be subject to the automatic stay. "Special revenues" are defined to include, among others, taxes specifically levied to finance one or more projects or systems of the debtor, but excluding receipts from general property, sales, or income taxes levied to finance the general purposes of the debtor. State law prohibits the use of the tax proceeds for any purpose other than payment of the general obligation bonds and the bond proceeds can only be used to fund projects involving the construction, reconstruction, rehabilitation, or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities, included in the proposition. There is no binding judicial precedent, however, dealing with the treatment in bankruptcy proceedings of *ad valorem* property tax revenues collected for the payment of bonds in California, and no assurance can be given that a bankruptcy court will hold that the *ad valorem* property tax revenues are special revenues within the meaning of the Bankruptcy Code.

The Bankruptcy Code provides that there is no stay of application of pledged special revenues to payment of indebtedness secured by such revenues. The United States Court of Appeals for the First Circuit, in cases arising out of the insolvency proceedings of Puerto Rico, has held that this provision permits voluntary payments of debt service by the issuer of bonds backed by special revenues, but does not permit the bondholders to compel the issuer to make payments of debt service from special revenues. If this decision is followed by other courts, the holders of the Bonds may be prohibited from taking any action to require the District or the County to make payments on the Bonds, unless the bankruptcy court's permission is obtained. This could result in substantial delays in payments on the Bonds.

In addition, even if the *ad valorem* property tax revenues are determined to be “special revenues,” the Bankruptcy Code provides that special revenues can be applied to necessary operating expenses of the project or system, before they are applied to other obligations. This rule applies regardless of the provisions of the transaction documents. Thus, a bankruptcy court could permit the District to use the *ad valorem* property tax revenues to pay necessary operating expenses of the District and its schools, before the remaining revenues are paid to the owners of the Bonds.

There continues to be litigation in the insolvency proceedings of Puerto Rico regarding the treatment of revenue bonds. The outcome of such litigation could affect the treatment of the Bonds should the District go into bankruptcy.

Possession of Tax Revenues; Remedies. If the District goes into bankruptcy and the District or the County has possession of tax revenues (whether collected before or after commencement of the bankruptcy), and if the District or the County, as applicable, does not voluntarily pay such tax revenues to the owners of the Bonds, it is not entirely clear what procedures the owners of the Bonds would have to follow to attempt to obtain possession of such tax revenues, how much time it would take for such procedures to be completed, or whether such procedures would ultimately be successful. A similar risk would exist if the County goes into bankruptcy and has possession of tax revenues (whether collected before or after commencement of the bankruptcy). The United States Court of Appeals for the First Circuit, in another case arising out of the insolvency proceedings of Puerto Rico, has held that the Bankruptcy Code prohibits the bankruptcy court from requiring a governmental debtor to apply revenues in accordance with applicable non-bankruptcy law. In yet another case arising out of the insolvency proceedings of Puerto Rico, the United States Court of Appeals for the First Circuit has held that creditors cannot bring suit in a non-bankruptcy court to compel the governmental debtor to comply with non-bankruptcy law without first obtaining the permission of the bankruptcy court, and that the bankruptcy court has discretion as to whether to provide permission.

Effects of Bankruptcy. There may be delays in payments on the Bonds while the court considers any of these issues. There also may be other possible effects of a bankruptcy of the District that could result in delays or reductions in payments on the Bonds, or other losses on the Bonds. Moreover, regardless of any specific adverse determinations in any District bankruptcy proceeding, the existence of a District bankruptcy proceeding could have an adverse effect on the liquidity, value, and market price of the Bonds.

Opinion of Bond Counsel Qualified by Reference to Bankruptcy, Insolvency and Other Laws Relating to or Affecting Creditor’s Rights. The proposed form of opinion of Bond Counsel, included as Appendix D, is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor’s rights.

Amounts Held in County Treasury Pool

The County, on behalf of the District, is expected to be in possession of the annual *ad valorem* property taxes and certain funds to repay the Bonds and may invest these funds in the County’s Treasury Pool, as described in Appendix F – “THE LOS ANGELES COUNTY TREASURY POOL.” Should those investments suffer any losses, there may be delays or reductions in payments on the Bonds.

Legality for Investment in the State

Under provisions of the State Financial Code, the Bonds are legal investments for commercial banks in the State to the extent that the Bonds, in the informed opinion of said bank, are prudent for the investment of funds of depositors, and, under provisions of the California Government Code, are eligible for security for deposits of public moneys in the State.

Continuing Disclosure

The District has covenanted for the benefit of the holders and beneficial owners of the Bonds to provide certain financial information and operating data relating to the District (the “Annual Report”) for each fiscal year by not later than 240 days following the end of the District’s fiscal year (currently ending June 30), commencing with the Annual Report for fiscal year 2024-25, and to provide notices of the occurrence of certain specified events (collectively, the “Listed Events”). The information to be contained in the Annual Report and in a notice of a Listed Event is set forth in Appendix E – “FORM OF CONTINUING DISCLOSURE CERTIFICATE.” The District will provide or cause to be provided the Annual Report and such notices to the Municipal Securities Rulemaking Board through its Electronic Municipal Market Access system in the manner prescribed by the Securities and Exchange Commission (“SEC”). Copies of the District’s annual reports and notices of Listed Event filings are available at the website of Digital Assurance Certification, L.L.C. (“DAC”), www.dacbond.com, and at the website of the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access (“EMMA”) system, emma.msrb.org. The information presented on these websites is not incorporated by reference in this Official Statement and should not be relied upon in making an investment decision with respect to the Bonds. These covenants have been made in order to assist the Underwriters (defined herein) in complying with SEC Rule 15c2-12(b)(5) (the “Rule”).

Due to the impact of COVID-19 on California school district operations during fiscal year 2019-20, California Senate Bill 98 extended the deadline for school districts to file their audited financial statements for fiscal year 2019-20 with the State to March 31, 2021. As a result, at the time of filing the District’s Annual Report for fiscal year 2019-20, the District’s audited financial statements for fiscal year 2019-20 were not yet available. The District’s audited financial statements for fiscal year 2019-20 were subsequently filed to EMMA on March 30, 2021. Additionally, within the past five years, certain of the District’s annual report and Listed Events filings required in connection with its prior continuing disclosure undertakings were not properly linked to all CUSIP numbers for the District’s outstanding bonds.

Certain Legal Matters

The validity of the Bonds and certain other legal matters are subject to the approving opinion of Dannis Woliver, Kelley, Long Beach, California, Bond Counsel to the District, and certain other conditions. A complete copy of the proposed form of opinion of Bond Counsel with respect to the Bonds is contained in Appendix D. Bond Counsel undertakes no responsibility for the accuracy, completeness or fairness of this Official Statement. Certain legal matters will also be passed upon for the District by its General Counsel and by the District’s Disclosure Counsel, Dannis Woliver Kelley, Long Beach, California (“Disclosure Counsel”), and for the Underwriters by their counsel, [UW COUNSEL], [City, State] (“Underwriters’ Counsel”).

Each of Bond and Disclosure Counsel and Underwriters’ Counsel will receive compensation contingent upon the sale and delivery of the Bonds. From time to time, Bond Counsel and Disclosure Counsel each may represent one or more of the Underwriters in matters unrelated to the District or the Bonds.

FINANCIAL STATEMENTS

The District’s Audited Annual Financial Report for fiscal year ended June 30, 2024, including its general purpose financial statements for the fiscal year ended June 30, 2024, is included as Appendix B. The basic financial statements of the District for the fiscal year ended June 30, 2024 have been audited by Simpson & Simpson, independent certified public accountants, as stated in their report appearing in Appendix B. The District has not requested nor has the District obtained the consent of Simpson & Simpson to the inclusion of its report in Appendix B. Simpson & Simpson has not been engaged to perform and has

not performed, since the date of its report included herein, any procedures on the financial statements addressed in that report. Simpson & Simpson has not been requested to perform and has not performed any procedures relating to the Official Statement.

LITIGATION

[There is no litigation pending against the District or, to the knowledge of its respective executive officers, threatened, seeking to restrain or enjoin the issuance, sale, execution or delivery of the Bonds or in any way contesting or affecting the validity of the Bonds or the Authorizations or any proceedings of the District taken with respect to the issuance or sale thereof, or the levy or application of *ad valorem* property taxes for the payment of principal of and interest on the Bonds or the use of the proceeds of the Bonds. There are no pending lawsuits that, in the opinion of the District's General Counsel, challenge the validity of the Bonds, the existence of the District, or the title of the executive officers to their respective offices. There are a number of lawsuits and claims pending against the District. See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation." In the opinion of the District, the outcome of the presently pending suits and claims will not materially impair the District's repayment of the Bonds.

MISCELLANEOUS

Ratings

[Fitch Ratings, Inc. ("Fitch"), Kroll Bond Rating Agency, LLC ("KBRA"), and Moody's Investors Service Inc. ("Moody's")] have assigned their municipal bond ratings of "[_]," "[_]," and "[_]," respectively, to the Bonds, which may include information that has not been included in this Official Statement. The District has furnished to each rating agency certain materials and information with respect to itself and the Bonds. Generally, rating agencies base their ratings on such information and materials and on their own investigations, studies and assumptions. Each rating reflects only the view of the respective rating agency, and any explanation of the significance of such rating may be obtained only from the issuing rating agency furnishing the same, at the following addresses: Fitch Ratings, Inc., 33 Whitehall Street, New York, New York 10004, telephone: (212) 908-0800, Kroll Bond Rating Agency, LLC, 805 Third Avenue, 29th floor, New York, New York 10022, telephone: (212) 702-0707, and Moody's Investors Service, Inc., 7 World Trade Center at 250 Greenwich Street, New York, New York 10007, telephone: (212) 533-0300. There is no assurance that any such rating will continue for any given period of time or that it will not be revised downward or withdrawn entirely by such rating agency, if, in its judgment, circumstances so warrant. Any such downward revision or withdrawal of any such rating may have an adverse effect on the market price of the Bonds.

Municipal Advisor

The District has retained Public Resources Advisory Group, as Municipal Advisor (the "Municipal Advisor") in connection with the issuance of the Bonds and certain other financial matters. The Municipal Advisor has not been engaged, nor has it undertaken, to audit, authenticate or otherwise verify the information set forth in this Official Statement, or any other related information available to the District, with respect to accuracy and completeness of disclosure of such information. The Municipal Advisor has reviewed this Official Statement but makes no guaranty, warranty or other representation respecting accuracy and completeness of the information contained in this Official Statement. The Municipal Advisor will receive compensation from the District contingent upon the sale and delivery of the Bonds.

Underwriting

The Bonds are being purchased by [UNDERWRITER], [on behalf of a syndicate that also includes the other underwriters set forth on the cover hereof (collectively, the “Underwriters”)]. The Underwriters have agreed to purchase the Bonds at the purchase price of \$[_____] (which amount is equal to the aggregate principal amount of the Bonds, [plus/less] [net] original issue [premium/discount] of \$[_____] , less an Underwriters’ discount of \$[_____]), pursuant to that certain Bond Purchase Agreement, dated [DATE] (the “Purchase Agreement”), by and among the Underwriters, the County and the District, relating to the Bonds. Pursuant to the Purchase Agreement, the Underwriters will purchase all of the Bonds if any are purchased.

The Underwriters may offer and sell the Bonds to certain securities dealers and dealer banks and banks acting as agent at prices lower than the public offering prices stated on the inside cover page of this Official Statement. The public offering prices may be changed from time to time by the Underwriters.

The Underwriters have provided the following paragraphs for inclusion in the section “MISCELLANEOUS – Underwriting.” No representation is made by the District as to the accuracy, completeness or adequacy of such information.

Certain of the Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Under certain circumstances, the Underwriters and their affiliates may have certain creditor and/or other rights against the District and its affiliates in connection with such activities. In the various course of their various business activities, the Underwriters and their respective affiliates, officers, directors and employees may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans, commodities, currencies, credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the District (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the District. The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

Additional Information

The purpose of this Official Statement is to provide information to prospective buyers of the Bonds. Quotations from and summaries of the Bonds, the Resolutions, and the constitutional provisions, statutes and other documents described herein do not purport to be complete, and reference is made to said documents, constitutional provisions and statutes for full and complete statements of their provisions. Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not a contract or agreement between the District and the purchasers or owners of any of the Bonds.

Execution and Delivery

The District has duly authorized the execution and delivery of this Official Statement.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Chief Financial Officer

APPENDIX A**DISTRICT FINANCIAL INFORMATION AND
REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION**

APPENDIX B

**AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT
FOR FISCAL YEAR ENDED JUNE 30, 2024**

APPENDIX C

BOOK-ENTRY ONLY SYSTEM

THE INFORMATION IN THIS APPENDIX C CONCERNING THE DEPOSITORY TRUST COMPANY AND ITS BOOK-ENTRY SYSTEM HAS BEEN OBTAINED FROM SOURCES THAT THE DISTRICT AND THE UNDERWRITERS BELIEVE TO BE RELIABLE, BUT THE DISTRICT AND THE UNDERWRITERS TAKE NO RESPONSIBILITY FOR THE ACCURACY OR COMPLETENESS THEREOF. THERE CAN BE NO ASSURANCE THAT THE DEPOSITORY TRUST COMPANY WILL ABIDE BY ITS PROCEDURES OR THAT SUCH PROCEDURES WILL NOT BE CHANGED FROM TIME TO TIME.

The Depository Trust Company (“DTC”) will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered security certificate will be issued for each maturity of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world’s largest security depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a Standard & Poor’s rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. Information on these websites is not incorporated herein by reference.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC’s records. The ownership interest of each actual purchaser of each security (“Beneficial Owner”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of the Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of the Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the security documents. For example, Beneficial Owners of the Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds are to be redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and other payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC or the District subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and other payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District. Under such circumstances, in the event that a successor depository is not obtained, security certificates are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, certificates will be printed and delivered to DTC and the requirements of the Resolution with respect to certificated Bonds will apply.

THE DISTRICT, THE COUNTY, THE PAYING AGENT, THE MUNICIPAL ADVISOR, AND THE UNDERWRITERS CANNOT AND DO NOT GIVE ANY ASSURANCES THAT DTC, DIRECT PARTICIPANTS OR INDIRECT PARTICIPANTS OF DTC WILL DISTRIBUTE TO THE BENEFICIAL OWNERS OF THE BONDS (1) PAYMENTS OF PRINCIPAL OF AND INTEREST ON THE BONDS (2) CONFIRMATIONS OF THEIR OWNERSHIP INTERESTS IN THE BONDS OR (III) OTHER NOTICES SENT TO DTC OR CEDE & CO., ITS PARTNERSHIP NOMINEE, AS THE REGISTERED OWNER OF THE BONDS, OR THAT THEY WILL DO SO ON A TIMELY BASIS, OR THAT DTC, DIRECT PARTICIPANTS OR INDIRECT PARTICIPANTS WILL SERVE AND ACT IN THE MANNER DESCRIBED IN THIS OFFICIAL STATEMENT.

NEITHER THE DISTRICT, THE COUNTY, THE PAYING AGENT, THE MUNICIPAL ADVISOR, NOR THE UNDERWRITERS WILL HAVE ANY RESPONSIBILITY OR OBLIGATIONS TO DTC, THE DIRECT PARTICIPANTS, THE INDIRECT PARTICIPANTS OF DTC OR THE BENEFICIAL OWNERS WITH RESPECT TO (1) THE ACCURACY OR COMPLETENESS OF ANY RECORDS MAINTAINED BY DTC OR ANY DIRECT PARTICIPANTS OR INDIRECT PARTICIPANTS OF DTC, (2) THE PAYMENT BY DTC OR ANY DIRECT PARTICIPANTS OR INDIRECT PARTICIPANTS OF DTC OF ANY AMOUNT DUE TO ANY BENEFICIAL OWNER IN RESPECT OF THE PRINCIPAL AMOUNT OF OR INTEREST ON THE BONDS, (3) THE DELIVERY BY DTC OR ANY DIRECT PARTICIPANTS OR INDIRECT PARTICIPANTS OF DTC OF ANY NOTICE TO ANY BENEFICIAL OWNER THAT IS REQUIRED OR PERMITTED TO BE GIVEN TO OWNERS UNDER THE TERMS OF THE RESOLUTION, OR (4) ANY CONSENT GIVEN OR OTHER ACTION TAKEN BY DTC AS OWNER OF THE BONDS.

APPENDIX D

PROPOSED FORMS OF OPINION OF BOND COUNSEL

Upon issuance of the Bonds, Dannis Woliver Kelley, Los Angeles, California, Bond Counsel to the Los Angeles Unified School District, will render its approving opinion with respect to the Bonds in substantially the following forms:

[Closing Date]

Board of Education
Los Angeles Unified School District
Los Angeles, California

Re: \$[PAR AMOUNT] Los Angeles Unified School District (County of Los Angeles, California) General Obligation Bonds, Series QRR (2025) (Dedicated Unlimited *Ad Valorem* Property Tax Bonds)

Ladies and Gentlemen:

We have acted as Bond Counsel in connection with the issuance of and Los Angeles Unified School District (County of Los Angeles, California) General Obligation Bonds, Election of 2024 US Series B (2025) Federally Taxable (Dedicated Unlimited *Ad Valorem* Property Tax Bonds) (“Series B Bonds” and together with the Series A Bonds, the “Bonds”).

We have acted as bond counsel for the Los Angeles Unified School District (County of Los Angeles, California) (the “District”), in connection with the issuance by the District of \$_____ aggregate principal amount of the District’s General Obligation Bonds, Series QRR (2025) (Dedicated Unlimited *Ad Valorem* Property Tax Bonds) (the “Bonds”). The Bonds are issued pursuant to the Government Code of the State of California (commencing at Section 53506), as amended, applicable provisions of the Education Code of the State and a resolution of the Board of Supervisors of the County adopted on [June 10, 2025] (the “County Resolution”) at the request of the District pursuant to a resolution adopted by the Board of Education of the District (the “District Board”) on [May 13, 2025] (the “District Resolution”). All terms used herein and not otherwise defined shall have the meanings given to them in the Resolution.

As bond counsel, we have examined copies certified to us as being true and complete copies of the proceedings of the District for the authorization and issuance of the Bonds, including the Resolution. Our services as such bond counsel were limited to an examination of such proceedings and to the rendering of the opinions set forth below. In this connection, we have also examined such certificates of public officials and officers of the District and Merced County as we have considered necessary for the purposes of this opinion.

Certain agreements, requirements and procedures contained or referred to in the Resolution and other relevant documents may be changed and certain actions (including, without limitation, defeasance of Bonds) may be taken or omitted under the circumstances and subject to the terms and conditions set forth in such documents. No opinion is expressed herein as to any effect on any Bonds if any such change occurs or action is taken or omitted upon the advice or approval of counsel other than ourselves.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by any parties other than the District. We have not undertaken to verify independently, and have assumed, the accuracy of the factual matters represented, warranted or certified in the documents referred to in the second paragraph hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Resolution. We call attention to the fact that the rights and obligations under the Bonds and the Resolution may be subject to bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors, rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against public entities in the State of California. We express no opinion with respect to any indemnification, contribution, choice of law, choice of forum or waiver provisions contained in the foregoing documents. We express no opinion and make no comment with respect to the sufficiency of the security for the marketability of the Bonds. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion herein with respect thereto.

Based on and subject to the foregoing and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute valid and binding general obligations of the District.
2. The Bonds are payable as to both principal and interest from the proceeds of a levy of *ad valorem* taxes on all property subject to such taxes in the District, which taxes are unlimited as to rate or amount, except for certain personal property that is taxable at limited rates.
3. The Resolution has been duly adopted and constitutes a valid and binding obligation of the District enforceable against the District in accordance with its terms.
4. Interest on the Bonds is excluded from the gross income of the owners thereof for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended.
5. Interest on the Bonds is exempt from personal income taxes of the State of California.

Bondholders should note that interest on the Bonds is not a preference item for purposes of the alternative minimum tax imposed on individuals but is taken into account in determining the annual adjusted financial statement income for the purpose of computing the alternative minimum tax imposed on certain corporations. Ownership of tax-exempt obligations such as the Bonds may result in collateral tax consequences. The nature and extent of these other tax consequences will depend upon the particular tax status of the owner of the Bonds or such owner's other items of income or deduction. We express no opinion with respect to any federal, state, or local tax consequences, under present law or any proposed legislation, resulting from the receipt or accrual of interest on, or the acquisition or disposition of, the Bonds.

Our opinions are based on existing law, which is subject to change. Such opinions are further based on our knowledge of facts as of the date hereof. We assume no duty to update or supplement our opinions to reflect any facts or circumstances that may thereafter come to our attention or to reflect any changes in any law that may thereafter occur or become effective. Our opinions represent our legal judgment based

upon our review of existing law that we deem relevant to such opinions and in reliance upon the representations and covenants referenced above.

The foregoing opinions represent our legal judgment based upon a review of existing legal authorities that we deem relevant to render such opinions and are not a guarantee of results.

Dannis Woliver Kelley

APPENDIX E
FORM OF CONTINUING DISCLOSURE CERTIFICATE

APPENDIX F

THE LOS ANGELES COUNTY TREASURY POOL

The Treasurer and Tax Collector of the County of Los Angeles (the “Treasurer”) manages, in accordance with California Government Code Section 53600 et seq., funds deposited with the Treasurer by County school and community college districts, various special districts, and some cities. State law generally requires that all moneys of the County, school districts, and certain special districts be held in the County’s Treasury Pool (the “Treasury Pool”) as described below. The composition and value of investments under management in the Treasury Pool vary from time to time, depending on the cash flow needs of the County and the other public agencies invested in the Treasury Pool, the maturity or sale of investments, purchase of new securities and fluctuations in interest rates generally. Additionally, the Treasurer, with the consent of the Board of Supervisors of the County of Los Angeles (the “County”), may change the County investment policy at any time. Therefore, there can be no assurance that the values of the various investments in the Treasury Pool will not vary significantly from the values described herein. Neither the District, the Municipal Advisor nor the Underwriters make any representation as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained herein is correct as of any time subsequent to its date. The Treasurer maintains a website, the address of which is <https://ttc.lacounty.gov/monthly-reports/>, on which the Treasurer periodically places information relating to the Treasury Pool. The information presented there, however, is not part of this Official Statement, is not incorporated by reference herein and should not be relied upon in making an investment decision with respect to the Bonds.

The County of Los Angeles Pooled Surplus Investments

The Treasurer and Tax Collector (the “Treasurer”) of the County of Los Angeles (the “County”) has the delegated authority to invest funds on deposit in the County Treasury (the “Treasury Pool”). As of November 30, 2024, investments in the Treasury Pool were held for local agencies including school districts, community college districts, special districts and discretionary depositors such as cities and independent districts in the following amounts:

Local Agency	Invested Funds (in billions)
County of Los Angeles and Special Districts	\$23.944
Schools and Community Colleges	27.803
Discretionary Participants	3.997
Total	<u>\$55.744</u>

The Treasury Pool participation composition is as follows:

Non-discretionary Participants	92.83%
Discretionary Participants:	
Independent Public Agencies	7.05%
County Bond Proceeds and Repayment Funds	0.12%
Total	<u>100.00%</u>

Decisions on the investment of funds in the Treasury Pool are made by the County Investment Officer in accordance with established policy, with certain transactions requiring the Treasurer’s prior approval. In Los Angeles County, investment decisions are governed by Chapter 4 (commencing with Section 53600) of Part 1 of Division 2 of Title 5 of the California Government Code, which governs legal

investments by local agencies in the State of California, and by a more restrictive Investment Policy developed by the Treasurer and adopted by the Los Angeles County Board of Supervisors on an annual basis. The Investment Policy adopted on March 19, 2024, reaffirmed the following criteria and order of priority for selecting investments:

1. Safety of Principal
2. Liquidity
3. Return on Investment

The Treasurer prepares a monthly Report of Investments (the “Investment Report”) summarizing the status of the Treasury Pool, including the current market value of all investments. This report is submitted monthly to the Board of Supervisors. According to the Investment Report dated December 31, 2024, the November 30, 2024 book value of the Treasury Pool was approximately \$55.744 billion, and the corresponding market value was approximately \$53.876 billion.

An internal controls system for monitoring cash accounting and investment practices is in place. The Treasurer’s Compliance Auditor, who operates independently from the Investment Officer, reconciles cash and investments to fund balances daily. The Compliance Auditor’s staff also reviews each investment trade for accuracy and compliance with the Board adopted Investment Policy. On a quarterly basis, the County’s outside independent auditor (the “External Auditor”) reviews the cash and investment reconciliations for completeness and accuracy. Additionally, the External Auditor reviews investment transactions on a quarterly basis for conformance with the approved Investment Policy and annually accounts for all investments.

The following table identifies the types of securities held by the Treasury Pool as of November 30, 2024:

Type of Investment	% of Pool
Certificates of Deposit	3.32%
U.S. Government and Agency Obligations	71.09
Bank Acceptances	0.00
Commercial Paper	25.55
Municipal Obligations	0.04
Corporate Notes & Deposit Notes	0.00
Repurchase Agreements	0.00
Asset Backed Instruments	0.00
Other	0.00
	<u>100.00%</u>

The Treasury Pool is highly liquid. As of November 30, 2024, approximately 39.61% of the investments mature within 60 days, with an average of 685 days to maturity for the entire portfolio.

APPENDIX A

**DISTRICT FINANCIAL INFORMATION AND
REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION**

TABLE OF CONTENTS

	Page
DISTRICT GENERAL INFORMATION.....	1
District Boundaries	1
District Governance; Senior Management	1
School Facilities	6
Enrollment and Average Daily Attendance.....	6
Cybersecurity.....	9
STATE FUNDING OF SCHOOL DISTRICTS.....	11
General	11
The State Budget Process	13
State Budget Act.....	13
State Funding of Schools Without a State Budget.....	21
Local Control Funding Formula	22
Charter School Funding.....	26
Limitations on School District Reserves	27
DISTRICT FINANCIAL INFORMATION.....	27
District Financial Policies and Related Practices	27
Significant Accounting Policies, System of Accounts and Audited Financial Statements	31
Audited Financial Report	32
District Budget.....	32
Employees and Labor Relations	42
Retirement Systems	46
Other Postemployment Benefits.....	57
Risk Management and Litigation	61
District Debt	71
Future Financings	77
CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO AD VALOREM PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS	79
Constitutionally Required Funding of Education	79
Article XIII A of the State Constitution	79
Legislation Implementing Article XIII A	79
Article XIII B of the State Constitution.....	81
Article XIII C and Article XIII D of the State Constitution	81
Proposition 98.....	82
Proposition 39.....	83

TABLE OF CONTENTS
(continued)

	Page
Proposition 1A.....	83
Proposition 22.....	84
Proposition 30.....	84
Proposition 2.....	85
State School Facilities Bonds	86
Future Initiatives.....	88
REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION.....	88
Population.....	88
Income	89
Employment	90
Leading County Employers	91
Construction	93
GLOSSARY OF CERTAIN TERMS AND ABBREVIATIONS.....	95

This Appendix A provides information concerning the operations and finances of the Los Angeles Unified School District (the “District”) and certain demographic information in the area covered by the District. The Bonds are general obligation bonds of the District, secured and payable from ad valorem property taxes assessed on taxable properties within the District and are not an obligation of the County (defined herein) or of the general fund of the District. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” in the forepart of this Official Statement. See also “GLOSSARY OF CERTAIN TERMS AND ABBREVIATIONS” herein for a description of certain terms and abbreviations used in this Appendix A.

DISTRICT GENERAL INFORMATION

District Boundaries

The District, encompassing approximately 710 square miles, is located in the western section of the County of Los Angeles (the “County”) in the State of California (the “State”). The District’s boundaries include virtually all of the City of Los Angeles (the “City”), all of the Cities of Cudahy, Gardena, Huntington Park, Lomita, Maywood, San Fernando, Vernon and West Hollywood, and portions of the Cities of Bell, Bell Gardens, Beverly Hills, Calabasas, Carson, Commerce, Culver City, Downey, Hawthorne, Inglewood, Long Beach, Lynwood, Montebello, Monterey Park, Rancho Palos Verdes, Rolling Hills Estates, Santa Clarita, Santa Monica, South Gate, and Torrance. In addition, the District provides services to several unincorporated areas of the County, which include residential and industrial areas. The boundaries for the District are approximately 80% coterminous with the City, with the remaining 20% included in the smaller neighboring cities and unincorporated County areas described above. The District was formed in 1854 as the Common Schools for the City and became a unified school district in 1960.

District Governance; Senior Management

District Board. The District is governed by a seven-member Board of Education (the “District Board”), each member of which is a voting member and elected by voters within such member’s designed district. The members of the District Board are elected to four-year terms in alternate slates of three and four, with elections held every two years. In an election year, if a candidate receives a majority of the votes cast for a District Board seat in the primary election, that candidate is elected to the office. In the event no candidate receives a majority of the votes cast for a District Board seat, there is a runoff election at the general election between the two candidates receiving the highest number of votes for the seat in the primary election. The current members of the District Board along with their district and term are set forth below.

District	Member	Term Ending
3	Scott Schmerelson, President	December 10, 2028
2	Dr. Rocio Rivas, Vice President	December 13, 2026
1	Sherlett Hendy Newbill	December 10, 2028
4	Nick Melvoin	December 13, 2026
5	Karla Griego	December 10, 2028
6	Kelly Gonez	December 13, 2026
7	Tanya Ortiz Franklin	December 10, 2028

Superintendent. The chief executive officer of the District, appointed by the District Board to manage the day-to-day operations of the District, is the Superintendent of Schools (the “Superintendent”). The District Board appointed Alberto M. Carvalho to serve as the Superintendent effective February 2022.

Strategic Plan. On June 21, 2022, the District Board unanimously adopted a strategic plan outlining the student outcomes expected by 2026 (the “2022-26 Strategic Plan”) that focuses on the goal of ensuring that all District students graduate “ready for the world” and prepared to thrive in college, career, and life.

The 2022-26 Strategic Plan revolves around four goals, postsecondary preparedness, literacy, numeracy, and social-emotional wellness, and five pillars, each consisting of priorities that represent critical areas the District will focus on: academic excellence; joy and wellness; engagement and collaboration; operational effectiveness; and investing in staff.

Pursuant to the 2022-26 Strategic Plan, the first pillar of “Academic Excellence” prioritizes improving student outcomes through high-quality instruction, delivering enriching experiences to instill lifelong learning, eliminating opportunity gaps, and encouraging multiple paths for college and career readiness. The second pillar of “Joy and Wellness” prioritizes creating welcoming and inclusive learning environments, addressing student well-being through health, nutrition, and wellness services, cultivating strong social-emotional skills, and ensuring outstanding attendance to achieve consistent learning. The third pillar of “Engagement and Collaboration” prioritizes strengthening relationships between students, families, and schools, providing accessible information to the community, leading on local, state, and national levels, and honoring the perspectives of students. The fourth pillar of “Operational Effectiveness” prioritizes developing data-driven decision-making, modernizing facilities and technological infrastructure, sustainably implementing school and District budgets, and making the District a district of choice of families. The fifth pillar of “Investing in Staff” prioritizes recruiting and retaining a diverse workforce, providing rigorous and relevant professional learning, cultivating staff wellness, and maintaining consistent and high performance standards.

The District developed an Implementation Guide for the 2022-26 Strategic Plan with actions and practices for practitioners to implement in schools and classrooms. Pursuant to the 2022-26 Strategic Plan, the District intends to, among other endeavors, ensure processes and systems are in alignment by reviewing budgets, updating reporting structures, offering professional development for school and central office staff, and providing additional support for aligning school-level plans to the 2022-26 Strategic Plan. Furthermore, to ensure the 2022-26 Strategic Plan remains on track, the District is regularly engaging with the community to solicit feedback on its actions and expenditures, and has established districtwide systems to monitor progress of ongoing implementation, as well as progress toward achieving its targets for success – at both the central-office and school-site levels. The District has released a Year One Report (2022-23) and Year Two Report (2023-24) regarding the District’s progress on implementation of the 2022-26 Strategic Plan.

Regions. In addition to the Superintendent of the District, the District organizes its schools into four (formerly six) geographically-based regions (each, a “Region”). Each Region has a separate superintendent to oversee the schools in the related area of the District. The current Region Superintendents are Dr. David Baca (North), Andre Spicer (South), José P. Huerta (East), and Dr. Denise Collier (West).

Biographies. Brief biographical information for Superintendent Alberto M. Carvalho and other senior management of the District is set forth below.

Alberto M. Carvalho, Superintendent. Alberto M. Carvalho has served as Superintendent of the District, the nation’s second-largest school district, since February 2022. He was selected by the District Board in a unanimous vote following a comprehensive community engagement process and a nationwide search.

Since starting at the District, Superintendent Carvalho has led the development and implementation of the District’s unanimously approved 2022-2026 Ready for the World Strategic Plan. Numerous initiatives and ideas have enhanced the plan, including the launch of the STEAM Lab Makerspaces, Education Transformation Office, Cultural Arts Passport, and Family Academy. Through Superintendent Carvalho’s leadership, the District has also established nine new education compacts between the District and local municipalities, made significant progress in greening schools, and secured upgraded credit ratings, generating millions in savings.

During his 14-year tenure as Superintendent of Miami-Dade County Public Schools (“M-DCPS”), Superintendent Carvalho garnered local, state, national and international recognition. His honors include being named Florida’s 2014 Superintendent of the Year; the 2014 National Superintendent of the Year; the 2016 Magnet Schools of America Superintendent of the Year, the 2016 winner of the Harold W. McGraw Prize in Education; the 2018 National Urban Superintendent of the Year; and the 2019 National Association for Bilingual Education (NABE) Superintendent of the Year.

Under his leadership, M-DCPS became one of the nation’s highest-performing urban school systems, receiving systemwide accreditation from AdvancEd in 2014 and 2019. M-DCPS was named as the 2014 College Board Advanced Placement Equity and Excellence District of the Year and the 2012 winner of the Broad Prize for Urban Education. Superintendent Carvalho is now seeking to elevate the District to the premier spot in American urban education.

Superintendent Carvalho was appointed by the U.S. Secretary of Education to serve on the National Assessment Governing Board. He has served as a committee member for the National Academies of Science, Engineering, and Medicine and is currently serving as an Advisory Committee Member to the Harvard Program on Education Policy and Governance. Superintendent Carvalho is also a dedicated member the Homeland Security Academic Partnership Council, the National Board of Directors for Common Threads, the Posse Foundation, the Aspen Institute’s Planet Media Task Force, and Code.org. He is a member of the Leadership Table for the Los Angeles County Executive Committee on Homelessness and serves on the Board of Directors of The Music Center of Los Angeles.

Superintendent Carvalho has been awarded many honorary degrees. He has been honored by the President of Portugal with the “Ordem de Mérito Civil” and by Mexico with the “Ohtli Award.” He was also knighted by King Felipe VI of Spain with the Cross of the Orden de Isabel la Católica.

Jaime G. Torrens, Senior Advisor to the Superintendent. Mr. Torrens, Senior Advisor to the Superintendent of the District, is responsible for assisting and supporting the Superintendent in the overall operation of the District, the largest self-governing public school district in the nation. Mr. Torrens also oversees the district’s eco-sustainability, compliance and audits, and environmental health and safety functions. Mr. Torrens previously served as Deputy Superintendent and Chief of Staff for Miami-Dade County Public Schools (“M-DCPS”) where he oversaw a broad portfolio of functional areas. Among other duties, he led the M-DCPS’ response and recovery related to COVID-19 (as defined herein).

As Chief Facilities Officer for over 12 years, he was responsible for all aspects of facilities planning, construction, maintenance, operations and inspections at the fourth largest school system in the nation. As a member of the Superintendent’s Cabinet, he directed a staff of 1,000 professional and technical personnel responsible for all aspects of 3,100 buildings comprising 45 million square feet on over 400 school campuses and ancillary facilities.

Mr. Torrens also led the implementation of M-DCPS’ \$1.2 billion general obligation bond program approved by voters in 2012 to renovate, construct, and modernize school facilities throughout Miami-Dade County. This extensive capital improvement program included instructional technology upgrades at every school to provide equity throughout all campuses. Concurrently, he helped launch a comprehensive business development program which drastically expanded participation of small, minority and women-owned businesses that had been historically underrepresented in the construction industry.

Mr. Torrens served M-DCPS in various positions of increasing responsibility related to facilities management and district/emergency operations. He led M-DCPS’ infusion of sustainability principles into design criteria and specifications for capital projects, implemented the Guaranteed Energy Performance

Contracting Program, and opened the first Gold Certified comprehensive high school under the LEED for Schools Program.

Mr. Torrens holds a Master of Science in Management Information Systems and a Bachelor of Science in Electrical Engineering from Florida International University, and he is a LEED Accredited Professional.

Mr. Pedro Salcido, Deputy Superintendent Business Services and Operations. Pedro Salcido has been a dedicated member of the District since 2012, advancing through a variety of roles that reflect his deep commitment to both educational equity and operational excellence. Currently serving as the Deputy Superintendent of Business Services and Operations, Mr. Salcido oversees the essential divisions that keep the District running, including finance, food services, facilities, information technology, medical services, procurement, school operations, school police, and transportation. His strategic priorities include addressing the digital divide, advancing school bus electrification and systems modernization, improving school meals, modernizing wireless networks, leading school building renovations, and implementing strategic budgeting efforts.

Since his appointment in November 2022, Mr. Salcido has spearheaded multiple initiatives that are critical to the District's long-term goals. Notably, he has been instrumental in efforts to close the digital divide and modernize technological systems, ensuring that all students and staff have access to state-of-the-art tools for teaching, learning, and communication. His leadership also extends to the District's sustainability efforts, such as the transition to electric school buses, and his work on improving the quality of school meals, making them both healthier and more appealing to students.

Before becoming Deputy Superintendent of Business Services and Operations, Mr. Salcido served as the Chief of Staff, where he played a pivotal role in managing the District's academic and non-academic operations. As the Superintendent's principal liaison to the Board of Education, he facilitated the execution of policies and worked closely with Superintendent Carvalho on the development of both the 100-Day Plan and the Strategic Plan. His work continues to focus on aligning the District's resources with its most urgent priorities, ensuring that every decision is made with a focus on equity and efficiency.

One of Mr. Salcido's most significant contributions to the District has been his leadership in the development and implementation of the Student Equity Needs Index (SENI), a funding allocation model designed to address the District's most pressing equity challenges. Today, SENI has grown to distribute nearly \$700 million to the schools that need it most. This initiative is just one example of how Mr. Salcido has worked tirelessly to expand both equitable financial practices and programmatic efforts across the District.

Mr. Salcido's experience also includes serving as Senior Executive Director of Finance and Policy and Director of Government Relations, where he led state, federal, and local advocacy efforts, managed labor negotiations, and oversaw the District's financial operations and policy development. He played a key role in the establishment of the District's Local Control and Accountability Plan, aligning budget practices with a system of accountability and community engagement that continues to guide the District's efforts.

As a first-generation Mexican American, son of immigrants, and the first in his family to graduate from high school and college, Mr. Salcido brings a personal perspective to his leadership. He connects deeply with the educational journeys of the District's diverse students and is committed to listening to the voices of staff, students, and families to ensure that their experiences inform the decisions that shape the District's future.

Mr. Salcido holds a Master of Public Administration from the University of Southern California and holds dual degrees in Politics and Latin American Studies from the University of California, Santa Cruz.

Devora Navera Reed, General Counsel. Devora Navera Reed serves as the General Counsel for the District, the largest school district in California. She was appointed by the Board of Education in 2020. She has served as legal counsel in various roles since 2006. As the General Counsel for the District, Devora is responsible for administering and overseeing the legal activities of the District's legal staff of over 100 talented individuals and outside legal firms. In addition, she advises the Board of Education, Superintendent, and senior leadership on matters of major importance to the District. She is a critical member of the executive cabinet focused on accelerating student achievement and equity in the District. Prior to joining the District in 2006, Devora served as an attorney for the Children's Law Center of Los Angeles for nearly a decade, where she represented and advocated for children in dependency court and the foster care system. In addition to her legal responsibilities, Devora serves as a board member of the California Minority Counsel Program promoting diversity, equity and inclusion in the legal field. Devora earned a Bachelor of Arts from the University of Southern California in 1992 and a Juris Doctorate degree from the University of San Francisco School of Law in 1996.

Christopher D. Mount-Benites, Chief Financial Officer. Mr. Mount began serving as the District's Interim Chief Financial Officer in August of 2024, and now holds the position, and previously served as the District's Chief Procurement Officer. Prior to coming to the District, Mr. Mount served as a Superintendent for three years and as a Deputy Superintendent, Chief Business Official and Chief Financial Official of various schools in the San Francisco Bay Area and Sacramento for over a decade with a specialization in schools that were experiencing fiscal distress. Prior to working on the business side of education, Mr. Mount was a Director of Curriculum and Instruction and both a high school and elementary school Principal for six years in New York and Los Angeles. He also taught high school English and Social Studies for a decade and served as an Operations Executive for an Educational and Training Company in Los Angeles. Mr. Mount earned his Bachelor's Degree from the State University of New York at Oswego, his Master of Arts degree in European and Asian History from the State University of New York at Cortland, his Master of Arts degree in Educational and Public Administration from California State University at Dominguez Hills and his California Chief Business Official certification from the University of Southern California.

Nolberto Delgadillo, Deputy Chief Financial Officer – Finance. Mr. Delgadillo joined the District in July 2023, taking on the role to support the District's fiscal strategy. He came to the District from Portland Public Schools (Oregon) where he served as Chief Financial Officer. Prior to his time at Portland Public Schools he served in the same role for Tulsa Public Schools (Oklahoma). Mr. Delgadillo has a track record for being responsible for ensuring that school district funds are managed responsibly and reported accurately while leading the full spectrum of financial services. Before his time with Tulsa Public Schools, Mr. Delgadillo served as Chief Operations Officer in Los Angeles, at the LA Promise Fund. He also previously supported finance operations at Green Dot Public Schools (California). Mr. Delgadillo also spent over 12 years in the health care sector. He is a graduate of the University of Southern California earning degrees in Chemistry and Spanish and earning a Master of Business Administration from Loyola Marymount University. He also completed a two-year program through The Broad Center, earning a Master's in Educational Leadership.

Ernie Thomas, Controller. Mr. Thomas joined the District in January 2024 from a national non-profit organization focused on education where he served for a decade, first as Controller and eventually as Treasurer and Controller for the last six years. He previously served as Corporate Controller for a community sector organization for two years. Prior to that, he served as Vice President at National Community Renaissance for a year. Before that, Mr. Thomas served at an entertainment company for over

a decade, where he first held the position of Controller for three years, and then Chief Financial Officer for the last nine years. Mr. Thomas was also an auditor at Arthur Andersen & Co. and is a Certified Public Accountant (inactive). Mr. Thomas graduated from the University of California, Los Angeles with a Bachelor of Arts degree in Economics.

Timothy S. Rosnick, Deputy Controller. Mr. Rosnick joined the District in October 2006 and served as the District's Director of Accounting Controls from October 2006 through June 2007 and the Director of Treasury and Accounting Controls from July 2007 through June 2008. Mr. Rosnick served as the District's Controller from June 2008 through June 2011 and served as the District's Deputy Controller from June 2011 through September 2023. Mr. Rosnick served as Director of Capital Planning and Budgeting from September 2023 to June 2025. Prior to joining the District, Mr. Rosnick served as an Administrator at the Orange County Department of Education and as a Financial Officer with the Los Angeles County Office of Education. Mr. Rosnick graduated from the University of Washington with a Bachelor of Arts degree with Distinction in Economics and received a Master of Business Administration degree from the University of Texas at Austin. Mr. Rosnick is a member of the Government Finance Officers Association and the CFA Institute.

School Facilities

The District is the largest public school district in the State and the largest self-governing public school district in the United States. As reflected in the District's Audited Annual Financial Report for fiscal year 2023-24, the District operated 1,232 schools and centers in fiscal year 2023-24, which consisted of 435 elementary schools, 78 middle/junior high schools, 87 senior high schools, 59 options schools, 29 multi-level schools, 12 special education schools, 264 magnet centers, 67 magnet schools, 18 primary school centers, 2 community adult schools, 7 regional occupational centers, 2 skills centers, 87 early education centers, 4 infant centers, and 81 California State preschools. As reflected in the District's Audited Annual Financial Report for fiscal year 2023-24, 51 of the District's schools were operated as Affiliated Charter Schools in fiscal year 2023-24. In addition, as reflected in the District's Audited Annual Financial Report for fiscal year 2023-24, the District oversaw 221 Fiscally Independent Charter Schools within the District's boundaries in fiscal year 2023-24. See "STATE FUNDING OF SCHOOL DISTRICTS – Charter School Funding."

Enrollment and Average Daily Attendance

At the time of preparation of the District's second interim report for fiscal year 2024-25 (the "2024-25 Second Interim Report"), the transitional kindergarten ("TK") through 12th grade enrollment in the District for fiscal year 2024-25 was projected to be approximately 402,561 students, including those attending magnet, opportunity, and continuation schools and centers, locally funded affiliated charter schools ("Affiliated Charter Schools"), and schools for people with disabilities. Such enrollment represents a projected decrease of 892 students or a decrease of approximately (0.22)% from the budgeted TK-12 enrollment in the District at the time of preparation of the District's original adopted budget for fiscal year 2024-25 (the "Fiscal Year 2024-25 Budget"). Such enrollment does not include students attending charter schools located within the District's boundaries and receiving funding directly from the State ("Fiscally Independent Charter Schools"), that was budgeted at 108,520 students at the time of preparation of the Fiscal Year 2024-25 Budget. Based on enrollment projections at the time of preparation of the 2024-25 Second Interim Report, the District projected enrollment to decline by (1.99)% on average through fiscal year 2025-26. For more information regarding District enrollment and average daily attendance, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance." While the District expects enrollment to continue to decline, the District's projected enrollment declines are subject to change as conditions change and more data becomes available throughout

the fiscal year. The District attributes declining enrollment to, among other things, the reduced birth rate in the County, increased costs of living and housing costs in southern California, declining immigration trends in the Los Angeles area, and residual impacts of the Coronavirus Disease 2019 (“COVID-19”) pandemic. The District’s Strategic Enrollment & Program Planning Office continues to lead coordination of District-wide enrollment efforts by utilizing data-driven decision-making to expand successful district programs, improve marketing and outreach to communities, implement student retention and matriculation strategies, and streamline TK-12 pathways and programs. Additionally, the recent 2025 wildfires could additionally impact enrollment. See “2025 Wildfires” in the front part of the Official Statement. See also APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – District Budget – LACOE’s Responses to Fiscal Year 2024-25 Budget,” for information regarding District declining enrollment.

As a result of declining enrollment in District schools, the District’s annual average daily attendance (“ADA”) has declined in recent years and is expected to further decline in fiscal years 2024-25 through 2026-27 based on projections contained in the 2024-25 Second Interim Report. To ensure funding stability regardless of instructional model in light of the COVID-19 pandemic, the State budget for fiscal year 2020-21 included a hold-harmless provision for the purpose of calculating apportionments in fiscal year 2020-21, and it provided that average daily attendance for fiscal year 2020-21 was based on fiscal year 2019-20 (specifically, the period July 1, 2019 through February 29, 2020). Although the State budget for fiscal year 2021-22 did not include an extension of the ADA hold-harmless provision in fiscal year 2021-22, school districts with enrollment declines in fiscal year 2021-22, like the District, retained the ability to receive their apportionment based on the higher of their fiscal year 2019-20 or fiscal year 2021-22 ADA as provided under the Local Control Funding Formula (the “LCFF”). See “STATE FUNDING OF SCHOOL DISTRICTS – Local Control Funding Formula.” In light of pervasive declining enrollment throughout nearly all school districts in the State, the Governor’s State budget for fiscal year 2022-23 revised the LCFF calculation beginning with fiscal year 2022-23 to consider the greater of a school district’s current fiscal year, prior fiscal year, or the average of three prior fiscal years’ ADA to allow school districts more time to adjust to enrollment-related LCFF funding declines. For purposes of fiscal year 2021-22, if a school district could demonstrate it provided independent study offerings to students in fiscal year 2021-22, such school district could consider the greater of its fiscal year 2021-22 ADA or its fiscal year 2021-22 enrollment adjusted for pre-COVID-19 absence rates. Such adjustment was applicable to fiscal year 2021-22 for purposes of calculating a school district’s prior year ADA or the average of three prior years’ ADA in fiscal year 2022-23 and beyond in accordance with the amendments made in connection with the Governor’s State budget for fiscal year 2022-23. The following Table A-1 sets forth the District’s actual and funded ADA for fiscal years 2015-16 through 2024-25. As reflected in Table A-1, the District’s funded ADA for fiscal years 2015-16 through 2021-22 was based largely on actual prior year ADA for the second period of attendance (“P-2”) for traditional TK-12 students, but current year P-2 ADA for students attending Affiliated Charter Schools. For fiscal years 2022-23 through 2024-25, the District’s funded ADA was based largely on the average of three prior fiscal years’ P-2 ADA for traditional TK-12 students, as adjusted in accordance with the COVID-19 ADA relief measures, but current year P-2 ADA for students attending Affiliated Charter Schools. As is shown in Table A-1, the revised LCFF calculation allowing the greater of a school district’s current fiscal year, prior fiscal year, or the average of three prior fiscal years’ ADA delays, but does not eliminate, the effects of enrollment declines on LCFF funding, such effects to eventually be felt as higher attendance levels from earlier years continue phasing out of the District’s average.

TABLE A-1
LOS ANGELES UNIFIED SCHOOL DISTRICT
Average Daily Attendance
Fiscal Years 2015-16 through 2024-25⁽¹⁾

Fiscal Year	Actual ADA			Funded ADA
	TK-12 ⁽²⁾	Affiliated Charter Schools ⁽³⁾	Total	Total
2015-16	463,735	39,632	503,367	512,625 ⁽⁷⁾
2016-17	450,713	41,143	491,856	500,648 ⁽⁷⁾
2017-18	438,359	40,232	478,591	483,710 ⁽⁷⁾
2018-19	415,100	38,910	454,010	470,127 ⁽⁷⁾
2019-20 ⁽⁴⁾	413,965	40,940	454,905	454,792 ⁽⁷⁾
2020-21 ⁽⁵⁾	N/A	N/A	N/A	455,356 ⁽⁷⁾
2021-22	345,896	35,043	380,939	449,937 ⁽⁷⁾
2022-23	348,544	35,466	384,010	433,929 ⁽⁸⁾
2023-24	345,702	35,587	381,289	410,914 ⁽⁸⁾
2024-25 ⁽⁶⁾	336,961	35,302	372,263	386,478 ⁽⁸⁾

⁽¹⁾ Data may differ from other District disclosures because adjustments were made in certain fiscal years due to additional attendance for non-public students, corrected attendance reports for District students, and/or audit findings.

⁽²⁾ Includes non-public school special education students and District students attending schools operated by the County.

⁽³⁾ Includes charter schools that are fiscally-affiliated with the District.

⁽⁴⁾ Condensed reporting period. Does not reflect actual student attendance after February 29, 2020 due to the COVID-19 pandemic.

⁽⁵⁾ Attendance reporting not required for fiscal year 2020-21. The fiscal year 2020-21 State budget included a hold harmless provision for the purpose of calculating apportionments under LCFF in fiscal year 2020-21, providing that ADA for fiscal year 2020-21 was based on ADA for fiscal year 2019-20 (specifically, the period July 1, 2019 through February 29, 2020), as discussed in more detail above.

⁽⁶⁾ Funded ADA, as reflected in the 2024-25 Second Interim Report; Actual ADA is based on projections provided in the 2024-25 Second Interim Report.

⁽⁷⁾ Funded ADA is based largely on actual prior year P-2 ADA for TK-12 and current year P-2 ADA for Affiliated Charter Schools. For more information, see the discussion of ADA funding in the paragraph immediately preceding this table.

⁽⁸⁾ Funded ADA is based largely on the average of three prior fiscal years' P-2 ADA for TK-12, as adjusted in accordance with the COVID-19 ADA relief measures, and current year P-2 ADA for Affiliated Charter Schools. For more information, see the discussion of ADA funding in the paragraph immediately preceding this table.

Sources: Los Angeles Unified School District; the District's Audited Annual Financial Report for fiscal year 2021-22 (actual ADA for fiscal years 2012-13 through 2021-22); unaudited actuals reports for fiscal years 2012-13 through 2022-23 (funded ADA for fiscal years 2012-13 through 2022-23; actual ADA for fiscal year 2022-23); Fiscal year 2023-24 Audited Annual Financial Report; and 2024-25 Second Interim Report (funded ADA for fiscal year 2024-25).

Federal Funding

The federal government provides funding for several District programs. On January 20, 2025, President Trump issued a series of executive orders, which include ensuring that federal funds are used in a manner approved by the current administration. In response to and in an effort to carry out such orders, on January 27, 2025, the White House Office of Management and Budget ("OMB") released its Memorandum M-25-13, Temporary Pause of Agency Grant, Loan, and Other Financial Assistance Programs (the "OMB Memorandum"). The OMB Memorandum directed federal agencies to temporarily pause all activities related to obligation or disbursement of all federal financial assistance in order to review spending for consistency with the Trump Administration's policies, stating that the temporary pause was to become effective at 5:00 p.m. on January 28, 2025. The OMB Memorandum caused uncertainty as to whether certain Federal funding and grants would be paused.

Before the OMB Memorandum became effective, two separate lawsuits were filed in federal district courts in Rhode Island and the District of Columbia challenging the OMB Memorandum and seeking injunctions. On January 28, 2025, shortly before the OMB Memorandum became effective, a District of Columbia federal judge issued an emergency administrative stay through February 3, 2025, at which time a preliminary injunction hearing was set. On January 29, 2025, OMB rescinded the OMB

Memorandum. Although the OMB Memorandum was rescinded, the executive orders are in effect and the matter is ongoing as spending reviews are ongoing. On January 31, 2025, a Rhode Island federal judge issued a temporary restraining order on the pause. On February 3, 2025, the District of Columbia federal judge issued a temporary restraining order as well. On February 10, 2025, the Rhode Island federal judge granted a motion for a preliminary injunction and issued an Enforcement Order clarifying the scope of the temporary restraining order and ordering the Trump Administration to release federal funds and comply with the earlier order. The Trump Administration appealed the temporary restraining order to the U.S. Court of Appeals for the First Circuit. The Trump Administration's request to stay the temporary restraining order pending appeal was denied. The District cannot predict any action to be taken in carrying out the executive orders nor its effect on the District's federal funding or operations of the District. See also APPENDIX A "– District Debt."

On March 20, 2025, President Trump signed an executive order instructing the Secretary of Education to take all necessary steps to close the Department of Education (the "DOE") to the maximum extent appropriate and permitted by law. The executive order followed the mass dismissal of approximately half of the DOE's staff on March 11, 2025, and the cancellation of \$1.5 billion in grants and contracts for the performance of DOE functions. The DOE provides funding to local school districts nationwide, including the District, primarily for special education services under the Individuals with Disabilities Education Act and under Title I to the Elementary and Secondary Education Act to districts that serve large populations of economically disadvantaged students.

Two separate complaints were filed on March 24, 2025, the first in the U.S. District Court for the District of Massachusetts by Democracy Forward, a plaintiff group acting on behalf of the Easthampton School District and certain labor and parent groups. The second complaint was filed in the U.S. District Court for the District of Maryland, by a plaintiff group including the National Association for the Advancement of Colored People, the National Education Association, and other parent groups and education proponents. Each lawsuit generally challenges the layoffs of DOE staff and the executive order dismantling the DOE as exceeding the constitutional authority of the executive branch.

The District is unable to predict whether the Trump Administration's review of spending will be upheld in full or in part or whether legal challenges to any freeze or pause in spending will be successful. Similarly, the District is unable to predict whether the executive order dismantling the DOE or the staff reductions or grant cancellations will be upheld after legal challenge. If the reductions in funding, elimination of the DOE, or staff layoffs are upheld in whole or in part, the District cannot anticipate whether the amount of federal revenues in the District's General Fund will be reduced, or the extent of any reduction, or whether any reduction would occur in the current or any future fiscal year.

Cybersecurity

General. The District collects, processes, and distributes large amounts of private, protected and personal information on students, staff, parents, visitors, vendors and contractors. The size of the District's information assets creates a target-rich environment for a variety of threats such as cyber criminals and natural disasters. In March 2020, in response to the COVID-19 pandemic, the District rapidly implemented new remote learning and remote working capabilities, which increased the District's cyberattack surface area. The District implemented additional layers of technical and administrative controls to mitigate remote access risks.

2019 Cyberattack. In 2019, the District experienced a cyberattack that resulted in unauthorized access to a limited number of student records; the software vulnerability was resolved the same day it was discovered, and no material impact occurred.

August 2022 Outage. In August 2022, a Data Center power outage triggered by a failed electrical transformer owned by Los Angeles Department of Water and Power, resulted in temporary unavailability of some information systems. The District mitigated the risk by increasing electrical line and backup power capacity and successfully performing functional load tests.

September 2022 Cyberattack. On September 3, 2022, the District became aware of a cyberattack on its information technology assets and proactively suspended network traffic in and out of its data centers. In response to such incident, the District swiftly activated its incident response protocol and commenced an investigation with support from Kroll, LLC, an outside cybersecurity firm, to assist with containment, remediation, and forensic analysis. The Microsoft Detection and Response Team also assisted with the forensic investigation. The District also notified local and federal law enforcement agencies and continues to support their ongoing investigations. The District has identified, contained, and remediated the ransomware, and it found no evidence of additional malware related to the cyberattack or any other persistent malicious activity on its network or systems.

The District's investigation of the incident determined that on or about July 31, 2022, the threat actor began conducting digital monitoring of the District's environment remotely using a contractor account to gain unauthorized access to systems. The District did not pay a ransom to the threat actor in connection with the incident. The threat actor posted approximately 500 gigabytes of data it stole from the District to its "leak site" on the dark web. Most of the files exfiltrated by the threat actor were located on the District's facilities servers and systems. The District provided required notifications to those individuals and entities with personal information included among those materials posted by the threat actor. This included employees, former employees, job applicants, and employees and contractors of facilities services division vendors who had personally identifiable information posted. The District offered credit monitoring services to such individuals. Notifications were also provided to individuals, including students and employees, who had personal "medical information" posted in the form of positive COVID-19 test results collected through the District's COVID-19 testing program, and to individuals, mostly former students, who had information contained in student assessment reports, most of which was dated, posted.

As a result of the incident, the District initially restricted access to its servers and systems, including access to user accounts, email, and software applications. Many operations and processes that were automated or facilitated by technology had to be completed manually, and some still remain manual at this time. Nonetheless, school sites remained operational. Most servers and systems were gradually restored within days as they were determined to be safe, with the District's most critical systems being restored first. The District restored certain impacted systems from backups and continues to work to rebuild others. While the District maintains cyber liability insurance, not all costs incurred are covered thereunder, and certain covered costs, which continue to be identified and calculated may ultimately exceed applicable coverage limits. Further, the District implemented various security enhancements in light of the incident.

Three related lawsuits relating to the incident remain pending against the District, which were filed on behalf of individuals allegedly impacted by the cyberattack, and unidentified classes of others impacted. The District cannot predict the outcome or any potential financial impact that may result from such litigation. Further, the District cannot predict whether any other claims or litigation will be filed or estimate any potential financial impact that may result. For more information about the existing lawsuits, see "DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation."

June 2024 Cyberattack. On June 6, 2024, the District became aware of a malicious actor purporting to offer certain student and employee data for sale. Upon learning of this, the District launched an investigation and notified law enforcement. The District found no evidence that this incident involved any unauthorized access to its network or systems. Rather, the District's investigation found evidence that the data involved was taken from Snowflake, a cloud-based platform used for mass data storage by a former

vendor of the District, and appears to have been stolen in a manner consistent with recently publicized thefts involving numerous Snowflake accounts. The District has recently concluded its investigation into the scope and extent of the data impacted, and is in the process of ensuring compliance under the Family Educational Rights and Privacy Act, and the District will provide any notifications that may be required to impacted individuals under applicable law.

Protective Measures. The District has implemented several protective measures with respect to access requirements to its systems to reduce the likelihood of a similar incident from occurring in the future. The District established an Independent Information Technology Task Force comprised of cybersecurity experts from private and public sectors to develop a set of recommendations to further strengthen the District's cybersecurity. The District has augmented its cybersecurity team, retained cybersecurity service providers, and implemented additional security controls and monitoring of its systems.

To minimize the impact and frequency of cybersecurity incidents, the District previously hired a Director of Information Technology Security in 2016 to develop and implement a risk-based information security management program ("ISMP"). The ISMP is designed to protect the confidentiality, integrity, and availability of information assets managed by the District's Information Technology Division and comply with all applicable information protection regulations including the Family Educational Rights and Privacy Act, Children's Internet Protection Act, and the Health Insurance Portability and Accountability Act. The ISMP includes a number of technical, administrative, and physical security safeguards that take into account the District's unique threats and vulnerabilities. The District and its third-party IT vendors are required to carry cyber liability insurance to offset the cost of business disruptions caused by cybersecurity incidents.

No assurance can be made in any networked environment that a future cyberattack or natural disaster would not compromise the confidentiality, integrity or availability of District information assets. The only viable mitigation of cybersecurity risks is a layered defense strategy. The District implements layered defenses as a principal driver of its information security program and continuously monitors the effectiveness of the program to proactively modify it when the cyberattack landscape changes.

Potential Vulnerabilities of Third Parties. The District relies on other entities and service providers in the course of operating the District, including the County with respect to the levy and collection of *ad valorem* property taxes and its servers and systems for accounting and other matters, as well as other trustees, fiscal agents, dissemination agents and project management firms. No assurance can be given that future cyber threats and attacks against third party entities or service providers will not directly or indirectly impact the District or the owners of the Bonds, including the possibility of impacting the timely payments of debt service on the Bonds or timely filings pursuant to the District's continuing disclosure undertakings.

STATE FUNDING OF SCHOOL DISTRICTS

General

School districts in the State receive operating revenues from federal, State and local sources, including appropriations from the State's general fund and local property taxes derived from a school district's share of the 1% *ad valorem* property tax. School districts also currently receive revenues from the State attributable to temporary tax increases implemented by Proposition 30 (defined herein). In connection with voter approval of Proposition 55 (defined herein), certain of such temporary tax increases were extended by twelve years through 2030. See "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 30" herein. School districts, such as the District, may be eligible for other special categorical funding, including funding for certain State and federal programs. The amount of categorical funding appropriated to a school district may vary significantly from other school districts and

yearly. At the time of preparation of the 2024-25 Second Interim Report, the District budgeted to receive approximately 68.18% of District General Fund revenues from funds of or controlled by the State related to LCFF funding. As a result, decreases in State revenues, or in State legislative appropriations made to fund education, may significantly affect District operations. For more information regarding the District's funding for fiscal year 2024-25, see “– State Budget Act – 2024-25 State Budget,” “– Local Control Funding Formula” and “DISTRICT FINANCIAL INFORMATION – District Budget” herein. See also, “District General Information – Federal Funding” herein.

Article XVI of the State Constitution requires that from all State revenues, there first be set apart the moneys to be applied by the State for support of the public school system and public institutions of higher education. See “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Constitutionally Required Funding of Education” herein. The State Legislature and the Governor approve the State's authorized appropriations for school districts each fiscal year in connection with the adoption of the State Budget Act (defined herein). Proposition 98 (“Proposition 98”), approved in November 1988 as a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act,” provides the minimum funding formula for school districts. See “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 98” herein. Under Proposition 98 (as modified by Proposition 111, which was enacted on June 5, 1990), there are currently three tests which determine the minimum level of K-14 funding. See “CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS” and “STATE FUNDING OF SCHOOL DISTRICTS– Local Control Funding Formula” herein. Proposition 98 permits the State Legislature, by two-thirds vote of both houses and with the Governor's concurrence, to suspend the K-14 schools' minimum funding formula for a one-year period. The amount of suspension is required to be repaid according to a specified State Constitutional formula, thereby restoring Proposition 98 funding to the level that would have been required in the absence of such suspension.

The actual appropriations and the timing of such appropriations are subject to, among other things, the estimated amount of State general fund revenues during the fiscal year and subsequent changes in State law. At times since the implementation of Proposition 98, the State has also sought to preserve general fund cash while avoiding increases in the base guaranteed amount through various mechanisms: by treating any excess appropriations as advances against subsequent years' Proposition 98 minimum funding levels rather than current year increases; by deferring apportionments of Proposition 98 funds from one fiscal year to the next, as the State did in fiscal years 2019-20 and 2020-21; by suspending Proposition 98, as the State did in fiscal year 2004-05, fiscal year 2010-11, fiscal year 2011-12 and fiscal year 2012-13; and by proposing to amend the State Constitution's definition of the guaranteed amount and settle-up requirement under certain circumstances. For more information on the Proposition 98 minimum guarantee under the 2024-25 State Budget, see “– State Budget Act – 2024-25 State Budget” herein.

Since fiscal year 2013-14, the amount of funds an individual school district receives from State revenues depends on the amount of revenues the State calculates that the school district should receive based on the LCFF, less the amount the school district derives from such school district's share of the 1% *ad valorem* property tax. See “– Local Control Funding Formula” and “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Constitutionally Required Funding of Education” herein.

The State Budget Process

The State's fiscal year begins on July 1 and ends on June 30. According to the State Constitution, the Governor of the State (the "Governor") is required to propose a budget for the next fiscal year (the "Governor's Budget") to the State Legislature no later than January 10 of each year. State law requires the Governor to update the Governor's Budget projections and budgetary proposals by May 14 of each year (the "May Revision"). Proposition 25, which was adopted by voters in the State at an election held on November 2, 2010, amended the State Constitution such that a final budget must be adopted by a simple majority vote of each house of the State Legislature by no later than June 15 and the Governor must sign the adopted budget by no later than June 30. The budget becomes law upon the signature of the Governor (the "State Budget Act").

Under State law, the annual proposed Governor's Budget cannot provide for projected expenditures in excess of projected revenues and balances available from prior fiscal years. Following the submission of the Governor's Budget, the State Legislature takes up the proposal. Under the State Constitution, money may be drawn from the State Treasury only through an appropriation made by law. The primary source of the annual expenditure authorizations is the State Budget Act, as approved by the State Legislature and signed by the Governor. The Governor may reduce or eliminate specific line items in the State Budget Act or any other appropriations bill without vetoing the entire bill. Such individual line-item vetoes are subject to override by a two-thirds majority vote of each House of the State Legislature. Appropriations also may be included in legislation other than the State Budget Act. Bills containing appropriations (except for K-14 education) must be approved by a two-thirds majority vote in each House of the State Legislature and be signed by the Governor. Bills containing K-14 education appropriations require only a simple majority vote. Continuing appropriations, available without regard to fiscal year, may also be provided by statute or the State Constitution. Funds necessary to meet an appropriation need not be in the State Treasury at the time such appropriation is enacted; revenues may be appropriated in anticipation of their receipt. However, delays in the adoption of a final State budget in any fiscal year may affect payments of State funds during such budget impasse. See "– State Funding of Schools Without a State Budget" herein for a description of payments of appropriations during a budget impasse.

The description above and below of the State's budget has been obtained from publicly available information which the District believes to be reliable; however, the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not guarantee the accuracy or completeness of this information and have not independently verified such information. Additional information regarding State budgets is available at various State-maintained websites, including www.dof.ca.gov. The website is not incorporated herein by reference and the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not make any representation as to the accuracy of the information provided therein.

State Budget Act

2024-25 State Budget. The Governor signed the fiscal year 2024-25 State budget on June 29, 2024, which was amended through a series of legislative trailer bills (as amended, the "2024-25 State Budget"). The 2024-25 State Budget notes that the State has experienced significant revenue volatility—seeing unprecedented revenue growth that was quickly followed by a sharp and deep correction back toward historical trends. The 2024-25 State Budget also notes that the unprecedented Internal Revenue Service tax filing and payment postponement in 2023 significantly clouded the State's revenue forecast, and indicates that, with the revenue picture now clearer, the 2024-25 State Budget takes steps to ensure the State is on sound fiscal footing by setting the State on a fiscally responsible long-term path that protects vital programs.

In this regard, the 2024-25 State Budget includes provisions intended to address a budget deficit of approximately \$46.8 billion while also creating a positive fund balance in the State's Special Fund for Economic Uncertainties (the "SFEU") in fiscal years 2024-25 and 2025-26 and maintaining core programs for vulnerable populations. The 2024-25 State Budget includes approximately \$16.0 billion in budgetary reductions, comprising (a) an approximately 7.95% reduction in the State's operations budget resulting in State general fund savings of approximately \$2.2 billion, (b) a \$1.5 billion permanent reduction in State departments' budgets for vacant positions, (c) a reduction of approximately \$358.0 million in the State Department of Corrections and Rehabilitation budget in fiscal year 2024-25 and a total reduction of approximately \$740.0 million in fiscal years 2022-23 through 2024-25, (d) a \$500.0 million reduction to the State Student Housing Revolving Loan Program, (e) a \$485.0 million reduction in unspent one-time Learning-Aligned Employment Program resources, (f) an ongoing reduction of \$110.0 million to the Middle Class Scholarship Program, beginning in fiscal year 2025-26, (g) a \$1.1 billion reduction in various affordable housing programs, and (h) a \$746.1 million reduction for various healthcare workforce programs. The 2024-25 State Budget includes a \$13.6 billion increase in revenues in fiscal year 2024-25 through fiscal year 2026-27 by means of additional revenue sources and internal borrowing from special funds. As part of this revenue increase, the 2024-25 State Budget includes suspension of net operating loss deductions for companies with over \$1.0 million in taxable income and limits business tax credits to \$5.0 million in fiscal years 2023-2024 through 2025-2026, which is projected to increase revenues by \$5.95 billion in fiscal year 2024-25, \$5.5 billion in fiscal year 2025-26 and \$3.4 billion in fiscal year 2026-27. Additionally, the 2024-25 State Budget includes an increased managed care organization tax generating a projected \$5.1 billion in fiscal year 2024-25, \$4.6 billion in fiscal year 2025-26, and \$4.0 billion in fiscal year 2026-27. Significantly, the 2024-25 State Budget provides for the withdrawal of approximately \$12.2 billion from the State Rainy Day Fund (the "Rainy Day Fund" or "State Rainy Day Fund") over fiscal years 2024-25 and 2025-26 and approximately \$900.0 million from the State Safety Net Reserve in fiscal year 2024-25.

Additional budgeting maneuvers include \$6.0 billion in fund shifts, including (a) applying a prior CalPERS supplemental pension payment to the State's overall pension liability which reduces the State's required employer contributions in fiscal year 2024-25 by \$1.7 billion, (b) shifting approximately \$958.0 million from the State general fund to the State's Greenhouse Gas Reduction Fund for the Formula and Competitive Transit and Intercity Rail Capital Program, and (c) shifting approximately \$3.0 billion from the State general fund to the State's Greenhouse Gas Reduction Fund for clean energy and other climate programs. The 2024-25 State Budget also delays funding for programs such as the State Food Assistance Program Expansion, Developmental Services, childcare slots and the State's broadband program by a total amount of approximately \$3.1 billion. The 2024-25 State Budget also includes approximately \$2.1 billion in payroll and University of California and California State University compact deferrals.

The 2024-25 State Budget projects total resources available in fiscal year 2023-24 of approximately \$236.5 billion, including revenues and transfers of approximately \$189.4 billion and a prior year balance of approximately \$47.1 billion, and total expenditures in fiscal year 2023-24 of approximately \$223.1 billion. The 2024-25 State Budget projects total resources available for fiscal year 2024-25 of approximately \$225.6 billion, inclusive of revenues and transfers of approximately \$212.1 billion and a prior year balance of approximately \$13.4 billion. The 2024-25 State Budget projects total expenditures in fiscal year 2024-25 of approximately \$211.5 billion, inclusive of non-Proposition 98 expenditures of approximately \$128.9 billion and Proposition 98 expenditures of approximately \$82.6 billion. The 2024-25 State Budget projects total reserve balances of \$22.2 billion at the end of fiscal year 2024-25. This includes \$17.6 billion in the State Rainy Day Fund, \$3.5 billion in the SFEU, and \$1.1 billion in the Public School System Stabilization Account (the "Proposition 98 Rainy Day Fund"). In addition, the 2024-25 State Budget maintains approximately \$10.6 billion in the Reserve for Liquidation of Encumbrances. The 2024-25 State Budget includes total funding of \$133.8 billion for all K-12 education programs, including \$81.5 billion from the State's general fund and \$52.3 billion from other funds. The 2024-25 State Budget reflects

significant Proposition 98 funding that enables increased support for core programs such as the LCFF, special education, transitional kindergarten, nutrition, and preschool.

Certain budgeted programs and adjustments for K-12 education set forth in the 2024-25 State Budget include the following:

- Proposition 98 Minimum Guarantee. The 2024-25 State Budget suspends the Proposition 98 minimum guarantee in fiscal year 2023-24 and projects the Proposition 98 minimum guarantee to be in Test 1 in fiscal year 2024-25. In Test 1 years, the Proposition 98 minimum guarantee is equal to the percentage of State general fund appropriated for K-14 schools in fiscal year 1986-87. Suspending the Proposition 98 minimum guarantee is projected to create a maintenance factor obligation of approximately \$8.3 billion in fiscal year 2023-24 and is projected to result in a \$4.1 billion maintenance factor payment in fiscal year 2024-25, which will be paid in addition to the Proposition 98 minimum guarantee level in fiscal year 2024-25. The 2024-25 State Budget reflects Proposition 98 funding levels of \$103.7 billion in fiscal year 2022-23, \$98.5 billion in fiscal year 2023-24, and \$115.3 billion in fiscal year 2024-25. Such funding represents approximately 39.2% of the State's general fund revenues, plus local property tax revenues and a \$4.1 billion maintenance factor payment. To accommodate enrollment increases related to the expansion of transitional kindergarten, the 2024-25 State Budget increased the funding level from approximately 38.6% to approximately 39.2% to increase the percentage of State general fund revenues obligated to the Proposition 98 minimum guarantee.
- Proposition 98 Rainy Day Fund. The 2024-25 State Budget includes a withdrawal of the entire \$8.4 billion balance in the Proposition 98 Rainy Day Fund in fiscal year 2023-24 and a discretionary payment of approximately \$1.1 billion in fiscal year 2024-25, leaving a projected balance of \$1.1 billion at the end of fiscal year 2024-25. Because there is no ending balance at the end of fiscal year 2023-24 and a balance of \$1.1 billion at the end of fiscal year 2024-25, school district reserve caps would not be triggered in fiscal year 2024-25 and are not projected to be triggered in fiscal year 2025-26. See “ – School District Reserves” and “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Proposition 2 – SB 751.”
- Local Control Funding Formula. The 2024-25 State Budget includes an LCFF cost-of-living adjustment of 1.07%. The cost-of-living adjustment, when combined with population growth adjustments, increases discretionary funding for local agencies by approximately \$983.0 million. To fully fund the LCFF, the 2024-25 State Budget withdraws approximately \$5.3 billion from the Proposition 98 Rainy Day Fund to support LCFF costs in fiscal year 2023-24, and uses available reappropriation and reversion funding of \$253.9 million to support ongoing LCFF costs in fiscal year 2024-25.
- Deferrals. The 2024-25 State Budget reflects LCFF apportionment deferrals from fiscal year 2023-24 to fiscal year 2024-25 of approximately \$3.6 billion and from fiscal year 2024-25 to fiscal year 2025-26 of approximately \$246.0 million. Additionally, the 2024-25 State Budget reflects approximately \$2.3 billion in categorical program deferrals from fiscal year 2022-23 to fiscal year 2023-24, with the deferred categorical amount being repaid using Proposition 98 Rainy Day Fund resources.
- Learning Recovery Emergency Block Grant. The 2024-25 State Budget focuses the use of allocated but unexpended Learning Recovery Emergency Block Grant funds on actions to address the needs of students most impacted by learning loss, based on an assessment of needs, and incorporates the use of these funds into the existing Local Control and Accountability Plan development process.

- Employee Protections. To ensure stable employment for school staff, the 2024-25 State Budget includes a suspension of the August 15, 2024, layoff window for certificated and classified staff.
- Instructional Continuity and Attendance Program. The 2024-25 State Budget includes statutory changes to allow local educational agencies to provide attendance recovery opportunities to students to make up lost instructional time, thereby offsetting student absences, and mitigating learning loss, as well as related fiscal impacts to local educational agencies. Beginning in fiscal year 2024-25, the 2024-25 State Budget allows local educational agencies to add up to 10 days of attendance recovery time per pupil to the attendance data submitted to the California Department of Education for funding purposes. Beginning July 1, 2025, the 2024-25 State Budget requires local educational agencies to include an instructional continuity plan in their School Safety Plan as a component of their emergency funding application. The plan must include procedures for student engagement within 5 days of an emergency and a plan to provide hybrid or remote learning opportunities to students within 10 instructional days. The 2024-25 State Budget also includes a \$4.0 million in one-time Proposition 98 general fund resources to research existing, and develop new models of hybrid and remote learning to support students' attendance, including developing and disseminating guidance and resources for local educational agencies to develop their own hybrid and remote learning programs to enable instructional continuity.
- Teacher Professional Development and Preparation. To expand the State's educator training infrastructure, the 2024-25 State Budget (a) provides \$25.0 million of one-time Proposition 98 general fund resources to support necessary costs, including training for educators to administer literacy screenings to meet the requirement to screen students in kindergarten through second grade for risk of reading difficulties, including dyslexia, by the 2025-26 school year; and (b) provides \$20.0 million in one-time Proposition 98 general fund resources for a county office of education to work with the University of California Subject Matter Projects, as well as other well-qualified governmental or non-profit providers, to develop and provide training aligned with the new California Mathematics Framework for mathematics coaches and leaders who in turn can provide training and support to mathematics teachers to deliver high-quality instruction.
- State Preschool Program. The 2024-25 State Budget provides approximately \$53.7 billion of State general fund resources to support reimbursement rate increases previously supported by available one-time federal stimulus funding. The 2024-25 State Budget reflects one-time savings of \$190.7 million general fund and \$522.3 million Proposition 98 general fund. The 2024-25 State Budget authorized State Preschool Program providers to serve two-year-old children, in addition to three and four-year old children, until June 30, 2027. The 2024-25 State Budget maintains that the State Preschool Program continue to require providers to reserve 5% of funded enrollment for children with disabilities. However, the 2024-25 State Budget suspends provisions to increase this requirement to 7.5% in fiscal year 2025-26 and 10% in fiscal year 2026-27.
- Transitional Kindergarten. The 2024-25 State Budget provides approximately \$988.7 million in Proposition 98 general fund resources for the 2023-24 school year to support the second year of expanded eligibility for transitional kindergarten to all children turning five-years-old between September 2 and April 2. The 2024-25 State Budget also provides approximately \$390.2 million in Proposition 98 general fund resources to support the second year of adding one additional certificated or classified staff person in each transitional kindergarten classroom. Additionally, the 2024-25 State Budget provides approximately \$1.5 billion in ongoing Proposition 98 general fund resources beginning in fiscal year 2024-25 to support the third year of expanded eligibility for transitional kindergarten to all children turning five-years-old between September 2 and June 2. The 2024-25 State Budget also provides approximately \$515.5 million in ongoing Proposition 98

general fund resources to support the third year of adding one additional certificated or classified staff person in each transitional kindergarten classroom.

The 2024-25 State Budget solution-oriented measures that directly impact funding for school districts, including forgoing planned investments of (a) \$875.0 million to support the School Facility Program, (b) \$550.0 million support to the State Preschool, Transitional Kindergarten And Full-Day Kindergarten Facilities Grant Program, and (c) \$500.0 million one-time Proposition 98 general fund investment in zero-emission school buses.

Additional budgeted programs and adjustments for K-12 education set forth in the 2024-25 State Budget include the following:

- Arts and Music in Schools. The 2024-25 State Budget provides approximately \$907.1 million to support arts and music in schools.
- Nutrition. The 2024-25 State Budget provides an additional \$179.4 million in ongoing Proposition 98 general fund resources and an additional \$120.8 million one-time Proposition 98 general fund resources to fully fund the universal school meals program in fiscal years 2023-24 and 2024-25. This is in addition to the \$1.6 billion base funding for such program.

The complete 2024-25 State Budget is available from the California Department of Finance website at www.dof.ca.gov or www.ebudget.ca.gov. The District can take no responsibility for the continued accuracy of these internet addresses or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

LAO Analysis of the 2024-25 State Budget. The Legislative Analyst’s Office (the “LAO”), a nonpartisan State office which provides fiscal and policy information and advice to the State legislature, released its report on the 2024-25 State Budget entitled “The 2024-25 Budget: Overview of the Spending Plan” on September 6, 2024 (the “2024-25 State Budget Analysis”). In the 2024-25 State Budget Analysis, the LAO assesses the budget problem that was addressed in the 2024-25 State Budget and analyzes the major proposals for K-12 education.

The LAO estimates that the State addressed a budget shortfall of \$55.0 billion, which is larger than the budget shortfall of \$47.0 billion cited in the 2024-25 State Budget. The main driver for the \$8.0 billion difference is the difference in treatment of assumptions about baseline spending for schools and community colleges.

The LAO notes that the 2024-25 State Budget uses various maneuvers to address the budget shortfall, including reserve withdrawals, spending reductions, revenue increases, and cost shifts. The LAO indicates that spending-related adjustments (including school spending) were the largest component of the budget package, accounting for \$39.0 billion and approximately 70% of the total solutions. The LAO also shows that reserve withdrawals were the second largest component, totaling \$6.0 billion from the State Rainy Day Fund and the Safety Net Reserve. The report further details that cost shifts and revenue-related solutions were smaller components, amounting to \$2.0 billion and \$8.0 billion, respectively. The LAO estimates \$16.0 billion in one time or temporary spending solutions (excluding school spending) and \$4.0 billion in ongoing reductions, which grow to approximately \$6 billion over time.

The LAO notes that the budget emergency proclamation by the Governor on June 26, 2024 allowed the 2024-25 State Budget to withdraw approximately \$5.0 billion from the State Rainy Day Fund. The 2024-25 State Budget also includes a withdrawal of the \$900.0 million balance from the Safety Net Reserve.

The LAO estimates that, pursuant to the 2024-25 State Budget, the State would end the 2024-25 fiscal year with \$21.1 billion in General Fund reserves, including \$17.6 billion in the State Rainy Day Fund and \$3.5 billion in the SFEU. The LAO also estimates that the State would have room under the State appropriations limit in fiscal years 2022-23 through 2024-25. The LAO projects that revenues from the major tax sources would grow from fiscal year 2023-24 to fiscal year 2024-25, but not enough to offset the revenue shortfalls in the prior and current fiscal years.

The LAO explains that the 2024-25 State Budget includes \$12.7 billion in reductions to Proposition 98 funding for schools and community colleges over fiscal years 2022-23 through 2024-25. This includes a reduction to the Proposition 98 funding by \$2.6 billion for fiscal year 2022-23. For fiscal year 2023-24, the 2024-25 State Budget invokes a provision allowing the State to suspend the minimum requirement and reduces the amount of Proposition 98 funding by \$8.3 billion. The LAO states that these reductions lower the Proposition 98 requirement on an ongoing basis but create an obligation to increase funding more rapidly in the future. Additionally, the 2024-25 State Budget introduces a new type of fiscal maneuver that accrues \$6.2 billion in previous school and community college payments to future fiscal years. Specifically, the State will not recognize these payments as a cost to the State general fund in the year it provided them *i.e.*, fiscal year 2022-23. The maneuver does not delay or reduce any payments to schools or community colleges, nor does it reduce the Proposition 98 funding requirement in future fiscal years.

The LAO notes that the 2024-25 State Budget contains reserve withdrawals from the Proposition 98 Rainy Day Fund to mitigate the funding reductions to schools in fiscal year 2023-24. Additionally, the LAO estimates cost savings because the COVID-19 attendance policies preserving attendance numbers to pre-pandemic levels are being phased out. The LAO describes other minor savings for schools and community colleges from (1) deferring payments from fiscal year 2024-25 to fiscal year 2025-26, (2) reducing funding for the State Preschool program that is expected to go unused, and (3) repurposing certain unspent appropriations from previous years. The payment deferral involved deferring \$487.0 million in payments from fiscal year 2024-25 to fiscal year 2025-26 by delaying a portion of payment to school districts from June 2025 to July 2025. The LAO notes that school districts may be exempt from this deferral if they can show the delay would cause fiscal insolvency. The purpose of the deferral is to reduce spending in fiscal year 2024-25 to the minimum level required by Proposition 98.

The LAO indicates that after accounting for these actions, the State has \$1.5 billion available to augment school and community college programs. The LAO highlights that the budget allocates \$1.0 billion of this amount to cover a 1.07 percent cost-of-living adjustment for existing programs. For schools, the 2024-25 State Budget also provides an increase of \$300.0 million to cover cost increases of universal school meals. For community colleges, the 2024-25 Budget also provides \$75.0 million to cover increased costs.

The 2024-25 State Budget Analysis is available on the LAO website at www.lao.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

Governor's Fiscal Year 2025-26 State Budget Proposal

On January 10, 2025, the Governor released his proposed State budget for fiscal year 2025-26 (the "2025-26 Proposed State Budget"). The 2025-26 Proposed State Budget reflects the Governor's projection that the fiscal year 2025-26 Budget will be roughly balanced, and will represent a return to historical norms following a period of revenue volatility and a federal tax filing delay that contributed to significant State budget shortfalls over the past two fiscal years. The 2025-26 Proposed State Budget projects \$217.9 billion in 2025-26 General Fund revenues.

Regarding the State’s reserves and fund balances, the 2025-26 Proposed State Budget contemplates the continuation of a two-year drawdown of the State’s Budget Stabilization account that began in the 2024-25 State Budget (with a withdrawal of \$5.1 billion in 2024-25 and a projected withdrawal \$7.1 billion projected in 2025-26). The balance of the Budget Stabilization account is projected to be \$10.9 billion following the projected 2025-26 drawdown. The 2025-26 Proposed State Budget includes \$376 million contribution to fund the Public School System Stabilization Account.

The stronger-than-anticipated performance of the economy, stock market, and cash receipts, combined with an improved economic outlook, have all contributed to the upgraded revenue forecast. While the 2025-26 Proposed State Budget does not forecast a recession, it recognizes several risk factors that could negatively affect the economy and state revenues, including stock market and asset price volatility and declines—particularly those affecting high-income earners—as well as geopolitical instability. Additional risks come from stated policy changes by the incoming federal administration that could negatively impact the State’s economy—especially in the areas of international trade and immigration, as well as in health care. The 2025-26 Proposed State Budget does not include any adjustments to account for the damage caused by the Los Angeles-area fires, which is expected to be significant.

The Legislative Analyst’s Office’s analysis of the 2025-26 Proposed State Budget identifies three categories of discretionary proposals (those that are not already committed to under current law or policy): (1) proposals provide short-term budget savings that create more budget capacity which the LAO projects to generate a total of \$2.2 billion General Fund savings within the budget window, (2) new discretionary spending proposals that use budget capacity by increasing spending or reducing revenues which the LAO projects to increase General Fund expenditures within the budget window by \$700 million, and (3) increases to the State’s discretionary reserves.

Discretionary savings proposals identified by Legislative Analyst’s Office’s Analysis include:

- **\$1.6 Billion Reduction in School and Community College Settle-Up Obligations.** The 2025-26 Proposed State Budget proposes providing \$1.6 billion less in total funding for schools and community colleges than the estimated constitutional minimum funding level for 2024-25. This provides one-time General Fund savings in that year, but also creates a “settle-up” obligation, which will need to be paid in a future year if revenues for 2024-25 were to remain unchanged. If revenues for 2024-25 come in below current projections, this obligation would also decline—potentially to zero. While the administration indicates it will provide this payment in the future—after the final calculation of the minimum funding requirement—it also has not scored this future obligation in its multiyear budget.
- **Increases Revenue by Around \$300 Million.** The 2025-26 Proposed State Budget changes the rules about how taxable profits are determined for financial institutions. This change would increase revenues on an ongoing basis by around \$300 million per year.
- **Shifts Nearly \$300 Million in General Fund Spending to Proposition 4 (2024) Climate Bond.** The 2025-26 Proposed State Budget reduces and reverts significant General Fund appropriations for a variety of climate- and environmental-related activities totaling \$273 million, achieving General Fund savings. These include funds for water recycling, wildfire prevention activities at state parks, and dam safety activities. The proposal would then provide a like amount of funding from Proposition 4, the climate bond approved by voters in November 2024. This would result in maintaining prior funding levels for these activities but would preclude this amount of Proposition 4 funds from supporting expanded service levels or additional projects.

New spending proposals identified by Legislative Analyst’s Office’s Analysis include:

- **New Spending Proposals of Nearly \$600 Million.** The 2025-26 Proposed State Budget includes \$570 million in new discretionary General Fund spending. After 2025-26, these proposals would add about \$300 million in ongoing spending. Some of the largest spending augmentations proposed include: (1) \$60 million to provide additional grants under the Cal Competes program; (2) the intent to partially restore an ongoing reduction to the trial courts, which, if enacted, would cost \$42 million ongoing; and (3) a proposed expansion to College Corps, which would cost \$5 million in 2025-26, but grow to \$84 million ongoing.
- **New Tax Expenditures of \$150 Million.** The 2025-26 Proposed State Budget includes revenue proposals, which would expand existing tax expenditures and create new ones. These include increasing the existing film tax credit from \$330 million to \$750 million per year and excluding some military retirement income from taxation. Taken together, these proposals would reduce revenues by around \$150 million in 2025-26, reaching \$300 million by 2028-29.

Adjustments to the State's discretionary reserves identified by Legislative Analyst's Office's Analysis include an increase of approximately \$500 million to the State's Special Fund for Economic Uncertainties (SFEU). The SFEU is a general-purpose reserve used to provide capacity for unanticipated expenditures, including state costs associated with disasters and other emergencies. The state constitution has a balanced budget requirement, which means the balance of the SFEU must be set above zero for the upcoming fiscal year. Any level above zero is up to the discretion of the Legislature. Recent budgets have set the SFEU between \$3.5 billion and \$4 billion. The 2025-26 Proposed State Budget sets a \$4.5 billion SFEU balance for the end of 2025-26.

K-12 Education Spending. The 2025-26 Proposed State Budget reduces total funding for all K-12 education programs by \$300 million compared to 2024-25 State Budget funding levels, with total expenditures of \$118.9 billion, including \$83.1 billion from the State general fund and \$35.8 billion from other sources. The 2025-26 Proposed State Budget includes a roughly \$376 million discretionary payment into the Proposition 98 Rainy Day Fund in fiscal year 2025-26 to bring the fund balance to approximately \$1.5 billion.

Significant features of the 2025-26 Proposed State Budget relating to K-12 and higher education funding identified by the Legislative Analyst's Office include the following:

- **Funding for Schools and Community Colleges Up \$7.1 Billion Across the Budget Window.** The 2025-26 Proposed State Budget projects that the constitutional minimum funding level for schools and community colleges is up \$7.1 billion. Of this increase, \$3.9 billion is attributable to 2024-25 and \$3.2 billion is attributable to 2025-26. (Spending is unchanged in 2023-24.) The increase is due primarily to higher General Fund revenue estimates. In addition, approximately \$4 billion in one-time spending expires in 2025-26, freeing-up the underlying funding for other school and community college purposes.
- **Funds Some Ongoing Increases.** The 2025-26 Proposed State Budget provides approximately \$2.5 billion to fund a 2.43% statutory cost-of-living adjustment (COLA) for existing school and community college programs. The 2025-26 Proposed State Budget also sets aside \$1.1 billion to complete the expansion of transitional kindergarten in 2025-26. The 2025-26 Proposed State Budget also provides \$746 million to reduce student-to-adult ratios in transitional kindergarten classrooms from 12:1 to 10:1. The 2025-26 Proposed State Budget provides a \$435 million increase for the Expanded Learning Opportunities Program to increase the number of school districts that must offer enrichment programs (such as after school activities and summer school) to all of their students. The 2025-26 Proposed State Budget also includes \$30 million to support 0.5 percent systemwide community college enrollment growth.

- Allocates One-Time Funds for Discretionary Grants, Staffing Enhancements, and Technology Activities. The largest education-related one-time proposal in the 2025-26 Proposed State Budget is to provide \$1.8 billion for schools through a new discretionary block grant that could be used to fund new activities or cover costs of existing programs. The 2025-26 Proposed State Budget also includes \$500 million to fund literacy and mathematics coaches at high-poverty schools that would expand upon a program the state funded in previous budgets. In addition, the 2025-26 Proposed State Budget includes a series of initiatives intended to advance teacher training and recruitment efforts at schools and implement a common technology platform across the community college system.
- Delays \$1.6 Billion Payment in 2024-25 Pending Revised Revenue Data. As described above, under the 2025-26 Proposed State Budget, total funding for schools and community colleges in 2024-25 would be \$1.6 billion less than the administration's estimate of the constitutional minimum funding level that year. The administration indicates it will provide this payment in the future after finalizing the calculation of the minimum requirement. If State revenues come in below the levels estimated in the 2025-26 Proposed State Budget, the constitutional funding requirement also would decrease.

The State has not entered into any contractual commitment with the District, the County, the Underwriters nor the Owners of the Bonds to provide State budget information to the District or the Owners of the Bonds. Although they believe the State sources of information listed herein are reliable, none of the District, the Municipal Advisor or the Underwriters assumes any responsibility for the accuracy of the State budget information set forth or referred to herein or incorporated by reference herein.

Future Budgets and Budgetary Actions. The District cannot predict what future actions will be taken by the State legislature and the Governor to address changing State revenues and expenditures or the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors beyond the District's ability to predict or control. Certain actions could result in a significant shortfall of revenue and cash and could impair the State's ability to fund schools during the current fiscal year and in future fiscal years. Certain factors, like an economic recession, could result in State budget shortfalls in any fiscal year and could have a material adverse financial impact on the District. As the Bonds are payable from *ad valorem* property taxes, the 2024-25 State Budget is not expected to have a material impact on the payment of the Bonds.

Additional Information. Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of the State budget may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading "California Budget." Various analyses of the budget may be found at the website of the LAO at www.lao.ca.gov. In addition, various State official statements, many of which contain a summary of the current and past State budgets and the impact of those budgets on school districts in the State, may be found via the website of the State Treasurer, www.treasurer.ca.gov. The information presented in these websites is not incorporated by reference in this Official Statement.

State Funding of Schools Without a State Budget

Although the State Constitution requires that the State Legislature adopt a budget for the State by June 15 of the prior fiscal year and that the Governor sign a budget by June 30, this deadline has been missed from time to time. Delays in the adoption of a Budget Act in any fiscal year could impact the receipt of State funding by the District. On May 29, 2002, the California Court of Appeal for the Second District decided the case of *Howard Jarvis Taxpayers Association, et al. v. Kathleen Connell* (as Controller of the

State of California), et al. (also referred to as *White v. Davis*) (“Connell”). The California Court of Appeal concluded that, absent an emergency appropriation, the State Controller may authorize the payment of State funds during a budget impasse only when payment is either (i) authorized by a “continuing appropriation” enacted by the State Legislature, (ii) authorized by a self-executing provision of the State Constitution, or (iii) mandated by federal law. The Court of Appeal specifically concluded that the provisions of Article XVI, Section 8 of the State Constitution—the provision establishing minimum funding of K-14 education enacted as part of Proposition 98—did not constitute a self-executing authorization to disburse funds, stating that such provisions merely provide formulas for determining the minimum funding to be appropriated every budget year but do not appropriate funds. Nevertheless, the State Controller has concluded that the provisions of the State Education Code establishing K-12 and county office of education revenue limit funding (the predecessor to the LCFF) do constitute continuing appropriations enacted by the State Legislature and, therefore, has indicated that State payments of such amounts would continue during a budget impasse. The State Controller, however, has concluded that K-12 categorical programs are not authorized pursuant to a continuing appropriation enacted by the State Legislature and, therefore, cannot be paid during a budget impasse. To the extent the Connell decision applies to State payments reflected in the District’s budget, the requirement that there be either a final budget bill or an emergency appropriation may result in the delay of some payments to the District while such required legislative action is delayed, unless the payments are self-executing authorizations, continuing appropriations or are subject to a federal mandate. The District, however, does not expect any delays in payments from the State to adversely affect its ability to pay the principal of and interest on the Bonds described in the forepart of this Official Statement, which are payable from voter-approved *ad valorem* property taxes.

Local Control Funding Formula

General. Funding for school districts, charter schools and county offices of education in connection with the LCFF includes State apportionments for general operating costs (“State Aid”) and funding for categorical programs. During fiscal year 2023-24, approximately 60.04% of the District’s General Fund revenues were pursuant to the LCFF. At the time of preparation of the 2024-25 Second Interim Report, the District projected that approximately 68.40% of the District’s fiscal year 2024-25 General Fund revenues will consist of funds determined under the LCFF. For fiscal years 2020-21 through 2023-24, LCFF revenues comprised a lower percentage of the District’s total General Fund revenues as a result of increases in one-time federal funding for COVID-19 relief. The following Table A-2 sets forth the percentage of the District’s General Fund revenues that are derived from revenues under the LCFF, federal revenues, other State revenues and other local revenues for fiscal years 2020-21 through 2024-25.

TABLE A-2
LOS ANGELES UNIFIED SCHOOL DISTRICT
General Fund Revenue Sources
Percentage of Total District General Fund Revenues⁽¹⁾
Fiscal Years 2020-21 through 2024-25

Revenue Source	Fiscal Year 2020-21	Fiscal Year 2021-22	Fiscal Year 2022-23	Fiscal Year 2023-24⁽²⁾	Fiscal Year 2024-25⁽³⁾
LCFF	64.68%	62.42%	55.99%	60.04%	68.40%
Federal Revenues	19.15	19.13	19.57	18.91	7.63
Other State Revenues	13.99	18.08	22.77	15.85	18.18
Other Local Revenues	2.18	0.37	1.67	5.19	5.80

⁽¹⁾ Sum of percentages may not equal 100% due to rounding.

⁽²⁾ Audited.

⁽³⁾ Projected. For more information regarding State funding during fiscal year 2024-25, see “– State Budget Act – 2024-25 State Budget” and “DISTRICT FINANCIAL INFORMATION – District Budget.”

Sources: Audited Annual Financial Report for fiscal years 2020-21 through 2023-24; and 2024-25 Second Interim Report.

The LCFF allocates State funding based on a school district's demographics. Each school district receives a base grant (the "Base Grant") per ADA in an amount determined by the State. The Governor's State budget for fiscal year 2022-23 revised the LCFF calculation beginning with fiscal year 2022-23 to consider the greater of a school district's current fiscal year, prior fiscal year, or the average of three prior fiscal years' ADA. See "DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance." Pursuant to the LCFF, each local education agency ("LEA") is required to, among other things, show progress toward an average class enrollment of no more than 24 pupils in kindergarten through grade 3, unless the LEA has entered into a collective bargaining agreement specifying an annual alternative average class enrollment in those grades for each school. Accordingly, the LCFF includes an adjustment to the Base Grant for kindergarten through grade 3 (the "K-3 Grade Span Adjustment") of approximately 10.4% in order to cover the costs associated with class size reduction. In addition, the LCFF includes an adjustment to the Base Grant for grades 9 through 12 of approximately 2.6% to cover the costs of, among other things, providing career technical education.

Based on the ADA of the given demographic classification, school districts are eligible to receive a 20% supplemental grant (the "Supplemental Grant") for students classified as English learners ("EL"), students eligible to receive a free or reduced-price meal ("FRPM"), and students classified as foster youth ("LI"). The State expects the Supplemental Grants to reflect the additional costs associated with the education of EL, FRPM and LI students. In addition, school districts are eligible to receive a concentration grant (the "Concentration Grant") if the school district has a significant concentration of students classified as EL, FRPM or LI (collectively, "Unduplicated Pupils"). The LCFF uses an unduplicated student count to determine the amount of the Supplemental Grant and Concentration Grant authorized for a school district. A school district may only count a student one time if such student is classified in more than one of the EL, FRPM and LI categories. In the event the percentage of Unduplicated Pupils exceeds 55% of a school district's total enrollment, the LCFF provides additional funding to the school district through a Concentration Grant. The Concentration Grant will be an amount equal to an additional 65% of the school district's adjusted Base Grant, which includes the cost of living adjustment and grade span adjustments, if any, for each Unduplicated Pupil above the 55% threshold.

Starting with the 2023-24 fiscal year, an additional Equity Multiplier was added for LEAs who qualify by having both (1) a prior year nonstability rate of greater than 25% and (2) a prior year socioeconomically disadvantaged pupil rate of greater than 70%. The nonstability rate refers to the percentage of students who do not complete the year due to factors like expulsion or other reason without stable subsequent enrollment at another school. The socioeconomically disadvantaged pupil rate refers to the percentage of students who (i) do not have a parent with a high school diploma, (ii) are eligible for free or reduced-price meals, (iii) are migratory, (iv) are homeless youth, (v) are foster youth or (vi) are enrolled in a county juvenile court school. Every year, the state will allocate \$300 million to the qualifying LEAs on a per-unit basis based on the LEA's prior year adjusted cumulative enrollment, but each qualifying school will receive at least \$50,000. The Equity Multiplier revenue must be used for evidence-based services and support for pupils.

The Base Grants are based on four uniform, grade-span base rates. For fiscal year 2024-25, the LCFF provided to school districts and charter schools: (a) a Base Grant for each LEA equivalent to \$11,068 per ADA for transitional kindergarten/kindergarten through grade 3 (including the grade span adjustment); (b) a Base Grant for each LEA equivalent to \$10,177 per ADA for grades 4 through 6; (c) a Base Grant for each LEA equivalent to \$10,478 per ADA for grades 7 and 8; (d) a Base Grant for each LEA equivalent to \$12,460 per ADA for grades 9 through 12 (including the grade span adjustment). The Base Grant amount for fiscal year 2024-25 includes a COLA of 1.07%. The amount of actual funding allocated to the Base Grant, Supplemental Grants and Concentration Grants is subject to the discretion of the State.

Since the full implementation of the LCFF in fiscal year 2018-19, there is no longer a gap between a school district's prior year funding and the target amount of funding under the LCFF for the current year. Further, there is no longer a difference between the District's target entitlement under the LCFF – the amount available once the LCFF is fully funded – and the District's transition entitlement. In fiscal year 2018-19, the District reached its target entitlement for the District and the Affiliated Charter Schools, such that there is no transition entitlement for the District and the Affiliated Charter Schools. Accordingly, the District's historically significant increases in LCFF funding from year to year are not reflective of the District's current and expected LCFF funding since the LCFF is fully funded.

The difference between the amount a school district or charter school would have received under the old funding system and the estimated amount it would receive for LCFF funding at full implementation, based on certain criteria is referred to as the "Economic Recovery Target." Only school districts and charter schools that were at, or below, the 90th percentile of per-pupil funding rates of school districts under the pre-fiscal year 2013-14 funding system, as determined at the certification of the State's second principal apportionment in fiscal year 2013-14, are eligible for Economic Recovery Target payments. Based on this criteria, the District is not entitled to receive Economic Recovery Target funding. Certain of the District's Affiliated Charter Schools, however, are entitled to the Economic Recovery Target funding and received \$990,310, collectively, in fiscal year 2023-24, and budget to receive approximately the same amount, collectively, in fiscal year 2024-25.

The District has the largest ADA in the State. See "DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance" herein. In addition, the District's ADA includes a significant number of students classified as Unduplicated Pupils. Accordingly, the District expects to receive more LCFF funding than other school districts in the State. The 2024-25 Second Interim Report projects that approximately 85.72% of students attending non-charter schools of the District will be classified as Unduplicated Pupils under the LCFF during fiscal year 2024-25. The percentage of students classified as Unduplicated Pupils is based on a three-year rolling average. The District's calculation of ADA with respect to Unduplicated Pupils, which is used to determine Supplemental and Concentration Grant revenues, is subject to adjustment upon review thereof by the District's independent auditor.

The following Table A-3 sets forth the District's Base Grant per ADA with grade span adjustments for fiscal years 2015-16 through 2024-25 under the LCFF.

TABLE A-3
LOS ANGELES UNIFIED SCHOOL DISTRICT
Adjusted Base Grant Per Average Daily Attendance
Fiscal Years 2015-16 through 2024-25

<u>Fiscal Year</u>	<u>Grades TK/K-3</u>	<u>Grades 4-6</u>	<u>Grades 7-8</u>	<u>Grades 9-12</u>
2015-16	\$ 7,820	\$ 7,189	\$ 7,403	\$ 8,801
2016-17	7,820	7,189	7,403	8,801
2017-18	7,941	7,301	7,518	8,939
2018-19 ⁽¹⁾	8,235	7,571	7,796	9,269
2019-20	8,503	7,818	8,050	9,572
2020-21	8,503	7,818	8,050	9,572
2021-22	8,935	8,215	8,458	10,057
2022-23	10,119	9,304	9,580	11,391
2023-24	10,951	10,069	10,367	12,327
2024-25	11,068	10,177	10,478	12,460

⁽¹⁾ LCFF was fully funded in fiscal year 2018-19.

Sources: California Department of Education.

Local Control and Accountability Plan. Pursuant to the LCFF, since July 1, 2014, school districts, county offices of education and charter schools have been required to develop, adopt and annually update a three-year LCAP. The LCAP is required to identify goals and measure progress for student subgroups across multiple performance indicators. The Education Code requires each school district to file with the county superintendent of schools such school district's LCAP or annual update thereof not later than five days after its adoption. On or before August 15 of each year, the county superintendent of schools may seek clarification, in writing, from the governing board of such school district about the contents of the LCAP. The school district has the opportunity to respond to such request and the county superintendent is authorized to submit recommendations for amendments to the LCAP. On or before October 8 of each year, the county superintendent of schools is required to approve each school district's LCAP pending a determination that the school district has adhered to the template adopted by the State Board of Education, the school district's budget includes expenditures sufficient to implement the specific actions and strategies included in the LCAP based on projected costs, and the school district has adhered to the Education Code with respect to funds apportioned for Unduplicated Pupils.

The State's priorities for each LCAP include, among other things, compliance with requirements with respect to appropriateness of teacher assignments, ensuring that teachers are fully credentialed in the subject areas and for the pupils they are teaching, and ensuring that every pupil in the school district has sufficient access to the standards-aligned instructional materials as determined in accordance with the Education Code. In addition, school facilities are to be maintained in good repair. The State requires proper implementation of the academic content and performance standards adopted by the State Board of Education and will measure parental involvement (e.g., efforts to seek input from parents or guardians regarding decisions for the district and the school site), pupil achievement (e.g. performance on Statewide assessments, the academic performance index, readiness for college or career technical education, progress towards English proficiency, performance on advance placement examinations), pupil engagement (e.g., school attendance rates, chronic absenteeism rates, middle school dropout rates, high school dropout and graduation rates, pupil suspension and expulsion rates, etc.), access and enrollment in a broad course of study including the core subject areas and programs and services developed and provided to Unduplicated Pupils, and pupil outcomes in the subject areas comprising a broad course of study.

In November 2014, the State Board of Education adopted final regulations to govern the expenditure of the Supplemental Grant and Concentration Grant funding. These regulations require school districts, county offices of education, and charter schools to increase and improve services for Unduplicated Pupils and provide authority for school districts to spend funds school-wide when significant populations of Unduplicated Pupils attend a school. Pursuant to the regulations, LEAs are required to obtain input from parents of students and the general public in connection with the development, revision and updates of LCAPs. In addition, the regulations require County superintendents to review school district LCAPs and require county offices of education to provide technical assistance if they disapprove an LCAP. The Education Code grants the State Superintendent of Public Instruction authority to intervene if a school district or charter school fails to show improvement across multiple subgroups in three out of four consecutive years.

Risks Affecting School District Revenue. Many school districts in the State are funded based on the LCFF, which allocates a Base Grant per unit of ADA with additional supplemental funding in the form of Supplemental Grants and Concentration Grants based on certain factors. Thus, a temporary shutdown of a school or an entire school district or other event resulting in reduced enrollment or attendance would reduce the ADA of a school district and could impact the funding a school district receives. For example, events like the outbreak of a highly contagious disease or epidemic disease could harm a school district's financial results or result in a temporary shutdown of the school district's facilities. Such an event could also have impacts on the State's tax and other revenue receipts which may, in turn, impact educational

funding that school districts receive from the State. The outbreak of the respiratory disease caused by COVID-19 was declared a pandemic by the World Health Organization, a national emergency by former President Trump and a state of emergency by the Governor. While State and federal one-time COVID-19 relief funding provided some immediate relief to school districts, including the District, during the COVID-19 pandemic, the District cannot predict whether similar legislation providing State and federal one-time relief funding would be enacted in the future in the event the outbreak of COVID-19 were to increase in intensity or a similar or other outbreak of a highly contagious disease or epidemic disease or other event resulting in reduced enrollment or attendance were to occur in the future.

In January 2025, multiple fires broke out across areas of the County burning thousands of acres and damaging or destroying thousands of structures. The three largest of said fires are the Hughes Fire, Eaton Fire, and Palisades Fires. The Hughes Fire burned approximately 10,400 acres, although no information is available on the number of structures that have been damaged or destroyed. The Eaton Fire has burned approximately 14,000 acres and has damaged or destroyed at least 10,000 structures. The Palisades Fire has burned approximately 23,500 acres and has damaged or destroyed at least 7,000 structures. Properties damaged or destroyed in the Palisades Fire are included within the boundaries of the District and represent a small percentage of the assessed value in the District. As a result of the fires, schools in the District were closed for 3 days and approximately 2,400 students were displaced. Three school campuses within District boundaries, Marquez Elementary School, Palisades Elementary School, and Palisades High School/Palisades Charter High School (Palisades Charter High School is a Fiscally Independent Charter School), were significantly damaged by the fires and remain closed. The District estimates that the costs of rebuilding the three damaged campuses will be approximately \$600 million, and debris removal at the sites is nearly complete. The District expects to rebuild its damaged campuses, however, no assurances can be given that the District will rebuild any or all of its damaged facilities. The District is unable at this time to quantify the overall loss as a result of the fires.

The County Assessor's Office allows for the reassessment of properties that are damaged or destroyed as a result of misfortune or calamity, which includes wildfires. Property owners may submit an application for the reassessment of the property within 12 months of the damage or destruction. Any such reassessment is retroactive to the date of damage or destruction. The District is unable at this time to quantify the loss in assessed value as a result of any such reassessment. The California Legislative Analyst's Office currently estimates a reduction of assessed value in the County, including impacted areas located within and outside of the boundaries of the District, to be between \$10 and \$20 billion.

Additionally on January 16, 2025, the California Governor issued Executive Order 10-25 that (i) suspends until April 10, 2026, certain state tax laws that impose penalties, costs, and interest for late payment of property taxes due in calendar year 2025, and (ii) suspends certain additional state tax laws requiring the filing of various property tax statements. The orders apply to properties located in 9 zip codes that are included in the boundaries of the District. Additional executive orders have been issued to allow for a quicker redevelopment in fire-damaged areas. The District cannot predict the effect any executive orders will have on the timely collection of property taxes.

Charter School Funding

A charter school is a public school authorized by a school district, county office of education or the State Board of Education. State law requires that charter petitions be approved if they comply with the statutory criteria. The District has certain fiscal oversight and other responsibilities with respect to both Affiliated Charter Schools and Fiscally Independent Charter Schools located in the District geographic boundaries. Fiscally Independent Charter Schools, however, are separate LEAs and receive revenues directly from the State. Affiliated Charter Schools receive their funding from the District and are included in the District's budgets and audit reports. Information regarding enrollment, ADA, budgets and other

financial information relating to Fiscally Independent Charter Schools is not included in the District’s audit reports or in this Official Statement unless otherwise noted.

Pursuant to the LCFF, Fiscally Independent Charter Schools and Affiliated Charter Schools will receive a Base Grant per ADA and are eligible to receive Supplemental Grants, Concentration Grants and Equity Multiplier funds. See “– Local Control Funding Formula” herein. In fiscal year 2023-24, the District operated 51 Affiliated Charter Schools and oversaw 221 Fiscally Independent Charter Schools within the District boundaries. The fiscal year 2023-24 funded ADA of the Affiliated Charter Schools and the Fiscally Independent Charter Schools was 35,586 and 101,451 (unaudited), respectively. An increase in the number of Fiscally Independent Charter Schools within the boundaries of a school district or an increase in the number of students transferring to a Fiscally Independent Charter School or an Affiliated Charter School from a traditional school within a school district may cause a net reduction in the District’s ADA.

Limitations on School District Reserves

Unless a school district is granted an exemption by its county superintendent of schools, amounts in its reserves may not exceed the limitations set forth in the Education Code once certain conditions precedent are met. Pursuant to Section 42127.01 of the Education Code, in a fiscal year immediately after a fiscal year in which the amount of moneys in the Proposition 98 Rainy Day Fund is equal to or exceeds 3% of the combined total of State general fund revenues appropriated for school districts and allocated local proceeds of taxes for that fiscal year, a school district budget that is adopted or revised shall not contain a combined assigned or unassigned ending general fund balance that is in excess of 10% of total General Fund expenditures and other financing uses. A county superintendent of schools may grant a school district under its jurisdiction an exemption from the reserves limitation for up to two consecutive fiscal years within a three-year period if the school district provides documentation indicating that extraordinary fiscal circumstances, including, but not limited to, multiyear infrastructure or technology projects, substantiate the need for a combined assigned or unassigned ending general fund balance that is in excess of the reserves limitation. The limitation applies once the Superintendent of Public Instruction notifies school districts and county offices of education that the conditions precedent are met. The Superintendent of Public Instruction is also required to notify school districts and county offices of education when those conditions no longer exist.

The State-imposed minimum recommended reserve for the District is accounted for in the District’s reserve for economic uncertainties. Payments allocated to the Proposition 98 Rainy Day Fund by the State in fiscal years 2021-22 and 2022-23 triggered the limitations on school district reserves under the Education Code in fiscal years 2022-23 and 2023-24. The State’s economic and revenue outlook, however, has changed. Although the 2024-25 State Budget provides for a discretionary payment of approximately \$1.1 billion to the Proposition 98 Rainy Day Fund in fiscal year 2024-25, the 2024-25 State Budget also provides for a withdrawal of the entire \$8.4 billion balance in the Proposition 98 Rainy Day Fund in fiscal year 2023-24, leaving a projected balance of \$1.1 billion at the end of fiscal year 2024-25. Given 2024-25 State Budget provisions relating to the Proposition 98 Rainy Day Fund, school district reserve caps will not be triggered in fiscal year 2024-25 and are not projected to be triggered in fiscal year 2025-26. See “– State Budget Act.”

DISTRICT FINANCIAL INFORMATION

District Financial Policies and Related Practices

General. The District has three key financial policies: a budget and finance policy (the “Budget and Finance Policy”), a debt management policy (the “Debt Management Policy”) and an investment policy (the “Investment Policy”).

Budget and Finance Policy. The District has adopted a Budget and Finance Policy pursuant to which the District creates and funds reserves for operating purposes (collectively, the “Operating Reserves”) and liability management purposes. The Budget and Finance Policy reflects reserve categories promulgated by the Government Accounting Standards Board (“GASB”) and incorporates certain reserve categories established by the District. See “STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves” herein.

Operating Reserves. The District uses the Operating Reserves to manage its budget for each fiscal year. A portion of the District’s authorized appropriations are set aside in the Operating Reserves. The District generally appropriates amounts from the General Fund based on the amount estimated in its budget. The District may, however, appropriate funds from unspent balances within the Operating Reserves, if necessary. Accordingly, the District uses the Operating Reserves to ensure that appropriations reflect the District’s actual General Fund expenditures. The current Operating Reserves include nonspendable reserves, restricted reserves, committed reserves, assigned reserves, and unassigned reserves (generally described as fund balances), the latter of which includes the District’s reserve for economic uncertainties. Pursuant to the California Code of Regulations, school districts with an ADA of over 250,001 students, such as the District, must maintain a reserve for economic uncertainties of 1% of General Fund appropriations.

Pursuant to the Budget and Finance Policy, the District’s total General Fund balance may not be less than an amount equal to 5% of total General Fund expenditures and net transfers out during a fiscal year (the “5% Minimum Reserve Threshold”). In addition, the Budget and Finance Policy requires the projected General Fund balance to satisfy the 5% Minimum Reserve Threshold in each of the two subsequent fiscal years which the District includes in its interim financial reports. In the event that the District’s estimates indicate that the total General Fund balance will not satisfy the 5% Minimum Reserve Threshold in any of the current fiscal year or two subsequent fiscal years, the Budget and Finance Policy directs the District to develop and implement budget proposals to restore reserve balances to the 5% Minimum Reserve Threshold.

Based on the 2024-25 Second Interim Report, the District’s Operating Reserves are expected to satisfy both the 5% Minimum Reserve Threshold and the 1% statutory reserve requirement for fiscal years 2024-25, 2025-26 and 2026-27. Unlike the 5% Minimum Reserve Threshold, the 1% statutory reserve requirement is based on the unrestricted and unassigned ending fund balance (including the reserve for economic uncertainties) only and does not take into account the restricted, committed, or assigned ending fund balances. See “– District Budget – 2024-25 Second Interim Report” herein.

Liability Management. Pursuant to the Budget and Finance Policy, the District has established a health and welfare reserve (the “Health and Welfare Benefits Fund”), and an other-post-employment benefits (“OPEB”) trust (the “OPEB Trust Fund”). Annual appropriations are made to address other identified liabilities, such as pension, vacation, and retiree healthcare.

The District is in the process of transitioning certain liabilities and potential claims previously covered by District reserves and purchased lines of coverage to a captive insurance company, designed to mitigate financial risks, enhance control over the insurance processes, potentially reduce costs, and tailor coverage to meet the District’s specific needs. The Captive Insurer (as defined below) is a separate legal entity. See “Risk Management and Litigation – *Captive Insurance Program.*” The Captive Insurer will determine the reserves, liabilities, and insurance policy premiums charged to the District from actuarial information. The Captive Insurer is liable for losses and will record the liability on its books.

The liability for auto, general, and workers’ compensation, prior to July 1, 2024, was based upon information from an independent actuary. Effective July 1, 2024, coverage and reserves with respect to

automobile, general, sexual abuse and molestation, and workers' compensation liabilities was and is being transferred to the Captive Insurer, with required reserves, liabilities and insurance policy premiums determined by the Captive Insurer and charged to the District using actuarial information. See "Risk Management and Litigation – *Captive Insurance Program*." The District is currently evaluating the following lines of coverage to be provided by the Captive Insurer: boiler and machinery; crime and fiduciary; property; cyber security; and medical malpractice.

For certain current claims for sexual abuse and molestation pending settlement, funds have been set aside or transferred to the Captive Insurer. Remaining sources of funds to resolve claims for sexual abuse and molestation are expected to include limited insurance including through the Risk Management Authority (as defined herein), amounts provided and available to the Captive Insurer, and other legally available funds whether made payable as due or by payments spread over several years for a period commencing with the judgment or court's order approving a settlement with dismissal of the action. See "Risk Management and Litigation – Sexual Misconduct Cases" and "Future Financings – AB 218 and Similar Claims."

Prior to the establishment of the Captive Insurer, the District maintained a workers' compensation reserve (the "Workers' Compensation Fund") with the amount required to be on deposit therein established with information from an independent actuary at an amount necessary to fund its outstanding workers' compensation liability to the actuarially recommended level based on the central estimate approach and by additionally calculating the amount necessary for claims and operation of the Workers' Compensation Fund. See "– Risk Management and Litigation" herein. As used herein, the central estimate represents an expected value over the range of reasonably possible outcomes.

The Health and Welfare Benefits Fund is used to pay all health and welfare payments for active employees and retirees. The District determines funding of the Health and Welfare Benefits Fund based on the applicable health benefits agreement for each of the applicable years. See "– Employees and Labor Relations – Negotiations Regarding Labor Contracts" herein. As of June 30, 2024, the net position of the Health and Welfare Benefits Fund was in deficit at approximately \$(2.0) million. The deficit will be addressed by increasing the annual employee contribution rate for fiscal year 2024-25, from \$15,500 to \$18,400 per employee. The Fiscal Year 2024-25 Budget includes contributions of \$1.4 billion for the Health and Welfare Benefits Fund.

The District Board approved the creation of the OPEB Trust Fund in May 2014 as an irrevocable trust for its OPEB liability. The Budget and Finance Policy directs the District, subject to approval by the District Board, to make annual contributions to the OPEB Trust Fund when the balance in the General Fund exceeds the 5% Minimum Reserve Threshold to the extent possible. In the event that the unrestricted portion of the General Fund balance is above 5% of the unrestricted revenues (after the annual OPEB contribution has been determined), the Budget and Finance Policy directs the District to make an additional contribution to the OPEB Trust Fund. See "– Other Postemployment Benefits" herein. As of a June 30, 2024 measurement date, the net position of the OPEB Trust Fund was approximately \$820 million.

Budgeting Practices. Since Fiscal Year 2022-23 the District has updated and implemented new budgeting practices to improve timeliness, accuracy and transparency. In Fiscal Year 2024-25, the District named these collective actions as strategic budgeting. To support this effort, departments are now able to view daily updates of budget to actuals analysis for their respective departments, which facilitates effective and timely decision-making regarding opportunities for internal budget adjustments and/or reallocations that may be available for both labor and non-labor resources (this data is refreshed on a nightly basis). The District also implemented budget sweeps of positions that have been vacant for more than 180 days. In addition, to improve transparency of anticipated underspend in multi-year projections, the District refined its use of contras (i.e. underspend projections) in budgeting to better reflect actual expenditures for current

and future years. The district is also beta testing a budget transparency dashboard for public use to improve the communication of central office and school site budgetary information (to external audiences); the first phase is scheduled to go live July 1, 2025. In summary, the strategic budgeting process aims to align non-labor budgeting to need, eliminate aged vacancies, reassess budget needs with actual spend and enrollment trends, while improving transparency for both internal and external stakeholders.

Debt Management Policy. The Debt Management Policy establishes formal guidelines for the issuance and management of the District's debt and other financial obligations. The Debt Management Policy establishes targets and ceilings for certificates of participation ("COPs") and unhedged variable rate exposure and sets forth benchmark debt ratios that include both COPs and the District's general obligation bonds. The Debt Management Policy also requires the District to annually publish a comprehensive debt report that, among other things, provides information on tax rates related to the District's general obligation bonds and credit factors that reflect the District's ratings.

The Debt Management Policy is required to be reviewed annually. The current Debt Management Policy was approved by the District Board on June 18, 2024. The District is in compliance with the Debt Management Policy. The Debt Management Policy establishes a ceiling of 2.0% for the ratio of COPs gross annual debt service to District General Fund expenditures. The District Board may increase the target at the time a new debt issuance is proposed, but such authority is not intended to exceed the ceiling established in the Debt Management Policy. As of January 1, 2025, the maximum fiscal year COPs debt service was approximately 0.45% of the District's General Fund budgeted expenditures for Fiscal Year 2024-25. As of January 1, 2025, the District has outstanding COPs in the aggregate principal amount of approximately \$443.0 million, which includes the portion to be refunded by the Series B Bonds. (See " – District Debt – Certificates of Participation" for more information.) The Debt Management Policy limits unhedged variable rate debt to \$100 million and requires reporting of the debt ratios and benchmarks. The District currently has a variable interest rate exposure of \$69.95 million. The variable rate debt is associated with the District's 2024-25 Tax and Revenue Anticipation Notes which serve as an interim financing mechanism in connection with the District's refinancing of claims arising from AB 218 and similar claims.

Investment Policy. The foremost objective of the District's Investment Policy is safety. In addition, the Investment Policy directs the District to invest public funds in a manner that will maximize the investment return on all of its funds with maximum security while meeting the daily cash flow demands of each portfolio of the District and conforming to all federal, State, and local statutes governing the investment of public funds. Further, the Investment Policy directs that all investments of the District be undertaken to ensure the preservation of capital in the overall portfolio. To attain this objective, the District may diversify its investments by investing funds among a variety of securities offering independent returns. In addition, the Investment Policy requires the District's investment portfolios remain sufficiently liquid to enable the District to meet its operating requirements and be structured to attain a maximum return commensurate with its investment risk constraints and the cash flow characteristics of each portfolio.

The District's operating funds and all of the debt service funds maintained for repayment of general obligation bonds are deposited in the County Treasury Pool in accordance with State law and managed pursuant to the County's Investment Policy, a copy of which can be found at <http://ttc.lacounty.gov/>. Such website is not incorporated herein by reference and the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not make any representation as to the accuracy of the information provided therein. See APPENDIX F – "THE LOS ANGELES COUNTY TREASURY POOL." With the concurrence of the County's Treasurer and Tax Collector, however, the District may direct the investment of funds in certain of its operating funds and debt service funds so long as such direction complies with both the County's investment policy and the District's Investment Policy. In addition, the District can direct the investment of indentured funds held by

third party trustees with regard to certain issuances of COPs pursuant to a prescribed list of permitted investments.

Significant Accounting Policies, System of Accounts and Audited Financial Statements

The CDE imposes by law uniform financial reporting and budgeting requirements for K-12 school districts. Financial transactions are accounted for in accordance with the California School Accounting Manual. The District uses fund accounting and maintains governmental funds, proprietary funds and fiduciary funds. The General Fund is the chief operating fund of the District. For a description of the other major funds of the District, see the description thereof contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.” Note 1 to such audited financial statements sets forth significant accounting policies that the District follows. Simpson & Simpson Certified Public Accountants (“Simpson”), Los Angeles, California, served as independent auditor to the District for its audited financial statements for fiscal year 2023-24. Simpson has not been requested to consent to the use or to the inclusion of its reports in this Official Statement, and it has not audited or reviewed this Official Statement. The District’s audited financial statements for the fiscal year ended June 30, 2024, are included as Appendix B to this Official Statement. The complete audited financial statements of the District, including the notes thereto, are an integral part of this Official Statement.

Typically, the District is required to file its audited financial statements for the preceding fiscal year with the State Controller’s Office, the CDE and the County Superintendent of Schools by December 15 of each year. During the last five years, the District timely filed its audited financial reports with the State Controller’s Office, the CDE, and LACOE pursuant to the Education Code and any applicable legislation amending the filing deadline thereof by the respective deadlines therefor.

The audited financial statements for fiscal year 2023-24 include certain audit findings and questioned costs. With respect to the audited financial statements for fiscal year 2023-24, Simpson identified 13 audit findings and questioned costs totaling approximately \$770.1 million. For detailed information regarding such findings and questioned costs, see Appendix B. Notably, in fiscal year 2023-24 – like the three previous fiscal years – the District did not meet the minimum threshold of General Fund spending on classroom teacher salaries and benefits in accordance with Education Code Section 41372. Under Education Code Section 41372, a unified school district, like the District, is required to spend a minimum of 55% of its General Fund resources on classroom salaries and benefits. In fiscal year 2023-24, the District spent approximately 47.08% of its General Fund resources on classroom salaries and benefits, which is approximately 7.92% or \$763.9 million below such minimum threshold set forth in the Education Code. Such discrepancy is the result of the COVID-19 pandemic that caused the District to spend significant General Fund revenues on COVID-19 related expenses that were non-classroom teacher salaries and benefits. In each of fiscal year 2020-21, fiscal year 2021-22, and fiscal year 2022-23, the District Board approved the submission of a waiver request to the County Superintendent, and each was approved by the County Superintendent. The District expects to submit a waiver request for fiscal year 2023-24 to the County Superintendent after notice is received from the Los Angeles County Office of Education.

In addition, the audited financial statements for fiscal year 2023-24 included a finding that the District did not meet the transitional kindergarten and early enrollment average class enrollment and adult-to-pupil requirements pursuant to Education Code Section 48000. The District has implemented measures to ensure compliance with class size and adult-to-pupil ratio requirements, including the distribution of a Transitional Kindergarten Resources and Communication Toolkit to school sites and district administrators.

Copies of the District’s audited financial statements as well as budgets and interim financial reports may be obtained from the website of the District: www.lausd.org. The website is not incorporated herein

by reference and the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not make any representation as to the accuracy of the information provided therein.

Audited Financial Report

Fiscal Year 2023-24 Audited Annual Financial Report. The District’s fiscal year 2023-24 Audited Annual Financial Report (the “Fiscal Year 2023-24 Audit”) has been submitted to the District. The Fiscal Year 2023-24 Audit reflects the District’s audited financial results for fiscal year 2023-24. The Fiscal Year 2023-24 Audit reflects a General Fund adjusted beginning balance of approximately \$5.71 billion, total revenues of \$11.22 billion, total expenditures of \$10.55 billion, other financing sources and uses of \$45.64 million, and an ending balance of \$6.42 billion. The Fiscal Year 2023-24 Audit indicates that the General Fund ending balance of approximately \$6.42 billion consists of approximately \$244.90 million for the mandatory reserve for economic uncertainties, \$2.92 million of non-spendable revolving cash, stores, and prepaid expenditures, \$1.79 billion of restricted ending balances, \$2.97 billion of committed ending balances, \$491.52 million of assigned ending balances and \$869.03 million of unassigned and unappropriated ending balances. In fiscal year 2023-24, the District was able to meet its financial commitments and its required ending balances, as set forth in the Budget and Finance Policy. See “– District Financial Policies and Related Practices” for more information on the Budget and Finance Policy.

District Budget

General School District Budget Process and Oversight. State law requires that each school district maintain a balanced budget in each fiscal year. The California Department of Education imposes a uniform budgeting and accounting format for school districts. Under current law, a school district governing board must adopt and file with the county superintendent of schools a budget by July 1 of each fiscal year. The District is under the jurisdiction of the County of Los Angeles Superintendent of Schools.

The county superintendent of schools must approve, conditionally approve, or disapprove the adopted budget for each school district by September 15 in accordance with the Education Code. The county superintendent of schools is required to examine the adopted budget for compliance with the standards and criteria adopted by the State Board of Education and identify technical corrections necessary to bring the budget into compliance with the established standards. The county superintendent of schools is also required to determine whether the adopted budget will allow the school district to meet its financial obligations during the fiscal year and is consistent with a financial plan that will enable the school district to satisfy its multiyear financial commitments. The Education Code directs the county superintendent of schools to disapprove any school district budget if it determines that the budget does not include expenditures necessary to implement an LCAP or an annual update to the LCAP. See “STATE FUNDING OF SCHOOL DISTRICTS – Local Control Funding Formula – *Local Control and Accountability Plan*” herein for more information about LCAP.

In the event that the county superintendent of schools conditionally approves or disapproves the school district’s budget, the county superintendent of schools will submit to the governing board of the school district no later than September 15 of such year recommendations regarding revisions of the budget and the reasons for the recommendations, including, but not limited to, the amounts of any budget adjustments needed before the county superintendent of schools can approve that budget. In addition, school districts must make available for public review any revisions to revenues and expenditures that it has made to its budget to reflect the funding made available by the State Budget Act (defined herein) not later than 45 days after the enactment of the State Budget Act.

The governing board of the school district, together with the county superintendent of schools, must review and respond to the recommendations of the county superintendent of schools before October 8 at a regular meeting of the governing board of the school district. The county superintendent of schools will examine and approve or disapprove of the revised budget by November 8 of such year. If the county superintendent of schools disapproves a revised budget, the county superintendent of schools will call for the formation of a budget review committee. By December 31 of each year, every school district must have an adopted budget, or the county superintendent of schools may impose a budget and will report such school district to the State Legislature and the Department of Finance. In prior years, LACOE has granted a conditional approval to certain of the District's budgets pending, among other things, approval of the District's LCAP, information regarding collective bargaining and other budgetary considerations. However, in the last ten years, LACOE has not disapproved any budget submitted to it by the District. LACOE approved the Fiscal Year 2024-25 Budget. See “– *Fiscal Year 2024-25 Budget*” and “– *LACOE's Response to Fiscal Year 2024-25 Budget*” below.

Subsequent to approval, the county superintendent of schools will monitor each school district under its jurisdiction throughout the fiscal year pursuant to its adopted budget to determine on an ongoing basis if the school district can meet its current or subsequent year financial obligations. If the county superintendent of schools determines that a school district cannot meet its current or the subsequent year's obligations, the county superintendent of schools will notify the school district's governing board, the Superintendent of Public Instruction and the president of the State board (or the president's designee) of the determination and take at least one of the following actions, and all actions that are necessary to ensure that the school district meets its financial obligations: (a) develop and impose, after also consulting with the Superintendent of Public Instruction and the school district's governing board, revisions to the budget that will enable the school district to meet its financial obligations in the current fiscal year, (b) stay or rescind any action inconsistent with the ability of the school district to meet its obligations for the current or subsequent fiscal year, (c) assist in developing, in consultation with the school district's governing board, a financial plan that will enable the school district to meet its future obligations, (d) assist in developing, in consultation with the school district's governing board, a budget for the subsequent fiscal year and (e) as necessary, appoint a fiscal advisor to perform the aforementioned duties. The county superintendent of schools will also make a report to the Superintendent of Public Instruction and the president of the State board or the president's designee about the financial condition of the school district and the remedial actions proposed by the county superintendent of schools. The county superintendent of schools, however, may not abrogate any provision of a collective bargaining agreement that was entered into prior to the date upon which the county superintendent of schools assumed authority.

Fiscal Stabilization Plans. While LACOE and the District will partner to implement actions necessary to stabilize and improve the financial condition of the District as and when needed, LACOE has not required nor has the District implemented a fiscal stabilization plan since 2019 in light of the District's positive certification on its recent interim reports. In the event that the District's financial condition were to change in future fiscal years, LACOE may require the District to implement a fiscal stabilization plan to stabilize and improve the financial condition of the District.

Fiscal Year 2024-25 Budget. The Fiscal Year 2024-25 Budget was adopted by the District Board on June 25, 2024. The Fiscal Year 2024-25 Budget was developed with the assumptions contained in the Governor's May revision to the proposed fiscal year 2024-25 State Budget. The Fiscal Year 2024-25 Budget projects a General Fund beginning balance of approximately \$6.36 billion, total budgeted revenues of \$9.41 billion, total budgeted expenditures of \$11.16 billion, budgeted other financing sources and uses of negative \$20.16 million, and a budgeted ending balance of \$4.58 billion. The Fiscal Year 2024-25 Budget projects that its budgeted General Fund ending balance of \$4.58 billion is expected to consist of approximately \$112.24 million for the mandatory reserve for economic uncertainties, \$47.98 million of non-spendable revolving cash, stores, and prepaid expenditures, \$1.67 billion of restricted ending balances,

\$1.80 billion of committed ending balances, \$726.09 million of assigned ending balances, and \$224.78 million of undesignated and unassigned ending balances.

The Fiscal Year 2024-25 Budget includes certain assumptions and policies, including:

- a COLA of 1.07% for the LCFF, Special Education and selected categorical programs outside of LCFF;
- a net enrollment decline of 8,888 to 403,453 in fiscal year 2024-25 from 412,341 in fiscal year 2023-24 for non-charter and Affiliated Charter Schools and a Fiscally Independent Charter School enrollment decline of 1,227 to 108,520 in fiscal year 2024-25 from 109,747 in fiscal year 2023-24;
- LCFF-funded ADA of 351,116 for non-charter schools, which is based on the average of 3 prior years' ADA, and 35,231.96 for Affiliated Charter Schools, which is based on projected fiscal year 2024-25 P-2 ADA; the percentage of ADA to enrollment is 92%;
- State Special Education funding reflects increased base rate to \$897 per ADA;
- estimated unduplicated pupil count and three-year rolling average unduplicated pupil percentage of 314,904 and 85.75%, respectively, for non-charter schools (including County Program students) and 18,018 and 48.10%, respectively, on average for Affiliated Charter Schools;
- an LCFF allocation of \$1.22 billion from the Education Protection Account (the "Education Protection Account") established by Proposition 30 (defined herein) to be spent for instruction;
- LCFF supplemental and concentration expenditure of \$1.51 billion;
- lottery unrestricted rate per ADA is estimated at \$177 per ADA and restricted rate per ADA is estimated at \$72 per ADA;
- receipt of approximately \$472.0 million from the ELOP in fiscal year 2024-25, which the District anticipates using, together with approximately \$472.0 million in ELOP funds carried over from fiscal year 2023-24;
- receipt of approximately \$74.0 million from Arts and Music in Schools and LCFF Equity Multiplier of \$21.5 million;
- certificated and classified salaries include bargaining agreements with AALA (Certificated and Classified Management), LASPMA, LASPA, Los Angeles/Orange Counties Building & Construction Trades Council, District Represented, and UTLA, and the agreement for revised instructional calendar is also included (See "– Employees and Labor Relations – *Negotiations Regarding Labor Contracts*" for information regarding labor agreements not reflected in Fiscal Year 2024-25 Budget.);
- funding for employee health and medical benefits at the per participant rate set forth in the Health and Welfare Agreement (defined herein);
- a contribution to the OPEB Trust Fund of \$40 million from all funds of the District for fiscal year 2024-25;
- a contribution rate for CalSTRS (defined herein) of 19.10%;

- an increase of 0.37% of CalPERS (defined herein) employer contribution rate for fiscal year 2024-25 from 26.68% to 27.05%;
- a California consumer price index of 3.1% on other operating expenditures, except utilities which is projected to decline by 13.6% as result of lifting the 24-hour heating, ventilation, and air conditioning runtime and switching to occupancy-based usage;
- ongoing and major maintenance resources totaling \$326.9 million, reflecting approximately 3% of budgeted General Fund expenditures and other financing uses, excluding CalSTRS on behalf payments made by the State;
- a contribution from all funds of \$102.0 million to the Workers' Compensation Fund and inclusion of total Workers' Compensation actuarially determined funded liability of \$380.5 million;
- inclusion of bond measure, debt service, COP proceeds funds, and other financing sources/uses;
- a reserve for economic uncertainties totaling \$112.2 million, reflecting the statutory 1% budgeted expenditure requirement and other financing uses;
- inclusion of beginning balances in the General Fund and other funds for fiscal year 2024-25, reflecting the updated estimated actual ending balance as of June 30, 2024;
- estimated ending balances for the General Fund and other funds for fiscal year 2024-25, which reflect the difference between estimated revenue and expenditure levels for fiscal year 2024-25;
- adherence to the 10% cap on reserves (combined assigned and unassigned balances);
- release of a committed balance of \$211 million for OPEB, as approved by the District Board on June 20, 2023;
- authority to transfer amounts, as necessary, to implement technical adjustments related to the Fiscal Year 2024-25 Budget;
- authority to implement new revenues for fiscal year 2024-25, if any, and increase budgeted appropriations accordingly; and
- a transfer from the Community Redevelopment Agency Fund to repay the General Fund of \$30 million initially allocated for ongoing and major maintenance resources.

The District does not expect to adopt revisions to the Fiscal Year 2024-25 Budget prior to what is incorporated into the District's second interim report for fiscal year 2024-25.

LACOE's Response to Fiscal Year 2024-25 Budget. In its August 2024 letter to the District, LACOE approved the Fiscal Year 2024-25 Budget. LACOE noted that the District projected operating deficits in fiscal years 2024-25, 2025-26 and 2026-27 of unrestricted General Fund expenditures and other outgo, indicating that the unrestricted General Fund is projected to decrease from a beginning balance of \$4,475.8 million in 2024-25 to an ending balance of \$1,452.42 million in 2026-27, a decline of approximately \$3,023.44 million, or 67.55% over three years. LACOE indicated that, while the District projected maintaining the required reserve levels by releasing assigned and committed fund balances, LACOE is concerned about the projected trend of deficit spending and recommends that the District monitor the causes for deficit spending to keep it manageable and prevent further erosion of the fund

balance. LACOE noted further that the Fiscal Year 2024-25 Budget reflected declining enrollment and funded three-year average daily attendance from fiscal year 2024-25 to fiscal year 2026-27, reflecting a two-year loss of 20,109 of funded ADA, or a 5.20% decline. As LACOE explained more specifically, continued declines in enrollment and attendance will result in a loss of revenue for the District in future years. Accordingly, LACOE recommended that the District carefully monitor its enrollment and attendance trends and adjust financial projections for the current and subsequent fiscal years accordingly to reflect the resulting impact and indicated that staffing needs and facilities planning should be assessed and adjusted based on the projected rate of decline in enrollment. For more information on the Fiscal Year 2024-25 Budget, see “–Fiscal Year 2024-25 Budget.” See also “DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance,” for more information regarding the District’s declining enrollment.

District General Fund Budgets and Audited Actuals. The following Table A-4 sets forth the District’s Adopted Budgets for the District General Fund, inclusive of regular and specially funded programs, for fiscal years 2020-21 through 2024-25, the audited results for fiscal years 2020-21 through 2023-24. The budgeted beginning balance for each fiscal year reflects the estimated ending balance for the prior fiscal year based upon information as of the budget adoption date. Accordingly, the budgeted ending balance for a fiscal year and the subsequent budgeted beginning balance may differ from the actual ending balance and actual beginning balance.

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TABLE A-4
LOS ANGELES UNIFIED SCHOOL DISTRICT
GENERAL FUND BUDGET FOR FISCAL YEARS 2020-21 THROUGH 2024-25
AUDITED ACTUALS FOR FISCAL YEARS 2020-21 THROUGH 2023-24⁽¹⁾⁽²⁾
(\$ IN MILLIONS)

	Revised Adopted Budget 2020-21⁽³⁾	Audited Actuals 2020-21	Adopted Budget 2021-22	Audited Actuals 2021-22	Adopted Budget 2022-23	Audited Actuals 2022-23	Adopted Budget 2023-24	Audited Actuals 2023-24	Adopted Budget 2024-25⁽⁴⁾
Beginning Balance	\$ 1,866.7	\$ 2,049.5	\$ 2,714.4	\$ 2,855.3	\$ 3,567.6	\$ 3,328.3	\$ 5,179.3	\$ 5,708.3	\$ 6,356.9
Revenue									
State Apportionment	\$ 4,122.2	\$ 4,133.6	\$ 4,357.5	\$ 4,487.2	\$ 4,573.8	\$ 4,844.3	\$ 5,080.1	\$ 4,963.7	\$ 4,725.7
Property Taxes	<u>1,407.7</u>	<u>1,522.3</u>	<u>1,466.2</u>	<u>1,551.0</u>	<u>1,511.6</u>	<u>1,749.9</u>	<u>1,658.2</u>	<u>1,771.8</u>	<u>1,721.6</u>
Total LCFF	<u>5,529.9</u>	<u>5,655.9</u>	<u>5,823.7</u>	<u>6,038.2</u>	<u>6,085.4</u>	<u>6,594.2</u>	<u>6,738.3</u>	<u>6,735.5</u>	<u>6,447.3</u>
Federal	1,576.6	1,674.4	4,446.0	1,850.5	2,823.3	2,304.2	1,840.5	2,121.5	862.8
Other State	963.1	1,223.8	1,374.3	1,748.8	1,717.9	2,681.9	1,678.0	1,778.4	1,694.7
Other Local	<u>142.5</u>	<u>190.8</u>	<u>132.5</u>	<u>35.5</u>	<u>168.1</u>	<u>196.2</u>	<u>274.2</u>	<u>582.3</u>	<u>402.5</u>
Total Revenue	<u>\$ 8,212.1</u>	<u>\$ 8,745.0</u>	<u>\$11,776.5</u>	<u>\$ 9,672.9</u>	<u>\$10,794.7</u>	<u>\$11,776.5</u>	<u>\$10,531.0</u>	<u>\$11,217.6</u>	<u>\$ 9,407.3</u>
Total Beginning Balance and Revenue	<u>\$10,078.8</u>	<u>\$10,794.5</u>	<u>\$14,490.9</u>	<u>\$12,528.2</u>	<u>\$14,362.3</u>	<u>\$15,104.8</u>	<u>\$15,710.3</u>	<u>\$16,925.9</u>	<u>\$15,764.3</u>
Expenditures									
Certificated Salaries	\$ 3,252.1	\$ 3,086.7	\$ 3,411.4	\$ 3,379.8	\$ 3,772.5	\$ 3,474.9	\$ 3,730.4	\$ 3,877.7	\$ 4,185.7
Classified Salaries	1,073.5	1,159.8	1,107.2	1,257.2	1,260.8	1,346.1	1,434.0	1,516.3	1,574.1
Employee Benefits	2,169.1	2,151.4	2,437.6	2,370.1	2,798.4	2,592.9	2,820.2	2,919.8	3,069.8
Books and Supplies	1,001.9	621.3	1,638.0	479.4	2,793.8	670.5	1,893.1	602.8	1,196.8
Other Operating Expenses	893.4	1,067.8	1,076.5	1,726.4	1,045.9	1,272.1	1,718.5	1,506.1	1,069.3
Capital Outlay	81.5	95.7	54.3	94.9	17.9	111.1	53.6	113.1	104.3
Debt Service	0.4	0.1	0.3	5.7	0.1	22.4	4.8	26.8	-
Other Outgo	7.7	5.5	7.7	5.5	5.3	6.9	5.8	7.1	6.9
Transfers of Indirect Cost	<u>(27.0)</u>	<u>(22.3)</u>	<u>(31.6)</u>	<u>(24.9)</u>	<u>(30.4)</u>	<u>(24.0)</u>	<u>(20.0)</u>	<u>(20.1)</u>	<u>(43.4)</u>
Total Expenditures	<u>\$ 8,452.7</u>	<u>\$ 8,166.0</u>	<u>\$ 9,701.5</u>	<u>\$ 9,294.1</u>	<u>\$11,664.3</u>	<u>\$ 9,472.9</u>	<u>\$11,640.2</u>	<u>\$10,549.6</u>	<u>\$11,163.5</u>
Excess (Deficiency) of Revenue Over (Under) Expenditures	\$ (240.6)	\$ 579.0	\$ 2,075.0	\$ 378.9	\$ (869.6)	\$2,303.6	\$ (1,109.2)	\$ 668.0	\$ (1,756.2)
Total Other Financing Sources (Uses)	\$ 286.6	\$ 226.8	\$ (25.1)	\$ 94.2	\$ 4.6	\$ 76.3	\$ 2.8	\$ 45.6	\$ (20.2)
Change in Fund Balance	\$ 46.0	\$ 805.8	\$ 2,049.9	\$ 473.0	\$ (865.0)	\$2,379.9	\$ (1,106.4)	\$ 713.6	\$ (1,776.4)
Ending Balance	<u>\$ 1,912.7</u>	<u>\$2,855.3</u>	<u>\$ 4,764.3</u>	<u>\$ 3,328.3</u>	<u>\$2,702.6</u>	<u>\$5,708.2</u>	<u>\$ 4,072.9</u>	<u>\$ 6,421.9</u>	<u>\$ 4,580.5</u>

Source: Los Angeles Unified School District.

TABLE A-4 (CONT.)

LOS ANGELES UNIFIED SCHOOL DISTRICT
General Fund Budget for Fiscal Years 2020-21 through 2024-25
Audited Actuals for Fiscal Years 2020-21 through 2023-24⁽¹⁾⁽²⁾⁽³⁾
(Continued)
(\$ in millions)

Fund Balance⁽⁵⁾									
Nonspendable	\$ 27.3	\$ 58.0	\$ 37.7	\$ 48.0	\$ 46.6	\$ 47.5	\$ 43.0	\$ 49.8	\$ 48.0
Restricted	55.2	200.0	2,731.6	544.3	208.6	1,843.0	1,258.0	1,794.5	1,672.6
Committed	--	--	--	--	1,491.3	2,920.9	1,972.8	2,972.0	1,796.9
Assigned	568.2	1,064.1	592.1	1,596.0	351.6	510.9	451.9	491.5	726.1
Reserved for Economic Uncertainties	85.2	92.0	97.7	199.9	234.1	238.8	233.5	244.9	112.2
Undesignated/Unassigned	<u>1,176.8</u>	<u>1,441.3</u>	<u>1,305.3</u>	<u>940.2</u>	<u>370.4</u>	<u>147.1</u>	<u>113.7</u>	<u>869.0</u>	<u>224.8</u>
	<u>\$1,912.7</u>	<u>\$2,855.3</u>	<u>\$4,764.3</u>	<u>\$3,328.3</u>	<u>\$2,702.6</u>	<u>\$5,708.2</u>	<u>\$4,072.9</u>	<u>\$6,421.9</u>	<u>\$4,580.5</u>

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

⁽²⁾ Includes the Regular Program and the Specially-Funded Programs.

⁽³⁾ The District's original budget for fiscal year 2020-21 was adopted by the District Board on June 30, 2020. On August 25, 2020, the District Board adopted a revised budget for fiscal year 2020-21, which reflects the revised assumptions contained in the Governor's fiscal year 2020-21 State budget. Figures are based on the revised budget for fiscal year 2020-21.

⁽⁴⁾ For information regarding labor agreements not reflected in Fiscal Year 2024-25 Budget, see "-- Employees and Labor Relations -- *Negotiations Regarding Labor Contracts*" below.

⁽⁵⁾ The nonspendable, restricted, committed, assigned, reserved for economic uncertainties and undesignated/unassigned general fund balances in millions of dollars for fiscal years 2013-14 through 2019-20 are as follows: \$19.6, 192.9, --, 336.4, 65.4 and 85.9, respectively, for fiscal year 2013-14; \$20.7, 126.5, --, 418.4, 65.4 and 188.8, respectively, for fiscal year 2014-15; \$31.1, 182.8, 218.3, 558.7, 72.4 and 247.0, respectively, for fiscal year 2015-16; \$23.5, 163.1, --, 783.9, 73.4, and 721.3, respectively, for fiscal year 2016-17; \$27.6, 135.8, --, 1,057.4, 75.4, and 714.7, respectively, for fiscal year 2017-18; \$27.3, 114.6, 174.6, 916.1, 75.6, and 908.6, respectively, for fiscal year 2018-19; and \$37.3, 103.9, 87.6, 1,248.9, 79.0, and 492.4, respectively, for fiscal year 2019-20.

Sources: Los Angeles Unified School District's Adopted Budgets for fiscal years 2020-21 through 2024-25; Audited Annual Financial Report for fiscal years 2020-21 through 2023-24.

Historical Review of District General Fund Actual Revenues and Expenditures. The following Table A-5 sets forth the District’s total revenues, total expenditures and the difference reflected in the actual results for fiscal years 2004-05 through 2023-24.

TABLE A-5
LOS ANGELES UNIFIED SCHOOL DISTRICT
Historical Review of District General Fund Audited Revenues and Expenditures for
Fiscal Years 2004-05 through 2023-24
(\$ in millions)

Fiscal Year	Total Revenues⁽¹⁾	Total Expenditures⁽²⁾	Difference
2004-05	\$ 6,461.93	\$ 6,436.35	\$ 25.58
2005-06	6,572.70	6,487.75	84.95
2006-07	6,994.08	6,733.36	260.72
2007-08	6,954.29	6,992.29	(38.00)
2008-09	6,764.50	6,671.80	92.70
2009-10	6,302.12	6,389.17	(87.05)
2010-11	6,428.93	6,193.37	235.56
2011-12	5,919.59	5,998.31	(78.72)
2012-13	5,722.96	5,955.05	(232.09)
2013-14	5,896.35	5,788.82	107.53
2014-15	6,452.84	6,333.28	119.56
2015-16	7,213.53	6,723.15	490.38
2016-17	7,292.27	6,837.31	454.96
2017-18	7,308.08	7,062.45	245.63
2018-19	7,788.71	7,582.63	206.08
2019-20	7,613.72	7,781.09	(167.37)
2020-21 ⁽³⁾	9,010.00	8,204.19	805.82
2021-22 ⁽³⁾	9,781.49	9,308.46	473.03
2022-23 ⁽³⁾	11,868.39	9,488.47	2,379.92
2023-24 ⁽³⁾	11,288.37	10,574.69	713.68

⁽¹⁾ Includes Other Financing Sources.

⁽²⁾ Includes Other Financing Uses.

⁽³⁾ Increases due to revenues and expenditures related to COVID-19.

Sources: Audited Annual Financial Report for fiscal years 2004-05 through 2023-24.

District Interim Financial Reports. A State law adopted in 1991 (known as “A.B. 1200”) imposed financial reporting requirements on school districts and established guidelines for emergency State aid apportionments. Under the provisions of A.B. 1200 and the Education Code (Section 42100 *et. seq.*), each school district is required to file two interim certifications with the county superintendent of schools (on December 15, for the period ended October 31, and by mid-March for the period ended January 31) as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent fiscal year. The county superintendent of schools reviews the certification and issues either a positive, negative or qualified certification. In the past five fiscal years, the District has received a qualified certification for its first interim report for fiscal year 2021-22.

A positive certification is assigned to any school district that, based on then current projections, will meet its financial obligations for the current fiscal year and the subsequent two fiscal years. A negative certification is assigned to any school district that, based on then current projections, will be unable to meet its financial obligations for the remainder of the fiscal year or the subsequent fiscal year. A qualified certification is assigned to any school district that, based on then current projections, may not meet its financial obligations for the current fiscal year or the two subsequent fiscal years. A certification may be revised to a negative or qualified certification by the county superintendent of schools, as appropriate. A school district that receives a qualified or negative certification for its second interim report must provide to the county superintendent of schools, the State Controller and the Superintendent no later than June 1,

financial statement projections of the school district's fund and cash balances through June 30 for the period ending April 30. Any school district that receives a qualified or negative certification in any fiscal year may not issue, in that fiscal year or in the next succeeding fiscal year, certificates of participation, tax and revenue anticipation notes, revenue bonds or any other debt instruments that do not require the approval of the voters of the school district, unless the county superintendent of schools determines that the school district's repayment of indebtedness is probable.

For school districts under fiscal distress, the county superintendent of schools is authorized to take a number of actions to ensure that the school district meets its financial obligations, including budget revisions. However, the county superintendent of schools is not authorized to approve any diversion of revenue from *ad valorem* property taxes levied to pay debt service on district general obligation bonds. A school district that becomes insolvent may, upon the approval of a fiscal plan by the county superintendent of schools, request an emergency appropriation from the State, in which case the county superintendent of schools, the Superintendent of Public Instruction and the president of the State board or the president's designee will appoint a trustee to serve the school district until it has adequate fiscal systems and controls in place. The acceptance by a school district of an emergency apportionment exceeding 200% of the reserve recommended for that school district constitutes an agreement that the county superintendent of schools will assume control of the school district in order to ensure the school district's return to fiscal solvency.

In the event the State elects to provide an emergency apportionment to a school district, such apportionment will constitute an advance payment of apportionments owed to the school district from the State School Fund and the Education Protection Account. The emergency apportionment may be accomplished in two ways. First, a school district may participate in a two-part financing in which the school district receives an interim loan from the State general fund, with the agreement that the school district will subsequently enter into a lease financing with the California Infrastructure and Economic Development Bank for purposes of financing the emergency apportionment, including repaying such amounts advanced to the State general fund. State law provides that so long as bonds from such lease financing are outstanding, the recipient school district (via its administrator) cannot file for bankruptcy. As an alternative, a school district may receive an emergency apportionment from the State general fund that must be repaid in 20 years. Each year, the Superintendent of Public Instruction will withhold from the apportionments to be made to the school district from the State School Fund and the Education Protection Account an amount equal to the emergency apportionment repayment that becomes due that year. The determination as to whether the emergency apportionment will take the form of a lease financing or an emergency apportionment from the State general fund will be based upon the availability of funds within the State general fund.

Second Interim Financial Report for Fiscal Year 2024-25. The District submitted the Fiscal Year 2024-25 Second Interim Report to LACOE with a positive certification. Based on the 2024-25 Second Interim Report, the District expects to meet its financial commitments and satisfy the 5% Minimum Reserve Threshold and the 1% statutory reserve requirement for fiscal years 2024-25, 2025-26 and 2026-27. The 2024-25 Second Interim Report provides that the District continues to be challenged with deficit spending wherein expenditures are greater than projected revenues.

The 2024-25 Second Interim Report projects a General Fund ending balance of approximately \$4.188 billion for fiscal year 2024-25, consisting of a projected unrestricted General Fund ending balance of approximately \$3.38 billion and a projected restricted General Fund ending balance of \$804.3 million for fiscal year 2024-25. The projected Fiscal Year 2024-25 unrestricted General Fund ending balance consists of non-spendable, assigned, unassigned reserve for economic uncertainties and unassigned/unappropriated components in the amounts of approximately \$49.47 million, \$1.22 billion, \$132.75 million, and \$1.98 billion, respectively.

The 2024-25 Second Interim Report acknowledges the 2024-25 State Budget addressed a \$47 billion deficit through a mix of solutions and included plans to tackle the fiscal year 2025-26 budget deficit

as well. The 2024-25 Second Interim Report further acknowledges LAO’s warning of potential annual operating State deficits beginning in fiscal year 2026-27. See “STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act.” In May 2025, the Governor will revise the Proposed 2025-26 State Budget based on updated information available at such time. Such revision may differ substantially from the Proposed 2025-26 State Budget, and could result in negative impacts to State K-12 education funding in fiscal year 2024-25. The District cannot predict the impact that the final fiscal year 2025-26 State budget, or subsequent budgets, will have on its finances and operations.

The District revises its projections of revenues, expenditures, and ending fund balances contained in the Fiscal Year 2024-25 Budget as more financial data becomes available throughout the fiscal year. The 2024-25 Second Interim Report reflects the District’s projections for fiscal year 2024-25 for the period from July 1, 2024 through January 31, 2025. It also reflects multi-year projections through fiscal year 2026-27. The achievement of certain results or other expectations contained in the 2024-25 Second Interim Report involves known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described therein to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. All projections, forecasts, assumptions, expressions of opinions, estimates, and other forward-looking statements contained in the 2024-25 Second Interim Report are expressly qualified in their entirety by the foregoing and the other cautionary statements.

The following Table A-6 sets forth budgeted revenues and expenditures and projected year-end amounts, including projected and year-end General Fund Balances, as reported in the Fiscal Year 2024-25 Budget and the 2024-25 Second Interim Report.

TABLE A-6
LOS ANGELES UNIFIED SCHOOL DISTRICT
District General Fund Summary of Fund Balances, Revenues and Expenditures
Fiscal Year 2024-25
(\$ in millions)

	Fiscal Year 2024-25 Final Adopted Budget	Fiscal Year 2024-25 Second Interim Report
Beginning Balance	\$6,413.6 ⁽¹⁾	\$6,413.6 ⁽²⁾
Revenues	9,407.3	9,425.2
Expenditures	11,163.6	11,046.8
Excess (Deficiency) of Revenues Over Expenditures Before Other Financing Sources and Uses	(1,756.2)	(1,621.6)
Other Financing Sources/Uses	(20.16)	(612.7)
Ending Balance	\$4,580.5	\$4,187.6

⁽¹⁾ Does not include restatements.

⁽²⁾ Does not include audit adjustments.

Sources: Los Angeles Unified School District Fiscal Year 2023-24 Final Adopted Budget; 2024-25 Second Interim Report.

LACOE’s Review of Fiscal Year 2024-25 First Interim Report. In its January 2025 letter to the District, LACOE concurred with the District’s positive certification on the 2024-25 First Interim Report. LACOE pointed out that the 2024-25 First Interim Report projected operating deficits in fiscal years 2024-25 and 2025-26, emphasizing the erosion of projected General Fund balances. LACOE acknowledged that the 2024-25 First Interim Report projected maintaining the required level of reserves but recommended that the District monitor causes for deficit spending to prevent additional fund balance erosion. LACOE also indicated that the 2023-24 First Interim Report reflected declining enrollment and funding under LCFF based on three-year average daily attendance for fiscal years 2024-25, 2025-26, and 2026-27, and

highlighted the impacts of declining enrollment, emphasizing that continued declines in enrollment and attendance will result in a loss of revenue for the District in future years. LACOE recommended the District carefully monitor its enrollment and attendance trends and adjust financial projections for the current and subsequent fiscal years accordingly to reflect the resulting impact. LACOE also indicated that staffing needs and facilities planning should also be assessed and adjusted based on the projected rate of decline in enrollment.

Employees and Labor Relations

General. The District has twelve bargaining units with existing contracts. The largest bargaining unit among the District’s employees is United Teachers Los Angeles (“UTLA”), which is comprised of among other employees, teachers, counselors, advisers, nurses, psychologists, and social workers. In addition, certain employees are not represented by a formal bargaining unit (the “District Represented Employees”). The following Table A-7 sets forth the number of members of each bargaining unit as of January 1, 2025, and the expiration dates of the existing or successor labor agreements with each of the District’s employee bargaining units.

TABLE A-7
LOS ANGELES UNIFIED SCHOOL DISTRICT
Employee Bargaining Units and Contract Expiration Dates
As of January 1, 2025

Employee Bargaining Unit	Members	Contract Expiration Date (June 30)
Associated Administrators of Los Angeles (“AALA”) (Certificated)	2,599	2025
Unit A (School Police)	258	2025
Unit B (Instructional Aides)	14,245	2024 ⁽²⁾
Unit C (Operations – Support Services)	8,189	2024 ⁽²⁾
Unit D (Office – Technical and Business Services)	4,512	2026
Unit E (Skilled Crafts)	1,436	2025
Unit F (Teacher Assistants)	1,328	2024 ⁽²⁾
Unit G (Playground Aides)	6,757	2024 ⁽²⁾
Unit H (Sergeants and Lieutenants)	50	2025
Unit J (Classified Management)	429	2025
Unit S (Classified Supervisors)	3,271	2024 ⁽²⁾
United Teachers Los Angeles	37,399	2025
District Represented Employees ⁽¹⁾	488	N/A

⁽¹⁾ District-represented employees include employees that are not represented by a union due to their designation as management, confidential or unrepresented employees. Does not include unrepresented seasonal employees or employees in positions not yet assigned to a union.

⁽²⁾ Each bargaining unit with an expired contract is operating under the terms of the expired contract until a new contract is negotiated and agreed upon.

Source: Los Angeles Unified School District Office of Labor Relations.

Negotiations Regarding Labor Contracts. The United Teachers Los Angeles (“UTLA”) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “UTLA Agreement”). For fiscal year 2022-23, the UTLA Agreement provides for a 3% on schedule retroactive wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% on schedule retroactive wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023. For fiscal year 2023-24, the UTLA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024. For fiscal year 2024-25, the UTLA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. In addition, the UTLA Agreement (a) provides for certain on schedule

salary increases for certain employee groups, including special and early education teachers, nurses and table employees, (b) provides for academic class size reduction in certain schools, (c) for adjustments in staffing ratios for counselors, pupil services and attendance counselors (PSA) and psychiatric social workers (PSW), (d) provides for additional funding for certain community schools, (e) for additional community school coach positions, and (f) includes differential pay increases for certain positions and programs. There are no reopeners provided for in the UTLA Agreement. The financial impacts of the UTLA Agreement are incorporated as expenditures in the Fiscal Year 2024-25 Budget. UTLA and the District have commenced successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28.

SEIU Local 99 (Units B, C, F and G) and the District reached a one-year agreement for fiscal year 2020-21, and a three-year agreement for fiscal years 2021-22 through 2023-24 (collectively, the “SEIU Agreements”). Under the SEIU Agreements, (a) based on the salary table effective July 1, 2021, all SEIU bargaining unit members will receive a 6% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables; (b) based on the salary table effective July 1, 2022, all SEIU bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables; (c) based on the salary table effective July 1, 2023, all SEIU bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables, and (d) based on the salary table effective January 1, 2024, there will be a \$2.00 per hour on-schedule wage increase applied to all pay scale groups and levels of the base salary table. In addition, the SEIU Agreements (a) provide for the funding an Education and Professional Development Fund in the amount of \$3 million, (b) effective January 1, 2024, make employees assigned 4 hours per day or 80 hours per month, with respect to Units F and G, eligible (along with eligible dependents) to enroll in certain low cost health insurance plans or receive a cash amount if the employee opts out, and (c) include certain pay differentials and one-time pay increases. There are no reopeners provided for in the SEIU Agreements. SEIU Local 99 (Units B, C, F and G) and the District are in successor negotiations for a three-year agreement for Fiscal Years 2024-25, 2025-26 and 2026-27. Any financial impacts of a successor agreement will be incorporated into future budget projections once negotiations are concluded and the agreements are ratified by the unions and adopted by the Board.

AALA (Certificated Administrators) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “AALA (Certificated Administrators) Agreement”) with on schedule salary increases to be applied to the AALA (Certificated Administrators) master salary table comparable to the increases provided to UTLA in the UTLA Agreement. There are no reopeners provided for in the AALA (Certificated Administrators) Agreement. As a result of such agreement, the District anticipates an increase in fiscal year 2023-24 expenditures of approximately \$87.07 million (all funds), of which approximately \$81.10 million relate to the District’s general fund. Of such amounts, approximately \$25.07 million (all funds) of such expenditures (\$23.36 million related to the District’s general fund) reflect expenditures attributable to fiscal year 2022-23 and are to be paid in fiscal year 2023-24. The financial impacts of the AALA (Certificated Administrators) Agreement are incorporated as expenditures in the Fiscal Year 2024-25 Budget. AALA (Certificated Administrators) and the District have commenced successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28.

CSEA (Unit D – Technical and Business Services) and the District have reached a three-year agreement for fiscal years 2023-24 through 2025-26 (the “CSEA Agreement”). The CSEA Agreement provides for one reopener for fiscal year 2024-25 and fiscal year 2025-26. Based on the salary table effective July 1, 2023, all CSEA bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables, and based on the salary table effective January 1, 2024, there will be a \$2.00 per hour on-schedule wage increase applied to all pay scale groups and levels of the base salary table. The CSEA Agreement also provides for an increase to \$22.52 effective January 1, 2024, for the classifications of Office Technician, Parent Education Support Assistant, Parent Resource Assistant, Microfilm Operator, Clerk, and Student Integration Helper. The financial impacts of the CSEA Agreement are incorporated in the Fiscal Year 2024-25 Budget. CSEA (Unit D – Technical and Business

Services) and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2026-27 through 2028-29 after January 1, 2026.

Teamsters (Unit S – Classified Supervisors) and the District reached a three-year agreement for fiscal years 2021-22 through 2023-24 (the “Teamsters Agreement”). Under the Teamsters Agreement (a) based on the salary table effective July 1, 2021, all Teamsters bargaining unit members will receive a 1% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables (which is in addition to the 5% increase previously agreed to and applied); (b) based on the salary table effective July 1, 2022, all Teamsters bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables; (c) based on the salary table effective July 1, 2023, all Teamsters bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables, and (d) based on the salary table effective January 1, 2024, there will be a \$2.00 per hour on-schedule wage increase applied to all pay scale groups and levels of the base salary table. Teamsters (Unit S – Classified Supervisors) and the District are in successor negotiations for a three-year agreement for Fiscal Years 2024-25, 2025-26 and 2026-27. Any financial impacts of a successor agreement will be incorporated into future budget projections once negotiations are concluded and the agreements are ratified by the unions and adopted by the Board.

LASPA (Unit A – School Police) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “LASPA Agreement”). The LASPA Agreement provides, with respect to sworn officers, (a) for fiscal year 2022-23, a 3% retroactive on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% retroactive on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023; (b) for fiscal year 2023-24, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024; and (c) for fiscal year 2024-25, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. The LASPA Agreement provides, with respect to school safety officers, (a) for fiscal year 2022-23, a 7% retroactive on schedule wage increase applied to the base salary tables effective July 1, 2022; (b) for fiscal year 2023-24, a 7% on schedule wage increase applied to the base salary tables effective July 1, 2023; and (b) for a Step 1 an increase to \$22.52 effective January 1, 2024, with the subsequent Steps applied accordingly. The classification of school safety officer is not included in the on-schedule fiscal year 2024-25 wage increase as the additional increase is being provided on January 1, 2024. There are no reopeners provided for in the LASPA Agreement. The financial impacts of the LASPA Agreement are incorporated as expenditures into the Fiscal Year 2024-25 Budget. LASPA and the District are currently in dispute over LASPA’s assertion that they are entitled to a \$1.00 per hour increase for fiscal year 2019-20. LASPA (Unit A – School Police) and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28 in 2025.

LASPMA (Unit H – School Police Management) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “LASPMA Agreement”). For fiscal year 2022-23, the LASPMA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023. For fiscal year 2023-24, the LASPMA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024. For fiscal year 2024-25, the LASPMA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024 and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. There are no reopeners provided for in the LASPMA Agreement. The financial impacts of the LASPMA Agreement are incorporated as expenditures into the Fiscal Year 2024-25 Budget. LASPMA (Unit H – School Police Management) and

the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28 in 2025.

“Trades” (Unit E) and the District reached agreements for fiscal years 2022-23 through 2024-25 (the “Trades Agreement”). The Trades Agreement provides (a) for fiscal year 2022-23, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023; (b) for fiscal year 2023-24, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024; and (c) for fiscal year 2024-25, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. During the term of the Trades Agreement for fiscal years 2022-23 through 2024-25, the District and Trades have agreed to reopen on two items – health and welfare and deferred compensation, but have not begun negotiations. The financial impacts of the Trades Agreement for scheduled wage increases are incorporated into the Fiscal Year 2024-25 Budget. “Trades” (Unit E) and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28 in 2025.

AALA (Unit J – Classified Managers) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “AALA Agreement”). The AALA Agreement provides (a) for fiscal year 2022-23, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023; (b) for fiscal year 2023-24, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024; and (c) for fiscal year 2024-25, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. There are no reopeners provided for in the AALA Agreement. The financial impacts of the AALA Agreement are incorporated as expenditures in the Fiscal Year 2024-25 Budget. AALA (Unit J – Classified Managers) and the District have commenced successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28.

Employees that are classified as “District-represented” are not in a formal bargaining unit. In alignment with District Board-approved labor agreements discussed above, District-represented employees will receive comparable compensation adjustments. District-represented employees as well as employees in positions that have not yet been assigned a union, totaling approximately 2,200 positions, with salaries within the range of union-represented classifications, will receive a 21% wage increase, beginning with 3% effective July 1, 2022; 4% on January 1, 2023; 3% on July 1, 2023; 4% on Jan. 1, 2024; 3% on July 1, 2024; and 4% on Jan. 1, 2025. District-represented employees, totaling approximately 87 positions, with salaries outside of the range of union-represented classifications, will receive a 15% wage increase, beginning with 3% effective July 1, 2022; 4% on January 1, 2023; 2% on July 1, 2023; 2% on Jan. 1, 2024; 2% on July 1, 2024; and 2% on Jan. 1, 2025. The financial impacts of the District-represented agreement are incorporated as expenditures into the Fiscal Year 2024-25 Budget.

The District entered a memorandum of understanding with SEIU and UTLA modifying the three-year tentative instructional calendar approved by the District Board on March 27, 2023, to a two-year instructional calendar (fiscal years 2023-24 and 2024-25). The memorandum of understanding maintains a three-week (15 days) winter break, provides for three additional instructional days to make up for lost instructional days in March 2023, and provides for instruction, enrichment, nutrition and child supervision through a voluntary winter recess academy in each such fiscal year. Subsequently, on December 11, 2023, the District entered a memorandum of understanding with CSEA with the same provisions outlined above

in the SEIU and UTLA instructional calendar memorandum of understanding. The financial impacts of the memorandum of understanding with SEIU and UTLA and memorandum of understanding with CSEA are incorporated into the Fiscal Year 2024-25 Budget.

Health and Welfare Agreement. On October 5, 2023, the District reached a two-year agreement (the “Health and Welfare Agreement”) with all of its bargaining units for calendar years 2024 and 2025 to continue providing health and welfare benefits for active employees and retirees at no additional cost to participants. Under the Health and Welfare Agreement, the District will make contributions to fully fund the per-participant actual costs of current health and welfare benefits, including administrative cost, for the 2024 and 2025 calendar years. This is exclusive of any plan design changes that increase benefit costs and is different than previous agreements where the District’s obligation was to pay a fixed dollar amount for each participant category. The Health and Welfare Agreement also provides that any unspent health care reserve funds held pursuant to the District’s prior health and welfare agreements will be maintained as reserves for the term of the Health and Welfare Agreement and used to improve or adjust health care plan designs as agreed to from time to time by the parties and approved by the District Board. As of June 30, 2023, and June 30, 2024, the District had \$107.7 million and \$(7.0) million, respectively, in health care reserves. The deficit has been addressed by increasing the annual rate for fiscal year 2024-25, from \$15,500 to \$18,400 per employee. The financial impacts of the Health and Welfare Agreement are incorporated as expenditures in the Fiscal Year 2024-25 Budget. Future District health and welfare contributions are subject to negotiations for a successor agreement. It is anticipated that such negotiations will commence in 2025.

Reduction in Force and Release Notices. In general, pursuant to Sections 44949 and 44951 of the Education Code, the District must give written notice to a certificated employee no later than March 15 if such certificated employee is to be released or reassigned for the ensuing school year. Similarly, pursuant to Section 45117 of the Education Code, the District must give written notice to a classified employee no later than March 15 if such classified employee is to be laid off for the ensuing school year. Further, pursuant to Sections 44955.5 and 45117(d) of the Education Code (as applicable), the District Board has the authority to terminate the services of certificated and classified employees between the period commencing five days after the enactment of the annual State Budget Act and August 15 of the fiscal year to which the State Budget Act applies if the District’s LCFF apportionment per unit of ADA has not increased by at least 2% for such fiscal year. To provide flexibility in the event budget reductions are necessary in a given fiscal year, the District Board may approve the use of reduction in force and release notices for a portion of its certificated and classified employees. The Board approved release notices, which were sent to certificated employees before March 15, 2025. To date, however, no employees have been released. There were no reduction in force notices approved by the District before March 15, 2025, for the 2025-26 school year.

Retirement Systems

General. The District currently participates in CalSTRS, CalPERS and PARS (defined herein). The amounts of the District’s contributions to CalSTRS, CalPERS and PARS are subject to, among other things, modifications to or approvals of collective bargaining agreements and any changes in actuarial assumptions used by CalSTRS, CalPERS and PARS.

The information set forth below regarding CalSTRS and CalPERS and their respective actuarial valuations and comprehensive annual financial reports has been obtained from publicly available sources and has not been independently verified by the District and is not guaranteed as to the accuracy or completeness thereof by or to be construed as a representation by the District. Furthermore, the summary data below should not be read as current or definitive, as recent gains or losses on investments made by the retirement systems generally may have changed the unfunded actuarial accrued liabilities stated below.

The following Table A-8 sets forth the District’s aggregate contributions to CalSTRS, CalPERS and PARS, inclusive of employee contributions to CalPERS paid by the District, for fiscal years 2020-21

through 2023-24 and the budgeted contribution for fiscal year 2024-25 and these contributions as a percentage of the District's Total Governmental Funds expenditures for fiscal years 2020-21 through 2024-25. See Table A-8 "Annual Regular CalSTRS Contributions," Table A-10 "Annual CalPERS Regular Contributions" and Table A-13 "Annual PARS Contribution." See also the District's financial statements contained in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024."

TABLE A-8
LOS ANGELES UNIFIED SCHOOL DISTRICT
Aggregate Employer Contributions to CalSTRS, CalPERS and PARS
Fiscal Years 2020-21 through 2024-25
(\$ in millions)

Fiscal Year	District Contributions⁽¹⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2020-21	\$ 762.30	7.06%
2021-22	869.20	7.12
2022-23	1,040.40	8.36
2023-24 ⁽²⁾	1,201.06	8.60
2024-25 ⁽³⁾	1,344.09	8.58

⁽¹⁾ Reflects data for all District Funds, including the District's General Fund. Excludes on-behalf payments from the State to CalSTRS and CalPERS.

⁽²⁾ Audited.

⁽³⁾ Budgeted in Fiscal Year 2024-25 Budget. Amounts do not reflect labor agreements not reflected in Fiscal Year 2024-25 Budget. For a discussion of pending labor agreements not reflected in the Fiscal Year 2024-25 Budget, see "– Employees and Labor Relations – Negotiations Regarding Labor Contracts" above.

Sources: Audited Annual Financial Report for fiscal years 2020-21 through 2023-24; Fiscal Year 2024-25 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

California State Teachers' Retirement System. CalSTRS is a defined benefit plan that covers all full-time certificated District employees and some classified District employees, which are District employees employed in a position that does not require a teaching credential from the State. Benefit provisions are established by State legislation in accordance with the State Teachers' Retirement Law. CalSTRS is operated on a Statewide basis and, based on publicly available information, has substantial unfunded liabilities. Additional funding of CalSTRS by the State and the inclusion of adjustments to such State contributions based on consumer price changes were provided for in 1979 Statutes, Chapter 282. Copies of CalSTRS' comprehensive annual financial reports may be obtained from CalSTRS, P.O. Box 15275, Sacramento, California 95851-0275. The information presented in these reports is not incorporated by reference in this Official Statement.

Member benefits are determined pursuant to the Education Code and are generally based on a member's age, final compensation and years of credited service. Members are 100% vested in retirement benefits after five years of credited service and are eligible for "normal" retirement at age 60 and for early retirement at age 55 or at age 50 with 30 years of credited service. The normal retirement benefit is 2% of final compensation (as defined in the Education Code) for each year of credited service (up to 2.4% of final compensation for members retiring after age 60), and members who retire on or after January 1, 2011 with 30 or more years of service by December 31, 2010 receive monthly bonus payments of up to \$400 per month. Members hired on or after January 1, 2013 who retire at age 62 are eligible for a benefit equal to 2% of final compensation for each year of credited service (up to 2.4% of final compensation for members retiring after age 62). Benefits include a 2% cost of living increase (computed on a simple, non-compounded, basis based on the initial allowance) on each September 1 following the first anniversary of the effective date of the benefit. See "– California Public Employees' Pension Reform Act of 2013" herein and Note 9 set forth in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024."

Funding; Contributions. The CalSTRS defined benefit plan (the “DB Plan”) is funded through a combination of investment earnings and statutorily set contributions from members of CalSTRS, the participating employers (including the District) and the State. Prior to fiscal year 2014-15, the statutorily-set rate did not vary annually to adjust for funding shortfalls or actuarial surpluses. As a result, the combined employer, employee and State contributions to the DB Plan were not sufficient to pay actuarially required amounts. To address the shortfall, Assembly Bill 1469 (“AB 1469”), signed into law by the Governor as part of the State budget for fiscal year 2014-15, increased member, employer and State contributions as part of a plan to eliminate by June 30, 2046, CalSTRS’ unfunded liability for service credited to members of the CalSTRS defined benefit program before July 1, 2014.

Pursuant to AB 1469, since fiscal year 2021-22, the State Teachers’ Retirement Board is authorized to modify the percentages paid by employers and employees to eliminate by June 30, 2046, CalSTRS’ unfunded liability for service credited to members of the CalSTRS defined benefit program before July 1, 2014, based upon actuarial recommendations and subject to certain limitations. The State Teachers’ Retirement Board may not increase the employer contribution rate by more than 1% in any fiscal year up to a maximum contribution rate of 20.25%. The State Teachers’ Retirement Board may also adjust the State’s contribution rate by a maximum of 0.5% from year to year, based on the funding status of the CalSTRS actuarially determined unfunded liability. A decrease in investment earnings may result in increased employer contribution rates in order to timely eliminate by June 30, 2046, CalSTRS’ unfunded liability for service credited to members of the CalSTRS defined benefit program before July 1, 2014, based upon actuarial recommendations. The District cannot predict the impact of State, national, and international events on investment earnings and contribution rates or the amount the District will be required to pay for pension related costs in future fiscal years.

The State is not an employer (with certain limited exceptions) in any of the CalSTRS programs but contributes to the DB Plan and a supplemental benefits maintenance account pursuant to provisions of the Education Code. For fiscal year 2023-24, the State contributed 8.328% of members’ annual earnings to the DB Plan and an additional 2.5% of member earnings into the CalSTRS supplemental benefit maintenance account, which is used to maintain the purchasing power of benefits. The State’s contribution rate for fiscal year 2024-25 will remain at 8.328% of members’ annual earnings to the DB Plan and an additional payment of 2.5% of member earnings into the CalSTRS supplemental benefit maintenance account.

The District’s employer contribution rate for fiscal year 2023-24 was 19.10% of covered payroll. The District’s employer contribution rate for fiscal year 2024-25 will remain at 19.10% of covered payroll. The District’s employer contribution rate is inclusive of the employer base contribution of 8.25% of payroll provided by the Education Code.

The employee contribution rate for CalSTRS members first hired on or before December 31, 2012 to perform CalSTRS creditable activities (i.e., CalSTRS 2% at 60 members) was 10.25% for fiscal years 2016-17 through 2023-24 and will remain at 10.25% for fiscal year 2024-25. The employee contribution rate for CalSTRS members first hired on or after January 1, 2013 to perform CalSTRS creditable activities (i.e., CalSTRS 2% at 62 members) was 9.205% for fiscal years 2016-17 and 2017-18, 10.205% for fiscal years 2018-19 through 2023-24, and will remain at 10.205% for fiscal year 2024-25.

The following Table A-9 sets forth the District’s regular annual contributions to CalSTRS for fiscal years 2020-21 through 2023-24 and the budgeted contribution for fiscal year 2024-25 and such contributions as a percentage of the District’s Total Governmental Funds expenditures for fiscal years 2020-21 through 2024-25. The District has always paid all required CalSTRS annual contributions. As of January 1, 2025, 39,045 District employees were members of CalSTRS.

TABLE A-9
LOS ANGELES UNIFIED SCHOOL DISTRICT
Annual Regular CalSTRS Contributions
Fiscal Years 2020-21 through 2024-25
(\$ in millions)

Fiscal Year	CalSTRS Employer Rate	District Contributions⁽¹⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2020-21	16.15%	\$497.7	4.61%
2021-22	16.92	563.9	4.62
2022-23	19.10	663.9	5.33
2023-24 ⁽²⁾	19.10	740.7	5.30
2024-25 ⁽³⁾	19.10	819.5	5.23

⁽¹⁾ Reflects data for all District Funds, including the District's General Fund. Excludes on-behalf payments from the State to CalSTRS.

⁽²⁾ Audited.

⁽³⁾ Budgeted in Fiscal Year 2024-25 Budget. Amounts do not reflect labor agreements not reflected in Fiscal Year 2024-25 Budget. For a discussion of pending labor agreements not reflected in the Fiscal Year 2024-25 Budget, see "– Employees and Labor Relations – *Negotiations Regarding Labor Contracts*" above.

Sources: Audited Annual Financial Report for fiscal years 2020-21 through 2023-24; Fiscal Year 2024-25 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

Actuarial Valuation. The State Teachers' Retirement Board has sole authority to determine the actuarial assumptions and methods used for the valuation of the DB Plan. CalSTRS actuarial consultant (the "Actuarial Consultant") determines the actuarial value of the DB Plan's assets by using a one-third smoothed recognition method of the difference between the actual market value of assets to the expected actuarial value of assets. Accordingly, the actuarial value of assets will not reflect the entire impact of certain investment gains or losses on an actuarial basis as of the date of the valuation or legislation enacted subsequent to the date of the valuation.

The actuarial valuation for the entire CalSTRS defined benefit program as of June 30, 2023 (the "2023 CalSTRS Actuarial Valuation") showed an estimated unfunded actuarial liability of \$86.59 billion, a decrease of approximately \$1.97 billion from the June 30, 2022, valuation. Such estimated unfunded actuarial liability was projected to decrease in the June 30, 2022, valuation, which projected an unfunded actuarial liability of \$88.10 billion as of June 30, 2023. The actual unfunded actuarial liability as of June 30, 2023, represents a net actuarial gain of approximately \$1.52 billion. Such net actuarial gain is due primarily to change in actuarial value assumptions based on the most recent experience analysis, member salary increases being more than assumed, market value returns (estimated at 6.50%) being less than assumed (7.00%) and returns on actuarial value of assets (estimated at 7.20%) being greater than assumed as the recognition of actuarial investment gains which were previously deferred had a greater impact on recognition of the less-than-assumed market return for the most recent year. The funded ratios of the actuarial value of valuation assets over the actuarial accrued liabilities as of June 30, 2023, and June 30, 2022, based on the actuarial assumptions, were approximately 75.90% and 74.40%, respectively. According to the 2023 CalSTRS Actuarial Valuation, the funded ratio increased by 1.50% during the past year. As described in the 2023 CalSTRS Actuarial Valuation, the increase in the funded ratio is primarily due to the new assumptions and contributions made to pay down the unfunded actuarial obligation in fiscal year 2022-23. Persistent negative returns on investments may result in increased employer contribution rates above the current level of expected increases. The District cannot predict the impact of State, national, and international events on investment returns and employer contribution rates or the amount the District will be required to pay for pension related costs. Accordingly, there can be no assurances that the District's required contributions to CalSTRS will not increase in the future, subject to the limitations of AB 1469.

The following are certain of the actuarial assumptions set forth in the 2023 CalSTRS Actuarial Valuation: measurement of accruing costs by the "Entry Age Normal Actuarial Cost Method," an assumed

7.00% investment rate of return for measurements subsequent to June 30, 2016, 3.00% interest on member accounts, 3.50% projected wage growth, 3.25% payroll growth, and 2.75% projected inflation and demographic assumptions relating to mortality rates, length of service, rates of disability, rates of withdrawal, probability of refund, and merit salary increases. Future estimates of the actuarial unfunded liability may change due to market performance, legislative actions and other experience that may differ from the actuarial assumptions used for the CalSTRS valuation. The 2023 CalSTRS Actuarial Valuation also assumes that all members hired on or after January 1, 2013, are subject to the provisions of PEPRA (as defined herein). See “– *California Public Employees’ Pension Reform Act of 2013*” below for a discussion of the pension reform measure signed by the Governor in September 2012 expected to help reduce future pension obligations of public employers with respect to employees hired on or after January 1, 2013.

The CalSTRS ACFR for fiscal year 2022-23 (the “2022-23 CalSTRS ACFR”) states that during fiscal year 2022-23, CalSTRS included 39,127 covered employees of the District in its State Teachers’ Retirement Program and 3,956 covered employees of the District in its tax-deferred defined contribution plans under Sections 403(b) and 457 of the Internal Revenue Code (the “Pension2 Program”). Accordingly, covered employees of the District represented approximately 7.60% and 11.40% of covered employees in the State Teachers’ Retirement Program and Pension2 Program, respectively.

The UAAL and funded status of the CalSTRS pension fund as of June 30 of fiscal years ended June 30, 2019, through June 30, 2023, are set forth in the following Table A-10. The fair market value of the CalSTRS pension fund as of June 30, 2022, and June 30, 2023, was approximately \$260.29 billion and \$274.17 billion, respectively, based on total system assets less amounts allocable to the CalSTRS Supplemental Benefits Maintenance Account Reserve. The individual funding progress for the District and the District’s proportionate share of CalSTRS’ net pension liability is set forth in the District’s audited financial statements. See “– *Pension Accounting and Financial Reporting Standards*” herein and Note 9 set forth in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

TABLE A-10
Actuarial Value of CalSTRS Defined Benefit Program
Valuation Dates June 30, 2019 through June 30, 2023
(\$ in billions)

Valuation Date (June 30)	Actuarial Obligation	Actuarial Value of Assets⁽¹⁾	Market Value of Assets	Unfunded Actuarial Obligation	Funded Ratio (Actuarial Value)	Funded Ratio (Fair Market Value)
2019	\$310.719	\$205.016	\$225.466	\$105.7	66.0%	67.0%
2020	322.127	216.252	233.253	105.9	67.1	66.5
2021	332.082	242.363	292.980	89.7	73.0	81.9
2022	346.089	257.537	283.340	88.6	74.4	75.2
2023	359.741	273.155	299.148	86.6	75.9	76.2

⁽¹⁾ Actuarial Value of Assets does not include amounts allocable to the CalSTRS Supplemental Benefits Maintenance Account Reserve which was \$17.38 billion as of June 30, 2019, \$19.13 billion as of June 30, 2020, \$21.03 billion as of June 30, 2021, and \$23.05 billion as of June 30, 2022; and \$24.98 billion as of June 30, 2023.

Sources: California State Teachers’ Retirement System Defined Benefit Program Actuarial Valuations as of June 30, 2019 through June 30, 2023.

District Proportionate Share. As of June 30, 2024, the District’s proportionate share of CalSTRS’ net pension liability was approximately \$4.0 billion, based on a discount rate of 7.10%. The net pension liability was measured as of June 30, 2023, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District’s proportion of the net pension liability was based on the fiscal year 2022-23 employer contributions calculated by CalSTRS with consideration given to separately financed and irregular employer contributions relative to the projected contributions of all participating employer and non-employer contributing entities. At June 30, 2023, the District’s proportionate rate was 5.133%. See Note 9(b) of the District’s financial statements in APPENDIX

B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

California Public Employees’ Retirement System. CalPERS is a defined benefit plan that covers classified personnel who work four or more hours per day. CalPERS is operated on a Statewide basis and, based on publicly available information, has significant unfunded liabilities. CalPERS issues a comprehensive annual financial report and actuarial valuations that include financial statements and required supplementary information. Copies of the CalPERS ACFRs and actuarial valuations may be obtained from the CalPERS Financial Services Division, P.O. Box 942703, Sacramento, California 94229-2703. The information set forth therein is not incorporated by reference in this Official Statement. Benefit provisions are established by State legislation in accordance with the Public Employees’ Retirement Law and are generally based on a member’s age, final compensation, and years of credited service. For a description of member benefits for both the Safety Plan and Miscellaneous Plan of the District administered by CalPERS, see Note 9(a) set forth in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

Funding; Contributions. All qualifying classified employees of K-12 school districts in the State are members in CalPERS. All school districts contributing to CalPERS participate in the same plan and share the same contribution rate in each year. Unlike contributions to CalSTRS, however, which incrementally increase at statutorily set rates, school districts’ contributions to CalPERS fluctuate each year and include a normal cost component and a component equal to an amortized amount of the unfunded liability of CalPERS. Accordingly, the District cannot provide any assurances that the District’s required contributions to CalPERS in future years will not significantly vary from any current projected levels of contributions to CalPERS.

CalPERS is funded by employee contributions and investment earnings, with the balance of the funding provided by employer contributions. School districts’ contributions decrease when investment earnings rise and increase when investment earnings decline. As a result, declines in investment earnings may result in substantial increases in school district contributions. The District cannot make any predictions as to the effect of State, national or international events on investment earnings and school district contributions. Participating employees enrolled in CalPERS prior to January 1, 2013 contribute 7.00% of their respective salaries, while participating employees enrolled after January 1, 2013 contribute the higher of fifty percent of normal costs of benefits or an actuarially determined rate of 8.00% in fiscal year 2023-24, which remains at 8.00% in fiscal year 2024-25. School districts are required to contribute to CalPERS at an actuarially determined rate, which was originally 20.733% and 22.68% of eligible salary expenditures for fiscal years 2019-20 and 2020-21, respectively. The employer contribution rate for fiscal year 2019-20, however, was reduced to 19.721% as a result of the State’s buy-down of employer contribution rates in fiscal year 2019-20. Similarly, the fiscal year 2020-21 State budget allocated funding to buy down employer contribution rates in fiscal years 2020-21 and 2021-22 to approximately 20.70% and 22.91%, respectively. The actuarially determined rate for employer contributions was 25.37% for fiscal year 2022-23 and 26.68% for fiscal year 2023-24 and is 27.05% for fiscal year 2024-25. For a description of employer and member contribution rates, see Note 9(a) set forth in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

The following Table A-11 sets forth the District’s employer contribution rates, regular annual contributions, inclusive of employee contributions paid by the District to CalPERS for fiscal years 2020-2021 through 2023-24, and the budgeted contribution for fiscal year 2024-25, and such contributions as a percentage of the District’s Total Governmental Funds expenditures for said fiscal years. The District has always paid all required CalPERS annual contributions. As of January 1, 2025, 31,329 District employees were members of CalPERS.

TABLE A-11
LOS ANGELES UNIFIED SCHOOL DISTRICT
Annual CalPERS Regular Contributions
Fiscal Years 2020-21 through 2024-25
(\$ in millions)

Fiscal Year	CalPERS Employer Rate (Miscellaneous)	CalPERS Employer Rate (Safety)	District Contributions⁽¹⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2020-21	20.700%	47.268%	\$257.3	2.38%
2021-22	22.910	48.900	298.4	2.44
2022-23	25.370	50.130	370.3	2.98
2023-24 ⁽²⁾	26.680	53.680	453.0	3.24
2024-25 ⁽³⁾	27.050	64.58	516.7	3.30

⁽¹⁾ Reflects data for all District Funds, including the District's General Fund.

⁽²⁾ Audited.

⁽³⁾ Budgeted in Fiscal Year 2024-25 Budget. Amounts do not reflect labor agreements not reflected in Fiscal Year 2024-25 Budget. For a discussion of pending labor agreements not reflected in the Fiscal Year 2024-25 Budget, see “– Employees and Labor Relations – *Negotiations Regarding Labor Contracts*” above.

Sources: Audited Annual Financial Report for fiscal years 2020-21 through 2023-24 ; Fiscal Year 2024-25 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

Actuarial Valuation. Since the June 30, 2015, valuation, CalPERS has employed an amortization and smoothing policy that apportions all gains and losses over a fixed 30-year period with the increases or decreases in the rate spread directly over a five-year period. In contrast, the previous policy spread investment returns over a 15-year period with experience gains and losses spread over a rolling 30-year period. The amounts of the pension/award benefit obligation or UAAL will vary from time to time depending upon actuarial assumptions, and actual rates of return on investments, salary scales, and levels of contribution. See Table A-12 – “Actuarial Value of Schools Portion of CalPERS – Historical Funding Status” herein.

The CalPERS Schools Pool Actuarial Valuation as of June 30, 2023 (the “2023 CalPERS Schools Pool Actuarial Valuation”), was released in August 2024, and such valuation reported an actuarial accrued liability of approximately \$124.92 billion with the market value of assets at approximately \$84.29 billion, and a funded status of approximately 67.50%. From June 30, 2022, to June 30, 2023, the funded status of the CalPERS Schools Pool decreased by approximately 0.40%, and the unfunded accrued liability increased by approximately \$3.04 billion, largely due to salary increases in Fiscal Year 2022-23 being higher than expected.

CalPERS reported a 5.8% net return on investments for fiscal year 2022-23. In Fiscal Year 2021-22, however, CalPERS’ reported its first negative return on investments since fiscal year 2008-09. Such negative return generated an actuarial investment loss of approximately \$12.40 billion, which will be amortized over 20 years with a five-year phase in, and increased the component of the expected employer contribution rate related to the unfunded liability contribution in fiscal year 2023-24 by 1.69% of payroll. The 2023 CalPERS Schools Pool Actuarial Valuation reports that the employer contribution rates for fiscal years 2025-26, 2026-27, 2027-28, 2028-29, and 2029-30 are projected to be 27.60%, 28.00%, 29.20%, 29.00%, and 28.80%, respectively. Such projections assume that all actuarial assumptions will be realized, including net investment returns in such fiscal years of 6.80%, and that no further changes to assumptions, contributions, benefits or funding will occur during such fiscal years. Persistent negative returns on investments may result in increased employer contribution rates above the current level of expected increases reflected in the 2023 CalPERS Schools Pool Actuarial Valuation. Actual contribution rates will differ from such projections. The District cannot predict the impact of State, national, and international

events on investment returns and employer contribution rates. Accordingly, there can be no assurances that the District's required contributions to CalPERS will not significantly increase in the future.

The 2023 CalPERS Schools Pool Actuarial Valuation as summarized assumes, among other things, 2.30% price inflation, 2.80% wage inflation and payroll growth of 2.80% compounded annually. The 2023 CalPERS Schools Pool Actuarial Valuation as summarized reflects a discount rate of 6.80% compounded annually (net of investment and administrative expenses) as of June 30, 2023. The CalPERS Board of Administration adopted new demographic assumptions on November 17, 2021, including a reduction in the discount rate from 7.00% as of June 30, 2020, to 6.80% as of June 30, 2021, a reduction in the inflation assumption from 2.50% as of June 30, 2020 to 2.30% as of June 30, 2021, and an increase in payroll growth from 2.75% as of June 30, 2020 to 2.80% as of June 30, 2021. Such assumption changes result in increases in both the normal cost and unfunded liabilities contributions to be paid in the future. The actuarial funding method used in the 2023 CalPERS Schools Pool Actuarial Valuation is the "Entry Age Normal Cost Method."

In November 2024, PERS released its 2024 Annual Review of Funding Levels and Risk (the "2024 PERS Funding Levels and Risk Report"), which provided a summary of the current funding levels of the system, the near-term outlook for required contributions and risks faced by the system in the near and long-term. The 2024 PERS Funding Levels and Risk Report notes that over the next several years there is the potential for various factors to either further increase required contributions or add additional financial strain on employers and their ability to make required contributions, including inflation and near-term economic turmoil. The 2024 PERS Funding Levels and Risk Report notes that over the last few years, price inflation has been significantly higher than the PERS long-term assumption of 2.3%, which can affect liability measures and investment returns in several ways and which can be difficult to quantify. The most direct impact of high inflation is that retirees can receive higher than expected cost of-living adjustments and active employees can receive higher than expected salary increases, which could increase actuarial losses in the future. The 2024 PERS Funding Levels and Risk report concludes that, as of June 30, 2023, the PERS Retirement System had experienced a couple of years of investment returns below the expected return of 6.8%, and actuarial losses primarily due to high inflation which resulted in unexpected cost of living adjustments for retirees and higher than expected member pay increases, which resulted in increased employer contributions along with further increases forecasted for the near future. Despite the strong investment return for the fiscal year ending June 30, 2024, the 2024 PERS Funding Levels and Risk Report notes that employer contributions are currently at relatively high levels due to large amounts of unfunded accrued liability, and uncertainty within the economy suggests possible economic turmoil in the near future. The 2024 PERS Funding Levels and Risk Report concludes that the ability of employers to continue making required contributions to the system is the area of greatest concern.

The UAAL and funded status of the schools portion of CalPERS as of June 30 of fiscal years ended June 30, 2019 through June 30, 2023 are set forth in the following Table A-12.

TABLE A-12
Actuarial Value of Schools Portion of CalPERS
Historical Funding Status
Valuation Dates June 30, 2019 through June 30, 2023
(\$ in millions)

Valuation Date (June 30)	Actuarial Accrued Liabilities	Market Value of Assets (MVA)	Funded Status (MVA)	Unfunded Liability/ (Surplus) (MVA)	Projected Payroll for Determining Contributions	Unfunded Liability/ (Surplus) as % of Payroll
2019	\$ 99,528	\$ 68,177	68.5%	31,351	14,844	211.2
2020	104,062	71,400	68.6	32,662	15,295	213.6
2021	110,507	86,519	78.3	23,988	15,181	158.0
2022	116,982	79,386	67.9	37,596	16,731	224.7
2023	124,924	84,292	67.5	40,632	19,055	213.2

Source: CalPERS Schools Pool Actuarial Valuation as of June 30, 2023.

District Proportionate Share. As of June 30, 2024, the District reported a net pension liability of \$2.8 billion for its proportionate share of the net pension liability of the Miscellaneous Plan. The net pension liability of the Miscellaneous Plan was measured by CalPERS as of June 30, 2023, and the total pension liability for the Miscellaneous Plan used to calculate the net pension liability was determined by CalPERS pursuant to an actuarial valuation as of June 30, 2022 rolled forward to June 30, 2023 using standard update procedures. The District's proportion of the net pension liability was based on the fiscal year 2022-23 employer contributions calculated by CalPERS. As of June 30, 2024, the District's proportion of the CalPERS net pension liability was approximately 7.746%. See “– *Pension Accounting and Financial Reporting Standards*” herein and Note 9(a) to the audited financial statements of the District contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

Safety Plan Actuarial Valuation; Net Pension Liability. The CalPERS Safety Plan of the Los Angeles Unified School District (Employer # 3614620780) Annual Valuation Report as of June 30, 2023 uses the “Entry Age Normal Cost Method” as the actuarial funding method and assumes, among other things, a 6.80% investment rate of return (net of administrative expenses), projected annual salary increases based on category, entry age, and duration of service, projected inflation of 2.30% and projected payroll growth of 2.80%. The UAAL and funded status of the District's Safety Plan, which is an individual component of CalPERS, as of June 30 of fiscal years ended June 30, 2019 through June 30, 2023, are set forth in the following Table A-13. As of June 30, 2024, the District's net pension liability under the CalPERS Safety plan was \$128.0 million. The net pension liability of the CalPERS Safety plan is measured as of June 30, 2023, using standard update procedures. See Note 9(a) to the audited financial statements of the District contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

TABLE A-13
CalPERS Actuarial Value of LAUSD Safety Plan⁽¹⁾
Historical Funding Status
Valuation Dates June 30, 2019 through June 30, 2023
(\$ in millions)

Valuation Date (June 30)	Accrued Liability	Market Value of Assets⁽²⁾	Unfunded Liability	Funded Ratio	Annual Covered Payroll
2019	\$438.7	\$320.7	\$118.0	73.1%	\$33.7
2020	459.1	335.9	123.2	73.2	33.3
2021	479.3	412.9	66.4	86.1	26.2
2022	508.4	377.1	131.3	74.2	23.5
2023	540.0	394.3	145.6	73.0	23.2

⁽¹⁾ Reflects information relating to the District's Safety Plan and does not include information relating to the Miscellaneous Plan. Actuarial information relating to the historical funding status of the District's Miscellaneous Plan is not available from CalPERS as a separate report but is incorporated in the combined schools portion of CalPERS' pension fund as set forth in Table A-12 above.

⁽²⁾ CalPERS no longer uses an actuarial value of assets and only uses the market value of assets.

Source: CalPERS Safety Plan of the Los Angeles Unified School District (Employer # 3614620780) Annual Valuation Report as of June 30, 2023.

Public Agency Retirement System. On July 1, 1992, the District joined the Public Agency Retirement System ("PARS"), a multiple-employer retirement trust. This defined contribution plan covers the District's part-time, seasonal, temporary and other employees not otherwise covered by CalPERS or CalSTRS, but whose salaries would otherwise be subject to Social Security tax. Benefit provisions and other requirements are established by District management based on agreements with various bargaining units. The District is unable to predict the amount of the contributions which the District may be required to make to PARS in the future. Accordingly, there can be no assurances that the District's required contributions to PARS will not significantly increase in the future above current levels. The District has always paid all required PARS annual contributions. As of January 1, 2025, 12,691 active District employees were members of PARS.

The following Table A-14 sets forth the District's annual contributions to PARS for fiscal years 2020-21 through 2023-24 and the budgeted annual contribution to PARS for fiscal year 2024-25, and the contributions as a percentage of the District's Total Governmental Funds expenditures for fiscal years 2020-21 through 2024-25.

TABLE A-14
LOS ANGELES UNIFIED SCHOOL DISTRICT
Annual PARS Contribution
Fiscal Years 2020-21 through 2024-25
(\$ in millions)

Fiscal Year	District Contributions⁽¹⁾⁽²⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2020-21	\$7.3	0.07%
2021-22	6.9	0.06
2022-23	6.2	0.05
2023-24 ⁽³⁾	7.4	0.05
2024-25 ⁽⁴⁾	7.9	0.05

⁽¹⁾ Reflects payments to PARS for pension costs associated with the District's regular and specially funded programs.

⁽²⁾ Includes amounts related to prior years' PARS contributions.

⁽³⁾ Audited.

⁽⁴⁾ Budgeted in Fiscal Year 2024-25 Budget. Amounts do not reflect labor agreements not reflected in Fiscal Year 2024-25 Budget. For a discussion of pending labor agreements not reflected in the Fiscal Year 2024-25 Budget, see "– Employees and Labor Relations – *Negotiations Regarding Labor Contracts*" above.

Sources: Audited Annual Financial Report for fiscal years 2020-21 through 2023-24; Fiscal Year 2024-25 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

California Public Employees' Pension Reform Act of 2013. In September 2012, the Governor approved Assembly Bill 340, the California Public Employees' Pension Reform Act of 2013 ("PEPRA"). Among other things, PEPRA establishes new retirement formulas for employees hired on or after January 1, 2013 ("PEPRA Employees") and prohibits public employers from offering defined benefit pension plans to PEPRA Employees that exceed the benefits provided thereunder. PEPRA increases the retirement age for new State, school, city and local agency employees depending on job function and limits the annual CalPERS and CalSTRS pension benefit payouts. PEPRA applies to all public employers except the University of California, charter cities and charter counties. PEPRA is, however, applicable to those entities which contract with CalPERS.

PEPRA mandates equal sharing of normal costs between a contracting agency or school employer and their employees and that employers not pay any of the required employee contribution. PEPRA limits, however, the contribution to an amount not in excess of 8% of pay for local miscellaneous or school members, not more than 12% of pay for local police officers, local firefighters, and county peace officers, and not more than 11% of pay for all local safety members. PEPRA requires employers to complete a good faith bargaining process as required by law prior to implementing changes regarding the contribution requirements. The contribution requirements of PEPRA went into effect on January 1, 2018. See "– *California State Teachers' Retirement System*" and "– *California Public Employees' Retirement System*" herein.

In addition, PEPRA amends existing laws to redefine final compensation for purposes of pension benefits for PEPRA Employees. Further, PEPRA permits certain public employers who have offered a lower defined benefit retirement plan before January 1, 2013 to continue to offer such plan to PEPRA Employees. If a public employer adopts a new defined benefit plan on or after January 1, 2013, however, such plan will be subject to PEPRA requirements unless, among other things, its retirement system's chief actuary and retirement board certify that the new plan is not riskier or costlier to the public employer than the defined benefit formula required under PEPRA.

Pension Accounting and Financial Reporting Standards. In 2012, the Governmental Accounting Standards Board issued Governmental Accounting Standards Board Statement No. 68 – “Accounting And Financial Reporting For Pensions” (“GASB 68”), which revises and establishes new financial reporting requirements for most public employers, such as the District, that provide pension benefits to their employees. GASB 68, among other things, requires public employers providing defined benefit pensions to recognize their long-term obligation for pension benefits as a liability and provides greater guidance on measuring the annual costs of pension benefits, including thorough guidelines on projecting benefit payments, use of discount rates and use of the “entry age” actuarial cost allocation method. GASB 68 also enhances accountability and transparency through revised and new note disclosures and required supplementary information. GASB 68 became effective for the financial statements of plan employers, including the District’s financial statements, commencing the fiscal year ended June 30, 2015.

Pursuant to GASB 68, CalSTRS and CalPERS will use a new blended rate that reflects a long-term rate of return on plan assets, which reflects a pension fund’s long-term investment strategy, and a high-quality, non-taxable municipal bond index rate, to account for the potential need to borrow funds to pay pension benefits after net assets have been fully depleted. CalSTRS has cautioned that use of the new, blended discount rate may cause the financial statements of plans, such as CalSTRS, to reflect an increased unfunded liability.

Other Postemployment Benefits

General. In addition to employee health care costs, the District provides post-employment health care benefits (“OPEB”) in accordance with collective bargaining agreements and the health benefits agreement. The District’s OPEB consists of post-employment benefits for health, prescription drug, dental, and vision coverage for retirees and their dependents. As of June 30, 2024, there were approximately 61,692 active employees who meet the eligibility requirements for OPEB benefits, 39,777 inactive employees or beneficiaries currently receiving benefits, and 183 inactive employees entitled to but not yet receiving benefits, for a total of 101,652 current and former employees entitled to receive benefits under the District’s OPEB plan. Historically, the District has funded these benefits on a pay-as-you-go basis, paying an amount in each fiscal year equal to the benefits distributed or disbursed in that fiscal year. Beginning in fiscal year 2013-14, the District’s policy, subject to District Board approval, is to prefund a portion of its OPEB costs for employees, retirees and their beneficiaries by allocating funds for the express purpose of funding future other postemployment benefit costs to the extent possible. See “– District Financial Policies and Related Practices – *Budget and Finance Policy* – Liability Reserves” herein. The District Board approved the creation of the OPEB Trust Fund in May 2014.

As of June 30, 2024, the District has contributed approximately \$583.3 million to the OPEB Trust Fund, inclusive of the District’s contributions of \$60 million in July 2014, \$30 million in September 2014, \$45 million in September 2015, \$6 million in March 2016, \$78 million in October 2016, \$120 million in October 2017, \$33.3 million in August 2023, \$52.8 million in September 2023, \$17.6 million in each of October 2023, November 2023, December 2023, January 2024, February 2024, March 2024, April 2024 and May 2024, and \$17.4 million in June 2024. The District did not contribute to the Trust Fund in fiscal years 2018-19, 2019-20, 2020-21, 2021-22 and 2022-23, although the District, for internal purposes, designated \$33.3 million of the \$244.3 million contributed to the OPEB Trust Fund in fiscal year 2023-24 as a fiscal year 2022-23 contribution. As of a June 30, 2024 measurement date, the OPEB Trust Fund’s net position was \$820 million. Based on the Fiscal Year 2024-25 Budget, the District has budgeted to contribute \$40.0 million from all funds of the District with eligible employees (not just the General Fund) to the OPEB Trust Fund in fiscal year 2024-25, \$33.0 million of which has been deposited in the OPEB Trust Fund as of April 8, 2025. The District expects to deposit the remaining \$7.0 million budgeted for fiscal year 2024-25 into the OPEB Trust Fund monthly in the amount of \$3.3 million in May 2025 and \$3.7 million in June 2025.

In the April 2024 Actuarial Valuation Report Postretirement Health Benefits as of the June 30, 2023, measurement date for fiscal year 2023-24 (the “2023 Actuarial Valuation”), Aon Hewitt indicated that based on the District’s current funding policy, projected cash flows, and the assumed asset return, the assets in the OPEB Trust Fund are projected to be depleted in fiscal year 2037-38 if such assets were drawn upon to pay benefits as they come due without the District funding such benefits on a pay-as-you-go basis. The year of depletion was projected to be fiscal year 2035-36 in the District’s audited financial statements for fiscal year ended June 30, 2024. See Note 9 to the audited financial statements of the District contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

The following Table A-14 sets forth the District’s funding of other postemployment benefits for fiscal years 2020-21 through 2023-24, the budgeted contribution for fiscal year 2024-25, and the contributions as a percentage of the District’s Total Governmental Funds expenditures for said fiscal years. In addition, Table A-15 sets forth the District’s contribution to the OPEB Trust Fund for fiscal years 2020-21 through 2024-25.

TABLE A-15
LOS ANGELES UNIFIED SCHOOL DISTRICT
Expenditures for Other Postemployment Benefits
Fiscal Years 2020-21 through 2024-25
(\$ in millions)

Fiscal Year	Pay-as-You-Go Amount	OPEB Trust Fund Contribution⁽²⁾	Total Amount	Expenditure as Percentage of Total Governmental Funds Expenditures
2020-21	\$231.2	\$0.0	\$231.2	2.14%
2021-22	231.1	0.0	231.1	1.89
2022-23	235.9	0.0 ⁽³⁾	235.9	1.90
2023-24	245.8	244.3 ⁽³⁾	490.1	3.58
2024-25 ⁽¹⁾	219.9	40.0 ⁽⁴⁾	259.9	1.66

⁽¹⁾ Budgeted.

⁽²⁾ As of June 30, 2024, the District has contributed approximately \$583.3 million to the OPEB Trust Fund, inclusive of the District’s contributions of \$60 million in July 2014, \$30 million in September 2014, \$45 million in September 2015, \$6 million in March 2016, \$78 million in October 2016, \$120 million in October 2017, \$33.3 million in August 2023, \$52.8 million in September 2023, \$17.6 million in each of October 2023, November 2023, December 2023, January 2024, February 2024, March 2024, April 2024 and May 2024, and \$17.4 million in June 2024.

⁽³⁾ The District, for internal purposes, designated \$33.3 million of the \$244.3 million contributed to the OPEB Trust Fund in fiscal year 2023-24 as a fiscal year 2022-23 contribution.

⁽⁴⁾ As of April 8, 2025, \$33.0 million of which has been deposited in the OPEB Trust Fund. The District expects to deposit the remaining \$7.0 million budgeted for fiscal year 2024-25 into the OPEB Trust Fund monthly in the amount of \$3.3 million in May 2025 and \$3.7 million in June 2025.

Sources: Audited Annual Financial Reports for fiscal years 2019-20 through 2023-24; Fiscal Year 2024-25 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

Postemployment Benefits Other Than Pensions Accounting and Financial Reporting Standards.

In June 2015, the GASB issued Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other than Pensions (“GASB 75”), which revised and established new accounting and financial reporting requirements for state and local governments, such as the District, that offer OPEB to employees. Pursuant to GASB 75, net OPEB liabilities are required to be recognized in the financial statements for such state and local governments. In addition, GASB 75 provides additional guidance with respect to recognizing and measuring liabilities, deferred outflows and inflows of resources, and expense/expenditures. GASB 75 directs the use of “entry age normal” as the actuarial cost allocation method to be used and the various procedures, assumptions and discount rates to be used in connection with the calculation of liabilities. In connection therewith, states and local governments that do not pre-fund their respective OPEB obligations may report increased liabilities. GASB 75, among other things, requires additional note disclosures and the presentation of required supplementary information in financial statements. GASB 75 was implemented in the District’s audited financial statements beginning in fiscal year 2017-18.

The District’s net OPEB liability takes into consideration the adoption of GASB 75, under which the District is required to recognize in full its total net OPEB liability rather than on an incremental basis. Over the past few years, the District has taken steps to (i) reduce its OPEB liability through a more cost-effective healthcare plan and (ii) pre-fund its OPEB liability by making deposits from time to time to an irrevocable trust when its reserves exceed the 5% Minimum Reserve Threshold, subject to District Board approval.

Changes in Net OPEB Liability. The District’s net OPEB liability has fluctuated over time based on a variety of factors, including changes in healthcare plans and actuarial assumptions and the funded status of the OPEB Trust Fund. In the June 2023 Actuarial Valuation Report Postretirement Health Benefits as of the June 30, 2022, measurement date for fiscal year 2022-23 (the “2022 Actuarial Valuation”), the District’s actuary, Aon Hewitt, pointed out that a byproduct of the GASB 75 standards is the potential for increased volatility of results from year to year, which the District has experienced since the implementation of GASB 75. In January 2019, the District implemented a less costly healthcare plan, the Anthem Preferred PPO (50 state Medicare Advantage Plan) (the “Anthem PPO”), which replaced the United HealthCare Group Medicare Advantage Plan and the Anthem Blue Cross Medicare (EPO) plan. The implementation of the Anthem PPO together with certain updated actuarial assumptions resulted in a significant reduction in the District’s net OPEB liability from \$14.97 billion as of June 30, 2018 (prior to the Anthem PPO implementation) to \$11.18 billion as of June 30, 2019 (after the Anthem PPO implementation) to \$8.58 billion as of June 30, 2020 (based on further revised actuarial assumptions). However, the District’s net OPEB liability as of June 30, 2021 increased to \$11.06 billion and then decreased to \$10.19 billion as of June 30, 2022 based on certain changes in actuarial assumptions described in more detail below. As of June 30, 2023, the District’s net OPEB liability decreased to \$8.48 billion also based on certain changes in actuarial assumptions also described in more detail below. See “– 2022 Actuarial Valuation” below for more information. As of June 30, 2024, the District net OPEB liability increased to \$8.99 billion. See “– 2023 Actuarial Valuation” below for more information.

2022 Actuarial Valuation. The District’s net OPEB liability decreased by approximately \$1.70 billion from \$10.19 billion as of June 30, 2022 to \$8.48 billion as of June 30, 2023. According to the 2022 Actuarial Valuation, the 150-basis point increase in the discount rate from the March 2022 Actuarial Valuation Report Postretirement Health Benefits as of the June 30, 2021 measurement date for fiscal year 2021-22 (the “2021 Actuarial Valuation”) had a considerable impact in the 2022 Actuarial Valuation, decreasing the value of liabilities by more than 20%. As explained in the 2022 Actuarial Valuation, such impact, which is somewhat offset by low asset returns as of the measurement date, decreases the net OPEB liability and the OPEB expense for fiscal year 2022-23. The 2022 Actuarial Valuation reflects updated financial information for fiscal year 2022-23 and is based on the census data, actuarial assumptions, and plan provisions used in the 2021 Actuarial Valuation with the following changes:

- Assets: \$469,939,493 as of June 30, 2022, measurement date
- Municipal Bond Rate: 3.54% as of June 30, 2022, based on the *Bond Buyer* General Obligation Bond 20-Bond Municipal Bond Index
- Contributions: Additional contribution of \$211 million to OPEB Trust Fund scheduled to be made for fiscal years ending 2023, 2024 and 2025. The District currently budgets to contribute \$244.3 million in fiscal year 2023-24, \$33.3 million of which the District, for internal purposes, designated as a fiscal year 2022-23 contribution.
- Expected Long-Term Return on Assets: 6.10% as of June 30, 2022, based on District's revised expectations for certain asset allocations
- Discount Rate: 3.70% as of June 30, 2022, after reassessment based on updated assets and municipal bond rate as of June 30, 2022

2023 Actuarial Valuation. The District's net OPEB liability increased by approximately \$509 million from \$8.48 billion as of June 30, 2023 to \$8.99 billion as of June 30, 2024. The 2023 Actuarial Valuation reflects updated financial information for fiscal year 2023-24 and is based on the census data, actuarial assumptions, and plan provisions used in the 2022 Actuarial Valuation with the following changes:

- Assets: \$499,889,641 as of June 30, 2023, measurement date
- Municipal Bond Rate: 3.65% as of June 30, 2023, based on the *Bond Buyer* General Obligation Bond 20-Bond Municipal Bond Index
- Contributions: Additional contribution of \$33.3 million for fiscal year ending 2023, to be made in fiscal year ending 2024; \$211 million to be made in fiscal year ending 2024; and \$40 million for all future fiscal years.
- Expected Long-Term Return on Assets: 6.20% as of June 30, 2023, based on District's revised expectations for certain asset allocations
- Discount Rate: 3.80% as of June 30, 2023, after reassessment based on updated assets and municipal bond rate as of June 30, 2023

The following Table A-16 shows the impact of the changes to the actuarial assumptions in the 2023 Actuarial Valuation on the District's Net OPEB Liability for the fiscal year ending June 30, 2024 compared to fiscal year June 30, 2023 that was based on the 2022 Actuarial Valuation.

TABLE A-16
LOS ANGELES UNIFIED SCHOOL DISTRICT
NET OPEB LIABILITY
As of June 30, 2023 and June 30, 2024
(\$ in billions)

	Fiscal Year Ending June 30, 2023	Fiscal Year Ending June 30, 2024
(1) OPEB Liability		
(a) Retired Participants and Beneficiaries		
Receiving payment	\$2.755	\$3.353
(b) Active Participants	6.197	6.139
(c) Total	8.952	9.491
(2) Plan Fiduciary Net Position	0.470	0.500
(3) Net OPEB Liability	8.482	8.991
(4) Plan Fiduciary Net Position as a Percentage of the Total OPEB Liability	5.25%	5.27%
(5) Deferred Outflow of Resources for Contributions Made After Measurement Date	\$0.236	-

Source: 2023 Actuarial Valuation.

The District cannot predict the impact future changes in healthcare plans and actuarial assumptions and the funded status of the OPEB Trust Fund will have on the District's net OPEB liability.

For more information on the District's OPEB plan, OPEB liability and related assumptions for fiscal year ended June 30, 2024, see Note 9 to the audited financial statements of the District contained in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024" attached hereto.

Risk Management and Litigation

General. The District's administration of claims liabilities, insurance coverage and retentions is under review and transition as the District begins to employ the use of a recently-formed Captive Insurer (as defined below) which was incorporated for the benefit of the District. The District created the Captive Insurer in June 2024, effective July 1, 2024, to insure and manage the non-insured/retained auto liability, general liability, and workers' compensation exposures of the District as well as other insurance coverages deemed necessary by the Captive Insurer in the future. The lines of insurance coverage provided by the Captive Insurer are intended to replace certain of the District's third-party insurance and its program of self-insurance and reserves for the related liabilities.

In the aggregate, the District's outstanding liability (losses plus loss adjustment expense) for general, auto, and sexual molestation as of June 30, 2024, on a nominal basis and at the central estimate, is approximately \$621 million. See "– Sexual Misconduct Cases – Current Claims Exposure" below. This estimate is substantially based on an independent third-party actuarial report. The District is in the process of analyzing pending claims, timing of liabilities and potential liabilities, and estimates of liability for claims in accordance with GASB Statement Nos. 10 and 56, which require that the District recognize liabilities as of June 30, 2024, to the extent that the liability is (1) probable, and (2) an amount of the liability can be reasonably estimated. As described above, this liability estimate reflects an accounting perspective. Detailed information is not yet final, and this estimate is provided based on certain averages, assumptions, and opinion.

Captive Insurance Program. The District has reorganized its insurance program to include a captive insurance company, effective July 1, 2024, officially named the Los Angeles Unified School District Insurance Company, LLC (the "Captive Insurer"), a manager-managed Vermont limited liability

company. The Captive Insurer was organized for the purpose of writing insurance and/or reinsurance as a pure captive insurance company operating pursuant to Title 8, Vermont Statutes Annotated, Chapter 141, Captive Insurance, and other relevant laws of the State of Vermont.

The primary purpose of the Captive Insurer is to manage certain risks of the District, offering tailored insurance that may not be available or affordable in the traditional insurance market. Advantages sought with the Captive Insurer include: (a) greater flexibility in customizing coverage to meet specific needs, which may not be fully addressed by conventional insurance policies; (b) enhanced ability to control claims management and underwriting processes, leading to more efficient handling and potentially reduced claims costs; and (c) strategic management of investments and reserves to optimize returns and ensure adequate funding for future claims.

The Captive Insurer evaluates risks, sets premium levels, and invests capitalization and premium payments for future claim payouts. This structure is expected to provide the District with greater control over its insurance costs, claims handling, and risk management practices. The Captive Insurer was established initially to insure and manage the District's non-insured/retained automobile, general, sexual abuse and molestation, and workers' compensation liabilities as well as other insurance coverages deemed necessary by the Captive Insurer in the future. The District will continue to assess its insurance portfolio to identify additional lines of insurance to include in the Captive Insurer. The District is currently evaluating the following lines of coverage to include in the Captive Insurer: boiler and machinery; crime and fiduciary; property; cyber security; and medical malpractice. Currently, a portion of the District's liabilities for sexual abuse and molestation are included in the Captive Insurer.

The District is authorized to budget and appropriate funds for the development and implementation of the Captive Insurer, including capital, premiums, funds and fees in lines of insurance coverage to be provided by the Captive Insurer. Upon substantial implementation of the Captive Insurer in Fiscal Year 2024-25, the District expects to transfer applicable and eligible portions of the District's Internal Service Fund and Liability Self Insurance Fund to the Captive Insurer to be managed, invested, and applied to pay claims. As of July 9, 2024, approximately \$50 million had been transferred to the Captive Insurer. The District has completed subsequent transfers to the Captive Insurer of approximately \$998 million in Fiscal Year 2024-25 and anticipates approximately \$230 million in Fiscal Year 2025-26. Upon its substantial implementation, the District expects that use of the Captive Insurer, together with traditional insurance, reinsurance, and self-insured retentions, will efficiently regulate and minimize insurance costs and secure liability insurance coverage in order to mitigate financial risks.

For fiscal year 2024-25, the Captive Insurer has provided the District with \$5 million of general liability (automobile and sexual abuse and molestation) coverage for lawsuits and settlements. Thereafter, the Captive Insurer has a commercial policy for \$15 million in aggregate in excess of the \$5 million. Lawsuits and settlements over that threshold are covered by the Captive Insurer. As an authorized self-insurer for workers' compensation claims, which reserves the Captive Insurer will manage, invest, and apply to claims, such insurance will provide initial coverage and the District will continue its practice of unlimited coverage for such claims, actuarially determined by, and annually capitalized to, the Captive Insurer.

Traditional Insurance. In addition to the insurance coverage provided by the Captive Insurer, the District maintains various excess property, casualty, and fidelity insurance with varying self-insured retentions. The District's excess property coverage is provided currently through its membership in the Public Entity Property Insurance Program ("PEPIP"), an insurance pool comprised of certain cities, counties, and school districts. The District maintains excess property insurance on all District facilities under a combination of self-insurance retentions and varying sublimits through the excess insurance policies of PEPIP. The current self-insured retention for fire loss damage for excess property coverage is \$2,500,000 per occurrence maintained through a combination of excess policies with an occurrence limit of \$500 million. With respect to this exposure, the District maintains what it considers to be adequate

reserves to cover losses within the self-insurance retention. District General Fund resources are used to pay for property loss insurance and uninsured repairs for property damage. In addition to the above excess property policies, the District purchases a separate boiler and machinery policy with \$100 million in occurrence limits and a Fidelity crime coverage policy with \$15 million in occurrence limits.

Prior to Fiscal Year 2013-14, the District's liability coverage generally included coverage for sexual misconduct and molestation claims with some limited exceptions as described herein with respect to claims potentially revived and made actionable after the passage of Assembly Bill 218. See “– Sexual Misconduct Cases – Assembly Bill 218 and Statute of Limitations in Childhood Sexual Assault Claims” herein. Liability coverage beginning in Fiscal Year 2013-14 did not include this coverage because the District determined that it was not available at reasonable rates from any insurance provider. In March 2014, the District Board approved a joint powers authority agreement by and between the District and Los Angeles Trust Children's Health Inc., a nonprofit public benefit corporation organized under the laws of the State of California, to establish the Los Angeles Unified School District Risk Management Authority (the “Risk Management Authority”) which became effective July 1, 2014. The Risk Management Authority allows the District to purchase reinsurance for excess liability coverage for incidents such as sexual misconduct and molestation, to the extent such coverage is available. The Risk Management Authority was capitalized by the District and provides an insurance program for the District and the Los Angeles Trust Children's Health Inc. The Risk Management Authority allows the District to purchase reinsurance for excess liability coverage which is not presently available to self-insured public agencies such as the District. See “– Sexual Misconduct Cases” herein. The District currently maintains excess liability coverage for lawsuit settlements which covers certain sexual misconduct and molestation claims, among others, with a limit of \$15 million above a \$5 million self-insurance retention; see “Risk Management and Litigation – *Captive Insurance Program*” above.

Workers' Compensation. The District is authorized to self-insure for workers' compensation claims and had previously established the Workers' Compensation Fund for such claims. With the establishment of the Captive Insurer, the District will fund such self-insurance through the Captive Insurer for its workers' compensation liability, which amounts the Captive Insurer will manage, invest, and apply to claims. As described above, a portion of this liability may be covered by insurance obtained by the Captive Insurer.

Pollution Legal Liability Policy. The District purchased a pollution legal liability (“PLL”) policy through Allied World National Assurance Company with coverage of \$10.0 million per incident and \$10.0 million in aggregate, effective May 1, 2023 to May 1, 2026.

Owner-Controlled Insurance Program. The District has arranged for its construction projects to be insured under its owner-controlled insurance program (“OCIP”). An OCIP is a single insurance program that insures the District, the District Board, all enrolled contractors, and enrolled subcontractors, and other designated parties for work performed at project sites. The District pays the insurance premiums for the OCIP coverages and requires each eligible bidder to exclude from its bid price the cost of insurance coverage. The exclusion of the cost of insurance premiums from each bid is intended to result in lower overall bids for projects, which would in turn lower the contract award amount and general obligation bond and other funds spent. In addition, the District may be able to pay a lower overall insurance cost than a single contractor because of the economies of scale gained by the purchase of an OCIP.

Litigation Regarding Insurance Providers. In September 2015, the District filed a lawsuit entitled *Los Angeles Unified School District v. ACE et al.* (the “Miramonte Coverage Action”), in the Los Angeles Superior Court seeking more than \$200 million in damages from twenty-seven of the District's current and former insurance providers who failed to fund the defense and reimburse the District for settlement amounts paid by the District in connection with claims by hundreds of students and parents alleging that negligent hiring, supervision, and retention of former teachers Mark Berndt and Martin Springer at Miramonte Elementary School resulted in sexual abuse of the students. In April 2017, the District filed a second lawsuit

in the Los Angeles Superior Court entitled *Los Angeles Unified School District v. AIU Insurance Company, et. al.* (the “Telfair Coverage Action”), seeking more than \$40 million in damages from eight of the District’s current and former insurance providers in connection with the lawsuits filed against the District alleging that negligence of its employees in hiring, retaining, and supervising Paul Chapel resulted in sexual abuse of approximately twenty students at Telfair Elementary School. In August 2017, the District filed a third lawsuit in the Los Angeles Superior Court entitled *Los Angeles Unified School District v. Allied World et al.* (the “De La Torre Coverage Action”), seeking more than \$60 million in damages from seven of the District’s current and former insurance providers who failed to fund the defense and reimburse the District for settlement amounts paid by the District in connection with claims by over twenty students and their parents alleging that negligent hiring, supervision, and retention of former teacher Robert Pimentel at De La Torre Elementary School resulted in sexual abuse of the students. The District has not been reimbursed by any of the defendants for amounts expended in conjunction with resolving the underlying sexual abuse litigation described in this section. While no insurer agreed to pay any of the District’s defense costs before the coverage actions were filed, rulings obtained in the Miramonte Coverage Action have forced AIG to reimburse the District for over \$21 million in defense costs. Further, the District has alleged that the insurance providers have not only breached their respective insurance obligations owed to the District in connection with underlying litigation but also breached the implied covenant of good faith and fair dealing. In 2021, following a bench trial, the court found that the insurer breached its duty to indemnify the District under one insurance policy at issue in the Miramonte Coverage Action for its settlements of the underlying claims. In the Miramonte Coverage Action and Telfair Coverage Action, the Court has provided guidance to the District in allocating defense costs to exhaustion of the District’s self-insured retentions for specific policy periods, which has allowed the District to recover some additional indemnity payments from certain insurers. In the De La Torre Coverage Action, the Court entered judgment in favor of Lexington Insurance Company, and the District has filed a notice of appeal from that judgment. The District is considering its options with respect to additional motion practice and appellate review.

On November 4, 2020, the District filed another round of lawsuits against its insurers, *Los Angeles Unified School District v. Starr Indemnity & Liability Co., et al.* (the “Cahuenga Coverage Action”) and *Los Angeles Unified School District v. Ins. Co. of the State of Pennsylvania, et al.* (the “Franklin Coverage Action”), in which it is seeking more than \$25 million and \$8 million, respectively, in settlement reimbursements plus defense costs relating to underlying litigation involving the alleged abuse of multiple students at Franklin High School and Cahuenga High School. The District cannot predict the final outcome of or remedy imposed by any court with respect to these complaints or the amounts, if any, by which any of the insurance providers will reimburse the District for settlements and defense costs in the underlying litigation matters. In 2021, the District moved for summary adjudication to establish that the Insurance Company of State of Pennsylvania (an AIG Co.) had breached its duty to defend the District under a 2002-2003 insurance policy, which the court denied. In April 2024, in the Cahuenga Coverage Action, the Court denied the motion for summary judgment of Starr Indemnity & Liability Company, finding triable issues of fact under the Starr policies. In July 2024, in the Franklin Coverage Action, the Court granted the defendant insurers’ motion for summary judgment and entered judgment in favor of the defendants. The District is considering its options with respect to additional motion practice and a limited trial in the Cahuenga Coverage Action.

On September 29, 2022, the District filed a new lawsuit against its insurers, *Los Angeles Unified School District v. Everest National Insurance Company, et al.*, in which it is seeking more than \$11 million in settlement reimbursements plus defense costs relating to underlying litigation involving the alleged abuse of multiple students at El Sereno Elementary School. One insurer has reimbursed some, but not all, of the District’s defense costs in connection with the underlying litigation. The District cannot predict the final outcome of or remedy imposed by any court with respect to this complaint or the amount, if any, by which any of the insurance providers will reimburse the District for settlements and defense costs in the underlying litigation. In April 2024, the Court granted the motion for summary adjudication by Insurance Company of State of Pennsylvania regarding its duties to defend and indemnify under a 2003-2004 policy. The District is considering its options with respect to additional motion practice and appellate review.

On June 26, 2024, the District filed a new lawsuit against its insurers, *Los Angeles Unified School District v. Aetna Insurance Company, et al.*, in which it is seeking more than \$9 million in settlement reimbursements, declaratory relief that would result in its insurers indemnifying future settlement and/or verdict payments, defense costs incurred to defend approximately sixty lawsuits arising out of sexual abuse allegations from the 1950s, 1960s, and 1970s, and punitive damages. The District cannot predict the final outcome of or remedy imposed by any court with respect to this complaint or the amount, if any, by which any of the insurance providers will reimburse the District for settlements and defense costs in the underlying litigation.

Wrongful Death Cases. In August 2020, the mother of an elementary school student filed a lawsuit seeking unspecified damages in excess of \$1,000,000 against the District for the alleged wrongful death of her son on December 26, 2019, after he died from injuries sustained while at a District employee's home, during the employee's non-working hours and when school was out for winter break. The death was later ruled a homicide and the employee was subsequently criminally convicted. A jury trial in the wrongful death matter commenced on July 31, 2023, in the Van Nuys Courthouse of the Los Angeles Superior Court and on August 10, 2023, the jury found the District 90% at fault and plaintiff 10% at fault and awarded plaintiff a total of \$30 million. On October 17, 2023, the District brought a motion for a new trial which the Court denied. On November 8, 2023, the District filed its Notice of Appeal and will seek to overturn the verdict based on a number of grounds that the District believes to have strong merit. Should the District's appeal be unsuccessful, thus obligating the District to pay its share of the judgment (\$27 million), the District's expected share will be \$5 million (self-insured retention amount) and the balance of the judgment would be expected to be covered by the District's reinsurers through the Risk Management Authority. The matter has been fully briefed, and the parties are awaiting an oral argument hearing date.

In September 2022, two high school students overdosed in a bathroom on campus after ingesting a pill believed to have been laced with Fentanyl. The students were found on campus after school hours: one deceased in the bathroom and the second student in the courtyard outside the bathroom. The surviving student found in the courtyard was transported to the hospital. On December 12, 2022, the deceased student's mother filed a complaint in the Los Angeles Superior Court against the District seeking unspecified damages for negligence and wrongful death. She has since made an offer to dismiss her lawsuit in exchange for \$50 million. Trial in that matter is currently set for May 9, 2025. On October 13, 2023, the surviving student filed a lawsuit against the District in the Los Angeles Superior Court, seeking unspecified damages for negligence. The surviving student has not made any offers to resolve her lawsuit. The trial in that matter is currently scheduled for September 9, 2025.

On March 5, 2024, a high school student was involved in a fight on campus, wherein she allegedly sustained injuries, including head trauma. It is further alleged that as a result of these claimed injuries, the student passed away ten days later. A report issued by the Los Angeles County Medical Examiner's Office concluded that the cause of death was head trauma sustained from a fall down a set of stairs on March 10, 2024, while the decedent was attending a party. On September 20, 2024, the mother and the decedent's estate filed a complaint in the Los Angeles Superior Court against the District, seeking unspecified damages for wrongful death. Trial in the matter is currently set for August 3, 2026 and the litigation is in the discovery phase.

In April 2016, a middle school student experienced sudden cardiac arrest during physical education class and died. On July 21, 2017, the father of the student filed a complaint in the Los Angeles Superior Court against the District, seeking unspecified damages for wrongful death. The case was tried in April 2023, resulting in a \$15 million jury verdict. On August 11, 2023, the District filed a Notice of Appeal, which is currently pending. The matter has been fully briefed and oral argument was recently scheduled for April 30, 2025.

Catastrophic Injury Cases. In January 2020, a non-verbal special education student claims to have sustained injury on a District special education campus when he allegedly pulled a soccer goal post net,

causing himself and the goal to fall, hitting him on the head. The student underwent emergency cervical spine surgery as a result of the incident, and his medical bills/costs known to date exceed \$1,000,000. On January 11, 2022, the court appointed conservator for the student filed a complaint in the Los Angeles Superior Court against the District, seeking unspecified damages. The matter settled on September 23, 2024 for \$4.2M and approved by the Board of Education on November 20, 2024.

In February 2017, an elementary school student claimed to have fallen and struck her head during the school day, on campus. On November 22, 2017, the mother of the student filed a complaint in the Los Angeles Superior Court against the District, seeking unspecified damages for traumatic brain injury. Plaintiff alleged the District failed to provide the requisite medical care and failed to contact emergency medical personnel in a timely manner. A verdict was entered against the District in the amount of \$7,083,194.86.

In February 2018, a middle school student suffered a non-fatal injury when a gun, brought to school by another student, accidentally discharged in class causing a bullet fragment to strike the student in the temple. A personal injury action was subsequently filed on behalf of the injured student in the Los Angeles Superior Court against the District and other parties seeking unspecified damages for traumatic brain injury. During litigation, the District brought a motion for summary judgment which the trial court granted in its entirety. Plaintiff subsequently appealed the granting of the motion for summary judgment and dismissal of the case and the California Court of Appeal reversed, in part, the trial court's ruling and remanded the matter to the trial court. Plaintiff's last settlement demand was in excess of \$20 million. In November 2024 the jury returned a defense verdict; plaintiff is pursuing an appeal.

COVID-19 Distance Learning Lawsuits. On September 24, 2020, a class action lawsuit was filed on behalf of nine named plaintiffs in the Los Angeles Superior Court asserting that the District's instructional plan in response to the COVID-19 pandemic denied plaintiffs' children their basic education rights under the California Constitution. The complaint alleges that the District's distance learning approach was inadequate in that it allegedly reduced instructional and professional development time, eliminated student assessments, failed to provide adequate access to technology, and failed to reengage students who did not participate in online learning in the spring of 2020 after the closure of school facilities due to the COVID-19 pandemic. The operative first amended complaint asserts various causes of action for injunctive and declaratory relief, including claims for alleged violations of statutory and Constitutional rights and claims of discrimination and disparate treatment. On April 9, 2021, the District's motion to strike certain allegations in the complaint with respect to individualized education program services was granted, but its demurrer to the first amended complaint was overruled. After plaintiffs filed a second amended complaint, the District filed another demurrer. On August 16, 2021, the Court sustained the District's demurrer with leave to amend. The Court further struck plaintiffs' claims seeking retrospective injunctive relief on a class wide basis. Plaintiffs were given 20 days to file an amended complaint. In September 2021, the Court dismissed the action in its entirety, with prejudice, and entered judgment in favor of the defendants, including the District. Plaintiffs subsequently filed a notice of appeal with the Court of Appeal of California, Second Appellate District. On September 19, 2023, the California Court of Appeal issued its decision reversing in part the September 2021 order dismissing the lawsuit. The Court of Appeal found that dismissal of the case and denial of class certification was premature, permitting the plaintiffs to move forward on three of their eight causes of action, but sustaining the dismissal of the remaining claims in favor of the District. The matter has now been remanded back to the trial court to proceed. Discovery and settlement negotiations are in process. The District will continue to defend the case and also determine any potential settlement options.

COVID-19 Employee Vaccinations Lawsuit. Since the Fall of 2021, the District has been named in at least thirty-four different lawsuits challenging the District's previous COVID-19 vaccination mandate, filed by current and former employees and job applicants, asserting various causes of action for wrongful termination, employment discrimination, and violations of Constitutional rights, among other theories of recovery. As of January 2025, twelve of the thirty-four cases had settled. While certain of the lawsuits have

been filed on behalf of a single named plaintiff, others are filed on behalf of groups of plaintiffs ranging from 6 to 167. The earliest filed of such actions, *Health Freedom Defense Fund v. Carvalho, et al.*, is presently on appeal before the Ninth Circuit Court of Appeals, following the U.S. District Court for the Central District of California's grant of the District's motion for judgment on the pleadings in September 2022. On June 7, 2024, the Ninth Circuit reversed the Central District of California's decision. On February 4, 2025, the Ninth Circuit ordered En Banc review.

In general, the District believes it has strong defenses to these employee vaccination mandate lawsuits, and anticipates that most will result in defense verdicts. Nevertheless, given the inherent uncertainty of litigation and the different factual scenarios presented in each of them, the District faces potential exposure to claims for damages, including lost wages, a claim in at least one case for emotional distress damages, claims for punitive damages, and perhaps most significantly, exposure to potential awards of prevailing party attorneys' fees, which in some employment cases, can reach seven figures. The damages sought in these lawsuits vary significantly, particularly depending on the number of plaintiffs involved, the causes of action asserted, and remedies sought. As such, the District cannot predict the total damages that might be recovered in the event that it does not prevail in one or more of the lawsuits.

Sexual Misconduct Cases. The District is occasionally subject to claims relating to the sexual misconduct of District personnel and other students. There are currently threatened and pending claims against the District brought on behalf of minor students as a result of such alleged sexual misconduct. The District is in various stages of litigation relating to such pending claims and cannot predict the outcome and effects of such claims or provide any assurances that such claims will not be successful. The damages requested by the plaintiffs in the various pending sexual misconduct cases are substantial, but vary significantly, in multiple instances there are demands for several million dollars. The District, however, cannot predict any final award of damages or settlement amounts. The District also cannot predict the damages sought by any threatened litigation.

As described above, the information below reflects an accounting perspective. The District is in the process of analyzing pending claims, the timing of liabilities and potential liabilities, and estimates of liability for claims by class and at levels of potential exposure. Detailed information is not yet final, and this estimate is provided based on certain averages, assumptions, and opinion.

Miramonte. In the Miramonte sexual abuse litigation, involving Mark Berndt (who in 2013 pleaded no contest to 23 felony counts of lewd acts on children and was sentenced to 25 years in prison), there have previously been over \$250 million in settlements with 225 students. This amount was a contingent liability reported in the Fiscal Year 2023-24. There are multiple active cases pending with 75 plaintiffs. This includes several recent complaints filed and served on behalf of 29 plaintiffs. The earliest trial date is scheduled for November 3, 2025, in a four-plaintiff matter. The other remaining matters do not have trial dates yet.

Assembly Bill 218 and Statute of Limitations in Childhood Sexual Assault Claims. Pursuant to Assembly Bill 218 ("AB 218"), which became effective on January 1, 2020, certain changes were made to the claim prerequisites and the applicable statute of limitations periods for claims of childhood sexual assault, including claims against public entities like the District. AB 218 impacted the District's liability exposure because it (1) extended the statute of limitations periods for claims of childhood sexual assault, (2) did away altogether with the Tort Claims Act's presentation requirements for claims involving childhood sexual assault under which many claims were found to be late, and (3) revived certain claims for which applicable statute of limitations periods have otherwise already expired (if brought within three years of January 1, 2020). Pursuant to AB 218, a plaintiff's ability to bring a claim was extended to twenty-two years from the age of majority or five years after the plaintiff discovered or reasonably should have discovered psychological injury or illness occurring after the age of majority caused by the alleged childhood sexual assault. With respect to claims that otherwise would have been barred as of January 1, 2020, AB 218 revived such claims for a period of three years, which period expired on December 31, 2022.

In 2023, the California State Legislature passed, and the Governor signed into law, AB 452 which eliminated the statute of limitations for the recovery of civil damages suffered as a result of childhood sexual assault. AB 452 applies prospectively for civil claims that arise on or after January 1, 2024.

Currently, the District has active cases involving 222 AB 218 claimants who allege misconduct by former employees. Since the District is in the middle of litigation on many of the pending AB 218 lawsuits, the District cannot fully predict the extent of its liability in such cases, whether the claimants will prevail, and if so, how a final court decision or settlement agreement with respect to each such lawsuit may affect the financial status, policies or operations of the District, as the nature of the court's remedy and the responses thereto are unknown at the present time.

Current Claims Exposure. Based on information available to the District as of June 30, 2024, the District estimates its liability for claims arising from AB 218 and similar sexual abuse and molestation claims (losses and allocated loss adjustment expenses) at levels of potential exposure of approximately \$500 million. This estimate is substantially based on an independent third-party actuarial report. Without the benefit of a current actuarial report, which is pending, the District anticipates that its exposure to these types of claims may be closer to \$650 million. It should be noted that these cases include a significant number of claimants in the Miramonte sexual abuse litigation matters described above, among others, and does not include that amount settled with claims dismissed. Further, funds have been set aside as accrued expenses for all current claims pending settlement. As further described elsewhere herein, this exposure estimate reflects an accounting perspective and the District is in the process of analyzing pending claims. Detailed information is not yet final, and this estimate is provided based on certain averages, assumptions, and opinion.

In the aggregate, the District's outstanding liability (losses plus loss adjustment expense) for general, auto, and sexual molestation as of June 30, 2024, on a nominal basis and at the central estimate, is approximately \$621 million. This estimate is substantially based on an independent third-party actuarial report issued in 2024. Without the benefit of a current actuarial report, which is pending, the District anticipates that its exposure to these claims may be closer to \$770 million. The District is in the process of analyzing pending claims, timing of liabilities and potential liabilities, and estimates of liability for claims in accordance with GASB Statement Nos. 10 and 56, which require that the District recognize liabilities as of June 30, 2024, to the extent that the liability is (1) probable, and (2) an amount of the liability can be reasonably estimated. As described above, this liability estimate reflects an accounting perspective. Detailed information is not yet final, and this estimate is provided based on certain averages, assumptions, and opinion.

It is important to note that this projected liability is an estimate, subject to variables including the potential for a changing claims environment over time as may be informed by jury verdicts involving the District and other public agencies subject to the provisions of AB 218 and the results of the District's further analysis of pending claims, with the potential for the movement of claims into higher loss layers than were initially assumed or assumed over time. This potential for claims includes inflation over time, among other variables, and may be inconsistent with the accounting perspective described above and, future loss emergence will likely deviate, perhaps substantially, from these estimates.

Certain recent sexual molestation claims, as described immediately below, have been outside of District expectations and actuarial assumptions at the per claims level and are, for example, respectively, proceeding to trial and approved for settlement on an assumed expectation for coverage since denied. Notwithstanding, the District believes that its expected nominal, central estimate of total liability is within the range of probabilities, based on current claims analysis. As discussed, the estimates herein at this time are subject to the variables described above and necessarily constitute forward looking statements. Actual results may differ or differ materially from those contemplated in such forward-looking statements.

From October 8, 2020, to June 3, 2022, seventeen former elementary school students filed complaints (nine total complaints) in the Los Angeles Superior Court against the District seeking unspecified damages for negligence and the failure to file a mandatory report of suspected child abuse based on allegations that from Fall 1988 to Spring 1991, they were victims of sexual abuse by their 1st grade teacher. The plaintiffs allege District employees knew or should have known of the alleged abuse and failed to take action to remove the teacher and failed to notify the authorities of suspected child abuse. On November 4, 2024, a \$68 million settlement was reached subject to Board approval. The Board approved the settlement on January 15, 2025.

On May 12, 2021, three former elementary school students filed a complaint in the Los Angeles Superior Court against the District seeking unspecified damages for negligence and the failure to file a mandatory report of suspected child abuse based on allegations that from Fall 2006 to Spring 2008, they were victims of their 4th grade (for two of the plaintiffs) and 1st grade (for one of the plaintiffs) teacher. The plaintiffs allege District employees knew or should have known of the alleged abuse and failed to take action to remove the teacher and failed to notify the authorities of suspected child abuse. A settlement of \$24 million was reached following a second mediation on May 17, 2024, with the District's expectation being that its insurer would pay much of the settlement given applicable coverages. The District Board approved the settlement on September 11, 2024, the same day the District's insurer for the relevant time period denied coverage for the claims. The District is currently weighing all options, including pursuing a coverage action against its insurer.

The District has set aside an amount in its Liability Self-Insurance Fund to pay certain existing claims amounts arising under AB 218. Additional amounts are expected to be provided and available to the Captive Insurer, with required reserves, liabilities and insurance policy premiums determined by the Captive Insurer and charged to the District using actuarial information. The District's total liability arising from existing AB 218 claims may ultimately exceed such amounts. The District expects to amortize payments on remaining claims beyond the year in which they accrue. See “- Assembly Bill 218 and Statute of Limitations in Childhood Sexual Assault Claims” above. While the District may be able to access insurance coverage for a portion of some of the AB 218 claims, the District is not currently able to determine what amount of the total liability may be covered by prior insurance policies or existing insurance policies for excess coverage. The District has identified certain gaps in insurance coverage prior to 1992 for which it is actively investigating the availability of policies that may provide coverage for claims arising from AB 218. Additionally, under AB 218, individuals who were over the age of 26 and under 40 on December 31, 2022, will still be able to timely file a lawsuit until they turn 40, and the District is unable to estimate the potential liability associated with this group of potential claimants.

The California Government Code requires the District to pay each judgment in the fiscal year that it becomes due, to the extent funds are available, or if its funds are not sufficient, in the “ensuing fiscal year immediately upon the obtaining of sufficient funds for that purpose.” Such liabilities demanding prompt payment may in the aggregate exceed the amount currently reserved for settlements and monetary damages and not otherwise amortized beyond the year in which they accrue. The District may finance or refinance certain judgments arising from AB 218 and similar claims, essentially refunding claims such that claims liabilities can be spread over several years, whether pursuant to California law applicable to local agencies such as the District, or by court order for a period not to exceed ten years commencing with the judgment or court's order approving a settlement with dismissal of the action. See “Future Financings – AB 218 and Similar Claims.” Without amortization of pending and projected claims, such liabilities could decrease the District's net position as of June 30, 2024 from the amount set forth in the District's financial statements for Fiscal Year 2023-24.

Within the District, the treatment of child abuse and related reporting has evolved significantly over the past several decades. Prior to 1981, District employees did not have child abuse and neglect reporting obligations under California law, and there was limited, if any, training provided to District employees. Since 1981, California law mandates District employees to report suspected child abuse or neglect. The

District's policies on such reporting have evolved and improved since then consistent with changes to California law. The District currently maintains (a) policies regarding child abuse and neglect reporting, sexual harassment (student-to-student, adult-to-student, and student-to-adult), social media for employees and associated persons, responsible use of technology, and ethics, (b) a code of conduct with students, and (c) protocols and procedures for reporting and investigating allegations of employee misconduct. The District also offers a variety of online and in-person training courses and resources to District employees. Currently, all District employees are subject to background checks prior to employment and are required to complete yearly child abuse training. For further reference, certain of the District's policies, protocols, training materials are made available online at the District's website. The District regularly reviews its policies, procedures, and protocols with respect to these topics and updates them periodically to address evolving circumstances.

Litigation Regarding September 2022 Cyberattack. Four separate lawsuits have been filed against the District relating to the 2022 cyberattack on the District. The first three cases have been deemed related, with the matter of *M.M., et al. v. Los Angeles Unified School District*, Case No. 22STCV37822, serving as the lead case. The three lawsuits, filed on behalf of named individuals and purported classes of individuals whose personal information was allegedly posted to the dark web as a result of the cyberattack, have been deemed complex, and plaintiffs' counsel filed a consolidated complaint against the District and Defendant Infosys, Ltd. Therein, on February 13, 2024. The District filed its demurrer in response to the consolidated complaint on March 22, 2024. The District's demurrer was sustained as to 14 of 16 causes of action on June 6, 2024, with leave to amend. Plaintiffs filed their First Amended Class Action Complaint on September 27, 2024, asserting twelve causes of action, including several that were subject to the previous demurrer. The parties engaged in mediation on October 24, 2024, but the mediation did not result in a settlement. The District's demurrer to the amended pleading is set to be heard on April 28, 2025. A separate limited jurisdiction lawsuit related to the 2022 cyberattack was filed in October 2023, and has been settled and dismissed. For more information related to the cyberattack, see "DISTRICT GENERAL INFORMATION – Cybersecurity."

Charter School Co-Location Policy Litigation. On April 2, 2024, the California Charter Schools Association ("CCSA"), on behalf of itself, member charter schools and students they serve, filed a civil action in the Los Angeles Superior Court, challenging the District Board's September 26, 2023, adoption of the resolution titled, "Creating a Charter Schools Co-Location Policy to Mitigate Impacts Caused by Proposition 39" ("Charter School Co-Location Resolution") and March 19, 2024 approval of the "Proposition 39 Charter Schools Co-Location Policy" ("Charter School Co-Location Policy"). On May 20, 2024, the District filed a demurrer and motion to strike. On July 31, 2024, CCSA filed a Verified First Amended Petition for Writ of Mandate and Complaint for Declaratory Relief ("CCSA First Amended Petition"), asserting two writ causes of action and a declaratory relief cause of action. The CCSA First Amended Petition claims that, among other things, by adopting the Charter School Co-Location Policy, the District has violated its mandatory and non-discretionary duty to comply with the California Education Code. The CCSA First Amended Petition also seeks a preliminary injunction prohibiting the District from implementing the Charter School Co-Location Resolution and the Charter School Co-Location Policy until the merits of the lawsuit have been determined. The CCSA First Amended Petition also alleges that the District has failed to comply with the California Public Records Act by refusing to make records available in response to CCSA's request seeking documents related to the District's Proposition 39 compliance and the development/passage of the Charter School Co-Location Resolution and the Charter School Co-Location Policy. The CCSA First Amended Petition seeks, among other things, a writ of mandate that sets aside the Charter School Co-Location Resolution and the Charter School Co-Location Policy, and rescinds all Board policies, administrative regulations and internal directives or guidance documents that restrict the availability of District facilities to charter schools for any reasons not expressly authorized by state law. Additionally, the CCSA First Amended Petition seeks a writ of mandate that commands the District to comply with the California Public Records Act by promptly providing to CCSA all of the records requested in its request. Further, the CCSA First Amended Petition seeks a declaratory judgment stating that the Charter School Co-Location Resolution and the Charter School Co-Location Policy do not comply with

Proposition 39 and are unnecessary, unenforceable, and void. The CCSA First Amended Petition also seeks a preliminary injunction commanding the District to not enforce the Charter School Co-Location Resolution and the Charter School Co-Location Policy. Lastly, the CCSA First Amended Petition seeks recovery of CCSA's attorneys' fees and costs. On October 29, 2024, the court overruled the District's demurrer to the CCSA First Amended Petition, finding that it satisfied the minimum pleading standard. But the court also denied CCSA's motion for a preliminary injunction, stating, in part, "on its face, the policy does not necessarily violate Proposition 39. Contrary to CCSA's argument, the District has not implemented a 'ban' on these co-locations. Rather, the policy contains guidelines to be considered in selecting co-locations for charter schools. The law is clear that school districts retain substantial discretion in making decisions under Proposition 39. The policy itself states that these preferences will be considered to the extent that doing so does not violate the law." The court has set trial for April 25, 2025.

Proposition 28 Litigation. In February 2025, the District's former superintendent, among others, filed a civil action against the District and the Superintendent, alleging misuse of approximately \$77 million in taxpayer funds that voters approved pursuant to Proposition 28 to expand arts and music education. The District has not yet been served with the complaint and cannot predict the outcome of the matter.

District Debt

General Obligation Bonds. From July 1997 through March 2003, the District issued the entire amount of \$2,400,000,000 general obligation bonds authorized pursuant to Proposition BB approved by voters on April 8, 1997 (the "Proposition BB Authorization"). From May 2003 to May 2010, the District issued the entire amount of \$3,350,000,000 general obligation bonds pursuant to Measure K approved by voters on November 5, 2002 (the "Measure K Authorization"). From September 2004 through October 2021, the District issued the entire amount of \$3,870,000,000 general obligation bonds pursuant to Measure R approved by voters on March 2, 2004 (the "Measure R Authorization"). From February 2006 through October 2021, the District issued the entire amount of \$3,985,000,000 general obligation bonds pursuant to Measure Y approved by voters on November 8, 2005 (the "Measure Y Authorization").

A \$7,000,000,000 general obligation bond authorization was approved by voters on November 4, 2008 (the "Measure Q Authorization"). The District has issued \$4,800,955,000 of Measure Q general obligation bonds, leaving \$2,199,045,000 available under the Measure Q Authorization. A \$7,000,000,000 general obligation bond authorization was approved by the voters on November 3, 2020 (the "Measure RR Authorization"). The District has issued \$1,600,000,000 of Measure RR general obligation bonds, leaving \$5,400,000,000 available under the Measure RR Authorization.

A \$9,000,000,000 general obligation bond authorization was approved by voters on November 5, 2024 (the "Measure US Authorization"). [Following the issuance of the New Money Bonds, the first issuance of bonds pursuant to the Measure US Authorization, the District will have issued \$[PAR AMOUNT] of Measure US general obligation bonds, leaving \$[] available under the Measure US Authorization.]

Under the District's general obligation bond program, approximately 24,475 new school construction, rehabilitation, modernization and replacement projects, which are intended to upgrade facilities and improve the learning environment for students, have been completed. In addition, 822 projects valued at approximately \$8.5 billion are currently underway, including 590 projects valued at nearly \$3.7 billion in pre-construction, and 232 projects valued at nearly \$4.8 billion under construction.

Pursuant to Section 1(b)(3) of Article XIII A of the State Constitution, Chapters 1 and 1.5 of Part 10 of Division 1 of Title 1 of the State Education Code, as amended, and other applicable law (collectively, the "Act"), the District Board has appointed the LAUSD School Construction Bond Citizens' Oversight Committee (the "Citizens' Bond Oversight Committee"). The Citizens' Bond Oversight Committee is composed of 15 members representing numerous community groups and operates to inform the public

concerning the spending of Measure K, Measure R, Measure Y, Measure Q, Measure RR, and Measure US Authorization bond funds authorized by the Act. The Citizens' Bond Oversight Committee regularly reviews the potential bond projects and budgets and provides non-binding advice to the District Board on how to allocate and reallocate scarce bond proceeds in order to ensure the completion of viable projects and to avoid non-completion of projects once commenced. The Citizens' Bond Oversight Committee also informs the public concerning the spending of funds attributable to the Proposition BB Authorization, although Proposition BB was approved under statutes other than the Act. The Citizens' Bond Oversight Committee meets monthly in order to review all matters including, among other things, changes in budget, scope and schedules that relate to the District's general obligation bonds and the projects proposed to be funded therefrom. In addition, the Citizens' Bond Oversight Committee makes recommendations to the District Board regarding such matters. See "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 39" herein. The District's Office of the Inspector General conducts audits on a selected number of the construction management firms on an annual basis to ensure that funds from the School Upgrade Program and other legacy bond programs are spent in compliance with the Act and the District's policies relating thereto. The District's outside auditor, Simpson & Simpson, currently prepares the required bond audits regarding the expenditures of general obligation bond proceeds.

The members of the District's Citizens' Bond Oversight Committee and the community groups represented by such members are set forth in Table A-17 below.

TABLE A-17
LOS ANGELES UNIFIED SCHOOL DISTRICT
Citizens' Bond Oversight Committee
(As of January 1, 2025)

Member	Community Group Represented
D. Michael Hamner, FAIA, Chair	American Institute of Architects
Robert Campbell, Vice Chair	Los Angeles County Auditor-Controller's Office
Dr. Samantha Rowles, Secretary	LAUSD Student Parent
Patrick MacFarlane, Executive Member	Early Childhood Alliance
Scott Pansky, Executive Member	Los Angeles Area Chamber of Commerce
Neelura Bell	California Charter School Association
Sandra Betts	California Tax Reform Association
Chad Boggio	Los Angeles County Federation of Labor AFL-CIO
Aleigh Lewis	Los Angeles City Controller's Office
Jennifer McDowell	Los Angeles City Mayor's Office
Brian Mello	Associated General Contractors of California
Santa Ramirez	Tenth District Parent Teacher Student Association
William O. Ross IV	Thirty-First District Parent Teacher Student Association
Dr. Bevin Ashenmiller	Tenth District Parent Teacher Student Association (Alternate)
Ashley Kaiser	Association of General Contractors of California (Alternate)
Connie Yee	Los Angeles County Auditor-Controller's Office (Alternate)
(Vacant)	LAUSD Student Parent
(Vacant)	Senior Citizens' Organization

Source: Los Angeles Unified School District.

The following Table A-18, Table A-19, Table A-20, Table A-21, Table A-22 and Table A-23 set forth the outstanding series of general obligation bonds and the amount outstanding as of January 1, 2025, under the Proposition BB, Measure K, Measure R, Measure Y, Measure Q, and Measure RR Authorizations, respectively. The tables below do not reflect the issuance of the Bonds. For more information, see "PLAN OF FINANCE AND REFINANCE" in the forepart of this Official Statement.

TABLE A-18
LOS ANGELES UNIFIED SCHOOL DISTRICT
Proposition BB (Election of 1997) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of January 1, 2025	Date of Issue
2015 Refunding Bonds, Series A ⁽¹⁾	\$326,045	\$ 15,940	May 28, 2015
2016 Refunding Bonds, Series A ⁽¹⁾	202,420	53,950	April 5, 2016
2017 Refunding Bonds, Series A ⁽¹⁾	<u>139,265</u>	<u>50,230</u>	May 25, 2017
TOTAL	<u>\$667,730</u>	<u>\$120,120</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Proposition BB Authorization are not counted against the Proposition BB Authorization of \$2.4 billion.

Source: Los Angeles Unified School District.

TABLE A-19
LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure K (Election of 2002) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of January 1, 2025	Date of Issue
2016 Refunding Bonds, Series B ⁽¹⁾	\$ 227,535	\$ 224,920	September 15, 2016
2017 Refunding Bonds, Series A ⁽¹⁾	941,565	457,950	May 25, 2017
2019 Refunding Bonds, Series A ⁽¹⁾	153,285	109,760	May 29, 2019
2020 Refunding Bonds, Series A ⁽¹⁾	112,350	106,680	October 6, 2020
2021 Refunding Bonds, Series B ⁽¹⁾	48,855	47,015	November 10, 2021
2024 Refunding Bonds, Series A ⁽¹⁾	<u>193,740</u>	<u>191,190</u>	April 30, 2024
TOTAL	<u>\$1,677,330</u>	<u>\$1,137,515</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure K Authorization, are not counted against the Measure K Authorization of \$3.35 billion.

Source: Los Angeles Unified School District.

TABLE A-20
LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure R (Election of 2004) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of January 1, 2025	Date of Issue
2016 Refunding Bonds, Series A ⁽¹⁾	\$ 56,475	\$ 29,265	April 5, 2016
2016 Refunding Bonds, Series B ⁽¹⁾	176,455	176,455	September 15, 2016
2019 Refunding Bonds, Series A ⁽¹⁾	349,350	243,585	May 29, 2019
Series RYQ Bonds (2020)	36,000	27,560	April 30, 2020
2020 Refunding Bonds, Series A ⁽¹⁾	113,150	94,335	October 6, 2020
Series RYRR (2021)	123,990	101,235	November 10, 2021
2024 Refunding Bonds, Series A ⁽¹⁾	<u>1,243,800</u>	<u>1,224,780</u>	April 30, 2024
TOTAL	<u>\$2,099,220</u>	<u>\$1,897,215</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure R Authorization, are not counted against the Measure R Authorization of \$3.87 billion.

Source: Los Angeles Unified School District.

TABLE A-21
LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure Y (Election of 2005) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of January 1, 2025	Date of Issue
Series H Bonds (2009) (Qualified School Construction Bonds)	\$ 318,800	\$ 318,800 ⁽²⁾	October 15, 2009
Series J Bonds (2010) (Qualified School Construction Bonds)	290,195	290,195 ⁽³⁾	May 6, 2010
2016 Refunding Bonds, Series A ⁽¹⁾	92,465	43,215	April 5, 2016
2016 Refunding Bonds, Series B ⁽¹⁾	96,865	96,865	September 15, 2016
Series M-1 Bonds (2018)	117,005	98,345	March 8, 2018
2019 Refunding Bonds, Series A ⁽¹⁾	91,970	65,895	May 29, 2019
Series RYQ Bonds (2020)	182,000	139,340	April 30, 2020
2020 Refunding Bonds, Series A ⁽¹⁾	76,500	74,215	October 6, 2020
Series RYRR (2021)	70,150	57,275	November 10, 2021
2024 Refunding bonds, Series A ⁽¹⁾	<u>1,537,405</u>	<u>1,516,185</u>	April 30, 2024
TOTAL	<u>\$2,873,355</u>	<u>\$2,700,330</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure Y Authorization, are not counted against Measure Y Authorization of \$3.985 billion.

⁽²⁾ Includes the set-aside deposits totaling \$206.44 million for fiscal years 2019-20 through 2023-24. An additional \$54.12 million was set-aside on September 15, 2024.

⁽³⁾ Includes the set-aside deposits totaling \$200.68 million for fiscal years 2018-19 through 2023-24.

Source: Los Angeles Unified School District.

TABLE A-22
LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure Q (Election of 2008) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of January 1, 2025	Date of Issue
Series A Bonds (2016)	\$ 648,955	\$ 320,505	April 5, 2016
Series B-1 Bonds (2018)	1,085,440	918,175	March 8, 2018
Series RYQ Bonds (2020)	724,940	555,030	April 30, 2020
Series C Bonds (2020)	1,057,060	822,255	November 10, 2020
2021 Refunding Bonds, Series A ⁽¹⁾	164,095	144,260	April 29, 2021
Series QRR (2022)	100,000	94,775	November 22, 2022
Series QRR (2023)	525,000	476,315	November 7, 2023
Series QRR (2024)	<u>525,000</u>	<u>474,745</u>	October 8, 2024
TOTAL	<u>\$4,830,490</u>	<u>\$3,806,060</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure Q Authorization, are not counted against Measure Q Authorization of \$7.00 billion.

Source: Los Angeles Unified School District.

TABLE A-23
LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure RR (Election of 2020) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of January 1, 2025	Date of Issue
Series RYRR (2021)	\$ 300,000	\$ 244,940	November 10, 2021
Series QRR (2022)	400,000	329,495	November 22, 2022
Series QRR (2023)	325,000	306,640	November 7, 2023
Series QRR (2024)	<u>575,000</u>	<u>519,960</u>	October 8, 2024
TOTAL	<u>\$1,600,000</u>	<u>\$1,401,035</u>	

Source: Los Angeles Unified School District.

Lease Obligations and Certificates of Participation. As of January 1, 2025, the District has outstanding lease obligations in the form of COPs in the aggregate principal amount of approximately \$443.04 million. The District estimates that the aggregate payment of principal and interest evidenced by COPs will be approximately \$605.60 million until the final maturity thereof. The District's lease obligations are not subject to acceleration in the event of a default thereof. The following Table A-24 sets forth the District's existing lease obligations paid from the District General Fund with respect to its outstanding COPs as of January 1, 2025. The table below does not reflect the issuance of the Bonds expected to defease a portion of the District's outstanding COPs -- see "PLAN OF FINANCE AND REFINANCE" in the forepart of this Official Statement. See "– Future Financings – *Lease Financings*" for more information. A portion of the District's 2023 COPs will be prepaid with a portion of the proceeds of the Series B Bonds.

TABLE A-24
LOS ANGELES UNIFIED SCHOOL DISTRICT
Certificates of Participation Lease Obligations Debt Service Schedule⁽¹⁾
(as of January 1, 2025)
(\$ in thousands)

Fiscal Year Ending (June 30)	Paid From General Fund ⁽²⁾⁽³⁾
2025	\$ 10,496,986 ⁽⁴⁾
2026	50,166,678
2027	50,165,837
2028	50,170,829
2029	50,163,720
2030	48,411,327
2031	48,412,291
2032	38,004,125
2033	38,001,075
2034	37,992,000
2035	37,985,550
2036	36,406,750
2037	36,409,000
2038	36,410,750
2039	36,408,000
Total⁽³⁾	<u>\$605,604,918</u>

⁽¹⁾ The lease payments reflect the net obligations of the District due to the defeasance of certain COPs.

⁽²⁾ The District expects to pay all or a portion of the final debt service payments evidenced by certain series of COPs from funds on deposit in the related debt service reserve fund.

⁽³⁾ Total may not equal sum of component parts due to rounding.

⁽⁴⁾ Only reflects remaining debt service for fiscal year ending June 30, 2025, as of January 1, 2025. Total debt service for fiscal year ending June 30, 2025 is \$50.2 million.

Source: Los Angeles Unified School District.

Limitations Related to Receipt of Federal Subsidy Payments. On March 1, 2013, then-President Barack Obama signed an executive order (the “Sequestration Executive Order”) to reduce budgetary authority in certain accounts subject to sequester in accordance with the Budget Control Act of 2011 (the “Budget Control Act”) and the American Taxpayer Relief Act of 2012 (the “Taxpayer Relief Act”). Pursuant to the Sequestration Executive Order, budget authority for all accounts in the domestic mandatory spending category including, among others, accounts for the payments to issuers of “Direct Pay Bonds,” which includes the District’s outstanding Series J (Qualified School Construction Bonds) (the “Series J Bonds”), are subject to sequestration. Direct Pay Bonds are issued as taxable bonds and provide credits to the District from the federal government pursuant to Section 54AA(d) and 54AA(g) of the Code.

Pursuant to the Bipartisan Budget Act of 2013, enacted in December 2013, the District’s Direct Pay Bonds are subject to the full amount of sequestration budget cuts. The federal subsidy for the Direct Pay Bonds for the federal fiscal year ended September 30, 2023, was reduced by 5.7%, and the U.S. Treasury Department has announced a decrease in subsidy amounts by 5.7% through federal fiscal year ending 2031. During the federal fiscal year ended September 30, 2024, the sequester resulted in a reduction in the aggregate amount of approximately \$0.9 million with respect to the refundable credits for the Series J Bonds.

Congress can terminate, extend or otherwise modify reductions in federal subsidy payments on Direct Pay Bonds due to sequestration at any time. Furthermore, due to recent federal legislation, it was reported that the Congressional pay-as-you-go or PAYGO budget rule and scorecard could increase the overall sequestration percentage from the current level of 5.7% (under the Budget Control Act) to 100%. The Consolidated Appropriations Act of 2023, enacted in December 2022, prevented the PAYGO sequestration provisions from being triggered in January 2023 and delaying PAYGO sequestration until

January 2025, absent further legislation. Accordingly, the District cannot predict what action, if any, that Congress may take with respect to the federal subsidy and its impact on the District's Direct Pay Bonds in future federal fiscal years. The District's Series J Bonds, however, are payable from and secured by *ad valorem* property taxes which are to be assessed in amounts sufficient to pay principal of and interest on the Series J Bonds when due. The County has levied and will continue to levy *ad valorem* property taxes in an amount sufficient to pay principal of and interest on the Series J Bonds when due regardless of the amount of federal subsidy.

On January 20, 2025, President Trump issued a series of executive orders, which include ensuring that federal funds are used in a manner approved by the current administration. In response to and in an effort to carry out such orders, on January 27, 2025, the White House Office of Management and Budget ("OMB") released its Memorandum M-25-13, Temporary Pause of Agency Grant, Loan, and Other Financial Assistance Programs (the "OMB Memorandum"). The OMB Memorandum directed federal agencies to temporarily pause all activities related to obligation or disbursement of all federal financial assistance, and said temporary pause was to become effective at 5:00 p.m. on January 28, 2025. The OMB Memorandum caused mass confusion as to whether certain Federal funding and grants would be paused. On January 28, 2025, shortly before the OMB Memorandum became effective, a federal judge blocked the pause on federal funding. On January 29, 2025, OMB rescinded the OMB Memorandum. Although the OMB Memorandum was rescinded, the executive orders are in effect and the matter is ongoing as spending reviews are ongoing. On January 31, 2025, a federal judge issued a temporary restraining order that says the administration cannot pause, freeze, impede, block, cancel, or terminate federal financial assistance obligations to the states. Responding to the petition of several state Attorneys General, on February 10, 2025, a federal judge issued an Enforcement Order clarifying the scope of temporary restraining order and ordering the Trump Administration to release federal funds and comply with the earlier order. The Trump Administration's request to stay the temporary restraining order was denied. The District cannot predict any action to be taken in carrying out the executive orders nor its effect on the District's federal funding or operations of the District.

Tax and Revenue Anticipation Notes. On November 22, 2024, the District issued \$54,563,613 aggregate principal amount of its 2024-25 Tax and Revenue Anticipation Notes, Series A (the "2025A TRANS"). On January 30, 2025, the District issued \$1,362,475.87 of its 2024-25 Tax and Revenue Anticipation Notes, Series B (the "2025B TRANS"). On March 27, 2025, the District issued \$14,026,452.50 aggregate principal amount of its 2024-25 Tax and Revenue Anticipation Notes, Series C (the "2025C TRANSs"). The 2025A TRANSs, the 2025B TRANSs and the 2025C TRANSs all mature on August 1, 2025. The District anticipates paying the 2025A TRANSs, 2025B TRANSs and 2025C TRANSs through the issuance of judgement obligation bonds in fiscal year 2024-25. See "- Future Financings – Judgment Obligation Bonds" below.

Future Financings

General Obligation Bonds. The District may not issue general obligation bonds without voter approval and may not issue general obligation bonds in an amount greater than its bonding capacity. The District may not issue general obligation bonds under the Measure US Authorization if the tax rate levied to meet the debt service requirements under the related Authorization for general obligation bonds is projected to exceed \$60 per year per \$100,000 of taxable property in accordance with Article XIII A of the State Constitution. See "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the State Constitution" and "– Proposition 39" herein.

Pursuant to the Education Code, the District's bonding capacity for general obligation bonds may not exceed 2.5% of taxable property valuation in the District as shown by the last equalized assessment roll of the County. The taxable property valuation in the District for fiscal year 2024-25 is approximately \$972.87 billion, which results in a total current bonding capacity of approximately \$24.32 billion. The

District's available capacity for the issuance of new general obligation bonds is approximately \$13.26 billion (taking into account current outstanding debt before the issuance of the Bonds). The fiscal year 2024-25 assessed valuation of property within the District's boundaries of approximately \$972.87 billion reflects an increase of 4.61% from fiscal year 2023-24. See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Assessed Valuation of Property Within the District" in the forepart of this Official Statement and "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the State Constitution" herein. See also "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Assessed Valuation of Property Within the District - 2025 *Wildfires*" in the forepart of this Official Statement.

Following the issuance of the Bonds, the District has \$[] authorized and unissued general obligation bond authorization remaining under the Measure US Authorization. The District may issue additional general obligation bonds or general obligation refunding bonds in the future depending upon project needs and market conditions.

As provided in the text of each of the ballots of Proposition BB, Measure K, Measure R, Measure Y, Measure Q, Measure RR, and Measure US, the District Board does not guarantee that the respective bonds authorized and issued under the Proposition BB, Measure K, Measure R, Measure Y, Measure Q, Measure RR, and Measure US Authorizations will provide sufficient funds to allow completion of all potential projects listed in connection with said measures.

Lease Financings. The District may finance capital projects through the execution and delivery of certificates of participation or other obligations secured by general fund lease payments from time to time. In particular, the District may utilize lease financing, from time to time, to fund projects that are not eligible to be funded with general obligation bond proceeds, that are not authorized to be funded under existing general obligation bond measures, or for which there is not sufficient general obligation bond authorization to fund. See also "– District Financial Policies and Related Practices – Debt Management Policy" herein.

AB 218 and Similar Claims. With respect to a portion of the District's pending and potential liabilities for sexual misconduct and similar claims including those brought pursuant to AB 218, the District has approved the issuance of certain judgment obligation notes and bonds for the refinancing and amortization of such claims resulting in settlement and final judgment of the court. See "DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation – *Sexual Misconduct Cases.*"

The refinancing and amortization of these claims over a ten-to-twenty-year period as general unsecured obligations of the District payable from legally available revenues will result in more manageable annual payment obligations in the near term and minimize detrimental impacts upon the District's operations and currently enrolled and future students. To provide for the issuance of the judgment obligation notes and bonds, the District Board adopted an approving resolution and the District filed a complaint in the Los Angeles Superior Court for judicial validation in June 2024. Judicial validation is necessary for the District to deliver the notes, bonds and related agreements to the satisfaction of lenders and bond investors as legally enforceable obligations of the District meeting an exception to the constitutional debt limitation under the California constitution. Answers and objections to the complaint were filed by certain claimants but have now been withdrawn. The District is awaiting the court's decision on its ex parte motion for judgment of validation and cannot predict the outcome.

Tax and Revenue Anticipation Notes. The District may issue additional tax and revenue anticipation notes in fiscal year 2024-25 for purposes of paying obligations of the District payable or accruing during fiscal year 2024-25, particularly as an interim financing mechanism in connection with its refinancing of claims arising from AB 218 and similar claims. See "– AB 218 and Similar Claims" above. The District may also issue tax and revenue anticipation notes in future fiscal years depending on State and federal funding.

Judgement Obligation Bonds. The District expects to issue judgement obligation bonds in fiscal year 2024-25, in order to pay the District's outstanding 2024-25 tax and revenue anticipation notes issued as an interim financing mechanism in connection with its refinancing of claims arising from AB 218 and similar claims. See "– AB 218 and Similar Claims" above. The District may issue judgement obligation bonds in future fiscal years as well.

CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS

Constitutionally Required Funding of Education

The State Constitution requires that from all State revenues there shall first be set apart the moneys to be applied by the State for the support of the public school system and public institutions of higher education. California school districts receive a significant portion of their funding from State appropriations. As a result, decreases as well as increases in State revenues can significantly affect appropriations made by the State Legislature to school districts.

Article XIII A of the State Constitution

On June 6, 1978, California voters approved Proposition 13 ("Proposition 13"), which added Article XIII A to the State Constitution ("Article XIII A"). On June 3, 1986, California voters approved Proposition 46 ("Proposition 46") which amended Article XIII A to permit local governments and school districts to increase the *ad valorem* property tax rate above 1% if two-thirds of those voting in a local election approve the issuance of such bonds and the proceeds of such bonds are used to acquire or improve real property. See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – California Constitutional and Statutory Provisions Relating to *Ad Valorem* Property Taxes – Article XIII A of the California Constitution" in the forepart of this Official Statement.

The provisions of Article XIII A were subsequently modified pursuant to Proposition 39, which was approved by California voters on November 7, 2000. See "– Proposition 39" below. Article XIII A defines full cash value to mean "the county assessor's valuation of real property as shown on the 1975-76 tax bill under "full cash value," or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership has occurred after the 1975 assessment." The full cash value may be adjusted annually to reflect inflation at a rate not to exceed 2% per year, or a reduction in the consumer price index or comparable local data at a rate not to exceed 2% per year or reduced in the event of declining property value caused by substantial damage, destruction or other factors including a general economic downturn. Subsequent amendments further limit the amount of any *ad valorem* tax on real property to 1% of the full cash value except that additional taxes may be levied to pay debt service on bonded indebtedness approved by the requisite percentage of voters voting on the proposition.

Legislation Implementing Article XIII A

Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any *ad valorem* property tax (except to pay voter-approved indebtedness). The 1% *ad valorem* property tax is automatically levied by the County and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1989.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the up to 2% annual inflationary adjustment of the 1% tax base are allocated among the various jurisdictions in the "taxing area" based upon their respective "situs." Any such allocation made to a local agency continues as part of its allocation in future years. Separate *ad valorem* property taxes to pay voter approved indebtedness such as general obligation bonds are levied by the County on behalf of

the local agencies. Article XIII A effectively prohibits the levying of any other *ad valorem* property tax above the Proposition 13 limit except for taxes to support such indebtedness.

The full cash value of taxable property under Article XIII A represents the maximum taxable value for property. Accordingly, the fair market value for a given property may not be the equivalent of the full cash value under Article XIII A. During periods in which the real estate market within the District evidences an upward trend, the fair market value for a given property, which has not been reappraised due to a change in ownership, may exceed the full cash value of such property. During periods in which the real estate market demonstrates a downward trend, the fair market value of a given property may be less than the full cash value of such property and the property owner may apply for a “decline in value” reassessment pursuant to Proposition 8. Reassessments pursuant to Proposition 8, if approved by the Office of the County Assessor, lower valuations of properties (where no change in ownership has occurred) if the current value of such property is lower than the full cash value of record of the property. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Assessed Valuation of Property Within the District” in the forepart of this Official Statement. The value of a property reassessed as a result of a decline in value may change, but in no case may its full cash value exceed its fair market value. When and if the fair market value of a property which has received a downward reassessment pursuant to Proposition 8 increases above its Proposition 13 factored base year value, the Office of the County Assessor will enroll such property at its Proposition 13 factored base year value.

Proposition 19

On November 3, 2020, State voters approved Proposition 19, a legislatively referred constitutional amendment (“Proposition 19”), which amends Article XIII A to (i) expand special rules that give property tax savings to homeowners that are over the age of 55, severely disabled, or whose property has been impacted by wildfire or natural disaster, when they buy a different home; (ii) narrow existing special rules for inherited properties; and (iii) dedicate most of the potential new State revenue generated from Proposition 19 toward fire protection. The District cannot make any representation regarding the effect Proposition 19 may have on District revenues or the assessed valuation of real property in the District. The District cannot provide make any representation regarding the effect Proposition 19 may have on District revenues or the assessed valuation of real property in the District. Any reduction of assessed valuation, however, would result in a corresponding increase in the annual tax rate levied by the County to pay the debt service on to the Bonds.

State-Assessed Utility Property

Some amount of property tax revenue of the District is derived from utility property which is considered part of a utility system with components located in many taxing jurisdictions. Under the State Constitution, such property is assessed by the State Board of Equalization (“SBE”) as part of a “going concern” rather than as individual pieces of real or personal property. Such State-assessed property is allocated to the counties by the SBE, taxed at special county-wide rates, and the tax revenues distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year.

The California electric utility industry has been undergoing significant changes in its structure and in the way in which components of the industry are regulated and owned. Sale of electric generation assets to largely unregulated, non-utility companies may affect how those assets are assessed, and which local agencies are to receive the property taxes. The District is unable to predict the impact of these changes on its utility property tax revenues, or whether legislation may be proposed or adopted in response to industry restructuring, or whether any future litigation may affect ownership of utility assets or the State’s methods of assessing utility property and the allocation of assessed value to local taxing agencies, including the District. So long as the District is not a basic aid district, taxes lost through any reduction in assessed valuation will be compensated by the State as equalization aid under the State’s school financing formula.

Article XIII B of the State Constitution

An initiative to amend the State Constitution entitled “Limitation of Government Appropriations” was approved on September 6, 1979 thereby adding Article XIII B to the State Constitution (“Article XIII B”). In June 1990, Article XIII B was amended by the voters through their approval of Proposition 111. Under Article XIII B, the State and each local governmental entity have an annual “appropriations limit” and are not permitted to spend certain moneys that are called “appropriations subject to limitation” (consisting of tax revenues, State subventions and certain other funds) in an amount higher than the appropriations limit. Article XIII B does not affect the appropriations of moneys that are excluded from the definition of “appropriations subject to limitation,” including debt service on indebtedness existing or authorized as of January 1, 1979, or bonded indebtedness subsequently approved by the voters. In general terms, the appropriations limit is to be based on certain 1978-79 expenditures and is to be adjusted annually to reflect changes in costs of living and changes in population, and adjusted where applicable for transfer of financial responsibility of providing services to or from another unit of government. Among other provisions of Article XIII B, if these entities’ revenues in any year exceed the amounts permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years. However, in the event that a school district’s revenues exceed its spending limit, the district may, in any fiscal year, increase its appropriations limit to equal its spending by borrowing appropriations limit from the State, provided the State has sufficient excess appropriations limit in such year. See “STATE FUNDING OF SCHOOL DISTRICTS” herein.

The 2025-26 State Budget Proposal projects that the State will not be below its appropriations limit (also referred to as the Gann Limit) for fiscal year 2025-26. The District Board adopted the annual appropriation limit for both fiscal year 2023-24 and fiscal year 2024-25 of approximately \$4.00 billion and \$4.06 billion, respectively. The limitation applies only to proceeds of taxes and therefore does not apply to service fees and charges, investment earnings on non-proceeds of taxes, fines, and revenue from the sale of property and taxes received from the State and federal governments that are tied to special programs.

Article XIII C and Article XIII D of the State Constitution

On November 5, 1996, the voters of the State of California approved Proposition 218, popularly known as the “Right to Vote on Taxes Act.” Proposition 218 added to the California Constitution Articles XIII C and XIII D (respectively, “Article XIII C” and “Article XIII D”), which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the California Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIII C establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds percent vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIII C further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the California Constitution and special taxes approved by a two-thirds percent vote under Article XIII A, Section 4.

On November 2, 2010, Proposition 26 was approved by State voters, which amended Article XIII C to expand the definition of “tax” to include “any levy, charge, or exaction of any kind imposed by a local government” except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a

specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) a fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIID. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor's burdens on, or benefits received from, the governmental activity.

Article XIID deals with assessments and property-related fees and charges. Article XIID explicitly provides that nothing in Article XIIC or XIID shall be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development; however, it is not clear whether the initiative power is therefore unavailable to repeal or reduce developer and mitigation fees imposed by the District. Proposition 218 does not affect the *ad valorem* property taxes to be levied to pay debt service on the Bonds.

Proposition 98

On November 8, 1988, State voters approved Proposition 98, a combined initiative, constitutional amendment and statute called the "Classroom Instructional Improvement and Accountability Act" (the "Accountability Act"). The Accountability Act changed State funding of public education below the university level, and the operation of the State's Appropriations Limit, primarily by guaranteeing State funding for K-12 school districts and community college districts (collectively, "K-14 districts").

Under Proposition 98 (as modified by Proposition 111, which was enacted on June 5, 1990), K-14 districts are guaranteed the greater of (i) in general, a fixed percent of the State general fund's revenues ("Test 1"), (ii) the amount appropriated to K-14 districts in the prior year, adjusted for changes in the cost of living (measured as in Article XIIB by reference to State per capita personal income) and enrollment ("Test 2"), or (iii) a third test, which would replace Test 2 in any year when the percentage growth in per capita State general fund revenues from the prior year plus 0.05% is less than the percentage growth in State per capita personal income ("Test 3"). Under Test 3, schools would receive the amount appropriated in the prior year adjusted for changes in enrollment and per capita State general fund revenues, plus an additional small adjustment factor. If Test 3 is used in any year, the difference between Test 3 and Test 2 would become a "credit" to schools which would be the basis of payments in future years when per capita State general fund revenue growth exceeds per capita personal income growth. Legislation adopted prior to the end of fiscal year 1988-89 that implemented Proposition 98, determined the K-14 districts' funding guarantee under Test 1 to be 40.3% of the State general fund tax revenues, based on 1986-87 appropriations. However, that percentage has been adjusted to 34.559% to account for a subsequent redirection of local property taxes whereby a greater proportion of education funding now comes from local property taxes.

Proposition 98 permits the State Legislature, by a two-thirds vote of both houses of the State Legislature and with the Governor's concurrence, to suspend the K-14 districts' minimum funding formula for a one-year period. In the fall of 1989, the State Legislature and the Governor utilized this provision to avoid having 40.3% of revenues generated by a special supplemental sales tax enacted for earthquake relief go to K-14 districts. In the fall of 2004, the State Legislature and the Governor agreed to suspend the K-14 districts' minimum funding formula set forth pursuant to Proposition 98 in order to address a projected

shortfall during fiscal year 2004-05. Proposition 98 also contains provisions transferring certain State tax revenues in excess of the Article XIII B limit to K-14 districts.

The 2024-25 State Budget suspends the Proposition 98 guarantee in 2023-24, which is projected to create a maintenance factor payment to be paid in future fiscal years of approximately \$8.3 billion in 2023-24 and \$4.1 billion in 2024-25. The maintenance factor obligation will be paid in addition to the Proposition 98 guarantee funding in 2024-25. The 2024-25 State Budget projects the Proposition 98 guarantee to fall under Test 1 for fiscal year 2023-24, resulting in funding estimates of \$103.7 billion in fiscal year 2022-23, \$98.5 billion in fiscal year 2023-24, and \$115.3 billion in fiscal year 2024-25. For more information on the Proposition 98 funding under the 2024-25 State Budget, see “STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act – 2024-25 State Budget” herein. The 2025-26 Proposed State Budget, due to the implementation of universal transitional kindergarten, estimates that the Proposition 98 guarantee will fall under Test 1 for fiscal year 2025-26 and will increase to \$199.2 billion for fiscal year 2024-25 and \$118.9 billion in 2025-26. The 2025-26 Proposed State Budget expects an increased repayment of \$5.6 billion for the maintenance factor obligation, lowering the remaining balance to \$2.9 billion. There is no scheduled repayment proposed for fiscal year 2025-26.

Proposition 39

Proposition 39, which was approved by California voters in November 2000 (“Proposition 39”), provides an alternative method for passage of school facilities bond measures by lowering the constitutional voting requirement from two-thirds to 55% of voters and allows property taxes to exceed the current 1% limit in order to repay such bonds. The lower 55% vote requirement would apply only to bond issues to be used for construction, rehabilitation, or equipping of school facilities or the acquisition of real property for school facilities. The State Legislature enacted additional legislation which placed certain limitations on this lowered threshold, requiring that (i) two-thirds of the governing board of a school district approve placing a bond issue on the ballot, (ii) the bond proposal be included on the ballot of a Statewide or primary election, a regularly scheduled local election, or a Statewide special election (rather than a school district election held at any time during the year), (iii) the tax rate levied as a result of any single election not exceed \$25 for a community college district, \$60 for a unified school district, or \$30 for an elementary school or high school district per \$100,000 of taxable property value, and (iv) the governing board of the school district appoint a citizen’s oversight committee to inform the public concerning the spending of the bond proceeds. In addition, the school board of the applicable district is required to perform an annual, independent financial and performance audit until all bond funds have been spent to ensure that the funds have been used only for the projects listed in the measure. The District’s Measure K, Measure R, Measure Y, Measure Q, and Measure RR bond programs were authorized pursuant to Proposition 39. See “DISTRICT FINANCIAL INFORMATION – District Debt – *General Obligation Bonds*” herein. The District is in full compliance with all Proposition 39 requirements.

Proposition 1A

Proposition 1A, which was approved by California voters in November 2004 (“Proposition 1A”), provides that the State may not reduce any local sales tax rate, limit existing local government authority to levy a sales tax rate or change the allocation of local sales tax revenues, subject to certain exceptions. Proposition 1A generally prohibits the State from shifting to schools or community colleges any share of property tax revenues allocated to local governments for any fiscal year, as set forth under the laws in effect as of November 3, 2004. Any change in the allocation of property tax revenues among local governments within a county must be approved by two-thirds of both houses of the Legislature. Proposition 1A provided, however, that beginning in fiscal year 2008-09, the State could shift to schools and community colleges up to 8% of local government property tax revenues, which amount must be repaid, with interest, within three years, if the Governor proclaims that the shift is needed due to a severe state financial hardship, the shift is approved by two-thirds of both houses of the State Legislature and certain other conditions are met. The State may also approve voluntary exchanges of local sales tax and property tax revenues among local

governments within a county. Proposition 1A also provides that if the State reduces the vehicle license fee rate below 0.65% of vehicle value, the State must provide local governments with equal replacement revenues. Further, Proposition 1A requires the State, beginning July 1, 2005, to suspend State mandates affecting cities, counties and special districts, excepting mandates relating to employee rights, schools or community colleges, in any year that the State does not fully reimburse local governments for their costs to comply with such mandates. The State's ability to initiate future exchanges and shifts of funds will be limited by Proposition 22. See "– Proposition 22" below.

Proposition 22

Proposition 22, which was approved by California voters in November 2010, prohibits the State, even during a period of severe fiscal hardship, from delaying the distribution of tax revenues for transportation, redevelopment, or local government projects and services and prohibits fuel tax revenues from being loaned for cash-flow or budget balancing purposes to the State general fund or any other State fund. Due to the prohibition with respect to State's ability to take, reallocate, and borrow money raised by local governments for local purposes, Proposition 22 supersedes certain provisions of Proposition 1A of 2004. See "– Proposition 1A" herein. In addition, Proposition 22 generally eliminated the State's authority to temporarily shift property taxes from cities, counties, and special districts to schools, temporarily increased school and community college district's share of property tax revenues, prohibited the State from borrowing or redirecting redevelopment property tax revenues or requiring increased pass-through payments thereof, and prohibited the State from reallocating vehicle license fee revenues to pay for State-imposed mandates. In addition, Proposition 22 requires a two-thirds vote of each house of the State Legislature and a public hearing process to be conducted in order to change the amount of fuel excise tax revenues shared with cities and counties. The LAO stated that Proposition 22 would prohibit the State from enacting new laws that require redevelopment agencies to shift funds to schools or other agencies. However, the California Supreme Court, in *California Redevelopment Association v. Matosantos*, held that the dissolution provisions set forth in Assembly Bill No. 26 of the First Extraordinary Session (2011) were constitutional and permitted the State to allocate revenues that would have been directed to the redevelopment agencies to make pass-through payments (*i.e.*, payments that such entities would have received under prior law) to local agencies and to successor agencies for retirement of the debts and certain administrative costs of the redevelopment agencies.

Proposition 22 prohibits the State from borrowing sales taxes or excise taxes on motor vehicle fuels or changing the allocations of those taxes among local government except pursuant to specified procedures involving public notices and hearings. In addition, Proposition 22 requires that the State apply the formula setting forth the allocation of State fuel tax revenues to local agencies revert to the formula in effect on June 30, 2009. The LAO stated that Proposition 22 would require the State to adopt alternative actions to address its fiscal and policy objectives, particularly with respect to short-term cash flow needs. The District does not believe that the adoption of Proposition 22 will have a significant impact on their respective revenues and expenditures.

Proposition 30

Proposition 30, which was approved by voters in the State in November 2012 ("Proposition 30") authorized the State to temporarily increase the maximum marginal personal income tax rates for individuals, heads of households and joint filers above 9.3% by creating three additional tax brackets of 10.3%, 11.3% and 12.3%. The tax increases set forth in Proposition 30 were in effect from tax year 2012 to tax year 2018. In addition, Proposition 30 temporarily increased the State's sales and use tax rate by 0.25% from 2013 to 2016.

Pursuant to Proposition 30, the State included revenues from the temporary tax increases in the general fund calculation of the Proposition 98 minimum guarantee for education spending. The State deposited a portion of the new general fund revenues into an Education Protection Account established to

support funding for schools and community colleges. The remainder of the new general fund revenues was available to help the State balance its budget through fiscal year 2017-18. However, the allocation of such revenues to particular programs was subject to the discretion of the Governor and the State Legislature.

In addition, Proposition 30 amended the State Constitution to address certain provisions relating to the realignment of State program responsibilities to local governments. Proposition 30 required the State to continue to provide tax revenues that were redirected in calendar year 2011 (or equivalent funds) to local governments to pay for transferred program responsibilities. Further, Proposition 30 permanently excluded sales tax revenues that are redirected to local governments from the calculation of the Proposition 98 minimum guarantee for schools and community colleges.

The Proposition 30 sales and use tax increases expired at the end of the 2016 tax year. Under Proposition 30, the personal income tax increases were set to expire at the end of the 2018 tax year. The voters, however, approved on November 8, 2016, the California Tax Extension to Fund Education and Healthcare Initiative (“Proposition 55”), which extended by twelve years the temporary personal income tax increases on incomes over \$250,000 that was first enacted by Proposition 30. Revenues from the tax increase will be allocated to school districts and community colleges in the State.

Proposition 2

General. Proposition 2, which included certain constitutional amendments to the State Rainy Day Fund and, upon its approval, triggered the implementation of certain provisions which could limit the amount of reserves that may be maintained by a school district, was approved by the voters in the November 2014 election.

State Rainy Day Fund. The Proposition 2 constitutional amendments related to the State Rainy Day Fund (i) require deposits into the State Rainy Day Fund whenever capital gains revenues rise to more than 8% of general fund tax revenues; (ii) set the maximum size of the State Rainy Day Fund at 10% of general fund revenues; (iii) for the next 15 years, require half of each year’s deposit to be used for supplemental payments to pay down the budgetary debts or other long-term liabilities and, thereafter, require at least half of each year’s deposit to be saved and the remainder used for supplemental debt payments or savings; (iv) allow the withdrawal of funds only for a disaster or if spending remains at or below the highest level of spending from the past three years; (v) require the State to provide a multiyear budget forecast; and (vi) create a Proposition 98 reserve (defined herein as the “Proposition 98 Rainy Day Fund”) to set aside funds in good years to minimize future cuts and smooth school spending. The State may deposit amounts into such account only after it has paid all amounts owing to school districts relating to the Proposition 98 maintenance factor for fiscal years prior to fiscal year 2014-15. The State, in addition, may not transfer funds to the Proposition 98 Rainy Day Fund unless the State is in a Test 1 year under Proposition 98 or in any year in which a maintenance factor is created. For more information on limitations on school district reserves and the District’s commitment of funds in fiscal years 2022-23 and 2023-24, see “STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves.”

SB 858. Senate Bill 858 (“SB 858”) became effective upon the passage of Proposition 2. SB 858 includes provisions which could limit the amount of reserves that may be maintained by a school district in certain circumstances. Under SB 858, in any fiscal year immediately following a fiscal year in which the State has made a transfer into the Proposition 98 Rainy Day Fund, any adopted or revised budget by a school district would need to contain a combined unassigned and assigned ending fund balance that (a) for school districts with an ADA of less than 400,000, is not more than two times the amount of the reserve for economic uncertainties mandated by the Education Code, or (b) for school districts with an ADA that is more than 400,000, is not more than three times the amount of the reserve for economic uncertainties mandated by the Education Code. In certain cases, the county superintendent of schools may grant a school district a waiver from this limitation on reserves for up to two consecutive years within a three-year period if there are certain extraordinary fiscal circumstances.

SB 751. Senate Bill 751 (“SB 751”), enacted on October 11, 2017, alters the reserve requirements imposed by SB 858. Under SB 751, in a fiscal year immediately after a fiscal year in which the amount of moneys in the Proposition 98 Rainy Day Fund is equal to or exceeds 3% of the combined total general fund revenues appropriated for school districts and allocated local proceeds of taxes for that fiscal year, a school district budget that is adopted or revised cannot have an assigned or unassigned ending fund balance that exceeds 10% of those funds. SB 751 excludes from the requirements of those provisions basic aid school districts (also known as community funded districts) and small school districts having fewer than 2,501 units of average daily attendance.

Although the 2024-25 State Budget provides for a discretionary payment of approximately \$1.1 billion to the Proposition 98 Rainy Day Fund in fiscal year 2024-25, the 2024-25 State Budget also provides for a withdrawal of the entire \$8.4 billion balance in the Proposition 98 Rainy Day Fund in fiscal year 2023-24, leaving a projected balance of \$1.1 billion at the end of fiscal year 2024-25. The 2025-26 Proposed State Budget replaces the discretionary payment of \$1.1 billion into the Proposition 98 Rainy Day Fund in 2024-25 with a mandatory payment of \$1.2 billion, and another mandatory payment in 2025-26 of \$376 million. School district reserve caps will not be triggered in fiscal year 2024-25 and are not projected to be triggered in fiscal year 2025-26. The District, which has an ADA of over 250,001 students, is required to maintain a reserve for economic uncertainty in an amount equal to 1% of its general fund expenditures and other financing uses. For more information on limitations on school district reserves and the District’s commitment of funds in fiscal year 2023-24, see “STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves.”

The Bonds are payable from *ad valorem* taxes to be levied within the District pursuant to the California Constitution and other State law. Accordingly, the District does not expect SB 858 or SB 751 to adversely affect its ability to pay the principal of and interest on the Bonds as and when due.

State School Facilities Bonds

General. The District applies for apportionments from State bond initiatives and historically has received funding from such State bond initiatives. No assurances can be given that the District will continue to apply for apportionments from current or future State bond initiatives or that the District will continue to receive funding from State bond initiatives for which it applies. Typically, the District receives State funds from the below mentioned propositions. As a result, as of January 1, 2025, the District has received \$296.84 million in General Funds.

Proposition 47. The Class Size Reduction Kindergarten – University Public Education Facilities Bond Act of 2002 appeared on the November 5, 2002 ballot as Proposition 47 (“Proposition 47”) and was approved by State voters. Proposition 47 authorized the sale and issuance of \$13.05 billion in general obligation bonds by the State to fund construction and renovation of K-12 school facilities (\$11.4 billion) and higher education facilities (\$1.65 billion). Proposition 47 includes \$6.35 billion for acquisition of land and new construction of K-12 school facilities. Of this amount, \$2.9 billion is set aside to fund backlog projects for which school districts submitted applications to the State on or prior to February 1, 2002. The balance of \$3.45 billion would be used to fund projects for which school districts submitted applications to the State after February 1, 2002. To be eligible for bond proceeds under Proposition 47, K-12 school districts are required to pay 50% of the costs for land acquisition and new construction with local revenues. In addition, Proposition 47 provided that up to \$100 million of the \$3.45 billion would be allocated for charter school facilities. Proposition 47 provides up to \$3.3 billion for reconstruction or modernization of existing K-12 school facilities. Of this amount, \$1.9 billion will be set aside to fund backlog projects for which school districts submitted applications to the State on or prior to February 1, 2002 and the balance of \$1.4 billion would be used to fund projects for which school districts submitted applications to the State after February 1, 2002. K-12 school districts will be required to pay 40% of the costs for reconstruction or modernization with local revenues. Proposition 47 provides a total of \$1.7 billion to K-12 school districts which are considered critically overcrowded, specifically to schools that have a large number of pupils

relative to the size of the school site. In addition, \$50 million will be available to fund joint-use projects. Proposition 47 also includes \$1.65 billion to construct new buildings and related infrastructure, alter existing buildings and purchase equipment for use in the State's public higher education systems. As of January 1, 2025, the District has received approximately \$949.88 million in funds attributable to Proposition 47.

Proposition 55 (2004). The Kindergarten-University Public Education Facilities Bond Act of 2004 appeared on the March 2, 2004 ballot as Proposition 55 ("Proposition 55 (2004)") and was approved by State voters. Proposition 55 (2004) authorizes the sale and issuance of \$12.3 billion in general obligation bonds by the State to fund construction and renovation of public K-12 school facilities (\$10 billion) and public higher education facilities (\$2.3 billion). Proposition 55 (2004) includes \$5.26 billion for the acquisition of land and construction of new school buildings. Under Proposition 55 (2004), a school district is required to provide a 50% matching share for new construction or a 60% matching share for modernization projects with local resources unless it qualifies for state hardship funding. Proposition 55 (2004) also allocates up to \$300 million of new construction funds for charter school facilities.

Proposition 55 (2004) makes \$2.25 billion available for the reconstruction or modernization of existing public school facilities. School districts would be required to pay 40% of project costs from local resources. Proposition 55 (2004) directs a total of \$2.44 billion to school districts with schools which are considered critically overcrowded. These funds would go to schools that have a large number of pupils relative to the size of the school site. Proposition 55 (2004) also makes a total of \$50 million available to fund joint-use projects. Proposition 55 (2004) includes \$2.3 billion to construct new buildings and related infrastructure, alter existing buildings and purchase equipment for use in these buildings for the State's public higher education systems. The measure allocates \$690 million to the University of California and California State University and \$920 million to community colleges in the State. The Governor and the State Legislature select specific projects to be funded by the bond proceeds. As of January 1, 2025, the District has received approximately \$2.31 billion in funds attributable to Proposition 55 (2004).

Proposition 1D. The Kindergarten-University Public Education Facilities Bond Act of 2006 was approved by State voters at the November 7, 2006 ballot as Proposition 1D ("Proposition 1D"). Proposition 1D authorizes the sale and issuance of \$10.4 billion in general obligation bonds by the State to fund construction and renovation of public K-12 school facilities (\$7.3 billion) and public higher education facilities (\$3.1 billion). Proceeds of bonds issued by the State under Proposition 1D are required to be deposited in the 2006 State School Facilities Fund established in the State Treasury under the Greene Act and allocated by the State Allocation Board. Proposition 1D includes \$1.9 billion for land acquisition and construction of new school buildings. Under Proposition 1D, a school district is required to pay for 50% of costs with local resources unless it qualifies for state hardship funding. Proposition 1D also allocates \$500 million for charter school facilities.

Proposition 1D makes \$3.3 billion available for the reconstruction or modernization of existing public school facilities. Districts would be required to pay 40% of project costs from local resources. Proposition 1D directs a total of \$1.0 billion to school districts with schools that are considered critically overcrowded. These funds would go to schools that have a large number of pupils relative to the size of the school site. Proposition 1D also makes a total of \$29 million available to fund joint-use projects. Proposition 1D includes \$3.1 billion to construct new buildings and related infrastructure, alter existing buildings and purchase equipment for use in these buildings for the State's public higher education systems. Pursuant to Proposition 1D, the Governor and the State Legislature select specific projects to be funded by the bond proceeds. As of January 1, 2025, the District has received approximately \$819.50 million in funds attributable to Proposition 1D.

Proposition 51. The Kindergarten Through Community College Public Education Facilities Bond Act of 2016 was approved by State voters at the November 8, 2016 ballot as Proposition 51 ("Proposition 51"). Proposition 51 authorizes the sale and issuance of \$9 billion in general obligation bonds by the State

to fund new construction of school facilities (\$3 billion), school facilities for charter schools (\$500 million), modernization of school facilities (\$3 billion), facilities for career technical education programs (\$500 million), and acquisition, construction, renovation, and equipping of community college facilities (\$2 billion). Proceeds of bonds issued by the State for K-12 under Proposition 51 are required to be deposited in the 2016 State School Facilities Fund established in the State Treasury under the Greene Act and allocated by the State Allocation Board. As of January 1, 2025, the District has received approximately \$397.31 million in funds attributable to Proposition 51.

Proposition 2 (2024). The Kindergarten Through Grade 12 Schools and Local Community College Public Education Facilities Modernization, Repair and Safety Bond Act of 2024 (also known as Proposition 2 and referred to herein as “Proposition 2 (2024)”) was a ballot measure that was approved by State voters on November 5, 2024. Proposition 2 (2024) authorizes the sale and issuance of \$10 billion in State general obligation bonds for the repair, upgrade and construction of facilities at K-12 public schools, community colleges and career technical education programs, including the development of health and safety conditions. Proposition 2 (2024) includes \$3.3 billion for the new construction of K-12 facilities and an additional \$4 billion for the modernization of existing K-12 facilities. Up to \$10 million of the allocation for new constructions will be reserved for small school districts with an enrollment of fewer than 2,501 students. Of the \$4 billion assigned for modernization of existing K-12 facilities, up to \$115 million will be allocated for the repairment of lead in water at school facilities. In addition, a total of \$1.2 billion will be available for the modernization and new construction of charter school facilities (\$600 million) and technical education facilities (\$600 million). The State will award funds to technical education and charter school through an application process, and charter schools must be deemed financially sound before project approval. The District is pursuing but cannot guarantee that it will qualify for or receive Proposition 2 (2024) State facilities funding.

Future Initiatives

The foregoing described amendments to the State Constitution and propositions were each adopted as measures that qualified for the ballot pursuant to the State’s initiative process. From time to time, other initiative measures could be adopted that further affect District revenues or the District’s ability to expend revenues.

REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION

The District is located in the City of Los Angeles and portions of the County of Los Angeles. The following economic and demographic information pertains to the City of Los Angeles (the “City”) and the County of Los Angeles (the “County”). The historical data and results presented in the tables that follow may differ materially from future results as a result of economic or other factors.

The Bonds are general obligations of the District secured by and payable from *ad valorem* property taxes levied within the District. The Bonds are not general obligations of the City or the County.

Population

The following Table A-25 sets forth the estimates of the population of the City, the County and the State in calendar years 2020 through 2024.

TABLE A-25
POPULATION ESTIMATES
2020 through 2024

<u>Year</u> <u>(as of January 1)</u>	<u>City of</u> <u>Los Angeles</u>	<u>County of</u> <u>Los Angeles</u>	<u>State of</u> <u>California</u>
2020	3,898,536	10,014,009	39,538,223
2021	3,871,886	9,955,445	39,327,868
2022	3,822,940	9,861,493	39,114,785
2023	3,804,420	9,819,312	39,061,058
2024	3,814,318	9,824,091	39,128,162

Source: Department of Finance, 2020 Census Benchmark.

Income

The following Table A-26 sets forth the median household income for the City, the County, the State and the United States for calendar years 2019 through 2023.

TABLE A-26
MEDIAN HOUSEHOLD INCOME⁽¹⁾
2019 through 2023

<u>Year</u>	<u>City of</u> <u>Los Angeles</u>	<u>County of</u> <u>Los Angeles</u>	<u>State of</u> <u>California</u>	<u>United States</u>
2019	67,418	72,797	80,440	65,712
2020	65,290	71,358	78,672	64,994
2021	70,372	77,456	84,907	69,717
2022	76,135	82,516	91,551	74,755
2023	79,701	86,587	95,521	77,719

⁽¹⁾ Estimated. In inflation-adjusted dollars.

Source: U.S. Census Bureau – Economic Characteristics – American Community Survey.

The following Table A-27 sets forth the distribution of income by certain income groupings per household for the City, the County, the State and the United States for calendar year 2023.

TABLE A-27
INCOME GROUPINGS 2023⁽¹⁾
(Percent of Households)

<u>Income Per Household</u>	<u>City of</u> <u>Los Angeles</u>	<u>County of</u> <u>Los Angeles</u>	<u>State of</u> <u>California</u>	<u>United States</u>
\$24,999 & Under	17.5%	14.9%	13.0%	15.2%
\$25,000-49,999	15.6	14.6	13.5	17.0
\$50,000 & Over	67.1	70.5	73.5	67.7

⁽¹⁾ Estimated. In inflation-adjusted dollars. Data may not add up due to rounding.

Source: U.S. Census Bureau – Economic Characteristics – American Community Survey.

Employment

The District is within the Los Angeles-Long Beach Primary Metropolitan Statistical Area Labor Market (Los Angeles County). The following Table A-28 sets forth wage and salary employment in the County from calendar years 2019 through 2023.

TABLE A-28
LABOR FORCE AND EMPLOYMENT IN THE COUNTY OF LOS ANGELES⁽¹⁾
2019 through 2023

	2019	2020	2021	2022	2023
Civilian Labor Force	5,153,100	4,968,900	4,994,100	4,984,800	5,015,600
Employment	4,926,100	4,355,900	4,548,900	4,739,900	4,763,600
Unemployment	227,000	613,000	445,200	244,900	252,000
Unemployment Rate	4.4%	12.3%	8.9%	4.9%	5.0%
Wage and Salary Employment					
Farm	4,400	4,400	4,600	4,900	4,700
Mining and Logging	1,900	1,700	1,600	1,600	1,700
Construction	149,800	146,500	149,800	150,900	151,000
Manufacturing	340,700	315,100	311,700	321,800	319,200
Trade, Transportation and Utilities	851,000	788,000	817,600	837,400	826,400
Information	215,300	191,000	213,200	235,000	193,000
Financial Activities	223,600	212,600	210,800	215,900	211,000
Professional and Business					652,500
Services	647,000	599,800	629,500	668,900	
Educational and Health Services	839,900	820,300	839,600	873,600	914,500
Leisure and Hospitality	547,200	393,500	429,300	511,300	534,100
Other Services	158,400	128,700	134,100	153,500	157,800
Government	586,900	570,200	558,200	568,500	582,300
Total ⁽¹⁾	4,566,100	4,171,700	4,300,000	4,543,400	4,548,200

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

Source: California Employment Development Department, Labor Market Information Division.

The following Table A-29 sets forth taxable sales in the County for the calendar years 2019 through 2023.

TABLE A-29
COUNTY OF LOS ANGELES
TAXABLE TRANSACTIONS⁽¹⁾
2019 through 2023
(\$ in thousands)

Type of Business	2019	2020	2021	2022	2023
Motor Vehicle and Parts Dealers	\$ 18,954,470	\$ 18,534,326	\$ 23,555,049	\$ 25,236,081	\$ 23,403,883
Home Furnishings and Appliance Stores	7,308,501	6,608,482	8,177,309	7,682,325	6,946,670
Building Materials and Garden Equipment and Supplies Dealers	8,698,495	9,556,946	10,450,185	10,997,781	10,640,811
Food and Beverage Stores	7,255,360	7,650,294	7,861,401	8,137,012	8,224,646
Gasoline Stations	12,491,790	8,132,307	12,405,237	16,114,153	14,239,588
Clothing and Clothing Accessories Stores	12,536,982	9,498,705	13,957,944	14,388,631	13,904,314
General Merchandise Stores	12,910,844	12,263,784	14,541,309	15,072,717	14,514,788
Food Services and Drinking Places	25,097,944	17,006,158	23,577,050	27,861,821	29,314,178
Other Retail Group	<u>17,190,290</u>	<u>24,164,972</u>	<u>24,407,441</u>	<u>24,618,548</u>	<u>24,281,294</u>
Total Retail and Food Services	<u>\$122,444,678</u>	<u>\$113,415,974</u>	<u>\$138,932,925</u>	<u>\$150,109,069</u>	<u>\$145,470,173</u>
All Other Outlets	<u>\$ 49,868,925</u>	<u>\$ 44,322,010</u>	<u>\$ 53,340,253</u>	<u>\$ 62,671,752</u>	<u>\$ 61,880,723</u>
TOTAL ALL OUTLETS	<u>\$172,313,603</u>	<u>\$157,737,984</u>	<u>\$192,273,178</u>	<u>\$212,780,821</u>	<u>\$207,350,896</u>

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

Source: California Department of Tax and Fee Administration, Taxable Sales in California.

Leading County Employers

The economic base of the County is diverse with no one sector being dominant. Some of the leading activities include government (including education), business/professional management services (including engineering), health services (including training and research), tourism, distribution, and entertainment. The following Table A-30 sets forth the major employers in the County as of August 2024.

TABLE A-30
COUNTY OF LOS ANGELES
MAJOR EMPLOYERS⁽¹⁾
2024

<u>Employer</u>	<u>Product/Service</u>	<u>Employees</u>
U.S. Government – Federal Executive Board ⁽²⁾	Government	260,000
Los Angeles County	Government	116,571
Los Angeles Unified School District	Education	74,741
University of California, Los Angeles	Education	54,148
Kaiser Permanente Southern California	Nonprofit health plan	47,438
City of Los Angeles ⁽³⁾	Government	35,206
University of Southern California	Private university	24,099
Northrop Grumman Corp.	Systems and products in aerospace, electronics and information systems	18,708
Walt Disney Co.	Media and entertainment	13,400
Home Depot	Home improvement retailer	12,000
UPS	Logistics, transportation and freight	11,542
Los Angeles Department of Water & Power	Energy	11,500
Long Beach Unified School District	Education	11,000
Boeing Co.	Aerospace and defense, commercial jetliners, space and security systems	10,783
Providence	Health care	10,153
Target Corp.	Retailer	10,020
NBCUniversal	Media and entertainment	8,576
Cedars-Sinai	Health system	8,427
California Institute of Technology	Private university, operator of Jet Propulsion Laboratory	8,419
Albertsons Cos.	Retail grocer	7,476
Allied Universal	Provider of security services and technology solutions	6,866
AT&T Inc.	Telecommunications, DirecTV, cable, satellite and television provider	6,475
	Treatment and research center for cancer, diabetes and other life-threatening diseases	6,427
City of Hope		
City of Long Beach	Government	6,000
Bank of America Corp.	Banking and financial services	5,490
Space Exploration Technologies Corp.	Rockets and spacecraft	5,467
Children's Hospital Los Angeles	Nonprofit freestanding children's hospital	5,305
Amazon	Online retailer	5,200
Inter-Con Security	Premier security services	5,165
Costco Wholesale	Membership chain of warehouse stores	5,143
California State University, Long Beach	Education	5,000
Ralphs	Grocery retailer	4,435
Capital Group	Financial services	4,251
California State University, Northridge	Education	4,163
Los Angeles World Airports	Airport authority owner and operator	4,000
Pomona Unified School District	Education	4,000
CommonSpirit Health ⁽⁴⁾	Health care	3,360
Los Angeles County Metropolitan Transportation Authority	Transportation	3,023
California State University, Los Angeles	Education	2,657
Cal Poly Pomona	Education	2,648
Santa Monica Community College District	Education	2,459
Mt. San Antonio Community College District	Education	2,306
City of Santa Monica	Government	2,000
Montebello Unified School District	Education	1,900
Cal State Dominguez Hills	Education	1,761
City of Torrance	Government	1,683
City of Pasadena	Government	1,661
Conejo Valley School District	Education	1,550
Glendale Unified School District	Education	1,431
Los Angeles Community College District	Education	1,223

⁽¹⁾ This information was provided by representatives of the employers, company financial and annual budget reports, company LinkedIn profiles. Government agencies and companies are ranked by the current number of full-time employees in the County. Several organizations and companies may have qualified for this list but failed to submit information or do not break out local employment data.

⁽²⁾ Excludes law enforcement and judiciary employees.

⁽³⁾ Excludes proprietary departments (LADWP, LAWA, Port of LA).

⁽⁴⁾ Previously known as Dignity Health.

Source: "Largest Public-Sector Employers" and "Largest Private Sector Employers," *Los Angeles Business Journal*, August 26-September 1, 2024.

Construction

The following Table A-31 sets forth the valuation of permits for new residential buildings and the number of new single-family and multi-family dwelling units in the City for the years 2020 through 2024.

TABLE A-31
CITY OF LOS ANGELES
PERMIT VALUATIONS AND UNITS OF CONSTRUCTION⁽¹⁾
2020 through 2024
(\$ in thousands)

Year	New Residential Valuation	New Single Family Dwelling Units	New Multi-Family Dwelling Units	Total New Units
2020	\$3,235,640	1,887	10,448	12,335
2021	3,013,650	2,469	11,667	14,136
2022	3,783,606	3,042	13,049	16,091
2023	2,389,320	689	8,438	9,127
2024 ⁽²⁾	1,294,450	349	2,982	3,331

⁽¹⁾ Total may not equal sum of component parts due to rounding.

⁽²⁾ Values include data through June 30, 2024.

Source: California Homebuilding Foundation | Construction Industry Research Board.

The following Table A-32 sets forth information with respect to building permits and building valuations in the County from 2020 through 2024.

TABLE A-32
COUNTY OF LOS ANGELES
BUILDING PERMITS AND VALUATIONS⁽¹⁾
2020 through 2024

	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>	<u>2024⁽²⁾</u>
Residential Building Permits (Units)					
New Residential Permits					
Single Family	6,198	7,327	8,301	2,462	1,207
Multi-Family	<u>14,056</u>	<u>16,718</u>	<u>18,912</u>	<u>7,769</u>	<u>4,381</u>
Total Residential Building Permits	<u>20,254</u>	<u>24,045</u>	<u>27,213</u>	<u>10,231</u>	<u>5,588</u>
Building Valuations (\$ in millions)					
Residential Building Valuations					
Single Family	\$1,874	\$2,086	\$2,180	\$1,056	\$ 575
Multi-Family	2,790	3,027	3,524	1,369	681
Alterations and Additions	<u>1,014</u>	<u>908</u>	<u>1,423</u>	<u>1,060</u>	<u>1,112</u>
Residential Building Valuations	<u>\$5,678</u>	<u>\$6,021</u>	<u>\$7,127</u>	<u>\$3,485</u>	<u>\$2,369</u>
Subtotal					
Non-Residential Building Valuations					
New Industrial Buildings	\$ 32	\$ 28	\$ 25	\$ 129	\$ 3
Office Buildings	242	162	69	75	103
Store & Other Mercantile	897	170	879	348	146
Hotels and Motels	232	53	40	68	0
Alterations and Additions	1,241	946	2,417	1,352	918
Amusement and Recreation	2	38	3	15	113
Parking Garages	103	0	80	445	99
Service Stations and Repair	72	1	6	1	0
Garages					
Other	<u>691</u>	<u>466</u>	<u>661</u>	<u>497</u>	<u>261</u>
Non-Residential Building Valuations	<u>\$3,513</u>	<u>\$1,863</u>	<u>\$4,184</u>	<u>\$2,929</u>	<u>\$1,642</u>
Subtotal					
Total Building Valuations	<u>\$9,191</u>	<u>\$7,884</u>	<u>\$11,311</u>	<u>\$6,414</u>	<u>\$4,011</u>

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

⁽²⁾ Values include data through June 30, 2024.

Sources: California Homebuilding Foundation | Construction Industry Research Board.

GLOSSARY OF CERTAIN TERMS AND ABBREVIATIONS

The following are definitions and abbreviations of certain terms used in this Appendix A.

“AALA” means the Associated Administrators of Los Angeles, which represents the middle managers in the District.

“ACFR” means annual comprehensive financial report.

“ADA” means average daily attendance, a measure of pupil attendance used as the basis for providing revenue to school districts and as a measure of unit costs. ADA includes only in-seat attendance.

“CalPERS” means the California Public Employees’ Retirement System, a defined benefit plan which covers classified personnel who work four or more hours per day.

“CalSTRS” means the California State Teachers’ Retirement System, a defined benefit plan which covers all full-time certificated and some classified District employees.

“CARES Act” means Coronavirus Aid, Relief and Economic Security Act.

“CDE” means the California Department of Education.

“COLA” means cost-of-living adjustments, which is used in determining the District’s funding from the State.

“Common Core” means Common Core State Standards.

“COPS” means certificates of participation.

“COVID-19” means Coronavirus Disease 2019.

“CSEA” means California School Employees Association.

“EL” means English learners, a classification for students.

“FRPM” means free or reduced-price meal.

“GASB” means the Governmental Accounting Standards Board, an operating entity of the Financial Accounting Foundation establish to set standards of financial accounting and reporting for state and local governmental entities.

“ISMP” means the Information Security Management Program.

“LACOE” means the Los Angeles County Office of Education.

“LAO” means the Legislative Analyst’s Office of the State of California.

“LASPA” means the Los Angeles Sheriff’s Professional Association.

“LASPMA” means the Los Angeles School Police Management Association.

“LCAP” means the Local Control and Accountability Plan.

“LCFF” means the Local Control Funding Formula.

“LEA” means local education agency as defined under the NCLB Act.

“LI” means students classified as foster youth.

“OCIP” means owner controlled insurance program.

“OPEB” means Other Post-Employment Benefits.

“PARS” means the Public Agency Retirement System, a defined contribution plan which covers the District’s part-time, seasonal, temporary and other employees not otherwise covered by CalPERS or CalSTRS, but whose salaries would otherwise be subject to Social Security tax.

“PEPIP” means the Public Entity Property Insurance Program, an insurance pool comprised of certain cities, counties and school districts.

“PEPRA” means the California Public Employees’ Pension Reform Act of 2013.

“PERB” means the Public Employee Relations Board.

“PLL” means pollution legal liability.

“SEIU” means Service Employees International Union.

“SUP” means School Upgrade Program.

“UAAL” means unfunded actuarial accrued liability.

“UTLA” means the United Teachers Los Angeles, which is the collective bargaining unit representing teachers and support service personnel of the District.